

EUROMOD Country Report – Spain

2022-2025

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Abstract

The EUROMOD Country Reports have the double function of describing the scope of the EUROMOD simulations, including the underlying assumptions, and providing the validation of these simulations against official statistics. The Country Report for Spain is prepared by the Spanish EUROMOD National Team each year, and made available by the JRC on time for the EUROMOD stable release of the model at the beginning of each year.

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The work was carried out jointly by the EUROMOD core development team, based at the JRC in Seville, and the Spanish national team.

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The key contributors to this update were:

- Rocío Frutos Ibor, Alicia Gila García, María Navas Román, Marta Adiego Estella, Javier Andrés Jiménez and Adela Recio Alcaide, as members of the national team for Spain, as members of the national team for Spain
- Hugo Cruces, as JRC developer responsible for Spain

1. Introduction

EUROMOD is the tax-benefit microsimulation model for the European Union (EU). It enables users to calculate in a comparable manner the effects of taxes and benefits on household incomes and work incentives for the population of each Member State and for the EU as a whole.

EUROMOD is yearly updated to cover the most recent changes in countries' tax and benefit policies. It uses input databases which are also regularly updated, derived from the European Union Statistics on Income and Living Conditions (EU-SILC) and matched with Household Budget Surveys (HBS). The model's update is supported by the following Directorate-Generals and Services of the European Commission: DG EMPL, DG ECFIN, DG TAXUD, SG REFORM, DG JRC, DG ESTAT.

EUROMOD was originally maintained, developed and managed by the Institute for Social and Economic Research (ISER). In 2021, these responsibilities were taken over by the Joint Research Centre (JRC) of the European Commission, in collaboration with Eurostat and 27 national teams from the EU countries. Currently the EUROMOD governance structure consists of a Steering Committee, allowing partner DGs to monitor the process of the EUROMOD update, and a Scientific Advisory Board to monitor and guide the scientific development of the model.

This report documents the work done in the most recent annual update for Spain. It provides an overview of the Spanish tax-benefit system in 2022-2025 and of how these policies are implemented in EUROMOD. The results presented are derived using EUROMOD version J2.0+, and they may not match those obtained using earlier or later versions of the model.

The EUROMOD model and software, together with extensive information and documentation, are available online:

- EUROMOD homepage: <https://euromod-web.jrc.ec.europa.eu/resources/documentation>
- Downloads: <https://euromod-web.jrc.ec.europa.eu/download-euromod>
- Documentation: <https://euromod-web.jrc.ec.europa.eu/resources/documentation>
- Glossary of EUROMOD terms: <https://euromod-web.jrc.ec.europa.eu/resources/glossary>

1.1. Basic information about the tax-benefit system

- The tax-benefit system in Spain is a complex system due to its administrative and political organization. Spain is territorially divided into regions¹: 17 Autonomous Communities (*Comunidades Autónomas*) and 2 Autonomous Cities (*Ciudades Autónomas*). The process of development of these regions entailed a redistribution of the political and administrative competences between the state and the regions. This is reflected in a complex organization and therefore a complex tax-benefit system.
- The main characteristics of the tax system in Spain are the following:

¹ [EUROSTAT NUTS-2 regions in Spain: Galicia, Principado de Asturias, Cantabria, País Vasco, Comunidad Foral de Navarra, La Rioja, Aragón, Comunidad de Madrid, Castilla y León, Castilla-La Mancha, Extremadura, Cataluña, Comunitat Valenciana, Illes Balears, Andalucía, Región de Murcia, Canarias, Ciudad de Ceuta, Ciudad de Melilla.](#)

- It is a decentralized system formed of three subsystems: state, regions and local government tax systems.
 - Additionally, some state taxes are partially or totally transferred to the regions.
 - For taxes totally transferred, 100% of the revenues are collected by the regions. Additionally, regions have certain regulatory competences to establish allowances, tax rates and fiscal credits. The most important of these taxes is the Inheritance and Gift Tax, which is different among regions due to these regulatory competences. In fact, some regions have very high tax credits to the final liability (e.g. Comunidad de Madrid provides a 99% tax credit for the spouse or direct relatives of the deceased or donor).
 - When taxes are partially transferred to regions, only 50% of the revenues is transferred to the regions and regions only have regulatory competences in certain taxes. For example, Personal Income Tax and VAT are two partially transferred state taxes, but regions can only regulate some aspects of the Personal Income Tax (tax allowances, tax rates, etc.) while the VAT cannot be regulated by regions.
 - There are two regions, Comunidad Foral de Navarra and País Vasco, which are called foral regions (*comunidades autónomas de régimen foral*), as opposed to common regime regions (*comunidades autónomas de régimen común*). For historical reasons they define structure of taxes in their territories (in the case of País Vasco it is actually its three provinces independently) and they collect them. They contribute to the state with an amount of their revenues.
 - Canarias, which is a common system region, has a special tax regime for historical and geographical reasons. This regime has been regulated taking into account the provisions of the European Union on outermost regions. Additionally, Ciudad de Ceuta and Ciudad de Melilla have a special indirect tax regime.
- The Personal Income Tax is applied at the individual level, however, there is also an option to file a joint tax return for members of the same family unit. The decision is taken by the taxpayer according to what benefits them the most. Additionally, the income tax system is a dual system where income subject to tax is classified into two groups that are taxed at different rates: “General Income” —comprising employment income, real estate capital yields, business income, and imputed income — and “Savings Income” including capital gains or savings returns. Savings Income tax schedule is much less progressive than General Income tax schedule. The Personal Income Tax is partially transferred to the regions and therefore it is not homogeneous throughout the national territory with differences in personal and familiar allowances, tax schedules and tax credits according to the legislation in the regions. Income tax liability is based on annual income, and allowances are referred to in annual terms. To make use of allowances and deductions these must be claimed in the following year (between April 3rd and July 1st) when filing the tax report. The latter determines the final tax liability, considering tax already withheld.

- The most important benefits are generally satisfied by national authorities, although regional governments handle some policies. The Minimum Income Scheme (*Ingreso Mínimo Vital*) was introduced in 2020 and it can be complemented² by pre-existing regional minimum income schemes (*Rentas Mínimas de Inserción*) in some regions and it is incompatible³ in some others. The Minimum Income Scheme is granted at national level, but it is foreseen to be managed by foral regions and also by common regions willing to do so. Additionally, there are some family and child-related benefits that are handled by regional governments.
- The Social Insurance System is a centralized system. Social Insurance benefits can be of two types: contributory, if eligibility and amount depend on previous contributions to the Social Insurance System, and non-contributory, if eligibility depends on certain contingencies and, generally, an income test. Social Insurance contributions finance contributory pensions and benefits. There are different contribution regimes, which differ in the way and conditions in which employees, employers and self-employed contribute and in the insurances that are financed. These social insurance contributions do not finance the Health National System, which is funded by taxes.
- The fiscal year is 1st January - 31st December⁴. Social contributions, benefits and pensions are usually assessed and delivered on a monthly basis. In general terms, taxes are not indexed and are usually updated in an *ad hoc* manner. In relation to the benefits, some of them are indexed using the IPREM (*Indicador Público de Renta de Efectos Múltiples*) or the Minimum Wage, and others are not indexed and are yearly fixed by the government. Social Insurance contributions are yearly fixed by the government. Following a new net-income based contribution system for the self-employed and the approval of increasing pensions according to Consumer Price Index (CPI), a reform on the public pension scheme was passed in 2023, aiming at insuring long-term sustainability while increasing both pensions and maximum contributions. The main changes in the tax-benefit system are reported either in the National Budget Law or in the 19 regional Budget Laws at the beginning of the year, but there is also specific national and regional regulation on taxes, benefits and social insurance which can be changed at any moment of the year.
- The index used as a reference to establish some benefits amounts is the IPREM. In Cataluña, there is another indexing indicator: the IRSC ⁵ (*Indicador de Renta de Suficiencia de Cataluña*).

Table 1.1 Indexes used as reference to establish benefit amounts. Monthly amounts (EUR).

	2022	2023 ¹	2024 ²	2025 ²
IPREM	579.02	600	600	600

² The regions where it is compatible are: Aragón, Principado de Asturias, Canarias, Cantabria, Castilla y León, Cataluña, Extremadura, La Rioja, Comunidad de Madrid, Región de Murcia, Comunidad Foral de Navarra, Comunitat Valenciana, and País Vasco.

³ The regions where it is not compatible are: Andalucía, Illes Balears, Galicia, and Castilla-La Mancha.

⁴ Regarding companies, as a rule, the tax year is usually from 25th of July to next year's 25th of July.

⁵ The IRSC is a statutory parameter updated on a yearly basis by the Budgetary Law of Cataluña (*Llei de pressupostos de la Generalitat de Catalunya*).

IRSC (Cataluña) ³	663.98	717.09	755.82 ⁴	778.49 ⁵
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Notes:

¹ Ley 31/2022, de 23 de diciembre, de Presupuestos Generales del Estado para el año 2023.

LLEI 2/2023, del 16 de març, de pressupostos de la Generalitat de Catalunya per al 2023.

² From 2023 General State Budget extension to year 2024 and 2025.

³ Consists of 12 yearly payments.

⁴ Decreto-ley 1/2024, de 13 de febrero, de incremento del indicador de renta de suficiencia de Cataluña (IRSC) para mitigar situaciones de necesidad y privación económica de la ciudadanía de Cataluña.

⁵ Decreto-ley 11/2024, de 17 de diciembre, de necesidades financieras del sector público en prórroga presupuestaria, de incremento del indicador de renta de suficiencia de Cataluña y de medidas en el ámbito de las prestaciones sociales.

Source: Own elaboration based on legal sources.

— The Minimum Wage is the statutory minimum wage established for each year. It is also used to update minimum contributory- bases and some non-contributory benefits.

Table 1.2 Minimum wage. Monthly amount (EUR).

Years	2022 ¹	2023 ²	2024	2025
Minimum wage³	1,000	1,080	1,134	1,184 ⁴

Notes:

¹ Real Decreto 152/2022, de 22 de febrero, por el que se fija el salario mínimo interprofesional para 2022.

² Real Decreto 99/2023, de 14 de febrero, por el que se fija el salario mínimo interprofesional para 2023.

³ In 14 payments.

⁴ Real Decreto 87/2025, de 11 de febrero, por el que se fija el salario mínimo interprofesional para 2025.

Source: Own elaboration based on legal sources.

Statutory age pension changed and, since 2013, it is 67 years or 65 years if a person has contributed to the Social Insurance System for 38 years and 6 months⁶.

The increase of the retirement age from 65 to 67 and the extension of the social contributions period from 35 years to 38 years and 6 months is being progressively made from 2013 to 2027. The schedule from 2022 to 2025 is the following:

Table 1.3 Evolution of the retirement age according to the contribution period.

Years	Periods of Social Insurance contributions	Age required
2022	37 years and 6 months or more	65 years
	Less than 37 years and 6 months	66 years and 2 months
2023	37 years and 9 months or more	65 years
	Less than 37 years and 9 months	66 years and 4 months
2024	38 years or more	65 years
	Less than 38 years	66 years and 6 months
	38 years and 3 months or more	65 years

⁶ Ley 27/2011, de 1 agosto, sobre actualización, adecuación y modernización del sistema de Seguridad Social. It entered into force on January 1st 2013.

Source: Own elaboration based on legal sources.

- Children are obliged to attend school from 6 years old until they acquire the secondary education or reach the age of 16.
 - Dependent children, in general, are defined as aged under 18 or disabled regardless of age. Three different levels of disability (33%, 65% and 75%) are usually distinguished in the tax-benefit system. In the case of legally separated spouses or *de facto* unions, dependent children belong to the family unit of the parent they live with.
 - Dependent children for family and subsistence benefits are defined as aged under 18. Dependent children for unemployment, widow-widower's benefits are defined as aged under 26 whose personal income does not exceed a percentage of the Minimum Wage.
 - For taxation purposes, dependent children are aged under 25. Personal Income Tax has a family tax credit depending on the number of dependent children.
 - "Large Families" (*familias numerosas*) are defined as a one or two-parent cohabiting family with three or more dependent children (or two if a parent or one of the children is disabled). A further distinction is made within them: those with 5 or more dependent children are identified as "special large families" (*familias numerosas de categoría especial*).
- Consumption taxes consist of (1) VAT with three rates: standard (21%), reduced (10%) and super-reduced (4%, or, exceptionally, 5% or 0%), (2) excises on tobacco, alcohol, energy and purchase of certain motor vehicles.

The policy parameters saved as constants in the model and their values for the most recent year are available at <https://euromod-web.jrc.ec.europa.eu/resources/parameters>.

1.2. Social Benefits

The benefits system is decentralized. Most important benefits are generally granted by national authorities, although there are different types of benefits handled by regional governments with different eligibility conditions, benefit amounts and duration across regions.

Additionally, benefits can be divided into two main groups:

(1) Contributory Benefits (CB), for which eligibility depends on having met certain conditions regarding social insurance contributions and certain contingencies such as old-age, widowhood, disability or unemployment. The amounts received depend on contributions and, in some cases, on a range of personal circumstances. (2) Non-contributory benefits (NCB), for which eligibility depends on certain contingencies such as old-age, widowhood, disability or unemployment and, generally, on an income test. Eligibility in this case does not require a minimum amount of contributions. The income test is usually related to a range of personal and family circumstances and to total individual or family income.

Regarding contributory pensions, an Intergenerational Equity Mechanism (IEM) (*Mecanismo de Equidad Intergeneracional*) was introduced on January 1st, 2023, to avoid purchasing power loss. The IEM substitutes former Sustainability Factor (*Factor de Sostenibilidad*). For pension calculation,

pensioners will be able to choose between the last 25 years of their careers or the 27 best years among the last 29 ones.

This mechanism is included in a reform on the public pension scheme that was passed in March 2023⁷, aiming at reinforcing long-term sustainability while maintaining purchase power of current and future pensions. Non-contributory and minimum pensions were increased and the gender-gap reduced. Reinforcement of revenues will be achieved mainly by gradually increasing maximum bases and pensions, with a solidarity contribution to be progressively put into place for higher wages starting in 2025.

Reforms are being gradually implemented, some of them having already started in 2023, mainly the aforementioned IEM, the guarantee of a minimum level for contributory pensions and the complement for contributory pensions for women with children in order to reduce the gender gap.

This reform is a part of the reinforcement of the public pension scheme started in 2022 with the introduction of Consumer Price Index – based pension updates in order to maintain purchasing power⁸ and followed by the entry into force in 2023⁹ of a new contribution system for the self-employed based on their net income (*rendimientos netos*) and establishing an 80 euro/month flat rate for new contributors to this system for a year.

1.3. Contributory Benefits

Old-age pension

Contributory old-age pension (*Pensión contributiva por jubilación total o por jubilación parcial*, among others): Compulsory social insurance scheme for employees that have either completely stopped working and are entitled to receive old-age benefits or have decided to reduce their working hours and to combine partial old-age pensions with earnings. In order to be entitled to receive the pensions, the worker must have paid the required contributions. The retirement pension benefit amount is determined by the amount and number of social contributions (with a minimum of 15 years).

Statutory insurance for old age and disability (*Pensión del seguro obligatorio de vejez e Invalidez, SOVI*): This is a particularly old social scheme that covers workers who have paid 1800 days of contributions to the SOVI between 1940 and 1966 or were registered prior to 1940. These pensions are to disappear soon.

Survivor's pension

⁷ Real Decreto-ley 2/2023, de 16 de marzo, de medidas urgentes para la ampliación de derechos de los pensionistas, la reducción de la brecha de género y el establecimiento de un nuevo marco de sostenibilidad del sistema público de pensiones. This Royal Law-Decree was convalidated by the Parliament on 30.03.2023. Regarding IEM, it established its entry into force on January 1st, 2023.

⁸ Ley 21/2021, de 28 de diciembre, de garantía del poder adquisitivo de las pensiones y de otras medidas de refuerzo de la sostenibilidad financiera y social del sistema público de pensiones

⁹ Real Decreto-ley 13/2022, de 26 de julio, por el que se establece un nuevo sistema de cotización para los trabajadores por cuenta propia o autónomos y se mejora la protección por cese de actividad.

Contributory survivor's pension (*Pensión de viudedad, pensión de orfandad, pensión a favor de familiares*): Compulsory social insurance scheme for employees. Pensions are paid in case of death of the contributing worker to widows or widowers (*pensión de viudedad*), orphans (*pensión de orfandad*) or relatives (*pensión en favor de familiares*), depending on the total contributions of the deceased person. The deceased person should have been affiliated to the Social Insurance scheme, must have been an active contributor or have had equivalent status or must have complied with the required period of paid contributions. Widows, widowers, orphans and relatives must fulfil some further requirements in order to receive the pensions. The amount of the pension depends on the contributions paid by the deceased person and on personal circumstances of the beneficiaries.

Disability pension

Contributory disability pension (*Pensión contributiva por incapacidad permanente*): Compulsory social insurance scheme for employees with contribution-related benefits in case of permanent disability (*incapacidad permanente*). The degrees of disability are the following: permanent and partial disability for the usual profession (*incapacidad permanente parcial para la profesión habitual*), permanent and complete disability for the usual profession (*incapacidad permanente total para la profesión habitual*), permanent and total disability for any type of working activity (*incapacidad permanente absoluta*) and severe disability (*gran invalidez*). In order to be entitled to receive the benefits, the worker must have paid the required contributions. The amount of the pension depends both on the degree of disability and on the contributory base.

Unemployment benefits

Contributory unemployment insurance benefit (*Prestación por desempleo contributiva*): Compulsory social insurance scheme for employees able and available to work who have lost their job. In order to be entitled to the benefits, workers must have contributed to Social Insurance covering unemployment and must have paid the required period of contributions. The benefit amount depends on the average daily contributory base. Duration depends on the total contribution period over the preceding 6 years.

Contributory new self-employed unemployment insurance benefit (*Prestación económica por cese de actividad de trabajadores autónomos*): Unemployment insurance scheme available to self-employed people who have reached a minimum time of contribution to the Social Insurance system and who have ceased their activities due to economic reasons. This “Special protection system for the self-employed” for business interruption entered into force on November 6th 2010¹⁰.

Family and child benefits

Contributory childbirth and childcare benefit (*Prestación por nacimiento y cuidado de menor*): Compulsory Social Insurance scheme payable through employers that covers the following situations: maternity or paternity via birth or adoption and permanent or simple fosterage (according to the Civil Code or to the regions that regulate it), provided that in this last case, that the infant is under 6 years old and the fosterage duration is not below a year. The benefits amount to 100% of the worker's contributory base for maternity and paternity leave. The duration is 16 non-transferable

¹⁰ Ley 32/2010, de 5 de agosto, por la que se establece un sistema específico de protección por cese de actividad de los trabajadores autónomos.

weeks for each progenitor since 2021¹¹. Additional 2 weeks—one for each progenitor— may be added for each extra child in case of multiple births and also in the event of disability of the son or daughter.

Contributory risk during pregnancy benefit (*Prestación por riesgo durante el embarazo*): paid to expectant working mothers who are unable to continue with their normal work activities during their pregnancy. The benefit is payable through employers. In order to be entitled to receive the benefit, the worker must have a minimum period of paid contributions. The benefit amount is 100% of the worker's contributory base.

Contributory risk during lactation benefit (*Prestación por riesgo durante la lactancia*): paid to under-9-month-old children working mothers who are unable to continue with their normal work activities during their lactation.

Sickness benefits

Contributory sickness cash benefit (*Incapacidad temporal*): Compulsory Social Insurance scheme payable through employers that covers workers who are temporarily unable to work due to common or professional illnesses or accidents. Inability for work must be certified by a doctor and the worker must have paid the required contributions. Although not modelled, note that, from June 2023, several situations specific to women, such as incapacitating menstruation, are covered.

1.4. Non-contributory Benefits

Old-age pension

Non-contributory old-age pension (*Prestación no contributiva por jubilación*): Social Insurance scheme for people over 65 years of age who find themselves in a state of need and lack the necessary means for subsistence. This is a family unit income-tested benefit. The amount of the benefit depends on the number of beneficiaries within the family unit. The family unit here consists of any cohabiting individuals who can be married to the beneficiary or be his/her parent, son or daughter or brother or sister. There are some complementary benefits to these pensions for individuals living in rented housing and who do not have a house of their own elsewhere. Furthermore, there are some regional complementary benefits.

Old-age pension complement benefit (*Complemento a mínimos*): Pensions are automatically updated every year, generally at a rate equal to the Consumer Price Index (CPI). However, pension benefits cannot exceed a maximum; neither can they be below a minimum. Subject to an income test, contributory pensions that are below the official minimum pension are increased up to the minimum by this non-contributory benefit.

Old-age assistance Pensions (*Pensiones Asistenciales*): They refer to the pensions prior to the current non-contributory pensions that were extinguished in 1992 when the System of non-

¹¹ The duration of the benefit for fathers changed from 2 weeks to 5, 8, 12 and 16 weeks in 2007, 2019, 2020 and 2021 respectively. *Real Decreto-ley 6/2019, de 1 de marzo, de medidas urgentes para garantía de la igualdad de trato y de oportunidades entre mujeres y hombres en el empleo y la ocupación.*

contributory benefits arose and may continue to be received by some beneficiaries, but which are incompatible with the current non-contributory benefits. .

Survivor's pension

Survivor's pension complement benefit (*Complemento a mínimos*): Like old-age pension complement benefit, it is a supplement for those contributory benefits for survivors that do not reach a minimum.

Disability pension

Non-contributory disability pension (*Prestación no contributiva por invalidez*): Social Insurance scheme for people who suffer from physical or mental disabilities, likely to be of a permanent nature, either physical or mental, whether or not they may be congenital, which nullify or modify their capacity and lack sufficient income. This is a family unit income-tested benefit. The amount of the benefit is fixed but it increases by 50 % when the degree of disability is equal to or higher than 75 % and the assistance of another person is required to carry out the most essential life actions.

Disability pension complement benefit (*Complemento a mínimos*): Like old-age pension complement benefit, it is a supplement for those contributory disability benefits that do not reach a minimum.

Disability assistance pensions (*Pensiones Asistenciales*): pensions prior to the current non-contributory pensions system that were extinguished in 1992 when the system of non-contributory benefits arose and may continue to be received by the beneficiaries, but which are incompatible with the current non-contributory benefits. .

Unemployment benefits

- **Unemployment assistance** (*Subsidio por desempleo*): If the worker is not entitled to receive contributory benefits, a non-contributory benefit is available. There are different types of unemployment assistance depending on the personal situation. In November 2024, a new regulation¹² entered into force (see section 2.5.1.3). Prior to the 2024 reform, unemployment assistance was organized as follows: Unemployment benefit with family responsibilities (*Subsidio por desempleo con cargas familiares*).
- Unemployment benefit for 45 years and over with no family responsibilities (*Subsidio por desempleo mayor de 45 años y sin cargas familiares*).
- Unemployment benefit for 52 years and over (*Subsidio por desempleo mayor de 52 años: Si se tiene 52 años o más*).

¹² Real Decreto-ley 2/2024, de 21 de mayo, por el que se adoptan medidas urgentes para la simplificación y mejora del nivel asistencial de la protección por desempleo, y para completar la transposición de la Directiva (UE) 2019/1158 del Parlamento Europeo y del Consejo, de 20 de junio de 2019, relativa a la conciliación de la vida familiar y la vida profesional de los progenitores y los cuidadores, y por la que se deroga la Directiva 2010/18/UE del Consejo.

- **Extraordinary unemployment allowance** (*Subsidio extraordinario por desempleo*), no longer in place since 2024: For people in long-term unemployment who had finished benefits for unemployment, PREPARA (PAE afterwards ¹³).

From November 2024, the new unemployment assistance is also directed to unemployed workers who are no longer entitled to unemployment contributory benefits, but this assistance can be compatible with a salary if the beneficiary is hired, by virtue of the introduction of an employment support supplement (*complemento de ayuda al empleo*). This supplement allows to perceive the unemployment contributory benefit or the non-contributory benefit and to simultaneously work full-time or partially under certain conditions. In such case, the unemployment assistance progressively decreases until it disappears.

Beneficiaries of the unemployment assistance can either be completely unemployed or part-time workers, and they must not have other income sources, unless they are in charge of their family (if they are under 45 years of age, they must be in charge of their family unit). Beneficiaries are to sign an activity agreement (*acuerdo de actividad*) in order to increase their employability.

Several kinds of unemployment assistance exist, among others:

- Assistance for exhaustion of the contributory benefit (*subsidio de agotamiento de la prestación contributiva*)
- Assistance to unemployed workers with insufficient contributions for the contributory benefit (*subsidio de cotizaciones insuficientes para la prestación contributiva*)
- Assistance to unemployed workers over 52 years of age (*subsidio para personas de más de 52 años*)
- Assistance to returned emigrants (*subsidio de personas emigrantes retornadas*)
- Assistance to victims of gender-based or sexual violence (*subsidio para víctimas de la violencia de género o sexual*).

Active insertion allowance (*Renta Activa de Inserción*): Before its disappearance in 2024, workers not entitled to contributory unemployment benefit nor to unemployment assistance could claim this benefit. The benefit was income-tested, family unit income must be below 75% of the minimum wage. Other requirements were being below 65 and long-term unemployed (over 12 months). The duration of the benefit was of 11 months maximum, and the amount of benefit was 80% of the IPREM. In November 2024, it ceased to exist for the new long-term unemployed. They can access the Minimum Income Scheme or the extraordinary unemployment allowance.

Family and child benefits

¹³ *Programa de Activación para el Empleo (PAE)* was introduced in January 2015 to substitute the former one, *Programa de recualificación personal de las personas que agoten su protección por desempleo, PREPARA*. PAE was a benefit for long-term unemployed people with family responsibilities. Beneficiaries could not be eligible to receive Renta Activa de Inserción. Its duration was of six months and the benefit amount was equal to 80% of the IPREM. This program ended in April 2018.

Non-contributory child benefit (*Prestación por hijo a cargo no contributiva*): Tax financed scheme for families with children under 18 years of age with a 33% or higher disability or any age if over 65% disabled. It is a non-contributory, income-tested benefit (not income-tested in the case of disability). The amount depends on the degree of the disability and the age of the child. From the introduction of the Minimum Income Scheme on 1st July 2020 and its Complemento de Ayuda para la Infancia (CAPI), this benefit no longer includes children under 18 years of age with no disabilities, although those entitled before the said date are still beneficiaries.

Non-contributory means-tested lump-sum child benefits for large families, lone parents and disabled mothers (*Prestaciones por nacimiento o adopción de hijo, en supuestos de familias numerosas, monoparentales y en los casos de madres o padres con discapacidad*). Lump-sum benefit granted for the birth or adoption of a child into large families, lone parents and cases in which one parent has a degree of disability greater than or equal to 65%. It is a means-tested benefit.

Non-contributory multiple birth/adoption benefit (*Prestación económica por parto o adopción múltiples*): This is a non-contributory, single-payment family benefit, which is paid for the birth or adoption of two or more children through multiple birth or multiple adoptions. Nontaxable. The benefit amount depends on the number of children and the minimum wage.

Non-contributory maternity leave benefit (*Subsidio por maternidad de naturaleza no contributiva*): This benefit is aimed at covering the maternity of those women who do not reach the minimum contributions to Social Insurance to receive a contributory maternity leave benefit. The benefit amount is the value of the daily IPREM for that year during 42 days. Benefit duration will be extended by 14 days more if a baby is born in a large family or lone-parent family, in case of multiple births or if a mother or a child are disabled. The benefit is not means-tested.

Regional child benefits: Regional benefits in which each region establishes the eligibility conditions.

Non-contributory care protection benefits (*Prestaciones no contributivas para la dependencia*)

Long-term care protection system (*Sistema para la Autonomía y Atención a la Dependencia, SAAD*): In 2007 a system for the protection of disabilities was created in Spain. The system provides in-kind and monetary benefits for handicapped individuals. Benefits are paid in order to cover the cost of services for providing care within the family and external personal assistance help. The evaluation of the person in need is undertaken by regional governments using the limits defined by the central government.

Benefits of the general care protection law (*Prestaciones de la Ley General de la Dependencia*): benefits of the Ministry of Health for the protection of persons with disabilities who do not contribute to the Social Insurance Scheme. These benefits include the minimum income guarantee allowance, third-person support allowance, transportation and health care allowance, and pharmaceutical benefits.

Social assistance benefits

Regional minimum income schemes (*Rentas Mínimas de Inserción*): these are non-contributory benefits to fight poverty by means of cash benefits. The benefits are income-tested. All regions in

Spain provide them, although eligibility conditions, benefit amounts and duration differ across regions.

Minimum Income Scheme (*Ingreso Mínimo Vital*): nation-wide minimum income benefit, approved in June 2020, to prevent the risk of poverty and social exclusion of people living alone or integrated in a coexistence unit, when they are in a vulnerable situation due to lack of sufficient economic resources to cover their basic needs. In 2024, the law defining this income underwent a modification foreseeing the decentralization of this income for foral regions and introducing this possibility for common-regime regions¹⁴.

Education and housing benefits

Education allowances (*Becas y ayudas para estudiar*): There is a system of education allowances. These benefits are distributed within a group of students that comply with income and academic-performance requisites. This system is nationally managed in general, only País Vasco has its own completely independent system, but there are similar conditions to receive the benefit.

Complementary benefit to non-contributory pensions (*Complemento por alquiler*): for pensioners living in rented housing who do not own other housing elsewhere and are not family-related to the house owner.

Regional housing benefits (*Ayudas al alquiler de vivienda habitual*): Some regions have their own housing benefit systems and help households with the cost of the rent of the house.

1.5. Social contributions

Social Insurance contributions (*Cotizaciones a la Seguridad Social*) are mandatory contributions paid by employees, employers and the self-employed for carrying out a work activity in order to finance pensions and other contributory benefits to protect them from different situations or contingencies such as unemployment, maternity, paternity or incapacity to work, among others. Previous contributions determine eligibility and amount of contributory benefits.

The Social Insurance System has different regimes of contributions. These regimes differ in the way and conditions in which employees, employers and the self-employed contribute and in the insurances which are financed. Currently there are two main types of Social insurance Schemes¹⁵: General Regime and Special Regimes.

General Regime (*Régimen General*): it includes employed workers. It is the most important since a large percentage of workers in Spain contribute to this regime and it also protects a broader scope of situations and contingencies. Within this regime, there are special systems with special rules:

¹⁴ At the end of 2024, in the context of floods (*Depresión Aislada en Niveles Altos (DANA)*) in Southeastern Spain, mainly in the province of Valencia, the Minimum Income Scheme and non-contributory pensions for beneficiaries affected were automatically raised by 15% for three months. These measures are not modelled.

¹⁵ The current Social Security system (*Sistema de la Seguridad Social*) is regulated by *Real Decreto Legislativo 8/2015, de 30 de octubre, por el que se aprueba el texto refundido de la Ley General de la Seguridad Social*. The previous system (*SOVI, Seguro Obligatorio de Vejez e Invalidez*) is still in force for those people who contributed before 1967.

Agrarian employees Special System (*Sistema especial para trabajadores por cuenta ajena agrarios*) or Housemaids Special System (*Sistema Especial para los Empleados de Hogar*), among others.

Special Regimes (*Regímenes especiales*) include workers who carry out activities with special characteristics that make it necessary to establish particular conditions of contribution and application of the benefits of the Social Insurance. The Special Regimes are:

- **Self-employed regime** (*Régimen Especial de Trabajadores Autónomos*): The Social Insurance contribution for self-employed workers has some degree of flexibility: the contributory base is flexible and the workers can choose their particular amount of contribution within a limited range. Since January 2023, contributions are based on net income, instead of on contribution bases chosen by the self-employed among a range of options. There are some special systems within this regime; the following is worth mentioning:
 - Agrarian self-employed special system (*Sistema especial de Trabajadores por Cuenta Propia Agrarios*) included since 2008.
- **Coal-mining special regime** (*Régimen Especial para la Minería del Carbón*): it includes employees of the coal-mining sector.
- **Sea workers special regime** (*Régimen Especial de los Trabajadores del Mar*): it includes employees of the fishing sector.
- **Student's special regime** (*Régimen Especial de los Estudiantes*).
- **Civil servants' special regime**. This regime is divided into three: a main civil servants' regime (*MUFACE*) and special regimes for the military forces (*ISFAS*) and the judiciary (*MUGEJU*). However, it should be noted that public sector employees who have a contractual relationship with the Administration and many regional civil servants contribute to the General Regime.

The contributions of employers, employees and the self-employed finance the following contingencies:

Pension insurance (*contingencias comunes*): paid by employees and employers. It funds state contributory pensions (old-age pension, survivor's benefits such as widows' pension, orphans pension, relatives pension) and different benefits that protect the worker in case of temporary incapacity to work due to common illness or non-professional accident, maternity, paternity, risk during pregnancy and lactation, benefits for family protection, pharmaceutical or health care benefits.

Work-related injury insurance (*contingencias profesionales*): paid by employers. It funds benefits for the protection of workers in case of work-related problems such as work accidents and occupational diseases. Since 2019 the contribution to this insurance is compulsory for the self-employed.

Unemployment insurance (*desempleo*): paid by employees and employers. It funds benefits for the protection of workers in case of unemployment.

Protection due to termination of activity insurance (*cese de actividad*) paid by the self-employed. It funds benefits for the protection of the self-employed in case of termination of their activity. It is compulsory since 2019.

Occupational training insurance (*formación profesional*) is paid by employees and employers for training and professional qualification courses. Since 2019 the contribution to this insurance is compulsory for the self-employed.

Wage Guarantee Fund (*Fondo de Garantía Salarial - FOGASA*) is paid by employers to guarantee workers wages, compensation for redundancies, etc in case of company defaults, failures, etc.

Overtime insurance (*horas extraordinarias*): paid by employees and employers, contributing to fund the previously mentioned contingencies, and additionally, to increase the resources of the Social Insurance System.

Finally, it is worth mentioning that these Social Insurance contributions do not finance the National Health System, which is financed by taxes.

1.6. Taxes

The main taxes that affect household budgets are the following:

Personal Income Tax (*Impuesto sobre la Renta de las Personas Físicas, IRPF*): tax levied on income of resident individuals. Gross income subject to tax can be of several types: labour income, capital income (both financial and real-estate) and self-employment income. The income tax system is an individual system although married couples and lone parents also have an option to file a joint tax return (the decision on which type to choose is taken by the taxpayer). Additionally, the income tax is a dual system where income subject to tax is classified into two groups, which are taxed at different rates: “General Income” —which comprises mainly income and labour returns—, and “Savings Income” —which includes capital income—. Savings Income tax schedule is much less progressive than General Income tax schedule. Personal Income Tax is partially transferred to the regions and therefore it is not homogeneous throughout the national territory, with differences in personal and familiar allowances, tax schedules and tax credits according to the legislation in the regions.

Value Added Tax (*Impuesto sobre el valor añadido, IVA*): tax on goods and services in mainland Spain and the Illes Balears, thus excluding Canarias (there is a different value added tax within its territory, IGIC) and the Autonomous Cities (*Ciudad de Ceuta* and *Ciudad de Melilla*), as well as the import of goods into any of these territories. Also, the two foral regions (Comunidad Foral de Navarra and País Vasco), as explained in section 1.1, for historical reasons collect VAT and they contribute to the state revenues with an amount equivalent to expenses of the Central Administration in their territories. There are basically three different rates: 4% for goods satisfying basic necessities; 10% for food, dwellings, transport, tourism, etc.; and the 21% standard rate for other goods and services. Rates of 5% and 0% were applied to certain products to combat inflation and the COVID crisis and the rise in prices following Ukraine’s invasion in 2021-2024.

— **Excise duties** (*Impuestos especiales, IE*): These are charged on alcohol, tobacco, fuel, gas, electrical energy and coal. Excise duties are detailed in Law 38/1992 of 28 December 1992 and they comprise: (common) excises on manufacture (*Impuestos Especiales de Fabricación, IEF*) and an excise on certain means of transport (*Impuesto Especial sobre determinados Medios de Transporte, IEMT*).

- **IEF**s are levied at lump-sum rates. In general, on a single stage with respect to the manufacture in, and importation to, Spain of alcoholic drinks and products; hydrocarbons and manufactured tobacco products (combined for cigarettes with ad valorem rates).
- **IEMT** is levied at ad valorem rates (in addition to VAT) on a single stage with respect to the first final registration in Spain of (new or used) means of transport, domestically manufactured or imported.

Net Wealth Tax (*Impuesto sobre el patrimonio, IP*): this tax is completely transferred to the regions, so there are differences in the regulation along the country, in fact, some regions have very high tax credits to the final liability (e.g. Comunidad de Madrid provides a 100% tax credit).. This tax is levied on the assets held worldwide by resident individuals and charged through a progressive tax schedule. The taxable base (net wealth) is calculated by aggregating all assets and deducting the appropriate liabilities. The aggregate burden of income tax and net wealth tax due by a resident taxpayer cannot exceed 60% of their total taxable income for income tax purposes. Net wealth below a certain limit is exempt; this limit is larger if the asset is main residence.

A **Temporary Solidarity Tax on Large Fortunes** (*Impuesto Temporal de Solidaridad de las Grandes Fortunas*) entered into force in 2023¹⁶. This tax is configured as a complementary tax to Wealth Tax, but it has not been transferred to the regions. Its structure is similar to that of the Wealth Tax, being the fundamental difference that this tax is only levied when net assets exceed 3 million euros. The amount paid in the Net Wealth Tax is deductible, so double taxation is avoided, as taxpayers of the temporary tax are only levied on the part of their assets that has not been taxed by their regions. In December 2023, its application was extended until wealth taxation revision taxes place within the context of the regional financing system reform¹⁷.

Real Estate Tax (*Impuesto sobre bienes inmuebles, IBI*): this tax is levied on the possession of property in the local territory on an annual basis by local authorities. The taxable base is the cadastral value, which is usually well below properties' market price even if its value is usually adjusted every 8 years. The minimum and supplementary tax rate is 0.4 % for urban property and 0.3 % for rural property, and the maximum rate is 1.10 % for urban property and 0.90 % for rural property¹⁸.

Vehicles Tax (*Impuesto sobre vehículos de tracción mecánica, IVTM*): this tax on the possession of vehicles is levied on an annual basis by local authorities.

Additionally, there are other minor taxes that provide a relatively small share of revenue and do not affect household budget considerably or are not collected on a regular basis, for example:

Urban Real Estate Value Tax (*Impuesto sobre el incremento del valor de los terrenos de naturaleza urbana, IVTNU*): this tax is levied by local authorities on the increase in the value of

¹⁶ Ley 38/2022, de 27 de diciembre, para el establecimiento de gravámenes temporales energético y de entidades de crédito y establecimientos financieros de crédito y por la que se crea el impuesto temporal de solidaridad de las grandes fortunas, y se modifican determinadas normas tributarias.

¹⁷ Disposición adicional quinta.2. of Real Decreto-ley 8/2023, de 27 de diciembre, por el que se adoptan medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo, así como para paliar los efectos de la sequía.

¹⁸ Real Decreto Legislativo 2/2004, de 5 de marzo, por el que se aprueba el texto refundido de la Ley Reguladora de las Haciendas Locales, article 72.1.

urban properties in the local territory when transaction of the property is made between individuals or firms.

Inheritance Tax (*Impuesto sobre sucesiones y donaciones, ISD*): this tax is completely transferred to the regions so there are important differences in the regulation of this tax between the regions. It is levied on property passing to individuals by way of gift or on death. It is charged using a progressive tax schedule. There are many exemptions and tax credits related to the type of relation the individual has/had with the previous owner and the nature of the donation or bequest.

Property Transaction Tax (*Impuesto sobre Transmisiones Patrimoniales y Actos Jurídicos Documentados, ITPAJD*): this tax is levied by regional authorities (*Comunidades Autónomas*) on the transaction of properties between individuals or firms and also on any juridical act. There are differences in the regulation on this tax among the regions.

1.7. Extraordinary measures

Although applicable during the COVID and the Ukraine invasion crisis, the following measures to decrease the impact of the recent pandemic and inflationary shocks need to be mentioned:

1.7.1. COVID-19 related tax and benefit measures

To respond to the consequences arising from the COVID-19 pandemic in 2020 – 2022, a series of policies were approved in the social and economic sphere aimed at reinforcing the protection of workers, families and vulnerable groups and supporting continuity in productive activity and maintaining employment. Among these measures, we can mention the following¹⁹:

1. **Policies aimed at the protection of workers and economic activity**, such as an extraordinary benefit for cessation of activity for the self-employed, a temporary extraordinary subsidy for domestic employees, an extraordinary subsidy for temporary contracts in 2020, an extraordinary subsidy for temporary contracts in 2020, the extension of the unemployment subsidy for discontinuous permanent workers whose contracts were suspended due to the impact of COVID-19, and measures to increase liquidity (e.g. guarantees by the Official Credit Institute (ICO)).

¹⁹ Real Decreto-ley 8/2020, de 17 de marzo, de medidas urgentes extraordinarias para hacer frente al impacto económico y social del COVID-19.

Real Decreto-ley 9/2020, de 27 de marzo, por el que se adoptan medidas complementarias, en el ámbito laboral, para paliar los efectos derivados de la COVID-19.

Real Decreto-ley 11/2020, de 31 de marzo, por el que se adoptan medidas urgentes complementarias en el ámbito social y económico para hacer frente al COVID-19.

Real Decreto-ley 12/2020, de 31 de marzo, de medidas urgentes en materia de protección y asistencia a las víctimas de violencia de género.

Real Decreto-ley 13/2020, de 7 de abril, por el que se adoptan determinadas medidas urgentes en materia de empleo agrario.

Real Decreto-ley 15/2020, de 21 de abril, de medidas urgentes complementarias para apoyar la economía y el empleo.

Real Decreto-ley 19/2020, de 26 de mayo, por el que se adoptan medidas complementarias en materia agraria, científica, económica, de empleo y Seguridad Social y tributarias para paliar los efectos de la COVID-19.

In addition, flexibility in the conditions for temporary suspension of contracts and temporary reduction of working hours was introduced (ERTEs COVID). In 2022, the *Mecanismo RED*²⁰ was created to allow for this flexibility when needed for sectoral or for macroeconomic reasons, after authorisation by the Council of Ministers.

2. **Tax-related measures:** suspension and extension of deadlines, exemption in the Property Transaction Tax for mortgage operations, reduction of tax rates in VAT (0% to deliveries, imports and intra-community acquisitions of goods necessary to combat the effects COVID-19 whose recipients were public law entities, clinics or hospital centers, or private social entities, VAT of 4% on books, newspapers and digital magazines).

1.7.2. Inflation compensation policies to respond to the economic and social consequences of the war in Ukraine

This section details the inflation compensation policies to respond to the economic and social consequences of the war in Ukraine. These measures were put in place during 2022, and extended over 2023 and part of 2024. Among these measures are the following ²¹:

1. **Policies aimed at the protection of the economic activity:** reduction in the electricity bill, benefits for gas-intensive industry, measures to streamline procedures related to renewable energy projects, bonus of the final price of certain energy products, and a delay in payment of social contributions for certain economic sectors.

²⁰ Real Decreto-ley 32/2021, de 28 de diciembre, de medidas urgentes para la reforma laboral, la garantía de la estabilidad en el empleo y la transformación del mercado de trabajo.

²¹ Real Decreto-Ley 6/2022, de 29 de marzo, por el que se adoptan medidas urgentes en el marco del Plan Nacional de respuesta a las consecuencias económicas y sociales de la guerra de Ucrania; Real Decreto-ley 11/2022, de 25 de junio, por el que se adoptan y se prorrogan determinadas medidas para responder a las consecuencias económicas y sociales de la guerra en Ucrania, para hacer frente a situaciones de vulnerabilidad social y económica, y para la recuperación económica y social de la isla de La Palma; Real Decreto-Ley 14/2022, de 1 de agosto, de medidas de sostenibilidad económica en el ámbito del transporte, en materia de becas y ayudas al estudio, así como de medidas de ahorro, eficiencia energética y de reducción de la dependencia energética del gas natural; Real Decreto-Ley 17/2022, de 20 de septiembre, por el que se adoptan medidas urgentes en el ámbito de la energía, en la aplicación del régimen retributivo a las instalaciones de cogeneración y se reduce temporalmente el tipo del Impuesto sobre el Valor Añadido aplicable a las entregas, importaciones y adquisiciones intracomunitarias de determinados combustibles; Real Decreto-ley 20/2022, de 27 de diciembre, de medidas de respuesta a las consecuencias económicas y sociales de la Guerra de Ucrania y de apoyo a la reconstrucción de la isla de La Palma y a otras situaciones de vulnerabilidad; Real Decreto-ley 4/2023, de 11 de mayo, por el que se adoptan medidas urgentes en materia agraria y de aguas en respuesta a la sequía y al agravamiento de las condiciones del sector primario derivado del conflicto bélico en Ucrania y de las condiciones climatológicas, así como de promoción del uso del transporte público colectivo terrestre por parte de los jóvenes y prevención de riesgos laborales en episodios de elevadas temperaturas.

2. Social policies aimed at protecting vulnerable families and groups: temporary increase of 15% in the national Minimum Income Scheme ²² during part of 2022 and 2023, and increase of 6.9% in 2024²³. Temporary increase of 15% in non-contributory pensions²⁴ during part of 2022 and 2023, increase of 6.9% in 2024²⁵, one-off benefit of 200 euros for families with low income and wealth during 2022 and 2023 (not extended to 2024) and other policies such as limitations to the update of rental price, electricity social bonus, direct aids for public-transport use and urgent measures regarding protection and assistance to victims of gender violence.

Tax-related policies: The following measures passed in 2021 and 2022 remained in place during 2023 and part of or all 2024: VAT tax rate reduction on certain energy supplies (electricity: 10% during 2024²⁶; natural gas: 10% until the end of March 2024, and back to 21% from April 1st), imports and acquisitions of foodstuffs (0% rate for basic products until September 30th, and then 2% until the end of the year; seeds oil and pasta: 5% until the same date, when it rose to 7,5%; olive oil: 5% until June 2024, and to 0% from July to September, 2% from then on) ²⁷; temporary reduction in Special Energy Tax on Electricity (2,5% during the first quarter of 2024 and 3,8% during the second)²⁸. On Personal Income Tax: prolongation of the right to perceive the maternity leave benefit even if one of the parents is entitled to the additional monthly child allowance for each minor in the cohabitation unit (*complemento de ayuda para la infancia*) ²⁹ and a reduction in indexes for objective estimation in the special agriculture regime³⁰.

²² Extension to 2023, established in article 77 of *Real Decreto-ley 20/2022*.

²³ *Real Decreto-ley 8/2023, de 27 de diciembre, por el que se adoptan medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo, así como para paliar los efectos de la sequía.*

²⁴ In force in 2023, according to article 75 of *Real Decreto-ley 20/2022*.

²⁵ *Real Decreto-ley 8/2023, de 27 de diciembre, por el que se adoptan medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo, así como para paliar los efectos de la sequía.*

²⁶ Except for March to June, with a 21% rate because electricity prices in the wholesale market were below the 45 €/MWh threshold established by article 21 of *Real Decreto-ley 8/2023*. A 10% rate throughout the whole year is modeled in Euromod.

²⁷ Article 72 of *Real Decreto-ley 20/2022* and article 171 of *Real Decreto-ley 5/2023* and *Real Decreto-ley 8/2023, de 27 de diciembre, por el que se adoptan medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo, así como para paliar los efectos de la sequía*. Article 2 of *Real Decreto-ley 4/2024, de 26 de junio, por el que se prorrogan determinadas medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo y se adoptan medidas urgentes en materia fiscal, energética y social*.

²⁸ Article 2 of *Real Decreto-ley 20/2022* and *Real Decreto-ley 8/2023, de 27 de diciembre, por el que se adoptan medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo, así como para paliar los efectos de la sequía*.

²⁹ Article 73 of *Real Decreto-ley 20/2022*.

³⁰ Article 95 of *Real Decreto-ley 20/2022*.

2. Simulation of taxes, social insurance contributions and benefits in EUROMOD

2.1. Scope of simulation

Not all the taxes and benefits mentioned above are included in EUROMOD. The following situations can take place:

- The tax-benefit instrument is excluded from the model as it is neither included in the micro-data nor simulated.
- The tax-benefit instrument is included in the micro-data but not simulated (the tax or benefit amount is known for every sampling unit but it is not possible to simulate any change in the tax-benefit rules).
- The tax-benefit instrument is simulated or fully simulated. The most relevant rules of the tax or benefit are simulated so it is possible to modify them in order to analyze the effects.

Table 2.1 shows the treatment of pensions and benefits in EUROMOD. The main problems in the simulation are the lack of information on contribution history, eligibility conditions and other specific information such as disability degree or educational level, among others.

In relation to pensions, only the non-contributory old-age pension (poanc_es), the complements to old-age (poacm_es) and widow-widowers' pension (psuwddcm_es) are partially simulated (the simulation is restricted to the current benefit recipients as self-reported in SILC).

Regarding benefits, full simulation is possible in case of non-contributory paternity leave and child benefits (except for children with disability, which is partially simulated) and social assistance benefits, such as national and regional income schemes (although for the latter a calibration procedure is applied to correct by the low coverage of these schemes in practice³¹). Contributory paternity leave benefits and unemployment benefits are also simulated, although for the latter the simulations are restricted to the current benefit recipients (as self-reported in SILC) due to lack of information on the contribution history.

The remaining benefits and pensions are not simulated but are included in the micro-data as reported in SILC.

Table 2.1 Simulation of pensions and benefits in EUROMOD [2022-2025].

Benefit	Variable	2022	2023	2024	2025	Comments
<i>Sickness benefits</i>						
Sickness benefits	bhl00					Lack of data on contribution history and sickness
Other sickness benefits	bhl0t					Minor benefits

³¹ More detailed information on the calibration procedure can be consulted in section 2.5.5.

Benefit	Variable	2022	2023	2024	2025	Comments
Education benefits						
Education allowances	bed	I	I	I	I	Lack of data on grades
Old-age benefits						
Old-age pension	poa00	I	I	I	I	Lack of data on contribution history
NC old-age pension	poanc_s	PS	PS	PS	PS	Eligibility taken from data due to (apparently) non-take-up
NC complement to old-age pensions	poacm_s	PS	PS	PS	PS	Eligibility taken from data
Disability benefits						
Disability pension	pdi00	I	I	I	I	Lack of data on contribution history
NC disability benefit	pdinc	I	I	I	I	Lack of data on disability degree
NC complement to disability benefit	pdicm	I	I	I	I	Lack of data on disability degree
Survivor's benefits						
Widow's pension	psuwd00	I	I	I	I	Lack of data on contribution history
Orphan's pension	psuwd00	I	I	I	I	Lack of data on contribution history
Relative's pension	psuwd00	I	I	I	I	Lack of data on contribution history
NC complement to widow's pension	psuw dcm_s	PS	PS	PS	PS	Eligibility taken from data due to (apparently) non-take-up
NC orphan's pension	psuot	I	I	I	I	Lack of data on orphanhood
NC widow's pension	psuot	I	I	I	I	Lack of data on widowhood
Unemployment benefits						
Unemployment insurance	bunct_s	PS	PS	PS	PS	Eligibility taken from data due to lack of data on contribution history and unemployment spell
Unemployment assistance	bunnc_s	PS	PS	PS	PS	Eligibility taken from data due to lack of data on contribution history and unemployment spell
Active Insertion Allowance	bunnc_s	PS	PS	PS	PS	Lack of data on contribution history and unemployment spell. EU-SILC data does not distinguish this benefit from other unemployment benefits. Since the benefit rules are similar, the simulation assumes that recipients receive unemployment assistance instead
Temporary unemployment protection programs (<i>PRODI, PREPARA, PAE & Subsidio Extraordinario por Desempleo</i>)	bunnc_s	PS	PS	PS	PS	Lack of data on contribution history and unemployment spell. EU-SILC data does not distinguish these benefits from other unemployment benefits. Since the benefit rules are similar, the simulation assumes that recipients receive unemployment assistance instead

Benefit	Variable	2022	2023	2024	2025	Comments
Self-employed unemployment insurance benefit	bunct02_s	(S)	(S)	(S)	(S)	Switched off in the baseline. Can be used for simulating unemployment benefits for new unemployed
Other unemployment benefits	bunot	I	I	I	I	Minor benefits
Monetary compensation schemes						
Wage compensation scheme (ERTE)	bwkmcee_s	(S)	-	-	-	This benefit can only produce results if the model is run in combination with the LMA ¹ add-on
Self-employment income compensation scheme	bwkmcse_s	(S)	-	-	-	This benefit can only produce results if the model is run in combination with the LMA add-on
Family and child benefits						
Contributory maternity benefit	bma/bmact_s	I/S	I/S	I/S	I/S	Lack of data on contribution history and maternity. Its simulation can be switched on by activating PBE extension. The default for the baseline is off, i.e. the non-simulated component is being used (bma)
Contributory paternity benefit	bma/bpact_s	I/S	I/S	I/S	I/S	Lack of data on contribution history and paternity. Its simulation can be switched on by activating PBE extension. The default for the baseline is off, i.e. the non-simulated component is being used (bma)
NC child benefit – not disabled	bch00_s	S	S	S	S	
NC child benefit – disabled	bchdi_s	PS	PS	PS	PS	There is no information on disability status for individuals below 16 years of age in the data
NC multiple birth/adoption benefit	bchbaucna02_s	S	S	S	S	
Means-tested birth/adoption benefit for large families, lone parents, disabled mothers	bchbamtna_s	S	S	S	S	
Regional child benefits	bch*rg_s	S	S	S	S	
NC maternity leave benefit	bma/bmanc_s	I/S	I/S	I/S	I/S	Its simulation can be switched on by using PBE extension ² . The default for the baseline is off, i.e. the non-simulated component is being used (bma)
Other child benefits (including risk during pregnancy and lactation benefit)	bchot	I	I	I	I	Lack of data on contribution history and maternity
Social assistance						

Benefit	Variable	2022	2023	2024	2025	Comments
Regional minimum income schemes	bsarg_s	S	S	S	S	Main rules are simulated, although final results are calibrated to correct by the low coverage of these schemes in practice
Nation-wide minimum income	bsa00_s	S	S	S	S	
Housing benefits						
Housing benefits	bho	I	I	I	I	Data availability not sufficient to simulate all the different regional rules
Other						
Inflation compensation policies	bwrls_s	S	S	-	-	Temporary emergency benefits to respond to the economic and social consequences of the war in Ukraine: One-off benefit of 200 euro for families with low income and wealth.
Inflation compensation policies		S	S	-	-	Temporary emergency benefits to respond to the economic and social consequences of the war in Ukraine: Increase 15% non-contributory pensions and Minimum Income Scheme
Annual refund to maintain the purchasing power of pensions and benefits	poancec_s, bchdiec_s, poaecm_s, psuwdeccm_s	S	-	-	-	This annual refund affects non-contributory old age pensions, the non-contributory child benefit for children aged 18 or over with a degree of disability of 65% or more, old-age complement, and widow-widower's pension complement

Notes:

¹ For more details, see section 2.4

² For more details see section 2.4

"-": policy did not exist in that year; "E": *excluded* from the model as it is neither included in the micro-data nor simulated; "I": *included* in the micro-data but not simulated; "PS" *partially simulated* as some of its relevant rules are not simulated; "S" *simulated* although some minor or very specific rules may not be simulated.

Source: Own elaboration.

Table 2.2 shows the treatment of taxes and Social Insurance contributions in EUROMOD.

- Social contributions of the most important Social Insurance Regimes are simulated: the General Regime and the Self-employed Regime. The specific rules for the agrarian system are also simulated but the remaining systems (Housemaid, Coal-mining, sea-workers, etc) are not simulated due to lack of data to distinguish these collectives (we assume these groups contribute through the General Regime). Additionally, we have to make some assumptions because it is not possible to simulate all the characteristics of the Social Contributions in these regimes and all the insurances covered due to lack of information on type of contract (permanent or temporary contract), periods of activity or group of contribution.

- Regarding taxes that affect household income, only direct taxes are simulated, concretely the Personal Income Tax is simulated. The Wealth Tax is included in the micro-data as reported in SILC. The remaining taxes are not included in the micro-data or simulated.
- Personal Income Tax is almost fully simulated although the specificities of the País Vasco and Comunidad Foral de Navarra tax rules are not accounted for. The simulation of the Personal Income Tax rules for both regions follows the ones of the common fiscal territory (i.e. all other Spanish regions).

Table 2.2 Simulation of taxes and social contributions in EUROMOD [2022-2025].

Tax/SIC	Variable	2022	2023	2024	2025	Comments
Employer's social insurance contributions	tscer_s					The special rules for the agrarian system are simulated. Other special regimes (e.g. civil servants) are ignored (i.e. rules of the general regime are assumed)
Pension insurance contributions (<i>contingencias comunes</i>)	tscerpi_s	S	S	S	S	
Unemployment insurance contributions (<i>desempleo</i>)	tscerui_s	S	S	S	S	
Other insurance contributions (<i>fondo de garantía salarial y formación profesional</i>)	tscerot_s	S	S	S	S	
Employee's social insurance contributions	tscee_s					The special rules for the agrarian system are simulated. Other special regimes (e.g. civil servants) are ignored (i.e. rules of the general regime are assumed)
Pension insurance contributions (<i>contingencias comunes</i>)	tsceepi_s	S	S	S	S	
Unemployment insurance contributions (<i>desempleo</i>)	tsceei_s	S	S	S	S	
Other insurance contributions (<i>formación profesional</i>)	tsceot_s	S	S	S	S	
Self-employed social insurance contributions	tscse_s					The special rules for the agrarian system are simulated. Other special regimes are ignored.
Pension insurance contributions (<i>contingencias comunes</i>)	tscsepi_s	S	S	S	S	

Tax/SIC	Variable	2022	2023	2024	2025	Comments
Work-related injuries insurance contributions (<i>contingencias profesionales</i>)	tscsehl_s	S	S	S	S	
Other insurance contributions (<i>formación y cese de actividad</i>)	tscseot_s	S	S	S	S	This contribution became compulsory in 2019. Before, self-employed contributed on a voluntary basis
Credited social insurance contributions (paid by the social insurance institution)						
Insurance contribution during unemployment	tscuner_s	S	S	S	S	
Pension insurance contributions during wage compensation	tsccterpi_s	S	-	-	-	Simulated only if wage compensation is switched on
Unemployment insurance contributions during wage compensation	tsccterui_s	S	-	-	-	Simulated only if wage compensation is switched on
Other insurance contributions during wage compensation	tsccterot_s	S	-	-	-	Simulated only if wage compensation is switched on
Pension insurance contributions during wage compensation	tscctsepi_s	S	-	-	-	Simulated only if wage compensation is switched on
Work-related injuries insurance contributions during wage compensation	tscctsehl_s	-	-	-	-	Simulated only if wage compensation is switched on
Other insurance contributions during wage compensation	tscctseot_s	-	-	-	-	Simulated only if wage compensation is switched on
Other social insurance contributions (paid by benefit recipients)						
Insurance contribution during unemployment	tscunee_s	S	S	S	S	
Pension insurance contributions during wage compensation	tscbeepi_s	S	-	-	-	Simulated only if wage compensation is switched on

Tax/SIC	Variable	2022	2023	2024	2025	Comments
Unemployment insurance contributions during wage compensation	tscbeeeui_s	S	-	-	-	Simulated only if wage compensation is switched on
Other insurance contributions during wage compensation	tscbeeeot_s	S	-	-	-	Simulated only if wage compensation is switched on
Student's special regime		E	E	E	E	No information available. Minor regime
Direct Taxes						
Personal income tax	tin_s	S	S	S	S	Some exemptions, small allowances and special treatment of some capital and self-employment incomes are ignored. Income rules of País Vasco and Comunidad Foral de Navarra are assumed to be the same as in the other regions
Wealth tax	twl	I	I	I	I	Lack of data on wealth impedes simulation
Property tax	tpr	E	E	E	E	
Inheritance tax		E	E	E	E	
Other direct taxes		E	E	E	E	
Indirect Taxes						
Value added tax		S	S	S	S	Calculations based on extended input files with consumption expenditures from HBS
Excise taxes		S	S	S	S	Calculations based on extended input files with consumption expenditures from HBS
Other indirect taxes		E	E	E	E	

Notes: “-” policy did not exist in that year; “E” policy is excluded from the model’s scope as it is neither included in the microdata nor simulated by EUROMOD; “I”: included in the micro-data but not simulated; “PS” policy is partially simulated as some of its relevant rules are not simulated; “S” policy is simulated although some minor or very specific rules may not be simulated.

Source: Own elaboration.

2.1.1. Partially simulated tax-benefit components

The unemployment insurance (bunct_s) and unemployment assistance (bunnc_s) benefits are partially simulated because there is no data on the contribution history of unemployed individuals. Thus, the simulation is restricted only to those individuals who have reported the unemployment benefit in the micro-data. The non-contributory old-age pension (poanc_s), the old-age pension complement (poacm_s) and the widow/er pension complement (psuwdc_m_s) are also partially simulated in the baseline, because it has been estimated that around 40 percent of the eligible individuals do not claim these non-contributory benefits (Matsaganis et al., 2010). The simulation is then restricted only to the actual benefit recipients.

2.2. Main policy changes

The table below shows the main policy changes in 2020-2023. Following there is a detailed description of these changes.

Table 2.2.1 Main policy changes.

Policies	2022 → 2023	2023 → 2024	2024 → 2025
Benefits	- Continuation and extension of the inflation compensation policies to respond to the economic and social consequences of the war in Ukraine: rise of 15% in Minimum Income Scheme and in non-contributory old age pension and temporary emergency lump-sum benefit of €200	- Revalorization of contributory pensions by 3.8% according to the CPI, non-contributory pensions and the Minimum Income Scheme by 6.9%	- Revalorization of contributory pensions by 2.8% (following the CPI), non-contributory pensions and the Minimum Income Scheme by 9%
Social Insurance Contributions	- Major changes in Social Insurance Contributions: the minimum and maximum contributory bases for the Self-Employed Special Regime and the Intergenerational Equity Mechanism	- Inclusion of training or external academic placements for university or vocational training students in the Social Insurance System, hence paying Social Insurance contributions - The maximum contribution bases are updated in line with pensions revaluation, plus an additional 1.2 percentage point increase is applied to enhance Social Insurance resources - Increase in the Intergenerational Equity Mechanism from 0.6% to 0.7%	- Increase in the Intergenerational Equity Mechanism from 0.7% to 0.8% - Update of minimum and maximum contributory bases and rates: employee, employer and self-employed - Inclusion of Additional Solidarity Contribution for higher wages
Direct taxes	- New State Savings Tax Schedule - Rise in tax deduction on employment income - Increase of the limit excluding the obligation to file the Income Tax return to 15,000 euros - Limits on tax allowance for private pension expenditures - The maternity tax credit is extended in 2023 - Creation of Temporary Solidarity Tax on Large Fortunes	- Extension of the Temporary Solidarity Tax on Large Fortunes (indefinitely, until the taxation of assets is revised in the context of the reform of the regional financing system) - Increase, in the Personal Income Tax, of the minimum amount for withholdings from 15,000 euros to 15,876 euros - Change in the work related allowances - Canarias introduce their own regional individual tax credit.	- The Personal Income Tax rate on savings income for individuals earning over €300,000 increased from 28% to 30% - New deduction for work income below 18,276 euro per year, provided that no other source of income greater than 6,500 euro exists. The deduction amounts to 340 euro for tax payers with a yearly income equal to or below 16,576 euro, and to a lower quantity for the remaining entitled tax payers

Policies	2022 → 2023	2023 → 2024	2024 → 2025
Consumption taxes	- Reduction of VAT on foodstuffs from 10% to 5% for pasta and oils and from 4% to 0% for basic food products (cereals, milk, eggs, etc.) - The VAT rate on electricity and natural gas contracts is maintained at 5% - VAT on menstrual hygiene products is reduced to 4%	- Excise tax on electricity is progressively increased back to its original value (2.5% from 01/01/2024 to 31/03/2024; 3.8% from 01/04/2024 to 30/06/2024; 5.11% from 01/07/2024) - Changes in the inflation compensation policies - Extension of 0% VAT rate for basic foodstuff until 30/9/2024, when it rose to 2%; changes from 5% to 10% in the reduced tax rate of some energy products (however, the reduced tax rate was not applicable from March to June 2024 due to the reduction in the price of energy at source) and increase in the reduced tax rate of the excise on electricity - VAT on natural gas: 10% from 01/03/2024 until 31/03/2024; 21% from 01/04/2024	- In 2025, all the special measures implemented to combat inflation were phased out, and products reverted to their standard VAT rates - Permanent change in the VAT rate on olive oil to 4%
Other	Rise in minimum wage	Rise in minimum wage	Rise in minimum wage

Source: Own elaboration based on legal sources.

2.2.1. Main policy changes between 2022-2023

- Continuation and extension of inflation compensation policies to respond to the economic and social consequences of the war in Ukraine passed in 2022: rise of 15% in Minimum Income Scheme and in non-contributory old age pension; VAT rate temporary reductions (5% on some electrical energy supplies and on natural gas, 0% on acquisitions of foodstuffs); temporary reduction in Special Energy Tax on Electricity; on Personal Income Tax: prolongation of the right to perceive the maternity leave benefit and a reduction in indexes for objective estimation in the special agriculture regime; temporary increase of 15% in the Minimum Income Scheme, temporary increase of 15% in non-contributory pensions, one-off benefit of 200 euros for families with low income and wealth; direct aid for public-transport use and to the energy sector.
- Changes in Social Insurance Contributions.

- New State Savings Tax Schedule.
- Rise in tax deduction on employment income.
- Increase of the limit excluding the obligation to file the Income Tax return to 15,000 euros.
- Limits on tax allowance for private pension expenditures.
- The maternity tax credit was extended in 2023.
- Rise in minimum wage.
- Creation of a Temporary Solidarity Tax on Large Fortunes.
- Reduction of VAT on foodstuffs from 10% to 5% for pasta and oils and from 4% to 0% for basic food products (cereals, milk, eggs, etc.).
- The VAT rate on electricity and natural gas contracts is maintained at 5%.
- VAT on menstrual hygiene products was reduced to 4%.
- The 0.5% reduction in the excise on electricity was maintained.

2.2.2. Main policy changes between 2023-2024

- In 2024, inflation compensation policies remained in place, including the public transport subsidies and the VAT reduction on basic foodstuff (0% until September, in October, it rose to 2%; in the case of seeds olives and pasta: 5% until September, and 7,5% from then on; in that of olive oil: 5% until June, 0% from July to September and 2% from October). The reduced VAT for certain energy products was increased from 5% in 2023 to 10% in 2024. However, from March to June, a rate of 21% applied due to the reduction of wholesale energy prices below the limit set in the Royal Decree. Natural VAT gas rate rose to 10% from January to March and it increased to 21% from April. Furthermore, the excise tax on electricity increased from 0.5% in 2023 to 2.5% and to 3.8% in the first two quarters of 2024, respectively. After that, it went back to its general 5.11% rate.
- Extension of the electricity social voucher until 30/6/2024. This implies discounts of the 65% for vulnerable consumers and 80% for severely vulnerable consumers on the electricity bill.
- Increase in the Minimum wage from 15,120 euros per year to 15,876 euros in 2024.
- Revalorization of the contributory pension by 3.8% according to the CPI, non-contributory pensions and the Minimum Income Scheme by 6.9%.
- Extension of the Temporary Solidarity Tax on Large Fortunes.
- The contribution corresponding to the Intergenerational Equity Mechanism is set in 2024 at 0.70% - 0.58% payable by the company and 0.12% payable by the employee. In the previous year it was set at 0.6%, with 0.5% to be covered by the employer and 0.1% by the employee.
- Starting from January 1st, 2024, all students engaged in training placements or external academic placements, whether paid or unpaid, as part of their university or vocational training programs, are required to make Social Insurance Contributions.

- In Personal Income Tax, increase in the minimum amount for withholdings from 15,000 euros to 15,876 euros, which will allow those who receive the minimum salary in 2024 not to have income tax withholdings in their payslips. New regional individual tax credit in Canarias.

2.2.3. Main policy changes between 2024-2025

- Contributory pensions increased by 2.8% (following the CPI), and non-contributory pensions and the Minimum Income Scheme, by 9%.
- Regarding Social Insurance contributions, minimum and maximum contributory bases were updated, and the Intergenerational Equity Mechanism was increased from 0.7% to 0.8% (of which 0.67% is to be paid by the employer and 0.13% by the worker). From 1 January 2025, an additional solidarity contribution will be established, applicable to income exceeding certain thresholds, with progressive rates and shared between the employer and the employee.
- The Personal Income Tax rate on savings was increased from 28% to 30% for tax payers with income above 300,000 euro.
- A new base deduction for tax payers with a work-related income below 18,276 euro. The deduction amounts to 340 when income is below 16,576 euro and to a smaller amount for the remaining entitled taxpayers.
- After progressive phasing out throughout 2024, inflation compensation policies ceased, and most VAT rates went back to rates prior to the Ukrainian invasion, with the exception of olive oil, which rose only to 4%.
- The Minimum Wage rose by 4.4%, to 1,184 euros per month in 14 payments.

2.3. Order of simulation and interdependence

The following table shows the order in which the main elements of the Spanish tax-benefit system in 2021-2024 are simulated.

Employee, self-employed and employer Social Insurance contributions are simulated first as the contribution bases are needed for subsequent simulations, such as parental leave benefits or wage compensation schemes. Besides, Social Insurance contributions are deducted from the Personal Income Tax base. Wage compensation schemes, parental leave benefits³², and unemployment benefits are simulated next, as credited Social Insurance contributions depend on their simulation and some of the above-mentioned benefits are taxable. Afterwards, the model simulates non-contributory old-age pensions, pension complements, and child benefits at the national level, whose income tests include the previous simulated benefits. Finally, we simulate the Personal Income Tax. Individual and joint taxation are simulated, and the most favourable option for the individual is chosen. The last policies to be simulated in the spine are the regional child benefits and social assistance

³² The simulations of wage compensation schemes and parental leave benefits are switched off in the baseline. In particular, the wage compensation schemes can only produce results if the model is run in combination with the LMA add-on. For more information about the modelling of labour market transitions, please consult the "Simulating labour market transitions in EUROMOD" document. See section 2.4 and the corresponding policies' descriptions for more information.

benefits, including among the latter the nation-wide minimum income and the regional minimum income schemes.

Table 2.3 EUROMOD spine: order of simulation.

Policy	2021	2022	2023	2024	Description
setdefault_es	on	on	on	on	DEF: Set default values
uprate_es	on	on	on	on	DEF: UPRATING FACTORS
uprate_bands_es	on	on	on	on	DEF: Uprating in bands
ilsdef_es	on	on	on	on	DEF: INCOME CONCEPTS
ilsUDBDef_es	on	on	on	on	DEF: STANDARD UDB INCOME CONCEPTS
ildef_es	on	on	on	on	DEF: INCOME CONCEPTS
ConstDef_es	on	on	on	on	DEF: CONSTANTS
random_es	on	on	on	on	DEF: Random assignments for bsarg_s & Covid-19
TransLMA_es	off	off	off	off	DEF: Modelling labour market transitions (DO NOT SWITCH ON; ONLY WORKS WITH THE LMA ADD-ON)
tundef_es	on	on	on	on	DEF: ASSESSMENT UNITS
yem_es	switch	switch	switch	switch	DEF: Minimum wage ("Salario Mínimo Interprofesional")
neg_es	on	on	on	on	DEF: recode negative self-employment income to zero
prelim_es	on	on	on	on	DEF: Preliminary definitions
tscft_es	on	on	on	on	SIC: General regime: full-time workers ("Régimen general trabajadores a tiempo completo")
tscpt_es	on	on	on	on	SIC: General regime: part-time workers ("Régimen general trabajadores a tiempo parcial")
tscag_es	on	on	on	on	SIC: Agrarian regime ("Régimen agrario: trabajadores y empleadores")
tscse_es	on	on	on	on	SIC: Self-employment social insurance contributions ("Régimen Especial de los Trabajadores Autónomos")
tscseag_es	on	on	on	on	SIC: Agrarian self-employment social insurance contributions ("Sistema especial Trabajadores Cuenta Propia Agrarios")
yemcomp_es	on	on	on	on	BEN: Wage compensation scheme Covid-19 ("ERTEs")
ysecomp_es	on	on	on	on	BEN: Self-employment income compensation scheme Covid-19 ("Prestación extraordinaria por cese de actividad durante el estado de alarma")
bmact_es	switch	switch	switch	switch	BEN: Maternity leave benefit ("Prestación contributiva por maternidad")
bmanc_es	switch	switch	switch	switch	BEN: Non-contributory maternity leave benefit ("Prestación no contributiva por maternidad")
bpact_es	switch	switch	switch	switch	BEN: Contributory paternity leave benefit ("Prestación contributiva por paternidad")

Policy	2021	2022	2023	2024	Description
bunct_es	on	on	on	on	BEN: Unemployment insurance ("Prestación contributiva por desempleo"): PART-SIMULATED
bunct02_es	off	off	off	off	BEN: Unemployment insurance for self-employed ("Prestación económica cese de actividad de trabajadores autónomos"): SIMULATED only for new unemployed (via LMA Add-on)
bunnc_es	on	on	on	on	BEN: Unemployment assistance benefit ("Subsidio por desempleo") & Income Guarantee benefit ("Renta Activa de Inserción") PART-SIMULATED
bunmt_es	on	on	on	on	BEN: Temporary Unemployment Protection Programs ("PRODI, PREPARA, PAE & Subsidio Extraordinario por Desempleo"): only 2007-2008 data
tscct_es	on	on	on	on	SIC: Credited and other social insurance contributions
poanc_es	on	on	on	on	BEN: Non-contributory old-age pension ("Prestaciones no contributivas por jubilación total o por jubilación parcial") PART-SIMULATED
poacm_es	on	on	on	on	BEN: Old-age pension complement ("Complemento de mínimos por jubilación") PART-SIMULATED
psuwdc_m_es	on	on	on	on	BEN: Widow-widower's pension complement ("Complemento de mínimos por viudedad") PART-SIMULATED
bch00_es	on	on	on	on	BEN: Child Benefit ("Prestación no contributiva por hijo a cargo")
bchbamtna_es	on	on	on	on	BEN: Means-tested birth/adoption benefit ("Prestación por nacimiento o adopción de hijos")
bchbaucna_es	n/a	n/a	n/a	n/a	BEN: Universal birth/adoption benefit ("Cheque bebé")
bchbaucna02_es	on	on	on	on	BEN: Lump-sum child benefit for multiple birth/adoption ("Prestación por parto o adopción múltiple")
pec00_es		on	on	on	BEN: Annual refund to maintain the purchasing power of pensions and benefits to compensate the deviation between the real evolution of the Consumer Price Index and the revaluation initially applied
tin_cons_es	on	on	on	on	TAX: Income Tax - constants
tinit_es	on	on	on	on	TAX: Income Tax - individual taxation
tintcrgit_es	on	on	on	on	TAX: Regional Income Tax Credits, individual taxation
tinjt_es	on	on	on	on	TAX: Income Tax - joint taxation
tintcrgjt_es	on	on	on	on	TAX: Regional Income Tax Credits, joint taxation
tinopt_es	on	on	on	on	TAX: Income tax - optimisation
tinoptrg_es	on	on	on	on	TAX: Income tax - optimisation
tintrch_es	on	on	on	on	TAX: In-work refundable tax credit for mothers ("Deducción por maternidad")

Policy	2021	2022	2023	2024	Description
tintrchlg_es	on	on	on	on	TAX: Refundable tax credit for large families ("Deducción de familia numerosa")
tintrchlp_es	on	on	on	on	TAX: Refundable tax credit for single-parents with two children ("Deducción por ascendiente con dos hijos")
bchrg_es	on	on	on	on	BEN: Regional Child benefits
bsa00_es	on	on	on	on	BEN: Minimum Income Scheme ("Ingreso Mínimo Vital")
bsarg_es	on	on	on	on	BEN: Regional minimum incomes ("Rentas Mínimas de Inserción")
bwr_es		on	on	on	BEN: inflation compensation policies to respond to the economic and social consequences of the war in Ukraine
pec01_es		on	on	on	BEN: final adjustment to include annual refund to maintain the purchasing power of pensions and benefits (pec00_es)
tco_es	on	on	on	on	TAX: Consumption taxes
output_std_es	on	on	on	on	Def: Standard Output Individual Level
output_std_hh_es	off	off	off	off	Def: Standard Output Household Level

Notes:

* Policy bunmt_s is not active if run with the input data based on SILC 2010 or any later datasets. In such cases, the simulation of temporary unemployment programmes is taken as part of the unemployment assistant benefit (bunnc_es).

** Simulated for 2008-2010 (was abolished from 2011).

Source: Own elaboration.

2.4. Policy extensions

There are nine standard extensions included into the Spanish spine:

- **Benefit Calibration Adjustments (BCA)**, allowing the user to calibrate the receipt of benefits to match the simulated total expenditure of a benefit to real expenditure from external statistics. The extension is implemented for the simulation of the regional minimum income schemes (bsarg_es) and the lump sum benefit for families with low income and wealth (bwr_es). The default for the baseline is on. When the extension is on, a subset of eligible of observations is selected randomly as beneficiaries so that the real expenditure is reached, removing the benefit from the rest of the eligible observations; when off, all eligible observations are kept as beneficiaries. This extension shares most of its functions with the BTA extension; as a general rule, only one of the extensions should be on, but if both are, the lowest rate between the take-up rate and the calibration rate will be applied. More details on the specific implementation of BCA and BTA extensions are provided in the subsections describing the corresponding benefits.

- **Benefit Take-up Adjustments (BTA)**, allowing the user to apply non-take-up corrections. The extension is used for the simulation of national Minimum Income Scheme (*bsa00_es*). The default for the baseline is on. When the extension is on, a share of (weighted) eligible observations equal to the take-up rate is selected randomly as beneficiaries, removing the benefit from the rest of the eligible observations; when off, all eligible observations are kept as beneficiaries. This extension shares most of its functions with the BCA extension; as a general rule, only one of the extensions should be on, but if both are, the lowest rate between the take-up rate and the calibration rate will be applied. More details on the specific implementation of BCA and BTA extensions are provided in the subsections describing the corresponding benefit.
- **Full Year Adjustments (FYA)**, allowing the user to choose between policies as of 30th June (extension off) or modelling annual policies (extension on), taking into account within-year policy changes. The default for the baselines is off.
- **HHoT – Unemployment extension (HHoT_un)**: this extension improves the simulation accuracy of the unemployment insurance benefit when EUROMOD is run with hypothetical data. For instance, in most countries the legislation of this benefit requires information on variables such as individuals' employment history, which are not available in SILC; we can define these variables in HHoT and use them to simulate the policy's rules more precisely when running the model with hypothetical data. This extension is set to on when the model is used with HHoT data.
- The **HHoT Monthly Unemployment (HHoT_mu)** extension enables a monthly unemployment benefit simulation, similar to the approach used by the OECD TaxBEN for the calculation of monthly Net Replacement Rate (NRR) indicators. Those indicators measure to what extent a person's previous income from work is maintained after a certain number of months in unemployment. With this extension, unemployment benefit amounts are calculated with respect to a *specific month* of the unemployment spell and are then converted to annual amounts by multiplying by 12. By default, this extension is switched off; it is only set to on when the model is used for the calculation of the NRR indicators.
- **Minimum Wage Adjustment (MWA)**, allowing the user to switch on/off the minimum wage simulation. The default for the baselines is off. The minimum wage policy substitutes all employment income (*yem*) below the minimum wage by the statutory minimum wage (taking into account the number of months and hours in work). In the baseline, this policy is not used because there are reasons to believe that wages below the minimum are valid observations. Such low wages may be undeclared wages earned in the informal sector or they may result from misreporting number of hours/months in work. The policy may be used for estimating the effect of minimum wages on income distribution.
- **Parental Benefits Extension (PBE)**, allowing the user to choose between the observed (non-simulated) parental leave benefits (extension off) or the simulated ones (extension on). The default for the baselines is off.

- **Uprating Average Adjustment (UAA)**, allowing the user to choose between uprating (non-simulated) public pensions based on the growth in average amounts (if extension is on) or by using statutory indexation rules (if extension is off). The default for the baselines is off. Uprating by average also takes into account changes in the characteristics of pensioners (e.g. an inflow of new retirees with higher average pensions). This type of uprating may be used in EUROMOD applications where it is important to take into account not only policy but also compositional changes (e.g. nowcasting).
- The **Consumption Inflation Adjustment (CIA)** extension enables users to simulate price (inflation) shocks under the assumption that households do not immediately adjust their consumption patterns (constant quantities) in response to a sudden change. This extension can only be enabled if used together with Consumption Taxes add-ons CT_XBASE and CT_XCQ, respectively baseline and constant quantities. By default, this extension is switched OFF. Switching ON the inflation simulation (without changing parameters) allows users to apply [official annual inflation rates](#) between two consecutive years (sourced from [Eurostat](#) and [DG ECFIN's latest quarterly forecasts](#)) as stored in the Consumption Taxes (CT) table by `$tco_base_upr[COICOP]`. Users can also simulate their own hypothetical price shock scenarios at COICOP level 1 (2-digits) categories, with the Housing & Utilities split between Energy and other. To do so users should modify constants `$tco_CIA_*` in `ConstDef_cc`. For example, what if annual inflation for food was 5% instead of the officially recorded? Changing `$tco_CIA_01` to 5% for food and non-alcoholic beverages, multiplies the expenditures of foods and non-alcoholic beverages by 1.05. For the CIA extension to work properly, the users will need to add a new variable `ydsyc_a` to the input data recording for each household the disposable income growth between two consecutive years. [HINT: Run systems t and $t+1$. Compute household disposable income for each year. For each household calculate $ydsyc_a = (hh_dpi_{t+1} - hh_dpi_t)/hh_dpi_t$]

Apart from the above-mentioned policy extensions, the Spanish model also includes two policies that are switched OFF in the baseline, but can be used for specific purposes:

TransLMA_es. This policy defines the individuals that are selected to undergo transitions to monetary compensation schemes and/or unemployment. The transitions are only enabled if used together with the Labour Market Adjustments (LMA) add-on (i.e. the LMA add-on switches on this policy automatically). The transitions are based on a random allocation of individuals and they might be triggered by feeding the parameters of this policy with official or hypothetical information³³. This policy, in combination with the LMA add-on, enables the simulation of the wage compensation scheme (`yemcomp_es`) and the lump-sum grant for self-employed (`ysecomp_es`).

Bunct02_es. This policy simulates the main policy rules of the unemployment benefit for the self-employed. The policy is switched off in the baseline because there is no information on the contribution history of self-employed, nor on the causes for cessation of the main activity. Moreover, the coverage of this benefit among the self-employed is, in practice, extremely low. Nevertheless, the policy can be used for simulating unemployment benefits for the new

³³ For more information about the modelling of labour market transitions, please consult the "Simulating labour market transitions in EUROMOD" document.

unemployed (e.g. in nowcasting or hypothetical exercises) or for estimating replacement rates for self-employed using the Net Replacement Rate (NRR) add-on.

Tco_es. This policy control consumption taxes and is described in section 2.8.

2.5. Benefits

2.5.1. Unemployment benefits

2.5.1.1. *Contributory unemployment insurance benefit – bunct_es (Prestación por desempleo contributiva)*

Brief description

The contributory unemployment insurance benefit is a benefit to all employees who have temporarily or permanently lost their job or whose ordinary working hours have been temporarily reduced by between 10% and 70%. They must have previously reached a minimum time of contribution to the Social Insurance System.

Definitions and eligibility conditions

The unit of analysis is the individual. In order to be entitled to receive the benefits, the individuals must be over 16 years of age and below 65 and be registered at the employment office as actively seeking employment. The minimum period of contributions to be eligible for the benefit is 360 days during the 6 years immediately before unemployment.

Within this benefit **dependent children** are cohabiting children below 26 years of age (or older if disabled) whose incomes are below the minimum wage considering 12 monthly payments.

Income assessment

There is no income assessment.

Benefit amount and duration

The **benefit amount** depends on the average daily contributory base (*base reguladora, contingencias comunes*), strongly related to the individual wage level. The average is calculated on contributions made during the 180 days that precede the legal situation of unemployment. All payments for overtime work are excluded.

The amount to be received will be: During the first 180 days, 70% of the average daily contributory base. From 2013 onwards, the percentage from the 181st day was 50%, and in 2023 it was changed to 60%.

The benefit cannot be below a minimum:

- If the worker has no dependent children, the minimum benefit is 80% of the monthly IPREM, increased by 1/6.
- If the worker has at least one dependent child, the minimum benefit is 107% of monthly IPREM, increased by 1/6.

The benefit cannot be over a maximum:

- If the worker has no dependent children, the maximum benefit is 175% of the monthly IPREM, increased by 1/6.
- If the worker has dependent children:
 - One child, the maximum benefit is 200% of monthly IPREM, increased by 1/6.
 - Two or more children, the maximum benefit is 225% of the monthly IPREM, increased by 1/6.

In the case of becoming unemployed while at a part-time job, the maximum and minimum limits of the benefit will be calculated as a proportion of the full-time working day.

Due to General State Budget extension, in 2024 and 2025, IPREM remains stable, therefore, floor and ceiling benefit amounts remain the same as those of 2023.

Benefit duration depends on the total contribution period over the preceding 6 years: four months for the first year, and four additional months for each additional year of contract. The maximum is 24 months.

Compatibilities

Benefits are not compatible with any full-time employment except in some particular cases. However, they are compatible with carrying out a part-time activity as an employee.

From 1st April 2025, this benefit can be considered an employment support supplement (*complemento de apoyo al empleo*), being compatible with earnings from part- or full-time employment, under certain conditions. In the case of the non-contributory unemployment benefit, this complement is in place from 1st November 2024 (see 2.5.1.3). Accumulation with Social Insurance pensions or cash benefits is not possible unless these had been compatible with the professional activity from which the unemployment benefit is derived. Accumulation is possible with pensions which are compatible with work.

Taxation and income testing

Taxable. Subject to Social Insurance contributions. Benefits are included into the income test of other social benefits.

EUROMOD modelling

Due to lack of data on contribution history, the benefit is partly simulated using information about actual receipt in the EU-SILC data. The contributory base is calculated reversing the rules of the benefit. The benefit can be also simulated for those currently employed to simulate their entitlement in case of becoming unemployed. The modelling of this labour market transition can be performed by using specific add-on tools (e.g. the LMA add-on). The employment support supplement (*Complemento de Apoyo al Empleo*) is not simulated due to data limitations.

Legal sources

Real Decreto Legislativo 8/2015, de 30 de octubre, por el que se aprueba el texto refundido de la Ley General de la Seguridad Social.

Evolution and characteristics of the unemployment benefit

Table 2.4 Main characteristics of the unemployment insurance benefit.

		2022	2023	2024	2025
Eligibility	Contribution period	>=12 months in 6 years			
	Eligibility of self-employed	Specific scheme (<i>see next section</i>)			
Payment	Contribution base	Last 180 days of wage + some extras			
Basic amount:					
First 180 days		70% of daily contributory base			
From 181 st day		50% of daily contributory base	60% of daily contributory base		
Floor:					
If the worker has no dependent child			(1+1/6) x 0.8 x monthly IPREM		
		540.42	560.00	560.00	560.00
If the worker has at least one dependent child			(1+1/6) x 1.07 x monthly IPREM		
		722.81	749.00	749.00	749.00
Ceiling:					
If the worker has no dependent child			(1+1/6) x 1.75 x monthly IPREM		
If the worker has at least one dependent child:		1,182.17	1,225.00	1,225.00	1,225.00
	1 child		(1+1/6) x 2 x monthly IPREM		
		1,351.05	1,400.00	1,400.00	1,400.00
	>=2 children		(1+1/6) x 2.25 x monthly IPREM		
		1,519.93	1,575.00	1,575.00	1,575.00
Duration	Standard (in months)	4+4 for each year of contr., Max 24			
		Contribution period		Benefit duration	
		Between 360 days and 539 days		120 days	
		Between 540 days and 719 days		180 days	
		Between 720 days and 899 days		240 days	
		Between 900 days and 1,079 days		300 days	
		Between 1,080 days and 1,259 days		360 days	
		Between 1,260days and 1,439 days		420 days	
		Between 1,440 days and 1,619 days		480 days	
		Between 1,620 days and 1,799 days		540 days	
		Between 1,800 days and 1,979 days		600 days	
		Between 1,980 days and 2,159 days		660 days	
		2,160 days or more		720 days	
Job compatibility		Until April 2025, compatible with part-time work. In this case, the amount of the benefit deducted was proportional to the hours worked			From 1 April this benefit is compatible with full-time and

	2022	2023	2024	2025
				part-time employment, as a complement to support employment, provided that certain conditions are met
Duration of the Employment support supplement				It depends on the benefit month in which you start the compatibility:
	Compatibility during first 9 months of unemployment benefit			It can only be made compatible with partial employment deducting from the benefit the proportional part, as before April 2025
	Compatibility from the tenth month of the benefit:			Compatible with full-time or part-time employment
	Start of compatibility in the tenth month			30 days
	Start of compatibility in the eleventh month			60 days
	Start of compatibility in the twelfth month			90 days
	Start of compatibility in the thirteenth month			180 days
Subject to	Taxes		Yes	
	SIC		Yes	

Source: Own elaboration based on legal sources.

2.5.1.2. Self-employed unemployment insurance benefit – *bunct02_es* (Prestación económica cese de actividad de trabajadores autónomos ³⁴)

Brief description

Unemployment insurance scheme available to self-employed people who reached a minimum time of contribution to the Social Insurance System and terminated their self-employment activity due to economic reasons.

Definitions and eligibility conditions

The unit of analysis is the individual. In order to be entitled to receive the benefits, the individuals must be over 16 years of age and below 65 and registered at the employment office as actively seeking employment. The minimum period of contributions to be eligible for the benefit is of, at least, 12 consecutive months during the 2 years immediately before unemployment. Eligible individuals should have voluntarily contributed to the protection due to termination of activity (*contribución por cese de actividad*), although from 2019 the obligation to contribute became compulsory for all the self-employed. The cessation of the activity must suit any of the causes established in the law (e.g. economic, technical or organizational causes, force majeure, etc.) and must be proved by providing the corresponding documentation (e.g. invoices, VAT returns, etc.).

Within this benefit **dependent children** are: cohabiting children below 26 years of age (or older if disabled) whose incomes are below the minimum wage considering 12 monthly payments.

Income assessment

There is no income assessment.

Benefit amount and duration

The **benefit amount** depends on the average contributory base of the self-employed regime chosen by the self-employed (*base reguladora, Régimen Especial de los Trabajadores Autónomos*). The average is calculated on contributions made during the 12 months that precede the legal situation of unemployment. The amount to be received will be 70% of the average contributory base.

The minimum amount will be 107% of IPREM (increased by 1/6) if the self-employed had at least one dependent child or 80% (increased by 1/6) if the self-employed had no dependent children.

The maximum amount will be 175% of IPREM, equalling 200% of IPREM (increased by 1/6) if the self-employed has at least one dependent child, 225% of IPREM (increased by 1/6) if more than one dependent child or 175% (increased by 1/6) if the self-employed had no dependent children.

Benefit duration depends on the total contribution period over the preceding 48 months. The duration of the benefit in 2024 is the following:

³⁴ Real Decreto Legislativo 8/2015, de 30 de octubre, por el que se aprueba el texto refundido de la Ley General de la Seguridad Social. Article 42.1.c among others.

Table 2.5 Duration of the self-employed unemployment insurance benefit.

Contribution period	Benefit duration
Between 12 and 17 months	4 months
Between 18 and 23 months	6 months
Between 24 and 29 months	8 months
Between 30 and 35 months	10 months
Between 36 and 42 months	12 months
Between 43 and 47 months	16 months
48 months	24 months

Source: Own elaboration based on legal sources.

EUROMOD modelling

This special protection system for the self-employed came into force on 6th November 2010. In the model it is implemented from 2011 onwards. Its simulation is switched OFF in the baseline as some eligibility rules cannot be simulated due to lack of data, i.e. there is no information on the contribution history of the self-employed, nor on the reasons for cessation of the main activity. Moreover, the coverage of this benefit is, in practice, very low.

The simulation, however, can be activated to simulate the entitlement of those currently self-employed in case of becoming unemployed. The modelling of this labour market transition can be achieved by using specific add-on tools (e.g. the LMA add-on).

2.5.1.3. Unemployment assistance benefit – *bunnc_es* (Subsidio por desempleo)

Brief description

Means-tested benefit generally available to workers whose unemployment insurance benefit has expired or who are not eligible to receive the unemployment insurance benefit.

Definitions and eligibility conditions

The unit of analysis is the individual. Unemployed individuals are eligible if having exhausted their contributory unemployment benefit, their family unit income is below the income test and they are over 45 years old or have dependents. Workers with dependents who were not entitled to contributory unemployment benefit due to lack of contributions but have, at least, 3 months of contributions to the Social Insurance System are also eligible. Furthermore, workers without dependents who were not entitled to contributory unemployment benefit due to lack of contributions but have, at least, 6 months of contributions are also eligible.

Within this benefit, **dependent individuals** are the spouse of any age and children under 26 years old (older if disabled) whose personal income does not exceed 75 % of the minimum wage considering 12 monthly payments.

Income assessment

All entitled units must meet the income test: household income per capita from all sources ³⁵ must be below 75% of the minimum wage considering 12 monthly payments.

Benefit amount and duration

The **benefit amount** is 80% of the IPREM.

The standard **duration of the benefit** is normally 6 months with the possibility of extension up to a maximum of 18 months. The duration might be increased up to 30 months for individuals older than 45 years old with dependent spouse or children, who received the insurance unemployment benefit for at least 6 months. The benefit might also be extended until the retirement age for individuals over 52 years old meeting certain conditions.

Compatibilities

The benefit is not compatible with any full-time employment except some particular cases.

Taxation and income testing

Taxable. The benefit is included into the income test of other social benefits.

EUROMOD modelling

As for the unemployment insurance benefit, the unemployment assistance benefit is also partly simulated due to lack of data on contribution history. The duration of the simulated entitlement is modelled as follows:

- For those individuals entitled to the simulated unemployment insurance benefit, the duration of the unemployment assistance benefit is calculated subtracting the number of months receiving the former from the total unemployment spell. The maximum duration cannot be longer than the year.
- For those individuals not entitled to the simulated unemployment insurance benefit, the duration is set to the number of months declaring to have received the unemployment assistance in the data. The maximum duration cannot be longer than the year.
- The 2024 reform is modelled in EUROMOD from the 2025 system on. The simulation does not include the employment support supplement (Complemento de Apoyo al Empleo) due to data limitations.

In both above-described situations, all the remaining criteria are simulated (e.g. the age criterion, the income test, etc.) and the final entitlement is allocated to those fulfilling the eligibility criteria.

Evolution and characteristics of the unemployment assistance benefit

Table 2.6 Main characteristics of the unemployment assistance benefit (until November 2024)

	2022	2023	2024

³⁵ There are a few exemptions, including the child benefit and the refundable working mother tax credit (*deducción por maternidad*).

Eligibility	(exhausted bunct_s & (>= 45 years old OR have dependents))			
	OR			
	(not entitled to bunct_s & >=3 months of contributions & have dependents)			
	OR			
	(not entitled to bunct_s & >=6 months of contributions & no dependents)}			
	AND			
	Annual household income per capita < 0.75 x Minimum wage			
		9,000.27	9,720.0	10,206
Payment	Basic amount	0.8 x IPREM	0.8 x IPREM	0.8 x IPREM*
		463.22	480	480
Duration	Standard (in months)	6 (can be extended up to 18 months)		
	Special cases (in month)	Up to 30 months for individuals older than 45 years old with dependent spouse or children		
		Until retirement age for older than 52 years old meeting certain conditions		
Subject to	Taxes	Yes		
	SIC	No		

Note: * The 2024 column reflects the situation prior to the reform applicable from November.

Source: Own elaboration based on legal sources.

The situation in force from November 2024 on (as per Real Decreto-ley 2/2024) is the following:

Definitions and eligibility conditions

The new unemployment subsidy regulation simplifies the eligibility criteria, entitling individuals who have exhausted their contributory unemployment benefit (after at least 360 days if they are under 45 years old without family responsibilities), or with at least 90 days of contributions if they have not reached the minimum contribution period.

Income assessment

All entitled units must meet the income test: household income per capita from all sources must be below 75% of the minimum wage considering 12 monthly payments —excluding the proportional part of two extraordinary payments—.

Benefit amount and duration

The maximum duration is adjusted based on age and family responsibilities, up to 6 months for those under 45 without dependents, and up to 30 months for those with family responsibilities who have exhausted the contributory unemployment benefit after at least 180 days. The new subsidy amount decreases progressively: 95% of the IPREM for the first 180 days, 90% until day 360, and 80% from day 361 onwards, up to 30 months in certain cases (beneficiaries with family

responsibilities and with a contributory unemployment benefit duration which had lasted for longer than 180 days).

Compatibilities

This subsidy is compatible with part-time and full-time work, by virtue of a newly created employment support supplement (*Complemento de Apoyo al Empleo*). Compatibility of employment and this subsidy is recognised *ex officio* for those receiving benefits and this subsidy may be received for a maximum period of 180 days. Once the 180-day period has elapsed, if the beneficiary is employed, the benefit is suspended.

Given the fact that this reform entered into effect in late 2024, the EUROMOD system of said year does not include it. It is included in the 2025 policy system.

Table 2.7 Main characteristics of the unemployment assistance benefit from November 2024.

		From November 2024	2025
Eligibility		(exhausted bunct_s & age > 45 & exhausted bunct_s duration >= 120 days)	
		OR	
		(exhausted bunct_s & age <= 45 & exhausted bunct_s duration >= 360 days)	
		OR	
		(exhausted bunct_s & has family responsibilities & exhausted bunct_s duration >= 120 days)	
		OR	
		(not entitled to bunct_s & >=3 months of contributions)	
		AND	
		Annual household income per capita < 0.75 x Minimum wage	
		10,206	10,656

Payment	Basic amount	Days	IPREM	Amount
		First 180	95%	570
		From 181 to 360	90%	540
		From 361	80%	480

Duration	If exhausted bunct_s	Accreditation of family responsibilities	Age at date of exhaustion bunct_s	Duration of exhausted bunct_s	Maximum duration
		Indifferent	<= 45	>= 360	6 months
		Indifferent	> 45	>= 120	6 months
		Yes	Indifferent	>= 120	24 months
		Yes	Indifferent	>= 180	30 months

Duration	If not entitled to bunct_s	Minimum period of insured employment	Accreditation of family responsibilities	Maximum duration
		90 days	Indifferent	3 months
		120 days	Indifferent	4 months
		150 days	Indifferent	5 months
		180 days	Indifferent	6 months
		180 days	Yes	21 months

Subject to	Taxes	Yes
	SIC	No

Source: Own elaboration based on legal sources.

Legal sources

Real Decreto-ley 2/2024, de 21 de mayo, por el que se adoptan medidas urgentes para la simplificación y mejora del nivel asistencial de la protección por desempleo, y para completar la transposición de la Directiva (UE) 2019/1158 del Parlamento Europeo y del Consejo, de 20 de junio de 2019, relativa a la conciliación de la vida familiar y la vida profesional de los progenitores y los cuidadores, y por la que se deroga la Directiva 2010/18/UE del Consejo.

Real Decreto Legislativo 8/2015, de 30 de octubre, por el que se aprueba el texto refundido de la Ley General de la Seguridad Social. Capítulo III, Título III.

2.5.1.4. Unemployment income guarantee benefit – *bunnc_es* (Renta Activa de Inserción)

Brief description

Means-tested benefit generally available to workers whose contributory unemployment benefit and unemployment assistance benefit have expired. The aim of this benefit is to cover unemployed individuals facing particular difficulties to find a job (i.e. long-term unemployed). The worker must follow a “back to work” scheme aimed at improving their possibilities of finding a job. Not in place since November 2024.

Definitions and eligibility conditions

The unit of analysis are unemployed individuals between 45 and 65 years of age who are not eligible or have exhausted contributory and non-contributory unemployment benefits while family unit income is below the income test.

The definition of **dependent individual is the same** as in previous benefits (see unemployment assistance benefit).

Income assessment

All entitled units must meet the income test: household income per capita from all sources must be below 75% of the minimum wage considering 12 monthly payments.

Benefit amount and duration

Benefits amount is 80% of the IPREM. The **duration of the benefit** is 11 months.

Compatibilities

The benefit is compatible with full-time employment if individuals qualify for the program. In this case the benefit will only be 1/4 of that which would be obtained if not in full-time work. Duration in this case will drop to 6 months.

Taxation and income testing

Taxable. The benefit is included into the income test of other social benefits.

EUROMOD modelling

EU-SILC data does not distinguish this benefit from other unemployment benefits, i.e. all means-tested non-contributory unemployment benefits are grouped into the same variable. Part-simulations of all types of unemployment assistance benefits are then not feasible. Moreover, there is not enough information in the underlying data to fully simulate all the eligibility criteria. For example, we cannot identify among those having long-term unemployment spells, who already exhausted the entitlement to these long-term unemployment support schemes. Since, in practice, the income test and the benefit amount are the same as for the unemployment assistance benefit, the simulation assumes that recipients receive unemployment assistance instead.

Table 2.8 Main characteristics of the unemployment income guarantee benefit.

	2022	2023	2024	2025
Eligibility	(between 45 and 65 years old) AND [(not entitled to bunct_s or bunnc_s) OR (exhausted bunct_s or bunnc_s)] AND Annual household income per capita < 0.75 x Minimum wage 9,000.27 9,720 10,206 10,656			
Payment				
	Basic amount	0.8 x IPREM		
	463.22	480	480	480
Duration	Standard (in months)	11 months		
Subject to	Taxes	Yes		
	SIC	No		

Source: Own elaboration based on legal sources.

From November 2024, this benefit no longer exists³⁶. Even so, beneficiaries continue to be subject to the previous regulations if, up to 31 October 2024, they have applied for, were beneficiaries of, or had the Unemployment income guarantee benefit (RAI) suspended. This is reflected in the 2025 column. The model considers the situation in force during the first ten months of the year to be applicable for the whole 2024.

Legal sources

Real Decreto-ley 2/2024, de 21 de mayo, por el que se adoptan medidas urgentes para la simplificación y mejora del nivel asistencial de la protección por desempleo, y para completar la transposición de la Directiva (UE) 2019/1158 del Parlamento Europeo y del Consejo, de 20 de junio

³⁶ Disposición derogatoria única. Derogación normativa del Real Decreto-ley 2/2024.

de 2019, relativa a la conciliación de la vida familiar y la vida profesional de los progenitores y los cuidadores, y por la que se deroga la Directiva 2010/18/UE del Consejo.

Real Decreto 1369/2006, de 24 de noviembre, por el que se regula el programa de renta activa de inserción para desempleados con especiales necesidades económicas y dificultad para encontrar empleo.

2.5.2. Other extraordinary income support schemes for long-term unemployed - *bunnc_s* (PREPARA, PAE, Subsidio Extraordinario de Desempleo)

Brief description

Temporary one-off unemployment benefits for long-term unemployed. As a response to the substantial increase in the unemployment rate following the 2008 economic crisis, the Spanish government adopted different temporary schemes to support those unemployed no longer entitled to the insurance and assistance unemployment benefits. Having a limited duration, the schemes were extended under different naming but with the same aim: protecting those individuals that are no longer entitled to any unemployment benefits and, eventually, easing the finding of a new job.

Ordered temporarily, the main schemes prior to the new regulation introduced in November 2024³⁷ were the following:

- PREPARA programme (*Programa de recualificación personal de las personas que agoten su protección por desempleo*).
- PAE programme (*Programa de Activación para el Empleo*).
- Extraordinary unemployment assistance benefit (*Subsidio Extraordinario de Desempleo*).

EUROMOD modelling

EU-SILC data does not distinguish all these schemes from other unemployment benefits, i.e. all means-tested non-contributory unemployment benefits are grouped into the same variable. Part-simulations of all kinds of unemployment assistance benefits are then not feasible. Moreover, there is not enough information in the underlying data to fully simulate all the eligibility criteria. For example, we cannot identify among those having long-term unemployment spells who already exhausted the entitlement to these long-term unemployment support schemes. Since, in practice, the income test and the benefit amount are the same as for the unemployment assistance benefit, the simulation assumes that recipients receive unemployment assistance instead.

Legal sources

Real Decreto-ley 1/2016, de 15 de abril, por el que se prorroga el Programa de Activación para el Empleo.

³⁷ *Real Decreto-ley 2/2024, de 21 de mayo, por el que se adoptan medidas urgentes para la simplificación y mejora del nivel asistencial de la protección por desempleo, y para completar la transposición de la Directiva (UE) 2019/1158 del Parlamento Europeo y del Consejo, de 20 de junio de 2019, relativa a la conciliación de la vida familiar y la vida profesional de los progenitores y los cuidadores, y por la que se deroga la Directiva 2010/18/UE del Consejo.*

Real Decreto-ley 16/2014, de 19 de diciembre, por el que se regula el Programa de Activación para el Empleo.

2.5.3. Pension benefits

2.5.3.1. Contributory old-age pension – poa00 (Prestación contributiva por jubilación)

Brief description

Retirees are entitled to this pension once they meet the age and the contribution history requirements. Several kinds of this pension exist, being ordinary retirement pension (*jubilación ordinaria*) the most extended one. The other modalities are early retirement (*jubilación anticipada*), partial retirement (*jubilación parcial*), flexible retirement (*jubilación flexible*) and special retirement at 64 years old (*jubilación especial a los 64 años*), the latter being residual. We will refer to ordinary retirement pension.

Definitions and eligibility conditions

The unit of analysis is the individual. To be entitled to perceive the retirement pension, the person must fulfil the following conditions:

- be affiliated to the Social Insurance system, having contributed for at least 15 years, of which at least two must be within the 15 years immediately preceding to the retirement date.
- be of the age stipulated by law. In 2025, it is 65 years when the applicant has contributed to the system for over 38 years and 3 months, and 66 years and 8 months otherwise.

Since this pension is of a contributed nature, no income assessment is required.

Pension amount

The amount of the pension is determined depending on the applicable regulatory base (*base reguladora*). A percentage corresponding to the years of contribution is applied to the base. Also, when the worker has chosen to retire at an age higher than the ordinary one in force at any given time, an additional percentage for prolongation of working life is applied.

If the resulting pension amount is above a certain threshold, it is capped by applying a reduction coefficient.

The pensions' amount is yearly updated in the General State Budget Law, taking CPI as a reference. Until 2022, the annual basic amount was yearly fixed by the government at the beginning of the year, so it didn't reflect the increase of the CPI of that year. To maintain the purchasing power of pensions, pensioners received a refund in the beginning of the following year to take into account actual CPI increase. Currently, interannual CPI is used, so no adjustment is made at the beginning of the following year.

In 2025, ordinary contributory old-age pensions were increased by 2.8%, and the lowest ones, by approximately 6%.

Taxation

This pension is subject to Personal Income Tax.

EUROMOD modelling

This pension is not simulated, due to lack of data on contribution history. Instead, SILC data are used and, for the latest years, where there are no SILC data available, uprating factors are applied.

Legal sources

Update of amounts:

- 2025: *Real Decreto 35/2025, de 21 de enero, sobre limitación de la cuantía inicial de las pensiones públicas y revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas del Estado y de otras prestaciones sociales públicas para el ejercicio 2025.*
- 2024: *Real Decreto-ley 8/2023, de 27 de diciembre, por el que se adoptan medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo, así como para paliar los efectos de la sequía.*

Framework Law:

- *Ley 21/2021, de 28 de diciembre, de garantía del poder adquisitivo de las pensiones y de otras medidas de refuerzo de la sostenibilidad financiera y social del sistema público de pensiones.*
- *Real Decreto Legislativo 8/2015, de 30 de octubre, por el que se aprueba el texto refundido de la Ley General de la Seguridad Social.*

2.5.3.2. Non-contributory old-age pension – poanc_es (Prestación no contributiva por jubilación)

Brief description

This means-tested old-age benefit is aimed at all Spanish citizens and nationals from other countries, with a 10 or more year old- legal residence in Spain, over 65 years of age, who find themselves in a state of need and lack the necessary means for subsistence, even if they have never contributed to the Social Insurance scheme.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must be over 65 years of age and meet the income test.

The **economic unit** consists of the spouse and relatives up to the second degree (i.e., grandparents, siblings, grandchildren).

Income assessment

All entitled units must meet the income test: family unit total yearly income, except child benefits, must be below:

- The annual amount of the benefit for single family units.
- The annual amount plus 70 percent more for each additional member for larger family units where there aren't children or parents of the recipient.

- The limit for single-family units multiplied by 2.5 for larger family units where there are children or parents of the recipient.

Benefit amount and duration

The **annual basic amount** is yearly fixed by the government. The total amount will be divided into 14 payments corresponding to each month of the year and two extra payments in the months of June and November.

In case more than one person in the family unit is entitled to the benefit, the amount increases by 70 percent for each additional beneficiary and the resulting amount is equally shared across claimants.

If the pensioner receives other incomes that are above 35 percent of the total annual pension, the non-contributory pension will be reduced in the amount over which other incomes exceed this limit.

There is a national complementary benefit in case of living in a rented house. All pensioners living in a rented accommodation who do not own other house elsewhere and are not family related to the house owner will receive a complementary benefit if they pay housing rent. The annual amount of this benefit is 525 euro/year.

There are also regional complementary benefits. Some regions increase the non-contributory old-age pension with a further complementary pension.

The minimum amount is 25% of the basic annual amount. The maximum amount is yearly fixed by the government.

The **benefit duration** is one year (in 14 payments).

Until 2022, the annual basic amount of the pension was yearly fixed by the government at the beginning of the year, so it didn't reflect the increase of the CPI of that year. To compensate this increase and maintain the purchasing power of the pension, the pensioners received a refund in the beginning of the following year. This refund is computed increasing the basic amount of the pension with the average interannual rate of the CPI of the previous 12 months. The basic amount of the pension increased in 88.2 euro in 2021 (from 5,639.20 to 5,727.40) and the refund was received before April 2022 (this policy is simulated in pec00_es).

Additionally, to cushion the effects of the emergency situation arising from the war in Ukraine and the abnormally high inflation, in 2022 a temporary increase of 15% was received from July to December (this policy is simulated in bwr_es). This temporary increase was prolonged in 2023, meaning the absolute quantity remained stable.

In 2024, non-contributory old-age pensions increased by 6.9% and by 9% in 2025.

Taxation and income testing

Taxable. Pension included into the income test of other social benefits.

EUROMOD modelling

The benefit is partly simulated in the baseline, i.e. the eligibility is conditioned to being a recipient in EU-SILC (*poanc* > 0), due to the high non-take up, which has been estimated of around 40% (Matsaganis et al., 2010).

Evolution and characteristics of the non-contributory old-age pension

Table 2.9 Main characteristics of the non-contributory old-age pension. EUR per year.

		2022	2023	2024	2025
Eligibility	Age			>=65	
	Income test				
	- Single family units	Family income (except child benefits) < Basic amount (annual)			
		6,342.07	6,784.54	7,250.60	7,905.80
	- Larger family units	Family income (except child benefits) < (1+ 0.7) x (number of members-1) x Basic amount			
	No children or parents of recipient				
	2 members	10,781.52	11,533.72	12,326.02	13,439.86
	Some children or parents of recipient	Family income (except child benefits) < 2.5 x (1+ 0.7) x (number of members-1) x Basic amount			
	2 members	26,953.80	28,834.30	30,815.05	33,599.65
Payment	Basic amount	6,342.07	6,784.54	7,250.60	7,905.80
	Additional amount if more than one person in the family unit are entitled to the benefit	0.7 x Basic amount (resulting amount is equally shared across claimants)			
	Reduction if pensioner earns other incomes	Income - 0.35*Basic amount			
	Additional amount for housing rent	525 euro			
	Regional additional amount				
	Andalucía	148.81	162.20	178.42	186.45
	Extremadura	250	255	260	265
	Galicia	210	220.50	220.50	220.50
	Aragón	- ¹	200	621	700
	Cataluña	Since 2017 this additional complement in Cataluña follows the same rules as the Regional Minimum Income Benefit.			
	Canarias	250	250	- ²	-
	Inflation compensation policy (bwr_es)	The final amount of the pension increases 15% (from July to December)			
		The 15% increase during the second half of 2022 remains, but no further increases due to inflation compensation are applied in 2023			
	Refund to compensate the increase of CPI and maintain the purchasing power of	Basic amount of previous year increases €88.2 (from			

		2022	2023	2024	2025
	pensions and benefits (pec00_es)	€5,639.20 to €5,727.40)			
	Floor		0.25 x Basic amount		
		1,585.52	1,696.14	1,812.65	1,976.45
	Ceiling	6,342.07	6,784.54	7,250.60	7,905.80
Duration	Standard				
	Number of payments	14 payments			
	Cataluña	14 payments (basic amount) 12 payments (regional additional amounts)			
Subject to	Taxes	Yes			
	SIC	No			
	Income test of other benefits	Yes			

Notes:

¹ During 2022 this benefit was suppressed.

² In 2024 this benefit was suppressed.

Source: Own elaboration based on legal sources.

Legal sources

Update of amounts:

- 2025: Real Decreto 35/2025, de 21 de enero, sobre limitación de la cuantía inicial de las pensiones públicas y revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas del Estado y de otras prestaciones sociales públicas para el ejercicio 2025.
- 2024: Real Decreto-ley 8/2023, de 27 de diciembre, por el que se adoptan medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo, así como para paliar los efectos de la sequía.
- 2023:
 - Real Decreto 1058/2022, de 27 de diciembre, sobre revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas y de otras prestaciones sociales públicas para el ejercicio 2023.
 - Ley 31/2022, de 23 de diciembre, de Presupuestos Generales del Estado para el año 2023
 - Real Decreto-ley 20/2022, de 27 de diciembre, de medidas de respuesta a las consecuencias económicas y sociales de la Guerra de Ucrania y de apoyo a la reconstrucción de la isla de La Palma y a otras situaciones de vulnerabilidad.
- 2022:

- Update of basic amounts and refund to compensate the increase of CPI: Ley 22/2021, de 28 de diciembre, de Presupuestos Generales del Estado para el año 2022 (artículo 45) and Real Decreto 65/2022, de 25 de enero, sobre actualización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas y de otras prestaciones sociales públicas para el ejercicio 2022. Refund to compensate the increase of CPI (disposición adicional primera).
 - Regulation of the inflation compensation policy arising from the war in Ukraine: Real Decreto-Ley 6/2022 de 29 de marzo por el que se adoptan medidas urgentes en el marco del Plan Nacional de respuesta a las consecuencias económicas y sociales de la guerra en Ucrania and Real Decreto-ley 11/2022, de 25 de junio, por el que se adoptan y se prorrogan medidas para responder a las consecuencias económicas y sociales de la guerra en Ucrania, para hacer frente a situaciones de vulnerabilidad social y económica, y para la recuperación económica y social de la isla de La Palma (Capítulo I, apartado 12 artículo 45 bis).
- 2021: Ley 11/2020, de 30 de diciembre, de Presupuestos Generales del Estado para el año 2021 (artículo 43) and Real Decreto 46/2021, de 26 de enero, sobre revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas y de otras prestaciones sociales públicas para el ejercicio 2021.
- 2020: Real Decreto-ley 1/2020, de 14 de enero, por el que se establece la revalorización y mantenimiento de las pensiones y prestaciones públicas del sistema de Seguridad Social (2020).
- 2019: Real Decreto-ley 28/2018, de 28 de diciembre, para la revalorización de las pensiones públicas y otras medidas urgentes en materia social, laboral y de empleo (2019).

Framework Law

- Ley 21/2021, de 28 de diciembre, de garantía del poder adquisitivo de las pensiones y de otras medidas de refuerzo de la sostenibilidad financiera y social del sistema público de pensiones.
- Real Decreto Legislativo 8/2015, de 30 de octubre, por el que se aprueba el texto refundido de la Ley General de la Seguridad Social.

Andalucía:

- 2025: Acuerdo de 26 de diciembre de 2024, del Consejo de Gobierno, por el que se establecen ayudas sociales de carácter extraordinario a favor de pensionistas por jubilación e invalidez en sus modalidades no contributivas, para el año 2025.
- 2024: Acuerdo de 27 de diciembre de 2023, del Consejo de Gobierno, por el que se establecen ayudas sociales de carácter extraordinario a favor de pensionistas por jubilación e invalidez en sus modalidades no contributivas, para el año 2024.
- 2023: Acuerdo de 27 de diciembre de 2022, del Consejo de Gobierno, por el que se establecen ayudas sociales de carácter extraordinario a favor de pensionistas por jubilación e invalidez en sus modalidades no contributivas, para el año 2023.
- 2022: Acuerdo de 21 de diciembre de 2021, del Consejo de Gobierno, por el que se establecen ayudas sociales de carácter extraordinario a favor de pensionistas por jubilación e invalidez en sus modalidades no contributivas, para el año 2022.

- 2021: Acuerdo de 21 de diciembre de 2020, del Consejo de Gobierno, por el que se establecen ayudas sociales de carácter extraordinario a favor de pensionistas por jubilación e invalidez en sus modalidades no contributivas, para el año 2021.
- 2020: Acuerdo de 10 de diciembre de 2019, del Consejo de Gobierno, por el que se establecen ayudas sociales de carácter extraordinario a favor de pensionistas por jubilación e invalidez en sus modalidades no contributivas para el año 2020.

Extremadura:

- 2024: Disposición Adicional novena de los Presupuestos Generales de Extremadura 2024.
- 2023: Disposición Adicional novena de los Presupuesto Generales de Extremadura.
- 2022 and 2021: Disposición Adicional Octava de los Presupuestos Generales de Extremadura.
- 2020: Disposición Adicional Octava de la Ley 1/2020, de 31 de enero, de Presupuestos Generales de la Comunidad Autónoma de Extremadura para 2020, establece un Complemento adicional a la cantidad previamente reconocida en concepto de pensión de jubilación e invalidez en su modalidad no contributiva.

Cataluña:

- Ley 14/2017, de 20 de julio, de la renta garantizada de ciudadanía (disposición adicional tercera).

Galicia:

- 2025: Disposición adicional decimotercera- Ley 4/2024, de 27 de diciembre, de Presupuestos Generales de la Comunidad Autónoma de Galicia para el año 2025.
- 2024: Disposición adicional decimotercera de los Presupuestos Generales de Galicia.
- 2023: Disposición adicional decimotercera de los Presupuestos Generales de Galicia.
- 2022: Disposición adicional decimotercera de los Presupuestos Generales de Galicia.
- 2021: Disposición adicional decimocuarta de los Presupuestos Generales de Galicia.
- 2020: Disposición adicional decimocuarta de los Presupuestos Generales de Galicia.

Aragón:

- 2025: Decreto-Ley 1/2025, de 9 de abril, del Gobierno de Aragón, de medidas urgentes en relación a determinadas prestaciones económicas y subvenciones de carácter social de la Comunidad Autónoma de Aragón para el año 2025.
- 2024: Ley 17/2023, de 22 de diciembre, de Presupuestos de la Comunidad Autónoma de Aragón para el ejercicio 2024.
- 2023: Ley 8/2022, de 29 de diciembre, de Presupuestos de la Comunidad Autónoma de Aragón para el ejercicio 2023.

- 2021: Orden CDS/1733/2021, de 15 de diciembre, por la que se modifica la Orden CDS/1546/2021, de 10 de noviembre, por la que se establece el complemento económico para perceptores de la pensión no contributiva, en su modalidad de jubilación e invalidez y pensiones de ancianidad y enfermedad, correspondiente al año 2021 that modificates Orden CDS/1546/2021, de 10 de noviembre, por la que se establece el complemento económico para perceptores de la pensión no contributiva, en su modalidad de jubilación e invalidez y pensiones de ancianidad y enfermedad, correspondiente al año 2021 (BOA de 23 de noviembre de 2021).
- 2020: Orden CDS/1194/2020, de 19 de noviembre, por la que se establece el complemento económico para perceptores de la pensión no contributiva, en su modalidad de jubilación e invalidez y pensiones de ancianidad y enfermedad, correspondiente al año 2020.
- 2019: Orden CDS/1607/2019, de 27 de noviembre, por la que se establece el complemento económico para perceptores de la pensión no contributiva, en su modalidad de jubilación e invalidez y pensiones de ancianidad y enfermedad, correspondiente al año 2019.

Canarias:

- 2023: Decreto-ley 2/2023, de 23 de febrero, por el que se aprueba el abono de una prestación extraordinaria a las personas titulares de las Pensiones No Contributivas, del Fondo de Asistencia Social y del Subsidio de Garantía de Ingresos Mínimos residentes en la Comunidad Autónoma de Canarias, para paliar los efectos sociales derivados de la pandemia producidos por la covid-19 durante el año 2022, así como se modifican puntualmente algunos aspectos de la Ley 5/2022, de 19 de diciembre, de Renta Canaria de Ciudadanía.
- 2021: Decreto-ley 15/2021, de 18 de noviembre, por el que se aprueba el abono de una prestación extraordinaria a las personas titulares de las Pensiones No Contributivas, del Fondo de Asistencia Social, del Subsidio de Garantía de Ingresos Mínimos y de la Prestación Canaria de Inserción, residentes en la Comunidad Autónoma de Canarias, para paliar los efectos sociales derivados de la COVID-19, así como un suplemento extraordinario a las personas titulares de la Prestación Canaria de Inserción residentes en los municipios de Los Llanos de Aridane, El Paso y Tazacorte para paliar los efectos sociales derivados de la crisis volcánica y otras medidas en los ámbitos social, agrario y de uso del suelo.
- 2020: Decreto-ley 20/2020, de 26 de noviembre, por el que se establecen medidas urgentes para paliar los efectos sociales derivados de la COVID-19 mediante el abono de una prestación extraordinaria a las personas titulares de las pensiones no contributivas, del fondo de asistencia social, del subsidio de garantía de ingresos mínimos y de la prestación canaria de inserción, residentes en la Comunidad Autónoma de Canarias.

2.5.3.3. Old-age pension complement – poacm_es (Complemento de mínimos por jubilación)

Brief description

This means-tested benefit is a complementary benefit paid to all contributory pensions that are below the official minimum pension yearly fixed by the government.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must receive an old-age contributory pension below the minimum pension yearly fixed by the government and meet the

income test. This minimum pension depends on the age of the pensioner and on whether there is a dependent spouse.

The **dependent spouse** (*cónyuge a cargo*) is the spouse cohabiting with the pensioner and economically dependent on him.

Income assessment

All entitled units must meet the income test: pensioner net incomes, excluding the contributory old-age pension, must be below the limit yearly fixed by the government.

Benefit amount and duration

The **benefit amount** is the difference between the minimum pension (yearly fixed by the government) and the contributory old-age pension. If the sum of pensioner's net incomes and the contributory old-age pension are above the limit yearly fixed by the government, but below the sum of the income limit and the minimum pension to which the pensioner is entitled to, the benefit amount is the difference between both sums.

In any case, the benefit of any type of complement (old-age, disability and widow) cannot be higher than the basic amount of the non-contributory old age-disability pension. Duration is unlimited as long as the eligibility conditions are met.

The minimum pension is yearly fixed by the government at the beginning of the year, so it doesn't reflect the increase of the CPI of that year. To compensate this increase and maintain the purchasing power of the pension, the pensioners receive a refund in the following year. This refund is computed increasing the minimum pension with the average interannual rate of the CPI of the previous 12 months (this policy is simulated in pec00_es).

Taxation and income testing

Taxable. Benefit included in the income test of other social benefits.

EUROMOD modelling

The benefit is partly simulated in the baseline, i.e. the eligibility is conditioned to be a recipient in EU-SILC ($poacm > 0$ & $poa00 > 0$).

Evolution and characteristics of the old-age pension complement

Table 2.10 Main characteristics of the old-age pension complement. EUR per year.

		2022	2023	2024	2025
Eligibility	Contributory pension	Old-age contributory pension below the minimum pension			
	Minimum pension				
	Without a spouse				
	65 years of age or over	10,103.80	10,962.40	11,552.80	12,241.60
	Below 65 years of age	9,452.80	10,256.40	10,808.00	11,452.00
	With a non-dependent spouse				

	2022	2023	2024	2025
65 years of age or over	9,590.00	10,406.20	10,966.20	11,620.00
Below 65 years of age	8,934.80	9,695.00	10,215.80	10,824.80
With a dependent spouse				
65 years of age or over	12,467.00	13,526.80	14,466.20	15,786.40
Below 65 years of age	11,688.60	12,682.60	14,466.20	15,786.40
Income test	(Net incomes (excluding contributory old-age pension) < Limit)			
Limit. No spouse	7,939.00	8,613.81	8,942.00	9,193.00
Limit. No dependent spouse	7,939.00	8,613.81	8,942.00	9,193.00
Limit. Dependent spouse	9,260.00	10,047.10	10,430.00	10,723.00
Refund to compensate the increase of CPI and maintain the purchasing power of pensions and benefits (pec00_es)				
Without a spouse	(Increase in the Minimum pension)			
65 years of age or over	152.6			
Below 65 years of age	142.8			
With a non-dependent spouse				
65 years of age or over	145.6			
Below 65 years of age	135.8			
With a dependent spouse				
65 years of age or over	189.0			
Below 65 years of age	176.4			

Payment

Amount

Difference between the minimum pension and the contributory pension.

	2022	2023	2024	2025
	If the sum of pensioner's net incomes and the contributory old-age pension are above the limit yearly fixed by the government, but below the sum of the income limit and the minimum pension to which the pensioner is entitled to, the benefit amount is the difference between both sums.			
Ceiling	The benefit cannot be higher than the basic amount of the non-contributory old age pension.			
Duration	While the eligibility conditions are met			
Subject to	Taxes	Yes		
	SIC	No		
	Income test of other benefits	Yes		

Source: Own elaboration based on legal sources.

Legal sources

Annual update of amounts:

— 2025:

- Real Decreto 316/2025, de 15 de abril, sobre limitación de la cuantía inicial de las pensiones públicas y revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas del Estado y de otras prestaciones sociales públicas para el ejercicio 2025.
- Real Decreto 35/2025, de 21 de enero, sobre limitación de la cuantía inicial de las pensiones públicas y revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas del Estado y de otras prestaciones sociales públicas para el ejercicio 2025.

— 2024: Real Decreto-ley 8/2023, de 27 de diciembre, por el que se adoptan medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo, así como para paliar los efectos de la sequía.

— 2023: Ley 31/2022, de 23 de diciembre, de Presupuestos Generales del Estado para el año 2023.

— 2022: Ley 22/2021, de 28 de diciembre, de Presupuestos Generales del Estado para el año 2022 (artículo 44) and Real Decreto 65/2022, de 25 de enero, sobre revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas y de otras prestaciones sociales públicas para el ejercicio 2022. Refund to compensate the increase of CPI (disposición adicional primera).

— 2021: Ley 11/2020, de 30 de diciembre, de Presupuestos Generales del Estado para el año 2021 (artículo 43) and Real Decreto 46/2021, de 26 de enero, sobre revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas y de otras prestaciones sociales públicas para el ejercicio 2021.

- 2020: Real Decreto-ley 1/2020, de 14 de enero, por el que se establece la revalorización y mantenimiento de las pensiones y prestaciones públicas del sistema de Seguridad Social (2020).

Framework Law:

- Real Decreto Legislativo 8/2015, de 30 de octubre, por el que se aprueba el texto refundido de la Ley General de la Seguridad Social. It includes, among others, changes introduced by Ley 21/2021, de 28 de diciembre, de garantía del poder adquisitivo de las pensiones y de otras medidas de refuerzo de la sostenibilidad financiera y social del sistema público de pensiones.

2.5.3.4. Widow-widower's pension complement – *psuwdc_m* (Complemento de mínimos por viudedad):

Brief description

This means-tested benefit is paid to widows or widowers receiving a contributory pension that is below the official minimum pension (*pension de viudedad mínima*) yearly fixed by the government.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must be a widow receiving a contributory pension below the minimum pension yearly fixed by the government and meet the income test. The minimum pension depends on the age of the widow and of cohabitation with dependent relatives.

Individuals under 26 years of age (or older if disabled) are considered to be **dependent relatives** (*cargas familiares*) if their disposable income does not exceed 75% of the minimum wage considering 12 monthly payments.

Income assessment

All entitled units must meet the income test: individual net incomes must be below a limit yearly fixed by the government.

Benefit amount and duration

The **benefit amount** is the difference between the minimum pension (yearly fixed by the government) and the contributory widow/widower pension. If the sum of pensioner's net incomes and the contributory widow/widower pension are above the limit yearly fixed by the government, but below the sum of the income limit and the minimum pension to which the pensioner is entitled to, the benefit amount is the difference between both sums.

In any case, the benefit of any type of complement (old-age, disability and widow) cannot be higher than the basic amount of the non-contributory old age-disability pension.

Duration is unlimited as long as the eligibility conditions are met.

The pensions' amount is yearly updated in the General State Budget Law, taking CPI as a reference. Until 2022, the annual basic amount was yearly fixed by the government at the beginning of the year so it did not necessarily reflect the final increase of the CPI of that year. To compensate possible discrepancies and maintain the purchasing power of the pension, pensioners receive a refund in the following year. This refund is computed by increasing the minimum pension with the

actual average interannual rate of the CPI of the previous 12 months and, as old-age pension complement, it was received before April 2022 (this policy is simulated in pec00_es). Currently, interannual CPI is used, so no adjustment is made at the beginning of the following year.

Taxation and income testing

Taxable. Benefit included in the income test of other social benefits.

EUROMOD modelling

The benefit is partially simulated in the baseline, i.e. the eligibility is conditioned to be a recipient in EU-SILC ($psuwddm > 0$ & $psuwd00 > 0$).

Evolution and characteristics of the widow-widower's pension complement

Table 2.11 Main characteristics of the widow-widower's pension complement. EUR per year.

		2022	2023	2024	2025
Eligibility	Contributory pension	Widow's contributory pension below the minimum pension yearly fixed by the government			
		Minimum pension			
	With dependent relatives	11,688.60	12,685.60	14,466.20	15,786.40
	With disability (65% or more) or 65+ years old	10,103.80	10,963.40	11,552.80	12,241.60
	Between 60-64	9,452.80	10,256.40	10,808.00	11,452.00
	Below 60	7,655.20	8,306.20	8,752.80	9,275.00
		Refund to compensate the increase of CPI and maintain the purchasing power of pensions and benefits Increase in the minimum pension			
	With dependent relatives	176.4			
	With disability (65% or more) or 65+ years old	152.6			
	Between 60-64	142.8			
	Below 60	116.2			
	Income test	(Net incomes (excluding contributory widow/widower pension) < Limit)			
	Limit	7,939.00	8,614.00	8,942.00	9,193.00
Payment	Amount	Difference between the minimum pension and the contributory pension. If the sum of pensioner's net incomes and the contributory widow/widower pension are above the limit yearly fixed by the government, but below the sum of the income limit and the minimum pension to which the pensioner is entitled to, the benefit amount is the difference between both sums.			

	Ceiling	The benefit cannot be higher than the basic amount of the non-contributory old age-disability pension
Duration	While the eligibility conditions are met	
Subject to	Taxes	Yes
	SIC	No
	Income test of other benefits	Yes

Source: Own elaboration based on legal sources.

Legal sources

Update of amounts:

— 2025:

- Real Decreto 316/2025, de 15 de abril, sobre limitación de la cuantía inicial de las pensiones públicas y revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas del Estado y de otras prestaciones sociales públicas para el ejercicio 2025.
- Real Decreto 35/2025, de 21 de enero, sobre limitación de la cuantía inicial de las pensiones públicas y revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas del Estado y de otras prestaciones sociales públicas para el ejercicio 2025.

— 2024: Real Decreto-ley 8/2023, de 27 de diciembre, por el que se adoptan medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo, así como para paliar los efectos de la sequía.

— 2023: Ley 31/2022, de 23 de diciembre, de Presupuestos Generales del Estado para el año 2023.

— 2022: Ley 22/2021, de 28 de diciembre, de Presupuestos Generales del Estado para el año 2022 (artículo 44) and Real Decreto 65/2022, de 25 de enero, sobre revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas y de otras prestaciones sociales públicas para el ejercicio 2022.

— 2021: Ley 11/2020, de 30 de diciembre, de Presupuestos Generales del Estado para el año 2021 (artículo 43) and Real Decreto 46/2021, de 26 de enero, sobre revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas y de otras prestaciones sociales públicas para el ejercicio 2021.

— 2020: Real Decreto-ley 1/2020, de 14 de enero, por el que se establece la revalorización y mantenimiento de las pensiones y prestaciones públicas del sistema de Seguridad Social (2020).

Framework Law:

— *Real Decreto Legislativo 8/2015, de 30 de octubre, por el que se aprueba el texto refundido de la Ley General de la Seguridad Social. It includes, among others, changes introduced by Ley 21/2021, de 28 de diciembre, de garantía del poder adquisitivo de las pensiones y de otras medidas de refuerzo de la sostenibilidad financiera y social del sistema público de pensiones.*

2.5.4. Family and child-related benefits: National level

These benefits aim either for the general maintenance of families' welfare and for the alleviation of the poverty situation of households with children.

2.5.4.1. Child benefit – *bch00_es* (Prestación no contributiva por hijo a cargo):

Brief definition

Non-contributory means-tested benefit paid to families for each dependent child under 18 (or older if affected by a disability of a degree equal to or higher than 65 percent). This benefit is paid every 6 months when the child is under 18 years old or every month in case of a child with disability.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must be an adult cohabiting with their dependent children and meeting the income test. In case of nullity, legal separation or divorce of the parents the beneficiary should be the parent that oversees the child.

The definition of **dependent child in this benefit is an** individual under 18 years of age (or older if affected by a disability of a degree equal to or higher than 65 percent) economically dependent on his parents. In Spain, individuals may decide to work between 16 and 18 years of age and still be considered as dependent children if their annual earnings are below the minimum wage.

Income assessment

All entitled units must meet the income test: family unit yearly income must be below a limit yearly fixed by the government. This limit is increased by 15% for each extra dependent child. In case of belonging to a large family³⁸ the limit and the extra amount for each dependent child from the fourth onwards are different. Since April 2019, poor households, as defined by specific income thresholds fixed by the government, are entitled to a higher benefit amount per year.

³⁸ In Spain, large families are:

- families with three or more children.
- families with two children and, at least, one of them with a disability.
- families with two children and the two ascendants have a disability or, at least, one ascendant with a 65% or more degree of disability.

For eligibility, conditions there are two categories of large families:

- Special large families in which there are five or more children or four children when, at least, three of them come from multiple childbirth or adoptions.
- General large families that are the rest of the cases.

The benefit includes a phase-out in cases where the family unit's assessed income is above the corresponding income limit, but below the sum of the income limit and the benefit amount to which the family unit is entitled to.

Benefit amount and duration

The benefit amount is a fixed quantity that depends on the age and the degree of disability. Since April 2019, poor households are entitled to a higher benefit amount.

The benefit includes a phase out in cases where the family unit's assessed income is above the corresponding income limit, but below the sum of the income limit and the benefit amount to which the family unit is entitled to. In such cases, the final entitlement is computed subtracting the assessed income of the family unit from the above-mentioned income limit.

The final entitlement cannot be below 49 euro per month (10 euro until 2024), i.e., smaller amounts are disregarded.

In relation to the duration, this child benefit is received as long as the eligibility conditions are met.

Compatibilities

This benefit is compatible with national or regional lump-sum child benefits.

The introduction of the nation-wide minimum income in 2020 (see section 2.5.5.1) involves a progressive abolishment of the main child benefit for those children without disabilities (see Royal Decree-Law 30/2020). In practice, both benefits are incompatible, and since June 2020, no new applications are allowed for the main child benefit. However, those family units that were entitled to the child benefit before June 2020 will still receive it until the eligibility requirements no longer apply.

Taxation and income testing

Not taxable and not included in the income test of other benefits.

EUROMOD modelling

In EUROMOD, the nation-wide minimum income and the main child benefit for children aged below 18 without disabilities are assumed to be incompatible.

- On the one hand, family units entitled to both benefits only receive the nation-wide minimum income, even if the benefit amount of the latter is lower than the one of the main child benefit.
- On the other hand, family units entitled to the main child benefit and not to the nation-wide minimum income, keep the main child benefit.

In EUROMOD, the benefit related to disability level of 75% or more is not simulated due to lack of information on the degree of disability.

Evolution and characteristics of the child benefit

Table 2.12 Main characteristics of the child benefit. EUR per year.

		2022	2023	2024	2025
Eligibility	Age and degree of disability	Dependent child under 18 or older if affected by a disability of a degree equal to or higher than 65 percent			
	Income test	Family unit yearly income must be below a limit yearly fixed by the government			
		No income test in case of children with disabilities			
		The benefit includes a phase out			
		Limit	12,913.00	14,010.60	14,544.00
	Additional increase per children	Increased by 15% for each extra dependent child			
	Limit for large families	19,434.00	21,085.89	21,888.00	22,501.00
	Additional increase per children	3,148.00	3,415.58	3,546.00	3,646.00
	Limit for poor household	$3,776 + [(3,776 \times 0.5 \times (M-1)) + (3,776 \times 0.3 \times N)]$	$4,097 + [(4,097 \times 0.5 \times (M-1)) + (4,097 \times 0.3 \times N)]$	$4,253 + [(4,253 \times 0.5 \times (M-1)) + (4,253 \times 0.3 \times N)]$	$4,373 + [(4,373 \times 0.5 \times (M-1)) + (4,373 \times 0.3 \times N)]$
	<i>M</i> is the number of individuals over 13 years old and <i>N</i> those of 13 years old or below				
Payment					
Amounts					
Children below 18 years without disabilities ¹		341.00	588.00	588.00	588.00
Children below 18 years without disabilities in poor households		588.00	637.92	637.92	637.92

	2022	2023	2024	2025
Children with degree of disability of 33% or more (for children under 18 years of age) 65% or more (for children above 18 years of age) 75% or more (for children above 18 years of age) Refund to compensate the increase of CPI and maintain the purchasing power of pensions and benefits (pec00_es)	1,000	1,000	1,000	1,000
	4,934.40	5,353.82	5,647.20	5,805.60
	7,401.60	8,030.73	8,469.60	8,707.20
	Basic amount of previous year increases 75.6			-
Phase out When the family unit's assessed income is above the corresponding income limit, but below the sum of the income limit and the benefit amount to which the family unit is entitled to → the final entitlement is computed subtracting the assessed income of the family unit from the above-mentioned income limit Floor (monthly amounts) Ceiling	10 -	10 -	10 -	49 -
Duration	While the eligibility conditions are met			
Subject to	Taxes	No		

	2022	2023	2024	2025
SIC		No		
Income test of other benefits		No		

Notes: ¹ Since 2022, this benefit has been integrated into the national Minimum Income Scheme, as a child complement.

Source: Own elaboration based on legal sources.

Legal sources

Update of amounts:

— 2025:

- Real Decreto 316/2025, de 15 de abril, sobre limitación de la cuantía inicial de las pensiones públicas y revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas del Estado y de otras prestaciones sociales públicas para el ejercicio 2025.
- Real Decreto 35/2025, de 21 de enero, sobre limitación de la cuantía inicial de las pensiones públicas y revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas del Estado y de otras prestaciones sociales públicas para el ejercicio 2025.

— 2024: Real Decreto-ley 8/2023, de 27 de diciembre, por el que se adoptan medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo, así como para paliar los efectos de la sequía.

— 2023: Ley 31/2022, de 23 de diciembre, de Presupuestos Generales del Estado para el año 2023.

— 2022: Disposición adicional trigésima novena de los Presupuestos Generales del Estado para 2022 y Real Decreto 65/2022, de 25 de enero, sobre revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas y de otras prestaciones sociales públicas para el ejercicio 2022 (disposición adicional octava). Refund to compensate the increase of CPI (disposición adicional primera).

— 2021: Real Decreto 46/2021, de 26 de enero, sobre revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas y de otras prestaciones sociales públicas para el ejercicio 2021.

— 2020: Real Decreto-ley 20/2020, de 29 de mayo, por el que se establece el ingreso mínimo vital y Real Decreto-ley 1/2020, de 14 de enero, por el que se establece la revalorización y mantenimiento de las pensiones y prestaciones públicas del sistema de Seguridad Social (2020).

Framework Law:

— Real Decreto Legislativo 8/2015, de 30 de octubre, por el que se aprueba el texto refundido de la Ley General de la Seguridad Social.

2.5.4.2. National lump-sum childbirth benefits

Lump-sum child benefit for multiple birth or adoption - bchbaucna02_es (Prestación por parto o adopción múltiple)

Brief description

These benefits are payable once at multiple birth or adoption to compensate for the increase in expenses in the family.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must give multiple birth or adopt two or more children.

Income assessment

There is no income test.

Benefit amount and duration

The benefit amount is different according to the number of children: for 2 children the benefit amount is 4 times the minimum wage, increasing to 8 and 12 times the minimum wage for 3 and 4 (or more) children respectively.

Regarding the duration, this benefit is payable once.

Compatibilities

This benefit is compatible with any other child benefits, but it is incompatible with regional lump-sum benefits for multiple birth or adoption.

Taxation and income testing

Not taxable.

EUROMOD modelling

The policy can be fully/perfectly simulated in EUROMOD, without any particular data or modelling limitations.

Evolution and characteristics of the lump-sum child benefits for multiple birth or adoption

Table 2.13 Main characteristics of the lump-sum child benefits for multiple birth or adoption. EUR per year.

		2022	2023	2024	2025
Eligibility		Multiple birth or adoption			
Payment	Amount				
	2 children		4 times minimum wage		
		4,000.12	4,320	4,536	4,736
	3 children		8 times minimum wage		

		8,000.24	8,640	9,072	9,472
	4 Children or more		12 times minimum wage		
		12,000.35	12,960	13,608	14,208
Duration		Payable once			
Subject to	Taxes	No			
	SIC	No			
	Income test of other benefits	No			

Source: Own elaboration based on legal sources.

Legal sources

Framework Law:

— *Real Decreto Legislativo 8/2015, de 30 de octubre, por el que se aprueba el texto refundido de la Ley General de la Seguridad Social.*

2.5.4.2.1. Means-tested lump-sum childbirth benefit for large families, lone-parents and mothers with disabilities - *bchbamtna_es* (*Prestación por nacimiento o adopción de hijos en los casos de familia numerosa, monoparentales o madres discapacitadas igual o más del 65%*)

Brief description

Non-contributory means-tested benefit payable once to some household types (large families, lone-parents and mothers with disabilities) at childbirth if net household income is below the income test.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must be a cohabiting parent of the above-mentioned household types at childbirth and meet the income test.

Income assessment

All entitled units must meet the income test: family unit yearly income must be below a limit yearly fixed by the government. This limit is increased by 15% for each additional dependent child. In case of belonging to a large family with three dependent children, the limit and the extra amount for each dependent child from the fourth onwards are different.

The benefit includes a phase out in cases where the family unit's assessed income is above the corresponding income limit, but below the sum of the income limit and the benefit amount to which the family unit is entitled to.

Benefit amount and duration

The **benefit amount** is a fixed amount of 1,000 euros.

As the main child benefit, this lump sum benefit includes also a phase out in cases where the family unit's assessed income is above the corresponding income limit, but below the sum of the income limit and the benefit amount to which the family unit is entitled to. In such cases, the final entitlement is computed subtracting the assessed income of the family unit from the above-mentioned income limit.

The final entitlement cannot be below 10 euro per year (28.41 euro before 2021), i.e., smaller amounts are disregarded.

Regarding the **duration**, this benefit is payable once.

Compatibilities

This benefit is not compatible with any other regional or local benefits of the same type.

Taxation and income testing

Not taxable and not included in the income test of other benefits.

EUROMOD modelling

The policy can be fully simulated in EUROMOD, without any particular data or modelling limitations.

Evolution and characteristics of the means-tested lump-sum child benefit for large families, lone parents and disabled mothers

Table 2.14 Main characteristics of the means-tested lump-sum child benefit for large families, lone parents and disabled mothers. EUR per year.

	2022	2023	2024	2025
Eligibility	Childbirth for large families, lone parents and disabled mothers			
Income test	Family unit yearly income must be below a limit yearly fixed by the government			
Limit for lone parents and disabled mothers	12,913.00	14,010.60	14,010.60	14,952.00
Additional increase per children	Increased by 15% for each extra dependent child			
Limit for large families	19,434.00	21,085.89	21,085.89	22,501.00
Additional increase per children	3,148.00	3,415.58	3,415.58	3,646.00
Payment				

		2022	2023	2024	2025
Amount		1,000	1,000	1,000	1,000
Phase out	When the family unit's assessed income is above the corresponding income limit, but below the sum of the income limit and the benefit amount to which the family unit is entitled to à the final entitlement is computed subtracting the assessed income of the family unit from the above-mentioned income limit				
Floor		10	10	10	10
Ceiling		-	-	-	-
Duration	Payable once				
Subject to	Taxes			No	
	SIC			No	
	Income test of other benefits			No	

Source: Own elaboration based on legal sources.

Legal sources

Update of amounts:

— 2025:

- Real Decreto 316/2025, de 15 de abril, sobre limitación de la cuantía inicial de las pensiones públicas y revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas del Estado y de otras prestaciones sociales públicas para el ejercicio 2025.
- Real Decreto 35/2025, de 21 de enero, sobre limitación de la cuantía inicial de las pensiones públicas y revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas del Estado y de otras prestaciones sociales públicas para el ejercicio 2025.

— 2023: Ley 31/2022, de 23 de diciembre, de Presupuestos Generales del Estado para el año 2023.

— 2022: Real Decreto 65/2022, de 26 de enero, sobre revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas y de otras prestaciones sociales públicas para el ejercicio 2022 (Disposición adicional octava).

— 2021: Real Decreto 46/2021, de 26 de enero, sobre revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas y de otras prestaciones sociales públicas para el ejercicio 2021 (Disposición adicional sexta).

Framework Law:

— Real Decreto Legislativo 8/2015, de 30 de octubre, por el que se aprueba el texto refundido de la Ley General de la Seguridad Social.

2.5.4.3. Parental leave for birth and care of child contributory benefit – *bmact_es* and *bpact_es* (prestación por nacimiento y cuidado de menor)

Brief description

Benefit for the substitution of the remunerations that are not received during the maternity and paternity period. The possible situations are:

1. Biological maternity and paternity.
2. Adoption.
3. Guard for adoption purposes.
4. Foster care lasting no less than one year.
5. Guardianship by family member who cannot adopt due to their degree of kinship.
6. Pregnancy by substitution (surrogate motherhood).

In cases 2, 3, 4, 5 the children must be less than 6 years old. In case of children with disabilities the age requirement is extended up to 18 years old.

Since 2021, paternity leave in Spain was equalized to the length of maternity leave, being from then on 16 weeks each, non-transferable, 100% paid and with a gender-neutral name: parental leave for birth and care of child (*prestación por nacimiento y cuidado de menor*).

Definitions and eligibility conditions:

The unit of analysis is the individual. To be considered eligible, affiliation and registration in the Social Insurance system, as well as a minimum contribution period, are required:

- If younger than 21 years old: no contribution period is required.
- If age between > 21 and <26 years old: a minimum contribution period of 90 days in the 7 years prior to the beginning of the permission (alternatively, 180 days throughout their working life).
- If age >26 years old: a minimum contribution period of 180 days in the 7 years prior to the beginning of the permission (alternatively, 360 days throughout their working life).

If the minimum contribution period is not fulfilled the individual might be entitled to the “Maternity leave non-contributory benefit”, but only in the case of a woman.

Income assessment

There is no income assessment.

Benefit amount and duration

The benefit amount is obtained through the following operation: $BR * 100\%$.

- BR (regulatory base) = BC (contribution base) for CC (common contingencies) of the month before the start of the break / Number of days to which this contribution corresponds.

In case of multiple birth, the amount is an extra lump sum to the one that you receive each month for each child from the second (this included), equal to what should be received during the first 6 weeks after birth. For instance, if you have a multiple birth of two children you will receive: BR each month and an extra lump sum of $BR \times (42 \text{ days})$.

Since 2021 the duration is of 16 weeks for each parent:

- **In case of natural birth:** 16 weeks, of which the 6 weeks immediately after birth are mandatory for both parents and the remaining 10 weeks can be taken at any time before the child reaches 12 months of age. The latter can be either full-time or part-time. They cannot be transferred between partners.
- **In case of adoption, guardianship, fostering, etc.:** 16 weeks, of which the 6 weeks immediately after the judicial decision constituting the adoption or of the administrative decision of guardianship for the purpose of adoption are mandatory for both parents. The remaining 10 weeks may be taken in weekly periods, accumulated or interrupted, within the 12 months following the aforementioned judicial or administrative decisions. The optional 10 weeks can be either full-time or part-time. They cannot be transferred between partners.

In addition, there are some extensions (accumulative) of the leave due to the following situations:

- **Multiple delivery:** 2 more weeks (one for each parent), after the 16 weeks, for each child starting from the second.
- **Disability of the child above 33%:** 2 more weeks (one for each parent), after the 16 weeks, for each disabled child.
- **Hospitalization of the newborn:** as many days as the child stays in hospital, with a maximum of 13 weeks.

EUROMOD modelling

In EUROMOD, this benefit is only simulated from 2015 to 2025. The simulation is, however, switched off in the baseline, i.e., non-simulated components coming from the data (*bma*) are used by default.

As the benefit amount depends on the previous earnings, we assume those to be equal to the imputed wage (*yivwg*) or the current wage, whichever is higher. The imputed wage is recorded in hourly terms; hence we assume a country-specific standard number of hours worked per week (40 hours) and we recalculate *yivwg* in monthly terms ($yivwg \times 40 \times (52/12)$).

Evolution and characteristics of parental leave for birth and care of child contributory benefit.

Table 2.15 Main characteristics of parental leave for birth and care of child contributory benefit. EUR per year.

	2022	2023	2024	2025
Eligibility	Biological maternity and paternity, adoption, guard for adoption purposes, foster care lasting no less than one year, guardianship			

Contribution period		by family member who cannot adopt due to their degree of kinship, pregnancy by substitution (surrogate motherhood)
< 21 years old		Not required
>=21 y <26 years old		At least 90 days in the 7 years prior to the permission (or 180 days in working life).
>=26 years old		At least 180 days in the 7 years prior to the permission (or 360 days in working life)
Payment		
Amount		BR * 100% where BR (regulatory base) = BC (contribution base) for CC (common contingencies) of the month before the start of the break / Number of days to which this contribution corresponds
Extra amount for multiple birth		BR*(42 days) for each child from the second.
Duration		16 weeks (it can be extended or modified)
Subject to	Taxes	No
	SIC	Yes
	Income test of other benefits	Yes

Source: Own elaboration based on legal sources.

Legal sources

Framework Law:

- Real Decreto-ley 6/2019, de 1 de marzo, de medidas urgentes para garantía de la igualdad de trato y de oportunidades entre mujeres y hombres en el empleo y la ocupación.
- Real Decreto Legislativo 8/2015, de 30 de octubre, por el que se aprueba el texto refundido de la Ley General de la Seguridad Social.

2.5.4.4. Maternity leave non-contributory benefit – *bmanc_es* (prestación no contributiva por maternidad)

Brief description

Maternity leave benefit for women registered as a member of the Social Insurance System, but not meeting the minimum contribution period required for the contributory maternity benefit.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, women must be employed and affiliated to the Social Insurance System, while not meeting the minimum contribution period required for the contributory maternity benefit.

Income assessment

There is no income assessment.

Benefit amount and duration

The benefit amount is 100% of the daily IPREM.

The duration of the permission leave is 42 days and there is a possibility of 14 extra days in case of multiple birth, single parent family, large family, mother or child with disabilities equal to or greater than 65% (for one condition or all together a maximum of 14 days).

EUROMOD modelling

In EUROMOD Public Releases, this benefit is only simulated from 2015 to 2022. The simulation is, however, switched off as part of the baselines, i.e., non-simulated components (*bma*) are being used.

Evolution and characteristics of the maternity leave non-contributory benefit

Table 2.16 Main characteristics of the maternity leave non-contributory benefit. EUR per year.

	2022	2023	2024	2025
Eligibility	Natural childbirth Employee affiliated to the Social Insurance System and the minimum contribution period of the maternity leave contributory benefit being not fulfilled			
Payment	Amount	100% of the daily IPREM		
Duration	42 days (14 extra days in multiple birth, single parent family, large family, mother or child with disabilities >65%)			
Subject to	Taxes	No (since October 2018)		
	SIC	Yes		
	Income test of other benefits	Yes		

Source: Own elaboration based on legal sources.

Legal sources

Framework Law.

— Real Decreto Legislativo 8/2015, de 30 de octubre, por el que se aprueba el texto refundido de la Ley General de la Seguridad Social.

2.5.5. Family and child-related benefits: Regional level — *bchrg_es*

These benefits aim either for the general maintenance of families' welfare and for the alleviation of the poverty situation of households with children. In general, regions aim to complement national level policies.

2.5.5.1. Andalucía

Andalucía delivers two child-related benefits: for children under 3 years when a third child is born and for multiple birth.

Means-tested child benefit for children under 3 years of age when a third child is born

(*Ayuda económica por hijos/as menores de tres años en el momento de un nuevo nacimiento*).

Brief description

This benefit is payable for children under 3 years in the family unit when a third child is born.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must be resident in Andalucía, have children under 3 years of age when a third child is born and meet an income test.

Income assessment

All entitled units must meet the income test: family unit yearly income (broadly similar to PIT tax base) must be below 6 times the IPREM.

Benefit amount and duration

The benefit amount is different according to the family unit yearly income: 120% *basic amount (if income is equal or below the IPREM), 110% *basic amount (if income between 1 and 2 times the IPREM), 100%*basic amount (if income between 2 and 4 times the IPREM) and 50%*basic amount (if income between 4 and 6 time the IPREM).

Regarding the duration, this benefit is payable once.

EUROMOD modelling

The policy can be fully simulated in EUROMOD, without any particular data or modelling limitations.

Evolution and characteristics of the means-tested child benefit for children under 3 years of age when a third child is born

Table 2.17 Main characteristics of the means-tested child benefit for families when a third child is born, and they have two children under 3 years of age in Andalucía. EUR per year.

	2022	2023	2024	2025
Eligibility	Children under 3 years when a third child is born			
	Income test	Family unit yearly income < 6*IPREM		
Payment	Basic amount	600		
	Benefit amount			
	If income <= IPREM	€720 (120%* basic amount)		
	If IPREM <income<=2 IPREM	€660 (110%* basic amount)		
	If 2*IPREM <income<=4 IPREM	€600 (100%* basic amount)		
	If 4*IPREM <income<=6 IPREM	€300 (50%* basic amount)		
Duration	Payable once			
Subject to	Taxes	No		
	SIC	No		
	Income test of other benefits	No		

Source: Own elaboration based on legal sources.

Means-tested child benefit for multiple birth (*Ayuda económica por parto múltiple*).

Brief description

This benefit is payable in case of multiple birth (two or more children) until the third birthday of the children.

Definitions and eligibility conditions

The unit of analysis is the household. To be considered eligible, a person must be resident in Andalucía, give multiple birth (of two or more children) and meet an income test.

Income assessment

All entitled units must meet the income test: family unit yearly income (broadly similar to PIT tax base) must be below 6 times the IPREM.

Benefit amount and duration

The benefit amount is different according to the family unit yearly income: 120% *basic amount (if income is equal or below the IPREM), 110% *basic amount (if income between 1 and 2 times the IPREM), 100%*basic amount (if income between 2 and 4 times the IPREM) and 50%*basic amount (if income between 4 and 6 time the IPREM). The basic amount depends on the number of children of the multiple birth.

Regarding the duration, this benefit is payable yearly until the third birthday of the children.

EUROMOD modelling

The policy can be fully simulated in EUROMOD, without any particular data or modelling limitations.

Evolution and characteristics of the means-tested child benefit for multiple birth

Table 2.18 Main characteristics of the means-tested child benefit for multiple birth in Andalucía. EUR per year.

		2022	2023	2024	2025
Eligibility		Multiple birth until the third birthday of the children			
	Income test	Family unit yearly income < 6*IPREM			
Payment	Basic amount	1,200 (2 children), 2,400 (3 children), 3,600 (4 children), 4,800 (5 children)			
	Benefit amount				
	If income <= IPREM	120%* basic amount			
	If IPREM <income<=2 IPREM	110%* basic amount			
	If 2*IPREM <income<=4 IPREM	100%* basic amount			
	If 4*IPREM <income<=6 IPREM	50%* basic amount			
Duration		Payable once (until de third birthday of the children)			
Subject to	Taxes	No			
	SIC	No			

Source: Own elaboration based on legal sources.

Legal sources

Framework Law:

- *Decreto-Ley 7/2013, de 30 de abril, de medidas extraordinarias y urgentes para la lucha contra la exclusión social en Andalucía, que modifica los tramos de renta a aplicar para tener derecho a las Ayudas económicas por hijos/as menores de tres años y por partos múltiples, reguladas por la Orden de 6 de mayo de 2002, por la que se regulan ayudas económicas por menores y partos múltiples.*
- *BOJA 11 de mayo de 2002, ORDEN de 6 de mayo de 2002, por la que se regulan ayudas económicas por menores y partos múltiples.*

2.5.5.2. Aragón

Means-tested child benefit for multiple birth (*Ayuda económica por parto múltiple*). Aragón delivers one child-related benefit for multiple birth of three or more children.

Brief description

This benefit is payable in case of multiple birth of three or more children until the twelfth birthday of the children.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must be resident in Aragón, give multiple birth of three or more children and meet an income test.

Income assessment

All entitled units must meet the income test: family unit yearly income (broadly similar to PIT tax base minus personal and family allowances) must be below a limit yearly fixed by the regional government (11,401.01 euro for the period 2022-2025).

Benefit amount and duration

- The benefit amount for each child is the result of applying a number of decreasing percentages depending on the family income to a basic benefit amount yearly fixed by the government. In the period 2022-2025, the basic amount is 1,200 euros. The percentages applied to each income band are shown in the table below.

Moreover, there is an additional amount when there are 4 or more children in the family unit.

Regarding the duration, this benefit is payable yearly until the twelfth birthday of the children.

EUROMOD modelling

The policy can be fully simulated in EUROMOD, without any particular data or modelling limitations.

Evolution and characteristics of the means-tested child benefit for multiple birth

Table 2.19 Main characteristics of the Means-tested child benefit for multiple birth in Aragón. EUR per year.

	2022	2023	2024	2025
Eligibility	Multiple birth of 3 or more children until the twelfth birthday			
Income test	Family yearly income < €11,400			
Payment	€1,200 for each child			
Basic amount				
Benefit amount				
Income ≤ 4,570.	€1,200 for each child (100%*BA)			
4,570.01<income≤6,280	€1,020 for each child (85%*BA)			
6,280<income≤7,425	€840 for each child (70%* BA)			
7,425<income≤9,140	€660 for each child (55%* BA)			
9,140 <income≤10,280	€480 for each child (40%* BA)			
10,280<income≤11,400	€300 for each child (25%* BA)			
Additional amount				
4 children	15%*benefit amount			
5 children	35%*benefit amount			
6 children	65%*benefit amount			
Duration	Payable once (until de twelfth birthday of the children)			
Subject to				
Taxes	No			
SIC	No			
Income test of other benefits	No			

Source: Own elaboration based on legal sources.

Legal sources

Update of amounts:

- 2024: Orden BSF/1325/2024, de 23 de octubre, por la que se convocan ayudas para familias con hijos e hijas que han nacido de partos múltiples o procedentes de adopción múltiple, para el año 2024.
- 2023: Orden CDS/246/2023, de 21 de febrero, por la que se convocan ayudas para familias con hijos e hijas que han nacido de partos múltiples o procedentes de adopción múltiple, para el año 2023.
- 2022: Orden CDS/186/2022, de 14 de febrero, por la que se convocan ayudas para familias con hijos e hijas que han nacido de partos múltiples o procedentes de adopción múltiple, para el año 2022.
- 2021: Orden CDS/100/2021, de 12 de febrero, por la que se convocan ayudas para familias con hijos e hijas que han nacido de partos múltiples o procedentes de adopción múltiple, para el año 2021.

- 2020: Orden CDS/608/2020, de 24 de junio, por la que se convocan ayudas para familias con hijos e hijas que han nacido de partos múltiples o procedentes de adopción múltiple, para el año 2020.
- 2019: Orden CDS/765/2019, de 12 de junio, por la que se convocan ayudas para familias con hijos e hijas que han nacido de partos múltiples o procedentes de adopción múltiple, para el año 2019.
- 2018: Orden CDS/625/2018, de 4 de abril, por la que se convocan ayudas para familias con hijos e hijas que han nacido de partos múltiples o procedentes de adopción múltiple, para el año 2018.

2.5.5.3. Principado de Asturias

There is a benefit for residents in small towns with decreasing population, but due to lack of data (EU-SILC is not representative at the municipality level) this benefit is not simulated.

Legal sources

- 2023: Resolución de 3 de abril de 2023, de la Consejería de Derechos Sociales y Bienestar, por la que se convocan ayudas por el nacimiento y adopción mediante convocatoria pública.

2.5.5.4. Illes Balears

No benefit.

2.5.5.5. Canarias

No benefit.

2.5.5.6. Cantabria

Cantabria delivers two child-related benefits: for birth or adoption of a second or successive child and for multiple birth or adoption.

Means-tested child benefit for birth or adoption second or successive child (*Ayuda económica por nacimiento o adopción de segundo hijo o sucesivo*).

Brief description

This benefit is payable in case of adoption or birth of a second or successive child.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must be resident in Cantabria, give birth or adopt a second or successive child and meet an income test.

Income assessment

All entitled units must meet the income test: family unit yearly income (broadly similar to tax base minus personal and family allowances) must be below a fixed limit of 42,000 euro.

Benefit amount and duration

The benefit amount for the second child is different according to the family unit yearly income but in case of disability of any child the amount will be 1,500 euro. Since 2020, the benefit amount for the second child in case of lone-parent families is 1,500 euro. The benefit amount for the third and successive child is a basic amount of 1,500 euro.

Regarding the duration, this benefit is payable once.

EUROMOD modelling

The policy can be fully simulated in EUROMOD, without any particular data or modelling limitations with the exception of benefits to children with disabilities.

Evolution and characteristics of the means-tested child benefit for birth or adoption second or successive child

Table 2.20 Main characteristics of the means-tested benefit for birth or adoption second child in Cantabria. EUR per year.

	2022	2023	2024	2025
Eligibility	Birth of two or more children			
Income test	Family yearly income < €42,000			
Payment	Second child			
	Income <= 18,001	€900		
	18,001 < income <= 30,001	€600		
	30,001 < Income <= 42,000	€400		
	Large family due to disabled child	€1,500		
	Lone-parents	€1,500		
	Third or successive	€1,500		
Duration	Payable once			
Subject to	Taxes	No		
	SIC			
	Income test of other benefits			

Source: Own elaboration based on legal sources.

Means-tested child benefit for multiple birth or adoption (*Ayuda económica por nacimiento o adopción multiple*).

Brief description

This benefit is payable in case of multiple birth or adoption.

Definitions and eligibility conditions

The unit of analysis are natural mothers or adoptive resident in Cantabria and meet an income test.

Income assessment

All entitled units must meet the income test: family unit yearly income (tax base minus personal and family allowance) must be below a fixed limit of 42,000 euro.

Benefit amount and duration

The benefit amount is 2,000 euro per double birth or adoption and 3,000 euro in case of triple or successive birth or adoption.

Regarding the duration, this benefit is payable once.

EUROMOD modelling

The policy can be fully simulated in EUROMOD, without any particular data or modelling limitations.

Evolution and characteristics of the means-tested child benefit for multiple birth or adoption

Table 2.21 Main characteristics of the means-tested benefit for multiple birth or adoption in Cantabria. EUR per year.

		2022	2023	2024	2025
Eligibility		Birth of multiple birth or adoption			
	Income test	Family yearly income < €42,000			
Payment	Double birth	€2,000			
	Triple birth or more	€3,000			
Duration		Payable once			
Subject to	Taxes	No			
	SIC	No			
	Income test of other benefits	No			

Source: Own elaboration based on legal sources.

Legal sources

- Decreto 66/2020, de 1 de octubre, por el que se modifica el Decreto 23/2015, de 23 de abril, por el que se establece y regula la concesión de subvenciones para el fomento de la natalidad mediante el apoyo a la maternidad por hijos nacidos o adoptados en Cantabria desde el 1 de enero de 2015.
- Decreto 26/2016, de 5 de mayo, por el que se modifica el Decreto 23/2015, de 23 de abril, por el que se establece y regula la concesión de subvenciones para el fomento de la natalidad mediante el apoyo a la maternidad por hijos nacidos o adoptados en Cantabria desde el 1 de enero de 2015.
- Decreto 23/2015, de 23 de abril, por el que se establece y regula la concesión de subvenciones para el fomento de la natalidad mediante el apoyo a la maternidad por hijos nacidos o adoptados en Cantabria desde el 1 de enero de 2015.

2.5.5.7. Castilla-La Mancha

Castilla-La Mancha delivers one child-related benefit for children under 18 in large families.

Means-tested child benefit for children under 18 in large families (*Ayudas a familias numerosas por menores de 18 años*).

Brief description

This benefit is payable for each child under 18 years of age in case of large families.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must be resident in Castilla-La Mancha, belong to a large family with children under 18 years of age and meet an income test.

Income assessment

All entitled units must meet the income test: family unit yearly income (broadly similar to tax base minus personal and family allowances) must be below the IPREM multiplied by a coefficient depending on the number of children in the large family plus one. There is also an upper limit of 8*IPREM. Children with disabilities count as two children for the computation of the benefit. In addition, there is a wealth test, but it is not applied in simulation due to lack of data on assets.

Benefit amount and duration

The benefit amount for each child under 18 is the IPREM multiplied by a coefficient depending on the number of children of the large family and the fertility rate of the region. The benefit amount is incremented by 10% if the large-family condition has been acquired by multiple birth.

Regarding the duration, this benefit is payable until the children are 18. The additional amount when the large-family condition has been acquired by multiple birth is payable during two years in case of three children birth or 3 years in case of four children birth.

EUROMOD modelling

The policy can be fully simulated in EUROMOD, without any particular data or modelling limitations with the exception of benefits to children with disabilities.

Evolution and characteristics of the means-tested child benefit for children under 18 in large families

Table 2.22 Main characteristics of the means-tested child benefit for children under 18 in large families in Castilla La Mancha. EUR per year.

	2022	2023	2024	2025
Eligibility	Large families with children under 18			
Income test	Family unit yearly income < IPREM * (number of children + 1) (Children with disabilities are computed as two children)			
1 or 2 children	Family unit yearly income < € 24,318.84		Family unit yearly income < € 25,200	
3 children	Family unit yearly income < € 32,425.12		Family unit yearly income < € 33,600	

		2022	2023	2024	2025
	4 children	Family unit yearly income < € 40,531.40	Family unit yearly income < € € 42,000		
	5 children	Family unit yearly income < € 48,637.68	Family unit yearly income < € € 50,400		
	6 children	Family unit yearly income < € 56,743.96	Family unit yearly income < € € 58,800		
	7 children and over	Family unit yearly income < € 64,850.24	Family unit yearly income < € € 67,200		
Pay- ment	Basic amount per child under 18 (EUR per month)	IPREM * coefficient depending on the number of children and the re- gional fertility rate			
	3 children		41.22		
	4 children		54.96		
	5 children		68.70		
	6 children		82.44		
	7 children		96.18		
	8 children		109.92		
	9 children		123.66		
	10 children and over		137.40		
	Additional amount in case of multiple birth		10% basic amount		
Dura- tion		Payable until the children are 18			
Sub- ject to	Taxes		No		
	SIC		No		
	Income test of other benefits		No		

Source: Own elaboration based on legal sources.

Legal sources

- *Resolución de 30/12/2020, de la Viceconsejería de Servicios y Prestaciones Sociales, por la que se publica el crédito presupuestario disponible durante los ejercicios 2021, 2022 y 2023 para atender las obligaciones de contenido económico derivadas de las ayudas económicas a las familias numerosas de Castilla-La Mancha.*
- *Decreto 108/2014, de 23/10/2014, por el que se modifica el Decreto 80/2012, de 26 de abril, por el que se regulan ayudas económicas a familias numerosas y familias acogedoras de Castilla-La Mancha.*
- *Decreto 80/2012, de 26/04/2012, por el que se regulan ayudas económicas a familias numerosas y familias acogedoras de Castilla-La Mancha.*

2.5.5.8. Castilla y León

No benefit.

2.5.5.9. Cataluña

Cataluña delivers one child-related benefit for the birth of one or more children.

Means-tested lump-sum childbirth benefit (*Ayuda económica para familias en que se haya producido un nacimiento, adopción*).

Brief description

This benefit is payable for the birth of one or more child.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must be a resident in Cataluña for at least 5 years and meet an income test.

Income assessment

All entitled units must meet the income test: family unit yearly income (tax base) must be below a fixed limit of 16,000 euro multiplied by a coefficient depending on the number of family members. This coefficient is 1 for families up to 3 members. For families of 4 or more members the coefficient will increase by 0.3 for each additional member. For lone parents with 1 or 2 children the number of members is 4. For lone parents with 3 or more children the number of members is increased by 1.

Benefit amount and duration

The benefit amount for each childbirth is a fixed amount of 650 euro or 750 euro in case of lone parents or large families.

Regarding the duration, this benefit is payable once at the birth of the children.

EUROMOD modelling

The policy can be fully simulated in EUROMOD, without any particular data or modelling limitations.

Evolution and characteristics of the means-tested lump-sum childbirth benefit

Table 2.23 Main characteristics of the means-tested lump-sum childbirth benefit in Cataluña. EUR per year.

	2022	2023	2024	2025
Eligibility	Birth of one or more children			
Income test				
<= 3 members	Family income < 16,000 euro			
> 3 members	Family income < 16,000 euro*(1+0.3*(members-3))			
Lone parents	€16,000 *(1+0.3) < Family income < €16,000 *(1+0.3*(members+1-3))			
Payment	€650			
Lone parents or large families	€750			
Duration	Payable once (until de twelfth birthday of the children)			
Subject to				
Taxes	No			
SIC	No			
Income test of other benefits	No			

Source: Own elaboration based on legal sources.

Legal sources

Framework Law:

- *Orden TSF/251/2016, de 19 de septiembre, por la que se aprueban las bases que deben regir la concesión de la ayuda económica sometida al nivel de ingresos de la unidad familiar para familias en las que haya tenido lugar un nacimiento, adopción, tutela o acogimiento.*
- *2019. Resolución TSF/2314/2019, de 4 de septiembre, por la que se abre la convocatoria para la concesión de la ayuda económica sometida al nivel de ingresos de la unidad familiar para familias en las que haya tenido lugar un nacimiento, adopción, tutela o acogimiento, para los periodos comprendidos entre el 1 de septiembre y el 31 de diciembre de 2019 y el 1 de enero y el 31 de agosto de 2020 (ref. BDNS 472429).*

2.5.5.10. Extremadura

No benefit since 2018.

2.5.5.11. Galicia

Galicia delivers two child-related benefits: for children under 3 years and, since, 2020 there is a new benefit for childbirth.

Means-tested benefit for children under 3 years (*Prestación económica de pago único por hijos e hijas menores de tres años*).

Brief description

This benefit is payable for child under 3 years of age.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must have legal residence in Galicia, have a child under 3 years old and meet the income test.

Income assessment

All entitled units must meet the income test: family unit yearly income (broadly similar to tax base minus personal and family allowances) must be below 22,000 euro.

Benefit amount and duration

The benefit amount is a fixed amount depending on the number of children. Until 2020, the benefit amount was 360 euro for the first child, 1,200 euro for the second and 2,400 euro for the third child or successive. Since 2020, the benefit is for children between 1 and 3 years of age and the amount for the first child increased to 600 euro.

Regarding the duration, this benefit is payable until the children have 3 years old.

EUROMOD modelling

The policy can be fully simulated in EUROMOD, without any particular data or modelling limitations.

Evolution and characteristics of the means-tested lump-sum benefit for children under 3 years

Table 2.24 Main characteristics of the means-tested lump-sum benefit for children under 3 years in Galicia. EUR per year.

		2022	2023	2024	2025
Eligibility		For child under 3 years of age		Children from 1 to 2 years old	
	Income test	Family unit yearly income < €22,000			
Payment					
	First child < 3years	€600	€600	€600	€600
	Second child < 3years	€1,200	€1,200	€1,200	€1,200
	Third child or successive < 3years	€2,400	€2,400	€2,400	€2,400
Duration		Payable until children are 3 years old	Payable for children between 1 and 2 years old		
Subject to	Taxes			No	
	SIC			No	
	Income test of other benefits			No	

Source: Own elaboration based on legal sources.

Means-tested lump-sum benefit for childbirth (*Prestación económica para las familias con hijas e hijos nacidos, adoptados*).

Brief description

This benefit is payable for the birth or adoption of a child.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must have legal residence in Galicia and meet an income test.

Income assessment

All entitled units must meet the income test: family unit yearly income (broadly similar to tax base minus personal and family allowances) must be below a fixed limit of €45,000.

Benefit amount and duration

The benefit amount is a fixed amount of 1,200 euro per birth. In case of birth of the third (or successive) child in the family, the benefit amount is 2,400 euro.

Regarding the duration, this benefit is payable once at childbirth.

EUROMOD modelling

The policy can be fully simulated in EUROMOD, without any particular data or modelling limitations.

Evolution and characteristics of the means-tested lump-sum benefit for childbirth

Table 2.25 Main characteristics of the means-tested lump-sum benefit for childbirth in Galicia. EUR per year.

	2022	2023	2024	2025
Eligibility	Birth or adoption child			
Income test	Family unit yearly income <€45,000			
Payment				
Basic amount	€1,200	€1,200	€1,200	€1,200
Third child in the family	€2,400	€2,400	€2,400	€2,400
Duration	Payable once			
Subject to				
Taxes	No			
SIC	No			
Income test of other benefits	No			

Source: Own elaboration based on legal sources.

Legal sources

Update of amounts:

- 2025. Orden de 30 de diciembre de 2024 por la que se establecen las bases por las que se regirá la concesión de la ayuda económica, a través de la Tarjeta Benvida, en los supuestos de gestación, nacimiento, adopción, guarda con fines adoptivos o acogimiento familiar permanente en el año 2025, y se procede a su convocatoria (código de procedimiento BS403B).
- 2024. Orden de 27 de diciembre de 2023 por la que se establecen las bases por las que se regirá la concesión de la ayuda económica, a través de la tarjeta Benvida, en los supuestos de gestación, nacimiento, adopción, guarda con fines adoptivos o acogimiento familiar permanente en el año 2024 y se procede a su convocatoria (código de procedimiento BS403B).
- 2023. Orden de 27 de diciembre de 2022 por la que se establecen las bases por las que se regirá la concesión de la ayuda económica, a través de la tarjeta Benvida, para las familias con hijas e hijos nacidos, adoptados/as o declaradas en situación de guarda con fines adoptivos en el año 2023, y se procede a su convocatoria (código de procedimiento BS403B).
- 2022. Orden de 27 de diciembre de 2021 por la que se establecen las bases por las que se regirá la concesión de la ayuda económica, a través de la tarjeta Benvida, para las familias con hijas e hijos nacidos, adoptados/as o declaradas/os en situación de guarda con fines adoptivos en el año 2022, y se procede a su convocatoria.

- 2021. Orden de 28 de diciembre de 2020 por la que se establecen las bases por las que se regirá la concesión de la ayuda económica, a través de la tarjeta Benvida, para las familias con hijas e hijos nacidos, adoptados/as o declarados/as en situación de guarda con fines adoptivos en el año 2021, y se procede a su convocatoria (código de procedimiento BS403B). (DOG nº 11 de 19 de enero de 2021).

2.5.5.12.La Rioja

No benefit.

2.5.5.13.Comunidad de Madrid

Since 2022 Madrid delivers one child-related benefit for the gestation, birth or adoption of one or more children.

Means-tested lump-sum gestation, childbirth and adoption benefit (*Ayuda económica de pago mensual por gestación, nacimiento de hijo o adopción de menores*).

Brief description

This benefit is payable for the gestation, birth or adoption of one or more children.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must be 30 years old or below, resident in Madrid for at least 5 years, and meet an income test.

Income assessment

All entitled units must meet the income test: family unit yearly income (tax base) must be below a fixed limit of 30,000 euro (individual taxation) or 36,200 euro (joint taxation).

Benefit amount and duration

The monthly benefit amount for gestation (from 21th week of gestation), birth or adoption is a fixed amount of 500 euro per child (6,000 euro per year).

Regarding the duration, this benefit is payable during 24 months.

EUROMOD modelling

The policy can be fully simulated in EUROMOD except for the benefit during the gestation due to lack of information on the month of birth of the children.

Evolution and characteristics of the means-tested lump-sum childbirth benefit

Table 2.26 Main characteristics of the means-tested lump-sum gestation, childbirth or adoption benefit in Madrid. EUR per year.

	2022	2023	2024	2025
Eligibility		Gestation, birth or adoption of one or more children Beneficiary must be 30 years old or below		
Income test		Family income < €30,000 (individual taxation) Family income < €36,200 (joint taxation)		

Payment	€6,000*number gestation/childbirth/adoption	
Duration	Monthly payable (during 24 months)	
Subject to	Taxes	No
	SIC	No
	Income test of other benefits	No

Source: Own elaboration based on legal sources.

Legal sources

Framework Law:

- *Acuerdo de 9 de diciembre de 2021, del Consejo de Gobierno, por el que se aprueban las normas reguladoras y se establece el procedimiento de concesión directa de ayudas económicas de pago mensual por gestación, nacimiento de hijo o adopción de menores en la Comunidad de Madrid.*
- *Modificaciones: Acuerdo de 16 de febrero de 2022, del Consejo de Gobierno, por el que se modifica el Acuerdo del Consejo de Gobierno de 9 de diciembre de 2021, por el que se aprueban las normas reguladoras y se establece el procedimiento de concesión directa de ayudas económicas de pago mensual por gestación, nacimiento de hijo o adopción de menores en la Comunidad de Madrid.*

2.5.5.14.Región deMurcia

No benefit.

2.5.5.15.Comunidad Foral de Navarra

No benefit.

2.5.5.16.Comunitat Valenciana

No benefit.

2.5.5.17.País Vasco

Pais Vasco delivers two child-related benefits: for children and for multiple birth.

Means-tested lump-sum benefit for children (*Ayudas económicas por hijo o hija a cargo*).

Brief description

This benefit is payable for the dependent children in the family. In 2018 the age to be considered a dependent child change from 17 to 25 years old.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must have the legal residence in Pais Vasco.

Income assessment

There is no income test.

Benefit amount and duration

Years 2020-2022:

The benefit amount is a fixed amount depending on the family unit yearly income (ordinary tax base before family allowances divided by the equivalence scale³⁹): 900, 500 and 400 euro for incomes under 20,000 euro, between 20,000 and 30,000 and over 30,000 euro respectively.

Regarding the duration, it depends on the number of dependent children. For the first child, this benefit is payable once at the birth. For the second child, before august 2018 there were two lump sums, one at childbirth and another on the following year and since august 2018 there are three lump sums, one at childbirth and two more on the following two years. For the third and successive child, there is one payment at birth and one each year until the child is 6 years old.

Years 2023-2025:

The amount of the benefit is independent of the annual income of the family unit. It is based on children's age and number.

EUROMOD modelling

The policy can be fully simulated in EUROMOD, without any particular data or modelling limitations.

Evolution and characteristics of the means-tested lump-sum benefit for children

Table 2.27 Main characteristics of the means-tested lump-sum benefit at birth in Pais Vasco. EUR per year.

	2022	2023	2024	2025
Eligibility	Birth of one or more children			
Payment				
Basic amount				
For the first child				
If the child is not disabled	€2,400 per year until the newborn is 3 years old			
If the child is disabled	€4,800 per year until the newborn is 3 years old			
Equivalised family income < €20,000	€900	(payable once at the birth)		

³⁹ The scale is as follows: 1.3 if lone parent; 1 point for the recipient (in two parents' household) and 0.5 points for the partner or spouse; 0.3 points for each child. If any of the household's members suffers from a disability, then 0.3 extra points are added to the total sum.

	2022	2023	2024	2025
	€500			
€20,000 < Equivalised family income < €30,000	(payable once at the birth)			
	€400			
Equivalised family income > €30,000	(payable once at the birth)			
For the second child*				
If the child is not disabled		€2,400 per year until the newborn is 3 years old		
If the child is disabled		€4,800 per year until the newborn is 3 years old		
	€900 (three lump sums, one at birth and the following two years)			
Equivalised family income < €20,000				
	€500 (three lump sums, one at birth and the following two years)			
€20,000 < Equivalised family income < €30,000				
	€400 (three lump sums, one at birth and the following two years)			
Equivalised family income > €30,000				
For third and successive children				
If the child is not disabled		€2,400 per year until the newborn is 3 years old		

	2022	2023	2024	2025
</				

	2022	2023	2024	2025
SIC		No		No
Income test of other benefits		No		No

Note: (*) Since august 2018 there are three lump-sum benefits for the second child.

Source: Own elaboration based on legal sources.

Means-tested lump-sum benefit for multiple childbirth or adoption (*Ayudas por nacimiento o adoption multiple national*)

Brief description

This benefit is payable in case of multiple birth or adoption.

Definitions and eligibility conditions

The unit of analysis is the individual. To be considered eligible, a person must have legal residence in Pais Vasco.

Income assessment

There is no income test.

Benefit amount and duration

The benefit amount is a fixed quantity (2,000 euro) multiplied by the number of children born minus one. A coefficient depending on the family unit yearly income (ordinary tax base before family allowances divided by the equivalence scale ⁴⁰) is also applied.

Regarding the duration, this benefit is payable once at the childbirth.

EUROMOD modelling

Policy is simulated with limitations. The EU-SILC does not collect disability data for those under 16 years of age, therefore, the additional amounts for disability are not simulated in the model.

Evolution and characteristics of the means-tested lump-sum benefit for multiple childbirth or adoption

Table 2.28 Main characteristics of the means-tested lump-sum benefit for multiple childbirth or adoption in Pais Vasco. EUR per year.

	2022	2023	2024	2025
Eligibility	Multiple birth or adoption			
Payment				

⁴⁰ The scale is as follows: 1.3 if lone parent; 1 point for the recipient (in two parents' household) and 0.5 points for the partner or spouse; 0.3 points for each child. If any of the household's members suffers from a disability, then 0.3 extra points are added to the total sum.

Basic amount		
	Equivalised family income =< €20,000	€2,000*(number of children born-1)*2
	€20,000 < Equivalised family income < €30,000	€2,000*(number of children born-1)*1.5
	Equivalised family income > = €30,000	€2,000*(number of children born-1)*1
Duration		Payable once at the birth
Subject to	Taxes	No
	SIC	No
	income test of other benefits	No

Source: Own elaboration based on legal sources.

Legal sources

Framework Law:

- *Decreto 27/2023, de 21 de febrero, de ayudas a las familias con hijas o hijos.*
- *Decreto 121/2018, de 30 de julio, de modificación del Decreto de las ayudas económicas de apoyo a las familias con hijos e hijas a cargo.*
- *Decreto 30/2015, de 30 de marzo, de las ayudas económicas de apoyo a las familias con hijos e hijas a cargo.*

2.5.6. Social assistance benefits

Social assistance benefits in Spain are composed of a nation-wide Minimum Income Scheme (*Ingreso Mínimo Vital*), adopted in June 2020, and a collection of regional minimum income schemes regulated by the regions (*Rentas Mínimas de Inserción*).

The COVID-19 crisis accelerated the approval of nation-wide minimum income in Spain, setting, for the first time, a unique guaranteed minimum income for the whole territory. Until June 2020 the minimum income system consisted of a heterogeneous group of regional minimum income schemes. In essence, the national and regional schemes are non-contributory means-tested benefits, although for the latter the eligibility rules, benefit amounts, duration and other policy rules differ greatly across regions.

As a result of the introduction of the new nation-wide minimum income, the regions have adjusted their regional schemes to work as a complement of the national one (i.e. increasing the entitlement or enlarging the coverage where deemed necessary).

Detailed descriptions of the national and regional minimum income schemes follow hereunder.

Additionally, in 2022, due to the emergency situation arising from the war in Ukraine, the following inflation compensation policies were adopted: increase in non-contributory pensions, increase in the Minimum Income Scheme and a new temporary lump-sum benefits for families with low income and wealth.

The Minimum Income Scheme Law has undergone several modifications since its approval. Currently, the law foresees the assumption of this benefit by foral regions (*disposición adicional*

quinta) and the possibility for common regime regions to assume the Minimum Income Scheme's management (*disposición adicional cuarta*).

2.5.6.1. Nation-wide Minimum Income Scheme - *bsa00_es* (Ingreso Mínimo Vital)

Minimum income scheme operating at the national level. The benefit works as a top-up (i.e. the final entitlement is the difference between the guaranteed minimum income corresponding to the family and the computed family income). The minimum income has a basic amount that increases with each additional member up to a specific ceiling. Eligible individuals need to fulfil, as well, an age eligibility criterion and a wealth test.

In order to prevent lack of a work incentive for low earners, Royal Decree 789/2022 established that those beneficiaries who increase their labour earnings (employee or self-employed) up to a certain threshold can retain all or part of the benefit amount. Up until the reform the marginal effective tax rate of a MIS beneficiary was 100% up to the guaranteed income level. Yet this reform cannot be modelled in EUROMOD and hence it is excluded from the simulation.

As regards the DANA, an automatic three-month 15% increase was introduced at the end of 2024 for beneficiaries residing in affected municipalities. This measure is not modelled.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood or family relationship up to the 2nd degree (e.g. it includes grandparents, grandchildren, etc.).

Benefit recipient: an adult living in the family unit claiming and receiving the benefit on behalf of the family unit.

Eligibility conditions

The member of the family unit claiming the benefit must be aged 23-65 years. The age requirement does not need to be fulfilled for those having dependent children, i.e. the minimum age limit is of 18 years old in that case.

Legal residence must be proved for at least 1 year. The claimant must have applied to all other benefits he/she is entitled to. If the claimant is not working, he/she must be registered as job seeker. Beneficiaries must have lived independently for at least 3 years before claiming the benefit (i.e. they must have been registered for at least 12 months in any Social Insurance regime and their dwelling must have been different from the one of the parents for at least 3 years before claiming). The family unit must have been formed for at least six months.

Income assessment

The income test takes into account incomes of the previous year, taken from administrative sources. They are calculated as a monthly average over the previous year.

All kind of market incomes, pensions and benefits are considered. Incomes are fully taken into account (gross terms) except incomes from work or rental incomes, which are included in net terms, i.e. taxes and SICs are deducted. There are, however, some exceptions:

— Regional minimum incomes or other social assistance-related benefits.

— Education allowances and housing benefits.

Wealth assessment

The wealth test includes financial and property assets other than main residence. Property assets will be valued as stated in the Art 3.1 of the Royal Decree Law 1/2004, of March 5. Financial assets will be those as December 31 of the last PIT return.

The maximum net wealth for a single-family unit is 3 times the basic amount of the benefit, increased by 40% per each additional member of the family unit, up to a maximum threshold of 220% of the basic amount and 300% of the basic amount if there are children under 18 in the family unit.

Benefit amount

The guaranteed minimum income for a single-family unit is 100% of the basic amount of the non-contributory pensions, which is yearly fixed by the government (491.60 euro monthly from January to March 2022 and 565.37 euro monthly from April to December 2022 and in 2023. During 2024 the quantity was of 604.21 euro per month. In 2025 the amount increased to 658.81 euro per month. The guaranteed minimum income increases by 30% for each additional member of the family unit up to a maximum threshold of 220% or 300% in case of children under 18 in the cohabiting unit. Lone-parent households are complemented by an additional amount of 22% of the basic amount. Since 2022 there is an additional monthly child allowance (*complemento de ayuda para la infancia, CAPI*) ⁴¹ for each minor in the cohabitation unit, in the case of minors below 18 years of age, this allowance replaces former non-contributory child benefit (*prestación por hijo a cargo no contributiva*). CAPI depends on the child's age on January 1st of the corresponding year, in accordance with the following brackets:

- In 2022: 100 euro for each child under the age of three, 70 euro over the age of three and under the age of six, and 50 euro over the age of six and under the age of 18. These amounts increase by 15% from April to December, ascending to 115 EUR, 80.5 euro and 57.5 euro respectively.
- In 2023: the aforementioned 15% rise was maintained, hence the benefits amount to 115 euro for each child under the age of three, 80.5 euro over the age of three and under the age of six, and 57.5 euro over the age of six and under the age of 18.
- In 2024: the child complement amounts are maintained. An automatic three-month-30%-increase for beneficiaries affected by the DANA was established at the end of 2024 (not modelled).

In 2025, this complement amounts to 115 euros for children under 3 years of age, 80.50 euros for those between 3 and 6 years and 57.50 euros for those between 6 and 18 years. Additionally, in 2022 to compensate the emergency situation arising from the war in Ukraine and the inflation a temporary increase of 15% of the amount of the benefit is received from April to December (this

⁴¹ Article 73 of *Real Decreto-ley 20/2022*.

policy is simulated in bwr_es). This increase was maintained in 2023 (meaning absolute amounts remain stable).

Table 2.29 Main characteristics of guaranteed minimum income. Amounts per family member, EUR per year.

Family members / year	2021	2023	2024	2025
Eligibility (Annual)	People living alone or who are part of a cohabitation unit and lacking the basic economic resources to meet their basic needs			
	Age between 23-65 or 18 if having dependent children			
Income test	Family income <= Guaranteed minimum income - €10	Family income <= Guaranteed minimum income - €10	Family income <= Guaranteed minimum income - €10	Family income <= Guaranteed minimum income - €10
Income test for Child Complement	Family income <= 3*Guaranteed minimum income - 10 euro	Family income <= 3*Guaranteed minimum income - 10 euro	Family income <= 3*Guaranteed minimum income - 10 euro	Family income <= 3*Guaranteed minimum income - 10 euro
Wealth test	Family wealth < 3 times*annual basic amount (19,689.92) increased 40% per each additional member up to a limit of 260%	Family wealth < 3 times*annual basic amount (20,353.62) increased 40% per each additional member up to a limit of 260%	Family wealth < 3 times*annual basic amount (21,751.80) increased 40% per each additional member up to a limit of 260%	Family wealth < 3 times*annual basic amount (23,717.16) increased 40% per each additional member up to a limit of 260%
Wealth test for Child Complement	Family wealth < 1.5*[3 times*annual basic amount increased 40% per additional member up to a limit of 260%]	Family wealth < 1.5*[3 times*annual basic amount increased 40% per additional member up to a limit of 260%]	Family wealth < 1.5*[3 times*annual basic amount increased 40% per additional member up to a limit of 260%]	Family wealth < 1.5*[3 times*annual basic amount increased 40% per additional member up to a limit of 260%]
Payment (year)	Basic amount + 30% basic amount * (number additional member) + Lone parents' complement + child complement			
Basic amount =100% non-contributory pension	6,563.31	6,784.44	7,250.60	7,905.72
One member	6,563.31	6,784.44	7,250.60	7,905.72
Two members	8,532.30	8,819.88	9,425.76	10,277.52
Three members	10,501.29	10,855.20	11,600.88	12,649.20
Four members	12,470.28	12,890.52	13,776.12	15,021.00

Family members / year	2021	2023	2024	2025
Five members or more	14,439.27	14,925.96	15,951.24	17,392.89
Lone parents' household complement		22% basic amount		
	1,443.93	1,492.58	1,595.04	1,739.26
Disability complement (for disability level >=65%)		22% basic amount		
	1,443.93	1,492.58	1,595.04	1,739.26

Child complement

	€115 per month and each child under 3 (100 from January to March)	€115 per month and each child under 3	€115 per month and each child under 3	€115 per month and each child under 3
	€80.50 per month and each child between 3 and 5 (70 from January to March)	€80.50 per month and each child between 3 and 5	€80.50 per month and each child between 3 and 5	€80.50 per month and each child between 3 and 5
	€57.50 per month and each child between 6 and 17 (50 from January to March)	€57.50 per month and each child between 6 and 17	€57.50 per month and each child between 6 and 17	€57.50 per month and each child between 6 and 17
Inflation compensation policy (bwr_es)	The final amount of the benefit increases 15% (from April to December)	The 15% inflation compensation existing since April 2022 is maintained (hence absolute amounts remain stable).		
Refund to compensate the increase of CPI and maintain the purchasing power of pensions and benefits (pec00_es)	Basic amount of previous year (2021) increases €88.2 (from €5,639.20 to €5,727.40) from January to March. From April to December, a 15% general increase is		-	

Family members / year	2021	2023	2024	2025
	in place (as already shown in “payment (year)” rows.			
Floor	10	10	10	10
Ceiling		220% of the basic amount		
	14,439.27	14,925.96	15,951.24	17,392.89

Source: Own elaboration based on legal sources.

The final benefit is computed as the difference between the guaranteed minimum income and the actual income of the household. Final entitlements of less than 10 euros per month are disregarded. Wage increases will have a partial disregard (to be defined by Regulation).

Duration

Indefinite duration as long as the reasons that gave rise to its concession subsist and the requirements and obligations set in the legislation are met.

Taxation and income testing

This benefit is usually not taxable⁴², nor social insurance contributions are paid on it. The final entitlement may be part of the means-test of the regional minimum income schemes.

Compatibilities

The introduction of the nation-wide minimum income in 2020 (see section 2.5.5.1) involves a progressive abolishment of the main child benefit for those children without disabilities (see Royal Decree Law 30/2020). In practice, both benefits are incompatible and since June 2020, no new applications have been allowed for the main child benefit. However, those family units that were entitled to the child benefit before June 2020 will still receive it until the eligibility requirements no longer apply.

EUROMOD simulations assume that the nation-wide Minimum Income Scheme is considered as part of the income test of the regional minimum income schemes (i.e. the nation-wide minimum income is simulated first and its result is included in the income test of the regional schemes). In practice, however, the rules of the regional schemes underwent a transition period in 2020, in which each region adapted their regulations to the new national scheme.

EUROMOD modelling

The FYA extension can be switched on to simulate within year policy changes, i.e. the duration of the benefit is limited to 7 months, from June to December 2020, if the FYA extension is switched on.

⁴² However, if the annual entitlement, together with other similar social assistance benefits (e.g. regional minimum income schemes), is higher than 1.5 times the annual IPREM, the surplus will be taxed similarly to labour incomes.

Certain rules cannot be simulated due to lack of data in the underlying data. For example, there is no information on whether the beneficiary is registered as job seeker, nor on whether he/she has lived independently for at least 3 years. It is also not possible to take into account if the beneficiary has already applied to all other benefits that he/she is entitled to.

Moreover, wealth-related information in EU-SILC is very limited. In this regard, financial assets are proxied dividing the investment income (as recorded in SILC) by the average interest rate of deposits from households. The value of any property asset, if rented, is obtained by dividing rental income by the average return from renting a property. These can be considered, anyways, proxies of market values and not of cadastral values. Secondary residences cannot be accounted for due to lack of data.

The surplus that can be taxable if received together with other regional Minimum Income Schemes is not simulated in EUROMOD given the complexity of its implementation (i.e. the personal income tax would have to be simulated twice just for this particular reason). However, this is not expected to have a significant impact given that the tax liabilities for the beneficiaries after the application of tax allowances and tax credits would be anyway null or very small.

The work incentive reform introduced by the Royal Decree 789/2022 cannot be simulated because the effects are dynamic (i.e., changes in earnings in year t affect the benefit amount in $t+x$), while EUROMOD is a static microsimulator.

BTA extension is on, so the baseline model adjusts for non-take-up of the benefit; moreover, BCA extension is also on, so it calibrates further results according to external statistics. See section 2.4 for technical details on both extensions and their interactions.

Users can enable or disable the necessary extensions in Country Tools/Set Switches. For proper functioning, the extensions require the following inputs:

- BTA: The estimated take-up rate of the benefit should be set as the value of the `$bsa00_BTA_rate` constant in the model. Currently, the model incorporates values for 2020-2023 (the value in 2024 is assumed to be the same as in 2023), obtained from AIReF's Opinions on the MIS⁴³.
- BCA: The aggregate expenditure needs to be filled out in the External Statistics table, so that the calibration rate (`$bsa00_BCA_rate`) is computed accordingly. Data are currently available for the years 2020-2023; given the absence of information for 2024, the calibration rate is not computed within the 2024 system, but the one computed within the 2023 system is used instead. For the modelling of reforms, the 2024 system should be used in order to allow for variation in the number of beneficiaries (hence expenditure): beneficiaries will change when the eligibility conditions change by applying the share of 2023 to the new pool of eligible units. If previous systems were used for reforms, total expenditure would remain constant irrespective of the reform applied, since the model would always stick to the existing external statistics.

⁴³ See the following: <https://www.airef.es/en/centro-documental/opinions-centro-documental/third-opinion-on-the-minimun-income-scheme/>

Legal sources

- *Real Decreto-ley 7/2024, de 11 de noviembre, por el que se adoptan medidas urgentes para el impulso del Plan de respuesta inmediata, reconstrucción y relanzamiento frente a los daños causados por la Depresión Aislada en Niveles Altos (DANA) en diferentes municipios entre el 28 de octubre y el 4 de noviembre de 2024.*
- *Real Decreto-ley 6/2024, de 5 de noviembre, por el que se adoptan medidas urgentes de respuesta ante los daños causados por la Depresión Aislada en Niveles Altos (DANA) en diferentes municipios entre el 28 de octubre y el 4 de noviembre de 2024.*
- *Real Decreto-ley 8/2023, de 27 de diciembre, por el que se adoptan medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo, así como para paliar los efectos de la sequía.*
- *Real Decreto-ley 20/2022, de 27 de diciembre, de medidas de respuesta a las consecuencias económicas y sociales de la Guerra de Ucrania y de apoyo a la reconstrucción de la isla de La Palma y a otras situaciones de vulnerabilidad.*
- *Real Decreto-ley 11/2022, de 25 de junio, por el que se adoptan y se prorrogan determinadas medidas para responder a las consecuencias económicas y sociales de la guerra en Ucrania, para hacer frente a situaciones de vulnerabilidad social y económica, y para la recuperación económica y social de la isla de La Palma.*
- *Real Decreto-ley 6/2022, de 29 de marzo, por el que se adoptan medidas urgentes en el marco del Plan Nacional de respuesta a las consecuencias económicas y sociales de la guerra en Ucrania.*
- *Regulation of the inflation compensation policies arising from the war in Ukraine :Real Decreto-Ley 6/2022 de 29 de marzo por el que se adoptan medidas urgentes en el marco del Plan Nacional de respuesta a las consecuencias económicas y sociales de la guerra en Ucrania and Real Decreto-ley 11/2022, de 25 de junio, por el que se adoptan y se prorrogan medidas para responder a las consecuencias económicas y sociales de la guerra en Ucrania, para hacer frente a situaciones de vulnerabilidad social y económica, y para la recuperación económica y social de la isla de La Palma.*
- *Ley 19/2021, de 20 de diciembre, por la que se establece el ingreso mínimo vital (regulation of the monthly child allowance for each minor in the cohabitation unit).*
- *Real Decreto-ley 3/2021, de 2 de febrero, por el que se adoptan medidas para la reducción de la brecha de género y otras materias en los ámbitos de la Seguridad Social y económico.*
- *Real Decreto-ley 20/2020, de 29 de mayo, por el que se establece el ingreso mínimo vital. Ley 19/2021, de 20 de diciembre, por la que se establece el ingreso mínimo vital.*

2.5.6.2. Regional minimum income schemes - *bsarg_es* (Rentas Mínimas de Inserción)

They consist of a heterogenous group of minimum income schemes set by the different Autonomous Communities in Spain. Drawing from Hernández, Picos & Riscado (2020), the main rules of these schemes can be summarized as follows, although they vary significantly across regions.

Definitions

The assessment unit of the benefit is the family, understood as individuals living together and linked by family relations up to a specific degree, which varies across regions. Spouse and children are included in the assessment unit for all regions.

Eligibility conditions

Eligibility conditions always include an income test, a wealth test, a minimum time of residence in the region prior to the application and the condition of having applied for all other benefits to which the claimants are entitled. Additionally, the family member claiming the benefit usually has to fulfil minimum and maximum age requirements.

The reception of the benefit is conditional on the fulfilment of specific obligations regarding its use and the notification of changes in the personal situation and labour status.

Income assessment

The income test usually comprises all kinds of market incomes, pensions and benefits received by all family members living in the same household, except child benefits and targeted social benefits. The wealth test usually includes financial and property assets other than the main residence, and, in some cases, assets used for economic activities.

Benefit amount

The minimum income amount corresponding to the family is usually computed as a basic amount for one-person units, increasing with each additional member up to a ceiling. Amounts are usually linked to the official minimum wage or to specific economic indexes, established by the Spanish law to fix social benefits. The final entitlement is the difference between the computed family income and the minimum income corresponding to the family (i.e. a top-up benefit).

EUROMOD modelling

As described in Hernández, Picos & Riscado (2020), the coverage of these schemes is very low in practice (of around 20%, with substantial discrepancies across regions). Without accounting by this low coverage, EUROMOD simulations significantly overestimate the number of recipients of these regional schemes. This is mainly the result of three factors:

1. Non-simulation in EUROMOD of some non-income conditions, due to the lack of information in EU-SILC (e.g. minimum required time of residence in the region, some wealth conditions, etc.).
2. Non-take-up by eligible units (i.e. no claiming by family units meeting the eligibility criteria).
3. Regional budget constraints, administrative arrangements and other elements on the side of the corresponding administration.

In order to get an accurate representation of the impact that these schemes have in practice, simulations are calibrated to account by the low coverage using the BCA extension. In the baseline scenario, the extension is switched on (i.e. calibration is applied). The BCA extension is programmed for each of the regions independently and allocates the benefit in such a way that the final expenditure

is the same as the expenditure recorded by the official statistics in the Minimum Insertion Income Report for Spain⁴⁴.

BTA extension is off by default, so the baseline model does not adjust for non-take-up of the benefit, but the user can activate them if necessary; BCA extension is on, so it calibrates the receipt of the benefit. See section 2.4 for technical details on both extensions and their interaction.

Users can enable or disable the necessary extensions in Country Tools/Set Switches. For proper functioning, the extensions require the following inputs:

- BTA: The estimated take-up rate of the benefit should be set as the value of the \$bsarg_BTA_rate constant in the model. Currently, the value is set to 1, indicating no adjustment for non-take-up.
- BCA: The aggregate expenditure needs to be filled out in the External Statistics table, so that the calibration rate (\$bsarg_BCA_rate) is computed accordingly. Data are currently available for the years 2016-2023; given the absence of information for 2024, the calibration rate is not computed within the 2024 system, but the one computed within the 2023 system is used instead. For the modelling of reforms, the 2024 system should be used in order to allow for variation in the number of beneficiaries (hence expenditure): beneficiaries will change when the eligibility conditions change by applying the share of 2023 to the new pool of eligible units. If previous systems were used for reforms, total expenditure would remain constant irrespective of the reform applied, since the model would always stick to the existing external statistics.

Besides, EUROMOD simulations assume that the nation-wide Minimum Income Scheme is considered as part of the income test of the regional minimum income schemes (i.e. the nation-wide minimum income is simulated first and its result is included in the income test of the regional schemes). In practice, however, the rules of the regional schemes are undergoing a transition period since 2020, in which each region might adapt differently their regulations to the new national scheme.

Importantly, only systems from 2016 onwards benefit from the BCA adjustment. These systems also include a significant improvement to the simulation of the regional schemes (i.e. the coding has been refined and updated intensively). From 2005 to 2015, however, the simulation of these schemes remains switched off.

2.5.6.2.1. Andalucía (*Renta Mínima de Inserción Social*)

Regional minimum income scheme in place in Andalucía.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

⁴⁴ See <https://www.mdsocialesa2030.gob.es/derechos-sociales/servicios-sociales/rentas-minimas.htm>

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 25 and below 65 years of age and has had residence in Andalucía for, at least, a year. Eligible individuals must have total family unit income below the income test.

Income assessment

Family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit.

Benefit amount

Since 2018 and until 2022, the benefit amount was the 78% of IPREM plus 10% of IPREM for each additional member. The maximum amount is the minimum wage. The benefit has a different amount depending on the number of members in the family unit. The amount of the benefit for six members or more is the maximum amount, corresponding to the national minimum wage.

From 2018 to 2022, the minimum benefit was 20% of IPREM and the maximum benefit was 125% of IPREM and 145% of IPREM if the family had 6 or more members three of which are children.

Since 2023 the benefit amount is calculated as 100% of non-contributory pensions (NCP) plus 30% for each person in the family unit other than the person claiming the benefit, up to a maximum of 220% of this benefit. Additionally, an extra amount of 22% is given to single parent families or families with disabled individuals without entitlement to other types of benefits.

Table 2.30 Guaranteed minimum income amounts of Andalucía minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
One member	451.64	533.52	604.22	658.82
Two members	509.54	693.58	785.48	856.46
Three members	567.44	853.64	966.75	1,054.11
Four members	625.34	1,013.70	1,148.01	1,251.75
Five members	683.24	1,173.74	1,329.28	1,449.40
Six members or more	723.78	1,173.74	1,329.28	1,449.40
Single parent family or family units with one disabled individual without entitlement to other types of benefits or both	Amount of the benefit increased by 22% of basic amount (one member)			
		117.37	132.93	144.94
Min benefit	20% of IPREM 115.8	128.04	24% NCP 145.01	158.12
Max benefit	125% of IPREM (or 145% if the family has 6 or more members, at least three of		220% NCP	

which must be children)				
723.78	1,173.74	1,329.28	1,449.40	
839.58				

Source: Own elaboration based on legal sources.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and incompatible benefit of the nation-wide Minimum Scheme.

Legal sources

- *Decreto-ley 14/2022, de 20 de diciembre, por el que se adoptan medidas de carácter extraordinario y urgente en materia de Renta Mínima de Inserción Social, bono social térmico y de simplificación de los procedimientos de expedición del título de familia numerosa y de atención a las personas con discapacidad en Andalucía.*
- *Regulation since 2018: Renta Minima de Inserción Social: Decreto-ley 3/2017, de 19 de diciembre, por el que se regula la Renta Mínima de Inserción Social en Andalucía.*

2.5.6.2.2. Aragón (*Ingreso Aragonés de Inserción / Prestación Aragonesa Complementaria del IMV*)

The *Ingreso Aragonés de Inserción* is the regional minimum income scheme in Aragón.

As a consequence of the implementation of the National Guaranteed minimum income this benefit ended in October 2021 and the government of Aragón adopted a subsidiary scheme of the Minimum Income Scheme called *Prestación Aragonesa Complementaria del IMV*.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 18 and below 65 years of age and has had legal residence in Aragón at least for a year.

Income assessment

Until October 2021 the family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit (income assessment of the *Ingreso Aragonés de Inserción*). From October 2021 the income assessment is the same as the national scheme (income assessment of the *Prestación aragonesa complementaria*).

Benefit amount

Until 2021, the *Ingreso Aragonés de Inserción* benefit amount corresponding to the family is usually computed as a basic amount (that it is updated annually by the regional government) for one-person units, increasing with each additional member (30% for the second member, 20% for the third and fourth members and 10% for the fifth and following members) up to a ceiling of the amount of the minimum wage.

From 2022 onwards, the benefit of the *Prestación aragonesa complementaria* follows the same rules as the national scheme. It is computed as a basic amount for one-person units (annually updated by the regional government) increasing 30% with each additional member and 22% in lone parents' households.

Table 2.31 Guaranteed minimum income amounts of Aragón minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
Prestación Aragonesa Complementaria del IMV				
One member	540	621	621	700
Two members		807.3	807.3	910
Three members	Same rules as the national scheme (30% per additional member,	993.6	993.6	1,120
Four members	22% lone parents' household complement)	1,179.9	1,179.9	1,330
Five members & more		1,366.2	1,366.2	1,540

Source: Own elaboration based on legal sources.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and complementary benefit of the Nation-wide Minimum Scheme.

Legal sources

Update of amounts:

- 2025: Decreto-Ley 1/2025, de 9 de abril, del Gobierno de Aragón, de medidas urgentes en relación a determinadas prestaciones económicas y subvenciones de carácter social de la Comunidad Autónoma de Aragón para el año 2025.
- 2024: Ley 17/2023, de 22 de diciembre, de Presupuestos de la Comunidad Autónoma de Aragón para el ejercicio 2024.

- 2023: Ley 8/2022, de 29 de diciembre, de Presupuestos de la Comunidad Autónoma de Aragón para el ejercicio 2023.
- 2022: Ley 9/2021, de 30 de diciembre, de Presupuestos de la Comunidad Autónoma de Aragón para el ejercicio 2022. Disposición adicional undécima.
- 2021: Ley 4/2020, de 30 de diciembre, de Presupuestos de la Comunidad Autónoma de Aragón para el ejercicio 2021. The regional minimum income in Aragón ends in 31 May 2021.
- Prestación aragonesa Complementaria: Decreto-Ley 5/2020, de 29 de junio, del Gobierno de Aragón, por el que se regula la Prestación Aragonesa Complementaria del Ingreso Mínimo Vital y el Servicio Público Aragonés de Inclusión Social.
- 2020: Ley 10/2019, de 30 de diciembre, de Presupuestos de la Comunidad Autónoma de Aragón para el ejercicio 2020.

Framework Law:

- 2022: Decreto 161/2021, de 13 de octubre, del Gobierno de Aragón, por el que se regula la Prestación Aragonesa Complementaria del Ingreso Mínimo Vital establecida por la Ley 3/2021, de 20 de mayo Decreto 125/2009, de 7 de julio, del Gobierno de Aragón, por el que se modifica parcialmente el Decreto 57/1994, de 23 de marzo, por el que se regula el Ingreso Aragonés de Inserción en desarrollo de la Ley 1/1993, de Medidas Básicas de Inserción y Normalización Social.
- Decreto 57/1994, de 23 de mayo, de la Diputación General de Aragón, por el que se regula el Ingreso Aragonés de Inserción en desarrollo de Ley 1/1993, de 19 de febrero, de Medidas Básicas de Inserción y Normalización Social.

2.5.6.2.3. Principado de Asturias (*Salario Social Básico Asturiano y Complementos vitales*)

Regional minimum income scheme and vital supplements in place in Principado de Asturias.

Definitions

Family unit: individuals living together, and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 25 and has had legal residence in Principado de Asturias, at least for two years. Eligible individuals must have total family unit income below the income test.

Income assessment

The family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit.

Benefit amount

The benefit has a different amount depending on the number of members of the family unit. The maximum amount is 1.65*basic amount and the minimum amount is 0.1*basic amount. When two family units cohabit, the benefit is 1.75 times the one of one single family unit.

Vital supplements

Vital Supplements (Complementos Vitales) are additional financial benefits to the Principado de Asturias minimum income scheme, designed to provide enhanced support to independent household units facing greater vulnerability—whether due to objective or subjective factors—such as the presence of minors, dependent individuals, or people with disabilities.

Table 2.32 Guaranteed minimum income amounts and vital supplements of Principado de Asturias minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
One member	448.28	461.72	476.27	501.67
Two members	546.89	563.30	577.38	612.02
Three members	618.62	637.17	653.10	692.29
Four members	690.33	711.04	728.81	772.54
Five members	721.72	743.37	761.95	807.67
Six members or more	739.65	761.84	780.89	827.74

Vital supplements

Family unit with a minor or individual with less than 25 but attending formal education studies

Amount increased by 10%

If at least one individual with a disability degree of 45% or more

Amount increased by 5%

Max benefit without vital supplements

739.65	761.84	780.89	827.74
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Min benefit without vital supplements

44.83	46.17	47.63	50.17
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Source:

Own elaboration based on legal sources.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and complementary benefit of the Nation-wide Minimum Scheme.

Legal sources

Update of amounts:

- 2025: *Ley del Principado de Asturias 8/2024, de 27 de diciembre, de Presupuestos Generales para 2025*
- 2024: *Ley 4/2023, de 29 de diciembre, de Presupuestos Generales para 2024 (artículo 14).*
- 2023: *Ley 10/2022, de 30 de diciembre, de Presupuestos Generales para 2023.*
- 2022: *Ley 6/2021, de 30 de diciembre, de Presupuestos Generales para 2022 del Principado de Asturias (artículo 13).*
- 2021 *Ley del Principado de Asturias 3/2020, de 30 de diciembre, de Presupuestos Generales para 2021.*
- 2020 *Presupuestos Generales del Principado de Asturias para 2020.*

Framework Law:

- *Ley 3/2021, de 30 de junio, de Garantía de Derechos y Prestaciones Vitales.*
- *Decreto 29/2011, de 13 de abril, por el que se aprueba el Reglamento General de la Ley 4/2005.*
- *Ley del Principado De Asturias 1/2003, de 24 de febrero, de Servicios Sociales. Bopa 08 de marzo de 2003.*

2.5.6.2.4. Illes Balears (*Renta social Garantizada*)

Regional minimum income scheme in place in Illes Balears.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 25 years of age and has had legal residence in Illes Balears, at least for six months.

Income assessment

Family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit.

Benefit amount

The Illes Balears Regional minimum income follows the same rules as the Nation-wide Minimum Income Scheme. Income increases by 30% for each additional member of the family unit up to a maximum threshold of 220%. Lone-parent households are complemented by an additional amount of 22% of the basic amount.

Table 2.33 Guaranteed minimum income amounts of Illes Balears minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
One member	491.63	565.37	604.22	658.81
Two member	639.12	734.99	785.48	856.46
Three member	786.61	904.60	966.75	1,199.04
Four member	934.10	1,074.21	1,148.01	1,251.75
Other member	1,081.59	1,243.83	1,329.27	1,449.39
Additional lone parent complement	108.16	124.38	132.92	144.94
Min benefit	10	10	10	10
Max benefit	1,081.59	1,243.83	1,329.27	1,449.39

Source: Own elaboration based on legal sources.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Incompatible with the Nation-wide Minimum Scheme.

Legal sources

Update of amounts:

- 2023. *Ley 4/2023, de 27 de febrero, de prestaciones sociales de carácter económico de las Illes Balears (artículo 23).*
- 2022. *Ley 5/2021, de 28 de diciembre, de Presupuestos Generales de la Comunidad Autónoma de las Illes Balears para el año 2022 (artículo 35).*
- 2021. *Ley 3/2020, de 29 de diciembre, de Presupuestos generales de la Comunidad Autónoma de las Illes Balears para el año 2021.*
- 2020. *Decreto ley 10/2020 de 12 de junio, de prestaciones sociales de carácter económico de las Illes Balears.*

Framework Law:

- *Ley 4/2023, de 27 de febrero, de prestaciones sociales de carácter económico de las Illes Balears.*
- *Resolució de la consellera d'Afers Socials i Esports de 9 de gener de 2020 per la qual s'actualitzen les quanties corresponents a la prestació econòmica bàsica, les prestacions addicionals per altres membres del nucli familiar, el còmput total màxim i la prestació econòmica mínima de la renda social garantida de l'exercici 2020.*
- *Resolució de la consellera de Serveis Socials i Cooperació de 9 de gener de 2019 per la qual s'actualitzen les quanties corresponents a la prestació econòmica bàsica, les prestacions addicionals per altres membres del nucli familiar, el còmput total màxim i la prestació econòmica mínima de la renda social garantida de l'exercici 2019*

— *Ley 5/2016, de 13 de abril, de la renta social garantizada.*

2.5.6.2.5. Canarias (*Renta Canaria de Ciudadanía*)

Regional minimum income scheme in place in Canarias.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 25 and below 65 years of age and has had legal residence in Canarias, at least for one year.

Income assessment

Family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit.

Benefit amount

The benefit has a different amount depending on the number of members of the family unit. Until 2022, the basic amounts were updated using the consumer price index of Canarias and there was a complement of 50 euro for each individual below 18 years old in the family unit. From 2023, the basic amounts were updated according the guaranteed minimum income.

Table 2.34 Guaranteed minimum income amounts of Canarias minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
One member	517.73	565.37	604.21	658.81
Two members	585.84	734.99	785.48	856.46
Three members	640.35	904.60	966.74	1,054.10
Four members	674.42	1,074.21	1,148.01	1,251.75
Five members	701.64	1,243.83	1,329.27	1,449.39
Six members or more	722.09	1,243.83	1,329.27	1,449.39
Additionally amount per child <18	50	-	-	-
Min benefit	130.41	-	-	-

Source: Own elaboration based on legal sources.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and complementary benefit of the Nation-wide Minimum Scheme.

Legal sources

Update of amounts:

- 2024, 2025: *Ley 5/2022, de 19 de diciembre, de la renta canaria de ciudadanía.*
- 2023: *Ley 7/2022, de 28 de diciembre, de Presupuestos Generales de la Comunidad Autónoma de Canarias para 2023.*
- 2022: *Ley 6/2021, de 28 de diciembre, de Presupuestos Generales de la Comunidad Autónoma de Canarias para 2022 (disposición adicional cuadragésima primera).*
- 2021: *Ley 7/2020, de 29 de diciembre, de presupuestos generales de la Comunidad Autónoma de Canarias para 2021 (update of amounts).*
- *DECRETO ley 3/2021, de 18 de marzo, por el que se modifica la Ley 1/2007, de 17 de enero, por la que se regula la Prestación Canaria de Inserción (new complement for individual below 18 years old in the family unit).*
- 2020: *Decreto-ley 6/2020, de 17 de abril, de medidas urgentes de carácter social dirigidas a las personas en situación de vulnerabilidad como consecuencia de la crisis sanitaria ocasionada por el COVID-19.*
- 2019: *Ley 19/2019, de 30 de diciembre, de Presupuestos Generales de la Comunidad Autónoma de Canarias para 2020.*

Framework Law:

- *Ley 5/2022, de 19 de diciembre, de la renta canaria de ciudadanía.*
- *Compatibility between nation-wide minimum Income and Regional minimum income: Decreto-ley 16/2020, de 24 de septiembre, de modificación de la Ley 1/2007, de 17 de enero, por la que se regula la Prestación Canaria de Inserción para su adaptación al Ingreso Mínimo Vital.*
- 2019 *Ley 7/2018, De 28 De Diciembre, De Presupuestos Generales De La Comunidad Autónoma De Canarias (update of amounts).*
- *Ley 1/2007, de 17 de enero, por la que se regula la Prestación Canaria de Inserción.*
- *Decreto 136/2007, de 24 de mayo, por el que se aprueba el Reglamento de la Ley 1/2007.*
- *Ley 2/2015, de 9 de febrero, de modificación de la Ley 1/2007, de 17 de enero, por la que se regula la Prestación Canaria de Inserción.*

2.5.6.2.6. Cantabria (*Renta Social Básica*)

Regional minimum income scheme in place in Cantabria.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 23 and below 65 years of age and has had legal residence in Cantabria, at least for a year.

Income assessment

Family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit.

Benefit amount

The benefit has a different amount depending on the number of members in the family unit (there is a basic amount of 80% of IPREM and an extra 25% for the first additional member, 10% for the rest of family members).

Table 2.35 Guaranteed minimum income amounts of Cantabria minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
One member	463.22	552	552	552
Two members	607.97	690	690	690
Three members	665.87	759	759	759
Four or more members	723.78	834.9	834.9	834.9
Min benefit. 1% IPREM	5.79	6	6	6
Max benefit. 125% IPREM	723.78	750	750	750

Source: Own elaboration based on legal sources.

The benefit will never be above 125% of the IPREM and must be higher than 1% of the IPREM.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and complementary benefit of the Nation-wide Minimum Scheme.

Legal sources

Framework Law:

— *Ley de Cantabria 2/2007 de 27 de marzo, de Derechos y Servicios Sociales (Actualizada a fecha 1 de enero de 2019).*

2.5.6.2.7. Castilla-La Mancha (*Ingreso Mínimo de Solidaridad*)

Regional minimum income scheme in place in Castilla-La Mancha.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 18 years of age and with legal residence in *Castilla-La Mancha* at least for the two previous years. The family unit must have been established at least one year before claiming the benefit.

Income assessment

Family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit. Family unit gross yearly income includes the value of owned assets (excluded owner-occupied housing) valued at fiscal value (*valor catastral*) minus debts on valued assets and minus a 35 percent of the monthly minimum wage if living in rented or owned house but still paying a mortgage on it.

Benefit amount

The benefit has a different amount depending on the number of members of the family unit.

Since 2020 the basic benefit is 525 euro per month. Then 15% of basic benefit is added for the first additional member and 10% of basic benefit is added for each additional member besides the first.

The minimum benefit is since 2020 is 50 euro per month.

Table 2.36 Guaranteed minimum income amounts of Castilla-La Mancha minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
One member	525	525	525	525
Two members	603.75	603.75	603.75	603.75
Three members	656.25	656.25	656.25	656.25
Four members	708.75	708.75	708.75	708.75
Five members or more	761.25	761.25	761.25	761.25
Min benefit	50	50	50	50

Source: Own elaboration based on legal sources.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Since the approval in 2020 of the Nation-wide Minimum Scheme, no new beneficiaries of the regional scheme will be allowed (i.e. only those already receiving it will remain as beneficiaries).

Legal sources

Update of amounts:

- 2025: Resolución de 13/12/2024, de la Viceconsejería de Servicios y Prestaciones Sociales, por la que se convocan, para el año 2025, los procedimientos de renovación y de renovación excepcional, destinados a las personas beneficiarias de las ayudas del ingreso mínimo de solidaridad. Extracto BDNS (Identif.): 803475. [2024/10227]
- 2024: Resolución de 13/12/2023, de la Viceconsejería de Servicios y Prestaciones Sociales, por la que se convocan, para el año 2024, los procedimientos de renovación y de renovación excepcional, destinados a las personas beneficiarias de las ayudas del ingreso mínimo de solidaridad. Extracto BDNS (Identif.): 733719. [2023/10394]
- 2023: Resolución de 13/12/2022, de la Viceconsejería de Servicios y Prestaciones Sociales, por la que se convocan,
- para el año 2023, las ayudas del ingreso mínimo de solidaridad. Extracto BDNS (Identif.): 663758. [2022/11807]
- 2022. Resolución de 16/12/2021, de la Viceconsejería de Servicios y Prestaciones Sociales, por la que se convocan, para el año 2022, las ayudas del Ingreso Mínimo de Solidaridad. Extracto BDNS
- 2021: Orden 198/2020, de 28 de diciembre, de la Consejería de Bienestar Social, por la que se modifica la Orden de 29/12/2009, de la Consejería de Salud y Bienestar Social, por la que se establecen las bases que regulan las ayudas que, en desarrollo del Decreto 179/2002, de 17 de diciembre, se refieren al Ingreso Mínimo de Solidaridad (since 2021 the receipts will be exclusively the receipts in previous years, new receipts will not be allowed. The conditions remain the same).
- 2020: Ley 10/2019, de 20 de diciembre, de Presupuestos Generales de la Junta de Comunidades de Castilla-La Mancha para 2020. [2019/11580] (Modification of the Law).

Framework Law:

- Decreto 179/2002, de 17 de diciembre, de Desarrollo del Ingreso Mínimo de Solidaridad, Ayudas de Emergencia Social y Prestaciones Económicas en favor de colectivos desfavorecidos, y de la colaboración y cooperación en materia de Servicios Sociales.

2.5.6.2.8. Castilla y León (*Renta Garantizada de Ciudadanía*)

Regional minimum income scheme in place in Castilla y León.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 25 and below 65 years of age and has had legal residence in Castilla y León region at least for a year.

Income assessment

Family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit.

Benefit amount

The benefit has a different amount depending on the number of members of the family unit (there is a basic amount of 80% of IPREM and an extra 25% for the first additionally member, 15% for the second additionally member and 10% for the rest of family members).

Table 2.37 Guaranteed minimum income amounts of Castilla y León minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
One member	463.22	480	480	480
Two members	607.97	600	600	600
Three members	694.82	672	672	672
Four or more members	752.73	720	720	720
Max benefit	752.73	780	780	780

Source: Own elaboration based on legal sources.

Maximum benefit: 130% IPREM.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and complementary benefit of the Nation-wide Minimum Scheme.

Legal sources

Framework Law.

- *Ley 2/2020, de 24 de noviembre, de modificación del texto refundido de las normas legales vigentes en materia de condiciones de acceso y disfrute de la prestación esencial de renta garantizada de ciudadanía de Castilla y León, aprobado por el Decreto Legislativo 1/2019, de 10 de enero (Subsidiary and complementary benefit of the nation-wide Minimum Scheme).*
- *Decreto Legislativo 1/2019, de 10 de enero, por el que se aprueba el texto refundido de las normas legales vigentes en materia de condiciones de acceso y disfrute de la prestación de renta garantizada de ciudadanía de Castilla y León.*
- *Decreto 126/2004, de 30 de diciembre, por el que se aprueba el Reglamento de la prestación de Ingresos Mínimos de Inserción de la Comunidad de Castilla y León.*

2.5.6.2.9. Cataluña (*Renda Garantida de Ciutadania*)

Regional minimum income scheme in place in Cataluña.

Definitions

Family unit: individuals living together, and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 25 and below 65 years of age and has had legal residence in *Cataluña*, at least for a year. Eligible individuals must have total family unit income below the income test.

Income assessment

Family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit.

Benefit amount

The benefit depends on the number of members. The basic benefit is 100% of IRSC (*Indicador de Renta de Suficiencia*) for one member, 150% of IRSC for families of two members, and then 100 euros are added for each additional member of the family. The maximum benefit is 182% of the IRSC (*Indicador de Renta de Suficiencia*) and the minimum benefit is 10% of the IRSC.

Table 2.38 Guaranteed minimum income amounts of Cataluña minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
Basic amount (1 member)	663.98	717.09	755.82	778.49 €
Two members	995,97	1,075.64	1,133.73	1,167.74
Three members	1095,97	1,183.20	1,247.10	1,284.51
Four members	1,195.97	1,290.76	1,360.47	1,401.29
Five members and more	1,208.44	1,305,10	1,375.50	1,416.86
Min benefit	66,39	71,70	75.58	77.85
Max benefit	1,208.44	1,305.10	1,375.59	1,416.86

Source: Own elaboration based on legal sources.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and complementary benefit of the Nation-wide Minimum Scheme.

Legal sources

Framework Law:

- *Decreto 55/2020, de 28 de abril, por el que se aprueba el Reglamento de la Ley 14/2017, de 20 de julio, de la renta garantizada de ciudadanía, y se modifica el Decreto 123/2007, de 29 de mayo, por el que se determina el régimen aplicable a la solicitud y concesión de las prestaciones sociales de carácter económico de derecho subjetivo, y se concretan los requisitos para el reconocimiento del derecho a las prestaciones creadas, en desarrollo de la Ley 13/2006, de 27 de julio, de prestaciones sociales de carácter económico (update of amounts)*
- *Renta Garantizada de Ciudadanía: Llei 14/2017, del 20 de juliol, de la renda garantida de ciutadania*
- *Renta Mínima de Inserción: Resolución TRE/419/2010, de 21 de enero, por la que se fija el importe de la prestación económica básica de la renta mínima de inserción para el año 2010, así como el de los complementos por miembro adicional de la unidad familiar y el de las ayudas complementarias.*

2.5.6.2.10. Extremadura (*Renta Extremeña Garantizada*)

Regional minimum income scheme in place in Extremadura. Two benefits were in force over the 2018-2021 period: *Renta Básica Extremeña de Inserción* until June 2019 and *Renta Garantizada* since then.

Definitions

Family unit: individuals living together, and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 18 years of age and has had legal residence in Extremadura, at least for a year. The family unit must be established at least six months before claiming the benefit.

Income assessment

Family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit.

Benefit amount

The benefit amount varies depending on the number of members of the family unit (there is a basic amount of 100% of IPREM, extra 20% for the first additionally member and 10% for the second and for the rest of family members). The maximum benefit is 160% of IPREM and the minimum benefit is 10% of IPREM.

Table 2.39 Guaranteed minimum income amounts of Extremadura minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
One member	579.02	810	600	600
Two members	694.82	972	720	720
Three members	752.73	1,053	780	780

Four members	810.63	1,134	840	840
Five members	868.53	1,215	900	900
Six members or more	926.43	1,296	960	960
Min benefit	57.90	81	60	60
Max benefit	926.43	1,296	960	960

Source: Own elaboration based on legal sources.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and complementary benefit of the Nation-wide Minimum Scheme.

Legal sources

Update of amounts:

— 2025, 2024, 2023, 2022, 2021, 2020: *Renta Extremeña Garantizada: Ley 5/2019, de 20 de febrero de Renta Básica Garantizada (enter into force in 2019 June 20).*

Framework Law:

— *Ley 5/2019, de 20 de febrero, de Renta Extremeña Garantizada.*

2.5.6.2.11. Galicia (*Renda de Integración Social de Galicia, RISGA*)

Regional minimum income scheme in place in Galicia.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 25 and below 65 years of age and has had legal residence in *Galicia*, at least for a year. Eligible individuals must have total family unit income below the income test.

Income assessment

Family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit.

Benefit amount

The benefit is the difference between the following amounts (depending on the number of members of the family unit) and household monthly income. There is a basic amount of 75% of IPREM and an extra 14% for the first additionally member, 12% for the second additional member and 10% for the rest of family members.

The maximum benefit is 120% of IPREM if there are no dependent children in the family unit and 135% of IPREM if there are dependent children.

Table 2.40 Guaranteed minimum income amounts of Galicia minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
One member	434.27	450.00	450.00	450.00
Two members	515.33	534.00	534.00	534.00
Three members	584.81	606.00	606.00	606.00
Four members	642.71	666.00	666.00	666.00
Max benefit				
No dependent children	694.82	720.00	720.00	720.00
Dependent children	781.68	810.00	810.00	810.00

Source: Own elaboration based on legal sources.

Taxation and income testing

Minimum income benefits are subject to taxation. These benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and non-complementary benefit of the Nation-wide Minimum Scheme.

Legal sources

Update of amounts:

— 2025,2024, 2023, 2022,2021: *Decreto 14/2019, do 31 de enero, de desarrollo de la Ley 10/2013, de 27 de noviembre, de inclusión social de Galicia, en lo relativo a la tramitación de la renta de inclusión social de Galicia y de las ayudas de inclusión social.*

2.5.6.2.12. La Rioja (*Renta de Ciudadanía*)

Regional minimum income scheme in place in La Rioja.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 23 years of age and has had her legal residence in La Rioja, at least for a year. Lack of economic resources and live in a residence for the elderly, or in centers for people with disabilities or mental illness or in prisons.

Income assessment

Family unit gross yearly income net of social contributions must be below the 80% IPREM.

Benefit amount

There is a basic amount of 80% of IPREM and an extra 20% for the first additional member, 15% for the second additionally member and 10% for the rest of family members). The maximum benefit is 125% of IPREM.

Table 2.41 Guaranteed minimum income amounts of La Rioja minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
One member	463.22	480	480	480
Two members	579.02	600	600	600
Three members	665.87	690	690	690
Four members or more	723.78	750	750	750
Max benefit	723.78	750	750	750

Source: Own elaboration based on legal sources.

Taxation

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and complementary benefit of the Nation-wide Minimum Scheme.

Legal sources

Update of amounts:

— 2025,2024, 2023, 2022, 2021, 2020: . *Por la que se regula la Renta de Ciudadanía de La Rioja*

2.5.6.2.13. Comunidad de Madrid (*Renta Mínima de Inserción*)

Regional minimum income scheme in place in Comunidad de Madrid.

Definitions

Family unit: individuals living together, and related by marriage or an analogous relationship, Adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 25 and below 65 years of age and has had legal residence in Comunidad de Madrid at least for a year. Eligible individuals must have total family unit income below the income test.

Income assessment

Family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit.

Benefit amount

The benefit amount varies depending on the number of members of the family unit. The monthly amount of the benefit is the result of adding to the basic amount for one-member household the complements for additional members.

For the period 2020-2021, the basic amount is of 400 euro, 112.67 euro for the first additional member and 75.11 for the rest of family members. In 2022-2024, the basic amount is of 469.93 euro, 117.48 euro for the first additional member and 75.11 for the rest of family members

The maximum amount of the benefit is the minimum wage.

Table 2.42 Guaranteed minimum income amounts of Comunidad de Madrid's minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
One member	469.93	469.93	469.93	469.93
Two members	587.41	587.41	587.41	587.41
Three members	662.52	662.52	662.52	662.52
Extra member	75.11	75.11	75.11	75.11
Max benefit	1,000	1,080	1,134	1,134

Source: Own elaboration based on legal sources.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and complementary benefit of the Nation-wide Minimum Scheme.

Legal sources

Update of amounts:

- 2025: *Ley 9/2024, de 26 de diciembre, de Presupuestos Generales de la Comunidad de Madrid para el año 2025.*
- 2024: *Ley 15/2023, de 27 de diciembre, de Presupuestos Generales de la Comunidad de Madrid para el año 2024.*
- 2023: *Decreto 137/2022, de 28 de diciembre, por el que se establecen los criterios de aplicación de la prórroga automática de los presupuestos generales de la Comunidad de Madrid para 2022, hasta la entrada en vigor de los presupuestos generales para 2023.*
- 2022: *Ley 4/2021, de 23 de diciembre, de Presupuestos Generales de la Comunidad de Madrid para 2022 (artículo 74).*
- 2021: *Decreto 122/2020, de 29 de diciembre, del Consejo de Gobierno, por el que se establecen los criterios de aplicación de la prórroga automática de los Presupuestos Generales de la Comunidad de Madrid para 2019 hasta la entrada en vigor de los Presupuestos Generales para 2021.*

- 2020: Decreto 315/2019, de 27 de diciembre, del Consejo de Gobierno, por el que se regula la aplicación de la prórroga de los Presupuestos Generales de la Comunidad de Madrid de 2019 para el año 2020.
- 2019: Ley 9/2018. De 26 de diciembre. De Presupuestos Generales De La Comunidad De Madrid Para El Año 2019.
- 2017: Ley 12/2017. De 29 de diciembre. De Presupuestos Generales de la Comunidad de Madrid para 2018 (BOCM núm. 308. De 28 de diciembre de 2017).

Framework Law:

- Decreto 126/2014, de 20 de noviembre. Por el que se aprueba el nuevo Reglamento de la Renta Mínima de Inserción de la Comunidad de Madrid (BOCM nº 277. De 21 de noviembre).

2.5.6.2.14. Región de Murcia (*Ingreso Mínimo de Inserción*)

Regional minimum income scheme in place in Región de Murcia.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 25 and below 65 years of age and has had legal residence in Región de Murcia, at least for a year. The recipient should not receive any other benefits such as unemployment benefits, pensions or similar benefits.

Income assessment

Family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit.

Benefit amount

The benefit has a different amount depending on the number of members of the family unit. There is a basic amount of 80% of IPREM, an extra 20% for the first additional member, 10% for the second and third additional members and 8% for the rest of family members. The increase by member is only added if the corresponding member is below 18 years of age. For households with dependents over that age the amount added is halved.

Since 2020, the maximum amount of the benefit is the 150% of IPREM and the minimum benefit is 13% of IPREM.

Table 2.43 Guaranteed minimum income amounts of Región de Murcia minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
One member	463.22	480	480	480
Two members	579.02	600	600	600
Three members	636.92	660	660	660

Four members	694.82	720	720	720
Five members	741.15	768	768	768
Six members	787.47	816	816	816
Seven members	833.79	864	864	864
Eight members or more	868.53	912	912	912
Min benefit	75.27	78	78	78
Max benefit	868.53	900	900	900

Notes: *In this table we are assuming that the extra members are below 18 years of age. If not, the extra amount added is halved. For example, the extra amount for a two members family if the additional member of the family unit is above 18 years of age is 60€ and not 120€.

Source: Own elaboration based on legal sources.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and complementary benefit of the Nation-wide Minimum Scheme.

Legal sources

Framework Law:

- *Decreto n.º 163/2017. De 31 de mayo. Por el que se aprueba el Reglamento de la Ley 3/2007. De 16 de marzo. De Renta Básica de Inserción de la Comunidad Autónoma de la Región de Murcia.*
- *Ley 3/2007. De 16 de marzo. De Renta Básica de Inserción de la Comunidad Autónoma de la Región de Murcia.*

2.5.6.2.15. Comunidad Foral de Navarra (*Renta Garantizada*)

Regional minimum income scheme in place Comunidad Foral de Navarra.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 25 and below 65 years of age and has had legal residence in Comunidad Foral de Navarra, at least for two years.

Income assessment

Family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit.

Benefit amount

The benefit has a different amount depending on the number of members of the family unit. There is a basic amount (in 2021 636.73 euro, in 2022 658.37 euro, in 2023, 716.31 euro, in 2024 762.01 euro and 790.28 in 2025), an extra 35% for the first additionally member, 25% for the second and 15% for the rest of family members. The maximum amount of the benefit is the 200% of the basic amount and the minimum benefit is 10% of the basic amount.

Table 2.44 Guaranteed minimum income amounts of Comunidad Foral de Navarra minimum income scheme, EUR per month.

Source: Own elaboration based on legal sources.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and complementary benefit of the Nation-wide Minimum Scheme.

Legal sources

Update of amounts:

- 2025: Orden foral 10/2025, de 30 de enero, de la Consejera de Derechos Sociales, Economía Social y Empleo por la que se actualiza la cuantía de la renta garantizada para el año 2025.
- 2024: Orden foral 35/2024, de 19 de febrero, de Consejera de Derechos Sociales, Economía Social y Empleo por la que se actualiza la cuantía de la renta garantizada para el año 2024.
- 2023: Orden Foral 69/2023, de 22 de febrero, de la consejera de Derechos Sociales, por la que se actualiza la cuantía de la Renta Garantizada para el año 2023.
- 2022: Orden Foral 10/2022, de 19 de enero, de la Consejera de Derechos Sociales, por la que se actualiza la cuantía de la Renta Garantizada para el año 2022.
- 2021: Orden Foral 49/2021, de 24 de febrero, de la Consejera de Derechos Sociales, por la que se actualiza la cuantía de la Renta Garantizada para el año 2021.

Framework Law:

- Decreto Foral 26/2018, de 25 de abril, de desarrollo de los derechos a la Inclusión Social y a la Renta Garantizada.
- Ley foral 15/2016, de 11 de noviembre, Por la que se regulan los derechos a la Inclusión Social y a la Renta Garantizada.

2.5.6.2.16. Comunitat Valenciana (*Renta Valenciana de Inclusión*)

Regional minimum income scheme in place in Comunitat Valenciana.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 25 and below 65 years of age and has had legal residence in *Comunitat Valenciana* at least for the two previous years (new in 2008).

Income assessment

Family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit.

Benefit amount

The benefit amount is 70% the minimum wage (calculated in 12 payments) for one member, 82% for two members, 90% for three members, 96% for four members, 102% for five members and 110% for six or more members.

Table 2.45 Guaranteed minimum income amounts of *Comunitat Valenciana* minimum income scheme.

Year:	2022	2023	2024	2025
One member	816.67	882.00	926.10	966.93
Two members	956.67	1,033.20	1,084.86	1,132.69
Three members	1,050.00	1,134.00	1,190.70	1,243.20
Four members	1,120.00	1,209.60	1,270.08	1,326.08
Five members	1,190.00	1,285.20	1,349.46	1,408.96
Six members or more	1,283.33	1,386.00	1,455.30	1,519.47

Source: Own elaboration based on legal sources.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and complementary benefit of the Nation-wide Minimum Scheme.

Legal sources

Framework Law:

- *Decreto-ley 7/2020, de 26 de junio, de modificación de la Ley 19/2017, de 20 de diciembre, de renta valenciana de inclusión (compatibility between National Income and Regional Minimum Income).*
- *Ley 19/2017, de 20 de noviembre, de la Generalitat, De Renta Valenciana de Inclusión.*
- *Decreto 60/2018, de 11 de mayo, del Consell, por el que se desarrolla la Ley 19/2017, de 20 de diciembre, de la Generalitat, de Renta Valenciana de Inclusión.*

2.5.6.2.17. País Vasco (*Renta Básica o de Garantía de Ingresos*)

Regional minimum income scheme in place in País Vasco.

Definitions

Family unit: individuals living together, at least for months, and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 23 years of age (18 since 2024) and has had residence in the País Vasco for, at least, a year. This minimum age limit is not applicable to orphans or adults with dependent children among others. There is no maximum age limit to receive the benefit, i.e. individuals over 65 may receive this benefit instead of a non-contributory pension. Eligible individuals must have family unit incomes below the income test.

Income assessment

Income test is a family unit level of income (gross yearly income net of social contributions) below “basic needs”. Basic needs are identified as the annual amount of the benefit for the corresponding household type.

Benefit amount

Until 2023, the benefit amount depends on the number of members of the family unit and the minimum wage, although some years it has been discretionary updated not following the minimum wage evolution.

- The benefit amount is 88% of the minimum wage for one member, 113% for two members, and 125% for three or more members.
- In case of households with pensioners, the benefit amount is 100% of the minimum wage for one member, 125% for two members, and 135% for three or more members.

For lone-parent households the benefit will be complemented by a 6.4% additional amount of the minimum wage.

The maximum quantity of the benefit is 125% of the minimum wage (135% for households with pensioners).

From 2024, the benefit amount will be based on the difference between the maximum guaranteed income and the household's monthly income. The maximum guaranteed income comprises a basic amount, individual supplements, and supplements for the characteristics of the cohabitation unit. The basic amount is determined by the General Budget Law of the Autonomous Community of the Basque Country and it equals 560,45 euros per month in 2024 and 568.85 in 2025.

Individual supplements are added to the basic amount as follows:

- For the primary and secondary adults in the cohabiting household, 50% of the base amount is added.
- For all other members of the household, 30% of the base amount is added.

Supplements linked to the specific characteristics of the cohabitation unit:

- A 25% supplement is added to the base amount for single-parent cohabitation units, those consisting of victims of trafficking, gender violence, sexual exploitation or domestic violence, and cohabitation units with one or more members with a disability equal to or greater than 33% or with a dependency qualification who do not receive a pension for this reason.
- Cohabitation units consisting of pensioners receive a 40% supplement on the basic amount.

The individual supplements and those linked to the characteristics of the cohabitation unit can be applied together. However, if the pensioner is also the person with the declared disability, both supplements will be applicable at a rate of 40%.

Table 2.46 Guaranteed minimum income amounts of País Vasco minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
Households with no pensioners				
One member	880.03	950.40	840.68	853.28
Two members	1,130.03	1,220.40	1,120.90	1,137.71
Three members	1,250.04	1,350.00	1,289.04	1,308.37
Four members	-	-	1,457.17	1,479.03
Five or more members	-	-	1,625.31	1,649.69
Households with pensioners				
One member	1,000.03	1,080.00	-	-
Two members	1,250.04	1,350.00	-	-
Three or more members	1,250.04	1,350.00	-	-
Additional amount for lone parent and special situations households	64.00	69.12	28.02	28.44
Additional amount for pensioners households	-	-	224.18	227.54
Max benefit (without complements)	1,250.04	1,350.00	1,625.33	1,649.69
Max benefit (households with pensioners)	1,250.04	1,350.00	1,849.49	1,877.23

Source: Own elaboration based on legal sources.

2.5.6.2.18. Ciudad de Ceuta (Ingreso Mínimo de Inserción Social en Ceuta)

Regional minimum income scheme in place in Ciudad de Ceuta.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood relationship (between the 2nd and 4th degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 25 and below 65 years of age, or less than 25 or over 65 with dependents, and has had residence in Ciudad de Ceuta at least for one year. Eligible individuals must have total family unit income below the income test.

Income assessment

Family unit gross yearly income net of social contributions must be below the amount of the corresponding benefit.

Benefit amount

The minimum benefit amount is 300 euros and the maximum 420. The amount increases by 10% with each additional member in the family unit

Table 2.47 Guaranteed minimum income amounts of Ceuta minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
One member	300	300	300	300
Two members	330	330	330	330
Three members	360	360	360	360
Four members	390	390	390	390
Five members or more	420	420	420	420

Source: Own elaboration based on legal sources.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and complementary benefit of the nation-wide Minimum Scheme.

Legal sources

- *Regulation since 2010: Disposición nº 3.167. Texto íntegro de la modificación del reglamento de ingreso mínimo de inserción social en la Ciudad de Ceuta. BOCCE nº 4.996, de 2 de noviembre de 2010*
- *Reglamento del Ingreso Mínimo de Inserción Social de la Ciudad de Ceuta. Disposición general nº 2.627. BOCCE nº 4793 de 21 de noviembre de 2008.*

2.5.6.2.19. Ciudad de Melilla (*Ingreso Melillense de Integración*)

Regional minimum income scheme in place in Melilla.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood relationship (to 2nd degree).

Benefit recipient: an adult living in the family unit, which is the official recipient of the benefit.

Eligibility conditions

An individual (benefit recipient) is eligible for the benefit if over 25 and below 65 years of age, or lone parents with dependents or if below 25 but with a disability, and has had residence in Ciudad de Melilla at least for five years. Eligible individuals must have total family unit income below the income test.

Income assessment

The person applying for the benefit lacks financial resources, for the purposes of being eligible for the minimum income, when their monthly income net of social contributions is less than the amount of the non-contributory Social Security pension calculated on an annual basis and prorated over twelve months.

This amount shall be increased by 25 per cent for the second person forming part of the family unit, and by 15 per cent for each additional member.

Benefit amount

The maximum benefit amount is a percentage of the basic amount, fixed in 656 euros in 2018. The benefit has a different amount depending on the number of members in the family unit.

Table 2.48 Guaranteed minimum income maximum amounts of Melilla minimum income scheme, EUR per month.

Year:	2022	2023	2024	2025
Basic amount		656		
One member		0.5 * basic amount		
Two members		0.6 * basic amount		
Three members		0.7 * basic amount		
Four members		0.8 * basic amount		
Five members		0.9 * basic amount		
Six members or more		1 * basic amount		

Source: Own elaboration based on legal sources.

Taxation and income testing

Minimum income benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and complementary benefit of the nation-wide Minimum Scheme.

Legal sources

— *Regulation since 2018: Resolución nº 696 de fecha 1 de febrero de 2018, relativa a aprobación definitiva del reglamento regulador de las ayudas económicas y servicios para la atención de necesidades sociales de la Ciudad Autónoma de Melilla. BOME Extraordinario nº 4, de 9 de febrero de 2018.*

Taxation and income testing

Minimum income benefits are not included in the means test of other social benefits (benefits of last resort). These benefits do not generate contributions to the Social Insurance scheme.

Compatibilities

Subsidiary and complementary benefit of the Nation-wide Minimum Scheme.

Legal sources

Update of amounts:

- 2025: *Ley 8/2024, de 20 de diciembre, por la que se aprueban los Presupuestos Generales de la Comunidad Autónoma de Euskadi para el ejercicio 2025.*
- 2024: *Ley 21/2023, de 22 de diciembre, por la que se aprueban los Presupuestos Generales de la Comunidad Autónoma de Euskadi para el ejercicio 2024. (Disposición adicional sexta).*
- 2023: *Ley 15/2022, de 23 de diciembre, por la que se aprueban los Presupuestos Generales de la Comunidad Autónoma de Euskadi para el ejercicio 2023. (Disposición adicional sexta).*
- 2022: *Ley 11/2021, de 23 de diciembre, por la que se aprueban los Presupuestos Generales de la Comunidad Autónoma de Euskadi para el ejercicio 2022 (Disposición adicional sexta).*
- 2021: *Ley 1/2021, de 11 de febrero, por la que se aprueban los Presupuestos Generales de la Comunidad Autónoma de Euskadi para el ejercicio 2021.*

Framework law:

- *Decreto 173/2023, de 21 de noviembre, por el que se aprueba el Reglamento de la Renta de Garantía de Ingresos.*
- *Ley 14/2022, de 22 de diciembre, del Sistema Vasco de Garantía de Ingresos y para la Inclusión.*
- *Ley 4/2011. De 24 de noviembre. De modificación de la Ley para la Garantía de Ingresos y para la Inclusión Social.*
- *Decreto 147/2010, de 25 de mayo, de la Renta de Garantía de Ingresos.*
- *Ley 18/2008, de 23 de diciembre, para la Garantía de Ingresos y para la Inclusión Social.*

2.5.7. Annual refund to maintain the purchasing power of pensions and benefits and final adjustments - *pec00_es* and *pec01_es*

Brief description

Until 2022, the annual basic amount of some pensions and benefits was yearly fixed by the government at the beginning of the year, hence not necessarily reflecting the final increase of the CPI during that year. To compensate possible mismatches and maintain the purchasing power of pensions and benefits, pensioners received a refund in the following year. This refund was computed as the difference between the amount actually received and the one they should have gotten according to the real average interannual rate of the CPI of the previous 12 months.

Pensions and benefits affected were non-contributory pensions, minimum complements of contributory pensions, the non-contributory means-tested benefit for each dependent child aged 18 or older if affected by a disability of a degree equal to or higher than 65 percent, and the Minimum Income Scheme. The refund of the Minimum Income Scheme is simulated in the policy *bsa00_es*.

These annual refunds are counted as income for the Personal Income Tax, but they are not taken into account in the income tests of other policies. Therefore, with regards to modelling, we have to make an adjustment at the end of the policy spine to include these amounts in their corresponding pension or benefit (pec01_es).

As regards contributory pensions, from 2023, within the framework of pension schemes reform, a refund to compensate for differences between actual and foreseen CPI no longer exists, since pensions are increased according to 12-month average Consumer Price Index of December of the previous year⁴⁵.

Definitions and eligibility conditions

The unit of analysis is the individual who receives the non-contributory pensions, contributory complements, the non-contributory means-tested benefit for each dependent child aged 18 or older if affected by a disability of a degree equal to or higher than 65 percent, or the Minimum Income Scheme.

Income assessment

There is no additional income assessment.

Refund amount and duration

The characteristics of these refunds are shown in the following tables: table 2.8 for non-contributory old-age pension refund, table 2.9 for old-age pension complement refund, table 2.10 for widow-widower pension complement refund, table 2.11 for non-contributory child aged 18 or older if affected by a disability of a degree equal to or higher than 65 percent refund, and table 2.47 for Minimum Income Scheme refund.

These refunds of pensions of the previous year were payable once before April of 2022.

EUROMOD modelling

Following the modelling conventions, these annual refunds are simulated in the accrual period, which is the following year to the reception of the pensions. The disadvantage of simulating the annual refunds in the accrual year is that we have to use the information and incomes of the reference (EU-SILC) year instead of the information and incomes of the previous year, which are the ones actually taken into account by the State to calculate the refund.

Additionally these annual refunds are only simulated for those pensions and benefits simulated in EUROMOD: non-contributory old-age pension (poanc_s), old-age pension complement (poacm_s), Widow-widower's pension complement (psuw dcm_s) and child benefit paid to families for each dependent child older of 18 if affected by a disability of a degree equal to or higher than 65 percent (bchdi_s).

⁴⁵ Article 1 (which modifies article 58) of *Ley 21/2021 de 28 de diciembre, de garantía del poder adquisitivo de las pensiones y de otras medidas de refuerzo de la sostenibilidad financiera y social del sistema público de pensiones*.

Moreover, even though these refunds have been in place since 2018, they are simulated only in 2022. This is due to the low inflation of said years but of 2022. This temporary increase was prolonged in 2023, meaning the absolute quantity remained stable between 2022 and 2023.

Legal sources

As previously explained, as per article 1 of *Ley 21/2021*, such annual refund no longer exists since 2023⁴⁶.

Annual refund to maintain the purchasing power of 2022's pensions: Disposición Adicional Primera of the Real Decreto 65/2022, de 25 de enero, sobre actualización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas y de otras prestaciones sociales públicas para el ejercicio 2022.

2.6. Social Insurance contributions

Social Insurance contributions finance contributory pensions and benefits. There are different regimes of contribution differing in the way and conditions in which employees, employers and self-employed contribute and the type of insurances that are financed. These social insurance contributions do not finance the Health National System, which is financed by taxes.

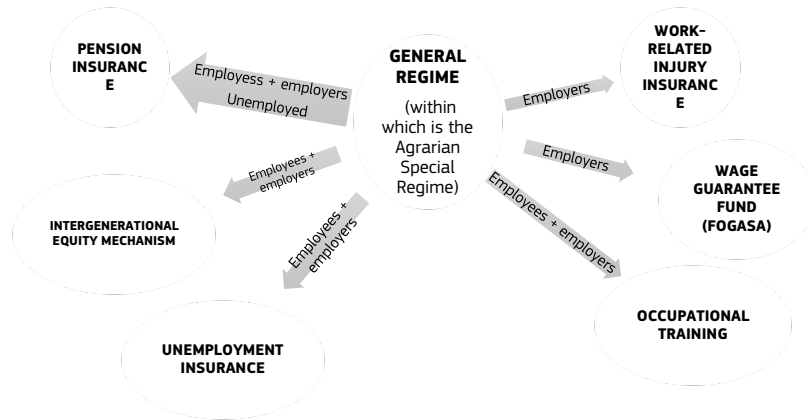
There are two main types of Social Insurance schemes in Spain: General Regime and Special Regimes. Within both schemes, there are also special systems with special rules (e.g. the Agrarian Special Regime).

Employees and employers contribute through the General Regime and self-employed through Special Regime. In addition, the unemployed contribute through the General Regime.

⁴⁶ Hence, it was not contemplated in 2023 and 2024:

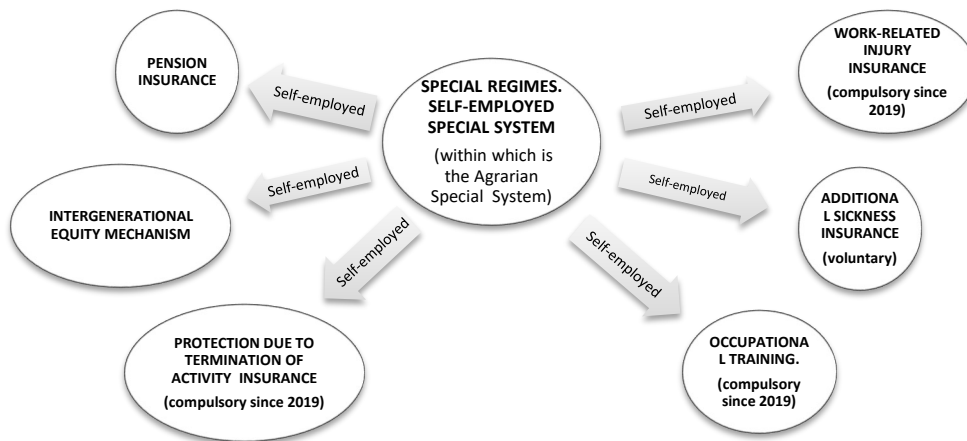
- 2024: *Real Decreto-ley 8/2023, de 27 de diciembre, por el que se adoptan medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo, así como para paliar los efectos de la sequía.*
- 2023: *Real Decreto 1058/2022, de 27 de diciembre, sobre revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas y de otras prestaciones sociales públicas para el ejercicio 2023.*

Figure 1 Contributions through the General Regime Source



Source: Own elaboration

Figure 2 Contributions through the Self-Employed Special System



Source: Own elaboration

Contributions are calculated by multiplying the **contributory base** by a **contributory rate**, which are different depending on the Social Insurance scheme through which the individual contributes. In the **General Regime**, the government yearly fixes for each professional category and type of contract (full-time or part-time) the **minimum and maximum contributory bases**. The **contributory base** is the maximum between the worker's wage and the minimum contributory base of the professional category of the worker. There is also a maximum limit (yearly fixed by the government) and a minimum limit (Minimum Wage increased by 1/6, unless otherwise stated) for the contributory base. The **contributory rates** for each type of insurance are also yearly fixed. These contributory rates are different depending on other characteristics such as type of contract (permanent or temporary), or the activity or inactivity period in the Agrarian Special Regime.

In the **Special Regime** for the self-employed since 1 January 2023, they contribute according to their net income. Also, an 80 euro/month flat rate for new contributors to the system is established.

This replaces the former system, where the self-employed could choose the contributory basis among the minimum and maximum contributory bases and the insurances to which they wanted to contribute⁴⁷.

2.6.1. Employee social contributions– *tscft_es* & *tscpt_es* & *tscag_es*

The employee social contributions paid according to the General Regime's rules are simulated by *tscft_es* and *tscpt_es* policies (for full time and part-time contracts respectively). The contributions corresponding to the Agrarian Special System are simulated by *tscag_es* policy.

General liability to social contributions

Employees' social contributions are mainly aimed at financing pension insurance, unemployment insurance and occupational training insurance. Unemployed social contributions are mainly aimed at financing pension insurance.

Income base used to calculate contributions

The government yearly fixes for each professional category and type of contract (full-time or part-time) the **minimum and maximum contributory bases**. The **contributory** base of employees is the maximum between the worker's wage and the minimum contributory base of the professional category of the worker. There is also a maximum limit (yearly fixed by the government) and a minimum limit (Minimum wage increased by 1/6, unless otherwise stated) for the contributory base.

The **contributory base of the unemployed** is the individual's previous earnings before the unemployment spell. The rate of contribution is flat. The Social Insurance System complements the individual's contribution to the social insurance system during the period of unemployment insurance payments.

In 2021, the minimum contributory bases did not change. In 2022 the Minimum Wage increased to 1,000 EUR⁴⁸ and in 2023 to 1,080 EUR⁴⁹. In 2024 the Minimum Wage increased to 1,134 EUR and the minimum contributory bases increased too.

Table 2.49 Minimum and maximum contributory bases, General Regime. EUR per month.

Full-time workers								
2022			2023		2024		2025	
	Min	Max	Min	Max	Min	Max	Min	Max
Contributory Groups								
1	1,629.30	4,139.40	1,759.50	4,495.50	1,847.40	4,720.50	1,929.00	4,909.50
2	1,351.20	4,139.40	1,459.20	4,495.50	1,532.10	4,720.50	1,599.60	4,909.50
3	1,175.40	4,139.40	1,269.30	4,495.50	1,332.90	4,720.50	1,391.70	4,909.50
4-7	1,166.70	4,139.40	1,260.00	4,495.50	1,323.00	4,720.50	1,381.20	4,909.50

⁴⁷ Although, since 2019, work-related, occupational training and protection due to termination of activity insurances are compulsory.

⁴⁸ Real Decreto 152/2022, de 22 de febrero

⁴⁹ Real Decreto 99/2023, de 14 de febrero

8-11 (€ per day)	38.89	137.98	42.00	149.85	44.10	157.35	46.04	163.65
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Minimum & Maximum Limits	1,166.70	4,139.40	1,260.00	4,495.50	1,323.00	4,720.50	1,381.20	4,909.50
	(Minimum Limit: Minimum Wage increased by 1/6, unless otherwise stated)							
	(Maximum Limit: yearly fixed by the government)							

Part-time workers								
	2022		2023		2024		2025	
	Min	Max	Min	Max	Min	Max	Min	Max
Contributory Groups								
1 (€ per hour)	9.82	-	10.60	-	11.13	-	11.62	-
2 (€ per hour)	8.14	-	8.79	-	9.23	-	9.64	-
3 (€ per hour)	7.08	-	7.65	-	8.03	-	8.38	-
4-11 (€ per hour)	7.03	-	7.59	-	7.97	-	8.32	-

Source: Own elaboration based on legal sources.

Table 2.50 Minimum and maximum contributory bases, Agrarian Special Regime. EUR per month.

	2022		2023		2024		2025	
	Min	Max	Min	Max	Min	Max	Min	Max
Contributory Groups								
1	1,629.30	4,139.40	1,759.50	4,495.50	1,847.40	4,720.50	1,929.00	4,909.50
2	1,351.20	4,139.40	1,459.20	4,495.50	1,532.10	4,720.50	1,599.60	4,909.50
3	1,175.40	4,139.40	1,269.30	4,495.50	1,332.90	4,720.50	1,391.70	4,909.50
4-11	1,166.70	4,139.40	1,260.00	4,495.50	1,323.00	4,720.50	1,381.20	4,909.50
Minimum & Maximum Limits	-	4,139.40	-	4,495.50	-	4,720.50	-	4,909.50

Notes: Definitions of contributory groups: 1 Aged 18+ with tertiary education and occupation (Ingenieros, licenciados, etc), 2 Aged 18+ and without tertiary education, skilled personnel and qualified assistants (Ingenieros Técnicos, Peritos y Ayudantes titulados), 3 Administrative and workshop managers, 4 to 7 Staff and assistants (Ayudantes y oficiales, grupos de cotización 4-10), 8 to 11 Workers under eighteen years of age, whatever their category may be.

Source: Own elaboration based on legal sources.

Contributory rates

The **contributory rates** for each type of insurance are also yearly fixed by the government. These contributory rates are different depending on other characteristics such as the type of contract (permanent or temporary), or the activity or inactivity period in the Agrarian Special Regime. Contributory rates for employees in the General Regime and the Agrarian Special System are the following. An Intergenerational Equity Mechanism was introduced in 2023, substituting former Sustainability Factor (*Factor de Sostenibilidad*) as cited in section 1.2. From 1 January 2025, an additional solidarity contribution will be established, applicable to income exceeding certain thresholds, with progressive rates and shared between the employer and the employee.

Table 2.51 Contributory rates for employees, General Regime (%).

	2022	2023	2024	2025
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Pension insurance	4.70	4.70	4.70	4.70
Work-related Injury insurance	-	-	-	-
Unemployment insurance	1.55	1.55	1.55	1.55
Occupational Training insurance	0.10	0.10	0.10	0.10
Intergenerational Equity Mechanism	-	0.10	0.12	0.13
Additional solidarity contribution				
For the remuneration between 4,909.51 euros and 5,400.45 euros				0.15
For the remuneration between 5,400.46 euros and 7,364.25 euros				0.17
For the remuneration above 7,364.25 euros				0.19

Source: Own elaboration based on legal sources.

Table 2.52 Contributory rates for employees, Agrarian Special Regime (%).

	2022	2023	2024	2025
Pension insurance	4.70	4.70	4.70	4.70
Work-related Injury insurance	-	-	-	-
Unemployment insurance	1.55	1.55	1.55	1.55
Occupational Training insurance	0.03	0.03	0.03	0.03
Intergenerational Equity Mechanism	-	0.10	0.12	0.13
Additional solidarity contribution				
For the remuneration between 4,909.51 euros and 5,400.45 euros				0.15
For the remuneration between 5,400.46 euros and 7,364.25 euros				0.17
For the remuneration above 7,364.25 euros				0.19

Source: Own elaboration based on legal sources.

EUROMOD modelling

Work-related Injury contributions are assumed by the employer (see table section 2.5.2.1) even though the employees benefit from it. Therefore, no value appears on these tables.

Unemployment contributions rates are different depending on the type of contract (permanent or temporary). We cannot distinguish between both in the data so only the rules regarding permanent contracts are simulated.

In the Agrarian Special Regime, there are different contribution rates and minimum and maximum contribution bases depending on the activity or inactivity periods. We cannot distinguish between activity and inactivity periods in the data, so we assume all periods are activity ones. Additionally, there are two contributions rates depending on the contributory group, but we do not make distinctions and assume all workers belong to the second group (2-11). Finally, we do not have information in daily terms; therefore, monthly bases are used.

Legal sources

See Legal Sources in section 2.6.3.

2.6.2. Employer social contributions - *tscft_es* & *tscpt_es* & *tscag_es*

The employer's social contributions paid through the General Regime are simulated by *tscft_es* and *tscpt_es* policies (for full time and part-time contracts respectively). The contributions corresponding to the Agrarian Special System are simulated by *tscag_es* policy.

General liability to social contributions

Employer's social contributions are mainly aimed at financing pension insurance, unemployment insurance, occupational training insurance and wage guarantee fund.

Income base used to calculate contributions

The **income base** and the minimum and maximum contributory bases are the same as those for employees' social contributions.

Contributory rates

Contributory rates for employers in the General Regime and the Agrarian Special System are the following:

Table 2.53 Contributory rates for employers, General Regime (%).

	2022	2023	2024	2025
Pension insurance*	23.60	23.60	23.60	23.60
Work-related Injury insurance	-	-	-	-
Unemployment insurance	5.50	5.50	5.50	5.50
Wage Guarantee Fund (FOGASA)	0.20	0.20	0.20	0.20
Occupational Training insurance	0.60	0.60	0.60	0.60
Intergenerational Equity Mechanism		0.50	0.58	0.67
Additional solidarity contribution				
For the remuneration between 4,909.51 euros and 5,400.45 euros				0.77
For the remuneration between 5,400.46 euros and 7,364.25 euros				0.83
For the remuneration above 7,364.25 euros				0.98

Source: Own elaboration based on legal sources.

Table 2.54 Contributory rates for employers, Agrarian Special Regime (%).

	2022	2023	2024	2025
Pension insurance*	20.24	20.48	20.72	20.96
Work-related Injury insurance	-			
Unemployment insurance	5.50	5.50	5.50	5.50
Wage Guarantee Fund (FOGASA)	0.10	0.10	0.10	0.10
Occupational Training insurance	0.15	0.15	0.15	0.15
Intergenerational Equity Mechanism		0.50	0.58	0.67
Additional solidarity contribution				
For the remuneration between 4,909.51 euros and 5,400.45 euros				0.77
For the remuneration between 5,400.46 euros and 7,364.25 euros				0.83
For the remuneration above 7,364.25 euros				0.98

Notes: (*) Rate corresponding to professional groups 2 to 11. There are 11 professional groups, number 1 corresponding to higher university graduates, and groups 2 to 11 to the rest of workers. The rate of group 1 is higher than that of the other groups, all of the latter being the same.

Source: Own elaboration based on legal sources.

EUROMOD modelling

Employer's contributions due to work-related injury and occupational illnesses highly vary according to the firm's activity and the worker's occupation. Due to lack of detailed information about the activity and occupation, these contributory rates are not simulated in EUROMOD.

Legal sources

See Legal Sources in section 2.6.3.

2.6.3. Self-employed social contributions - *tscse_es* & *tscseag_es*

The self-employed's social contributions paid according to the Special Regime's rules are simulated by *tscse_es* policy. The contributions corresponding to the Agrarian Special System for self-employed are simulated by *tscseag_es* policy.

General liability to social contributions

The social insurance contributions for self-employed have some degree of flexibility.

Self-employed social contributions are mainly aimed at financing pension insurance while the remaining insurances were optional. However, since 2019 work-related injury insurance, occupational insurance and protection due to termination of activity insurance became compulsory. Additionally, self-employed can choose to contribute to sickness insurance.

Income base used to calculate contributions and contributory rates

The **contributory base** is also flexible. Until 2022, the self-employed could choose their particular amount of contribution within a limited range, never below a certain minimum and never over a certain maximum. Due to lack of information, we assume in EUROMOD that the self-employed always decide to pay based on the minimum contribution base, although in practice they might decide to pay at higher contribution bases.

In 2023, a new contribution system for self-employed workers was established, as per Real Decreto-ley 13/2022. The main changes are the following:

- Contributions are defined based on net annual income. To this end, self-workers declare their foreseen income for the year, and they pay their monthly contribution according to the corresponding income tranche. If actual income evolves differently than declared, they can change tranches along the year (an opportunity to do so is available every two months, i.e., a maximum of 6 changes per year are allowed). 7% of declared income can be considered deductible expenditure⁵⁰. At the end of the natural year, once actual income is known thanks to information provided by the tax administration, an extra amount will be paid (received) by the self-employed if actual income has exceeded (not reached) the foreseen one at the beginning of the year.
- A 1-year- 80-euro-flat contribution is established for newcomers. Once the first year is over:
 - Self-workers with disabilities can apply for a 12-month extension.

⁵⁰ 3% in some specific cases.

- Self-workers that foresee their earnings will not reach an amount equivalent to the Minimum Wage can apply for a 36-month-160-euro flat contribution.

In this framework, the minimum and maximum contributory bases for the Self-Employed Special Regime and the Agrarian Self-Employed Special Regime changed in year 2023.

For year 2022 the minimum and maximum contributory bases for the Self-Employed Special Regime were the following:

Table 2.55 Minimum and maximum contributory bases, Self-employed Special Regime (EUR/month). 2022

	2022	
	Min	Max
Aged < 48	960.60	4,139.40
Aged >= 48	1,035.90	2,113.20

Source: Own elaboration based on legal sources.

With the entering into force of Real Decreto-Ley 13/2022 in January 2023, the minimum and maximum contributory bases for the Self-Employed Special Regime are the following:

Table 2.56 BIS Minimum and maximum contributory bases, Self-employed Special Regime (EUR/month). 2023-2025

		2023		2024		2025	
Contributory Groups	– euro/month	Min	Max	Min	Max	Min	Max
		– euro/mont h	– euro/mont h	– euro/mont h	– euro/mont h	– euro/mont h	– euro/mont h
Group 1	<= 670	751.63	849.66	735.29	816.98	653.59	718.94
Group 2	> 670 and <= 900	849.67	900	816.99	900	718.95	900
Group 3	> 900 and < 1,166.70	898.69	1,166.7	872.55	1,166.70	849.67	1,166.70
Group 4	>= 1,166.70 and <= 1,300	950.98	1,300	950.98	1,300	950.98	1,300
Group 5	> 1,300 and <=1,500	960.78	1,500	960.78	1,500	960.78	1,500
Group 6	> 1,500 and <=1,700	960.78	1,700	960.78	1,700	960.78	1,700
Group 7	> 1,700 and <=1,850	1,013.07	1,850	1,045.75	1,850	1,143.79	1,850
Group 8	> 1,850 and <=2,030	1,029.41	2,030	1,062.09	2,030	1,209.15	2,030
Group 9	> 2,030 and <=2,330	1,045.75	2,330	1,078.43	2,330	1,274.51	2,330
Group 10	> 2,330 and <=2,760	1,078.43	2,760	1,111.11	2,760	1,356.21	2,760
Group 11	> 2,760 and <=3,190	1,143.79	3,190	1,176.47	3,190	1,437.91	3,190
Group 12	> 3,190 and <=3,620	1,209.15	3,620	1,241.83	3,620	1,519.61	3,620
Group 13	> 3,620 and <= 4,050	1,274.51	4,050	1,307.19	4,050	1,601.31	4,050

Group 14	> 4,050 and <=6,000	1,372.55	4,495.5	1,454.25	4,720.50	1,732.03	4,909.50
Group 15	> 6,000	1,633.99	4,495.5	1,732.03	4,720.50	1,928.10	4,909.50

Source: Own elaboration based on legal sources.

Groups 1 to 3 are part of the so-called “reduced table”, and the rest of the groups are part of the “general table”.

For year 2022 the minimum and maximum contributory bases for the Agrarian Self-Employed Special Regime are the following:

Table 2.57 Minimum and maximum contributory bases, Self-employed Special Agrarian Regime (EUR/month). 2021-2022

2022		
	Min	Max
Contributory bases	960.60	4,139.40

Source: Own elaboration based on legal sources.

From 2023 the minimum and maximum contributory bases for the Agrarian Self-Employed Special Regime are the same as those for the Self-employed Special Regime.

Contributory rates

The **contributory rates** for the Self-Employed Special Regime and the Agrarian Self-Employed Special Regime are the following:

Table 2.58 Contributory rates, Self-Employed Special Regime.

	2022	2023	2024	2025
Pension insurance	28.30	28.30	28.30	28.30
Additional contributory rate (sickness) (optional)				
Work-related injury insurance	1.30	1.30	1.30	1.30
Protection due to termination of activity	0.90	0.90	0.90	0.90
Occupational training insurance	0.10	0.10	0.10	0.10
Intergenerational Equity Mechanism		0.60	0.70	0.80
Reduction coefficient *	0.055	0.055	0.055	0.055

Notes: * From 2019 on, a reduction coefficient of 0.045 exists in the event that the temporary disability is covered by another Social Insurance regime ⁵¹. In September 2021 it changed to 0.055⁵².

Source: Own elaboration based on legal sources.

Table 2.59 Contributory rates, Agrarian Self-employed Special Regime.

	2022	2023	2024	2025
Minimum monthly contributory base	960.60	751.63	735.29	653.59
Amount monthly contributory base exceeding	1,152.60	1,141.18	1,141.18	1,141.18
Contributory rate	26.50	26.50	26.50	26.50
If monthly contributory base <	1,152.60	1,141.18	1,141.18	1,141.18
Contributory rate	18.75	18.75	18.75	18.75
Additional contributory rate (sickness) (optional)	3.30	3.30	3.30	3.30
Work related injury insurance				
If no contribution to work related injury insurance à Other protection (work accidents and professional sickness) (compulsory)	1	1	1	1
Protection due to termination of activity (optional)	2.2	2.2	2.2	2.2
Occupational training insurance	1	1	1	1
Intergenerational Equity Mechanism		0.6	0.7	0.8

Source: Own elaboration based on legal sources.

EUROMOD modelling

Due to lack of information, we assume in systems up to 2022 that the self-employed always decide to pay based on the minimum contribution base, although in practice they might actually decide to pay at higher contribution bases.

The voluntary additional contributory rate for sickness in case of the Agrarian Self-employed Special Regime is assumed to be paid by all self-employed farmers in EUROMOD.

Legal sources

2023 reform:

— *Real Decreto-ley 13/2022, de 26 de julio, por el que se establece un nuevo sistema de cotización para los trabajadores por cuenta propia o autónomos y se mejora la protección por cese de actividad.*

Update of amounts:

⁵¹ According to article 15 of Orden TMS/83/2019, de 31 de enero, por la que se desarrollan las normas legales de cotización a la Seguridad Social, desempleo, protección por cese de actividad, Fondo de Garantía Salarial y formación profesional para el ejercicio 2019.

⁵² Article 15 of Order PCM/1353/2021 establishes a new reduction coefficient of 0.055 from September 2021.

- 2025: Orden PJC/178/2025, de 25 de febrero, por la que se desarrollan las normas legales de cotización a la Seguridad Social, desempleo, protección por cese de actividad, Fondo de Garantía Salarial y formación profesional para el ejercicio 2025.
- 2024: Orden PJC/281/2024, de 27 de marzo, por la que se modifica la Orden PJC/51/2024, de 29 de enero, por la que se desarrollan las normas legales de cotización a la Seguridad Social, desempleo, protección por cese de actividad, Fondo de Garantía Salarial y formación profesional para el ejercicio 2024.
- 2024: Orden PJC/51/2024, de 29 de enero, por la que se desarrollan las normas legales de cotización a la Seguridad Social, desempleo, protección por cese de actividad, Fondo de Garantía Salarial y formación profesional para el ejercicio 2024.
- 2023: Orden PCM/313/2023, de 30 de marzo, por la que se modifica la Orden PCM/74/2023, de 30 de enero, por la que se desarrollan las normas legales de cotización a la Seguridad Social, desempleo, protección por cese de actividad, Fondo de Garantía Salarial y formación profesional para el ejercicio 2023.
- 2023: Orden PCM/74/2023, de 30 de enero, por la que se desarrollan las normas legales de cotización a la Seguridad Social, desempleo, protección por cese de actividad, Fondo de Garantía Salarial y formación profesional para el ejercicio 2023.
- 2022: “Orden PCM/244/2022, de 30 de marzo, por la que se desarrollan las normas legales de cotización a la Seguridad Social, desempleo, protección por cese de actividad, Fondo de Garantía Salarial y formación profesional para el ejercicio 2022”.
- 2021: “Ley 11/2020, de 30 de diciembre, de Presupuestos Generales del Estado para el año 2021(artículo 119)”. The minimum contributory bases remain the same as in 2019 while the Minimum Wage for 2021 is not updated “Real Decreto-ley 2/2021, de 26 de enero, de refuerzo y consolidación de medidas sociales en defensa del empleo Disposición adicional quinta”.
- 2020: The minimum, maximum contribution bases and rates remain as in 2019. “Disposición adicional segunda” of the “Real Decreto-ley 18/2019, de 27 de diciembre, por el que se adoptan determinadas medidas en materia tributaria. Catastral y de seguridad social” reflects the continuation of the rules for 2019 regulated in “Orden TSM/83/2019, de 31 de enero, por la que se desarrollan las normas legales de cotización a la Seguridad Social, desempleo, protección por cese de actividad, Fondo de Garantía Salarial y formación profesional para el ejercicio 2019”.
- 2019: “Orden TMS/83/2019, de 31 de enero, por la que se desarrollan las normas legales de cotización a la Seguridad Social, desempleo, protección por cese de actividad, Fondo de Garantía Salarial y formación profesional para el ejercicio 2019”. In 2019 the “Real Decreto 1462/2018, de 21 de diciembre, por el que se fija el salario mínimo interprofesional para 2019” increased the Minimum Wage. In article 19.2 of the Law that regulates the Social Insurance System says that the minimum contributory bases increase in the same percentage plus 1/6, unless otherwise stated. In article 5 of “RD 28 de diciembre de 2018 para la revalorización de las pensiones públicas y otras medidas urgentes en materia social, laboral y de empleo” says that the minimum contributory bases increase in the same percentage as the Minimum Wage (no additional increase of 1/6). All these changes were summarise in “: Orden TMS/83/2019, de 31 de enero, por la que se desarrollan las normas legales de cotización a la Seguridad Social, desempleo, protección por cese de actividad, Fondo de Garantía Salarial y formación profesional para el ejercicio 2019”.

- 2018, 2019, 2020, 2021: Contributory rates for Work-related injury insurance: “*disposición adicional cuarta Ley 42/2006, de 28 de diciembre, de Presupuestos Generales del Estado para el año 2007*”.

2.6.4. Health insurance contributions

Spanish workers do not pay health insurance contributions because the financing of the Health National System is covered by taxes.

2.6.5. Other social contributions

Coal-miners Special Regime, Sea workers Special Regime, Student’s Special Regime, Civil Servants, Military Forces and Judge Special Regimes and Housemaids Special System are not simulated due to lack of detailed data to identify these collectives. We assume that these groups contribute through the General Regime.

2.7. Direct taxes

The direct tax simulated in EUROMOD is the **Personal Income Tax** (*Impuesto sobre la Renta de las Personas Físicas, IRPF*), tax levied on worldwide income of resident individuals⁵³. Its main characteristics are:

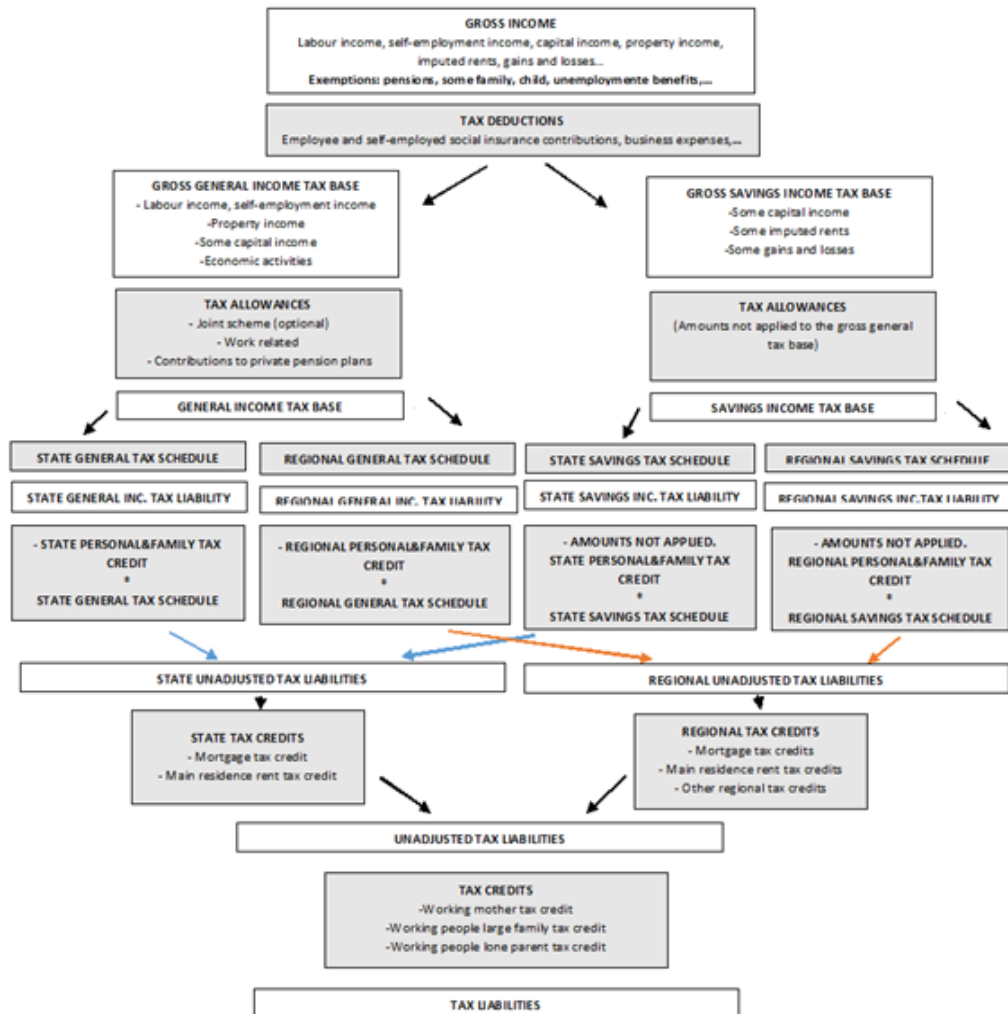
- Gross income subject to tax is relatively broad and includes the following sources: labour income, self-employment income, business income, unemployment and pensions, investment income, capital income (both financial and real estate), imputed rents and capital gains. In 2020-2021, Covid-19 wage compensation paid by the State (*ERTEs*⁵⁴) and self-employment compensation paid by the State were also subject to the Personal Income Tax.
- In order to tax differently labour and saving incomes, these sources are classified into two groups: “General Income”, including mainly income or labour returns and “Savings Income” including capital gains or savings returns. Savings Income tax schedule is less progressive than General Income tax schedule.
- The Personal Income Tax is applied at the individual level; however, there is also an option to file a joint tax return for members of the same family unit.
- It’s a tax partially transferred to the regions and, therefore, it’s not homogeneous throughout the national territory with differences in tax schedules and tax credits according to the legislation in the regions. Comunidad Foral de Navarra and País Vasco have their own special tax regimes.

⁵³ Non-residents are liable to Income Tax on Non-Residents (IRNR) only on the incomes obtained in Spain. Individuals who are only taxed on income from work and who earn less than 22,000 euro per year, and do not have more than one employer, do not need to fill in a tax return. If individual earnings come from more than one employer, this limit drops to 12,000 euro per year.

⁵⁴ As explained in sections 1.7 and 2.9, there are several kinds of ERTES, ERTE-COVID being one of them. After the end of the pandemic, ERTE regulation has changed and ERTE-COVID no longer exist.

The following figure shows a schematic representation of the Personal Income Tax:

Figure 3 Personal Income Tax



Source: Own elaboration

EUROMOD modelling

Navarra and the Basque Country have their own tax regimes but in EUROMOD the simulation uses the National Tax system.

2.7.1. Tax unit

The Personal Income Tax is applied at the individual level. However, there is also an option to file a joint tax return for members of the same family unit: both spouses (only one of them in case of legal separation or *de facto* unions) and their cohabiting children under 18 years or any age if disabled. The decision is taken by the taxpayer according to what option benefits him the most (single-parent families and couples with little or no earnings are the most benefited by joint tax returns).

The rules of most elements of the Personal Income Tax are the same under individual and joint taxation. The major differences between these schemes are:

- In joint taxation there is an additional allowance (*Joint Scheme Allowance*).
- The way to compute the amount of incomes and personal and family tax allowances. In individual taxation, each married taxpayer gets half the amount of family tax allowances and tax credits and in joint taxation incomes, family tax allowances and tax credits are pooled together.

EUROMOD modelling

In EUROMOD individual and joint returns are computed and the option minimizing the tax liabilities is chosen.

2.7.2. Exemptions

The following income sources are not taxable (all amounts are annual):

- Pensions paid by the Social Insurance System to individuals with disability.
- Child, family, maternity and paternity benefits.
- Unemployment benefits obtained as a lump sum.
- National and regional minimum incomes up to the limit of 1.5*IPREM (12,600 euro in 2024).
- Others:
 - Mandatory compensation received as severance pay or for the termination of employment contracts up to the limit of 180,000 euro.
 - Indemnities paid for physical or mental damages; grants for high level sportsmen and sports women up to the limit of 60,100 euro.
 - Public education and research grants.
 - Court-ordered child support payments.
 - Literary, art or scientific awards; lottery prizes:
 - Wages obtained in a foreign country with a similar personal income tax to that of Spain up to a limit of 60,100 euro.

2.7.3. Tax deductions

Employee and self-employed social insurance contributions and economic expenses associated with the business activity are fully deductible from taxable income. Since 2015, there is also a general tax deduction of 2,000 euro per year for individuals with positive employment-related incomes.

2.7.4. Tax allowances

The Spanish Personal Income Tax includes, among others, the following tax allowances: joint scheme allowance, work related allowances and contributions to private pension plans allowance. The amounts are presented in annual terms unless otherwise stated.

Joint scheme allowance (*Reducción por tributación conjunta*):

This allowance is only applied in case of joint taxation and it's equal to 3,400 euro in case of two-member family unit, and 2,150 euro for lone parent households when not cohabiting with the other parent.

Work-related allowances (*Reducción por rendimientos del trabajo, prolongación de la actividad laboral y movilidad geográfica y personas con discapacidad que obtengan rendimientos del trabajo como trabajadores activos*):

It is an income related non-refundable tax allowance for taxpayers who receive "employment income" below 16,825 euro in 2022 and 19,747.50 euro from 2023 on. The amount of the allowance decreases as the level of net employment income increases, varying in 2022 from:

- 5,565 euro per year if net employment income is below 13,115 euro.
- 5,565 euro – 1.5 * (net employment income – 13,115) if net employment income is between 13,115 and 16,825 euro.

In 2023 from:

- 6,498 euro per year if net employment income is below 14,047 euro.
- 6,498 euro – 1.14 * (net employment income – 14,047) if net employment income is between 14,047 and 19,747.50 euro.

Since 2024:

- 7,302 euro per year if net employment income is below 14,852 euro.
- 7,302 euro – 1.75 * (net employment income – 14,852) if net employment income is between 14,852 and 17,673.52 euro.
- 2,364.34 euro – 1.14 * (net employment income – 17,673.52) if net employment income is between 17,673.52 and 19,747.5 euro

In the case of joint taxation, and even if both partners have incomes from work, this allowance is only applicable once.

Contributions to private pension schemes allowance (*Reducción por aportaciones a sistemas de previsión social*).

This tax allowance takes account of taxpayers' contributions to private pension schemes and a variety of insurances. The tax allowance amount corresponds to the total contributions made by the taxpayer and cannot exceed the minimum between 30% of employment income (employed, self-employed or business activities) and 8,000 euro in 2019-2020, 2,000 euro in 2021 and 1,500 euro since 2022.

EUROMOD modelling

There are other tax allowances (tax allowances for contributions to insurance companies, for contributions to private pension in favour of spouse, disability, professional sportsmen, alimony compensatory pensions for spouses, etc.) which are not simulated in EUROMOD due to lack of information.

2.7.5. Tax base

The Personal Income Tax has a dual structure in order to tax differently labour and savings incomes. Incomes net of deductible expenses are classified into two groups: “**General Income**” and “**Savings Income**”.

- The “**General Income**” comprises the net amount of ordinary income, i.e. the balance resulting from the computation of the positive minus negative amounts of income under the various categories (employment income, real estate capital yields, business income, and imputed income).
- The “**Savings Income**” comprises the net amount of financial capital yields plus the positive balance of capital gains on assets.

To each type of income, a **set of tax allowances is applied**. First, the tax allowances are deducted from the “General Income”.

Second, if the taxpayer is entitled to deduct an amount from the “joint scheme allowance”⁵⁵ exceeding its “General Income”, the taxpayer can apply the residual to the “Savings Income”. After the application of tax allowances, the **General Income Tax Base** (*Base Liquidable General*) and the **Savings Income Tax Base** (*Base Liquidable del Ahorro*) are obtained. Importantly, as result of the application of tax deductions and allowances the tax base may not become negative.

Although not modelled, a mention must be made to allowances related to the DANA⁵⁶, such as:

- the exemption of benefits received to face personal injuries,
- the reduction of the net yield index for agricultural workers in the affected areas,
- the 25% reduction in module taxation in 2024 for the self-employed (benefiting 22,655 taxpayers),
- the suspension of the collection of the second payment of Personal Income Tax for taxpayers in the province of Valencia (benefiting 200,000 taxpayers).

⁵⁵ This rule also applies to other allowances not simulated in EUROMOD due to lack of information, such as the allowance for alimony compensatory pension in favour of the spouse.

⁵⁶ *Real Decreto-ley 6/2024, de 5 de noviembre, por el que se adoptan medidas urgentes de respuesta ante los daños causados por la Depresión Aislada en Niveles Altos (DANA) en diferentes municipios entre el 28 de octubre y el 4 de noviembre de 2024; Real Decreto-ley 7/2024, de 11 de noviembre, por el que se adoptan medidas urgentes para el impulso del Plan de respuesta inmediata, reconstrucción y relanzamiento frente a los daños causados por la Depresión Aislada en Niveles Altos (DANA) en diferentes municipios entre el 28 de octubre y el 4 de noviembre de 2024.*

2.7.6. Tax schedule

There are two different tax schedules for each type of tax base: the “General Tax Schedule” and the “Savings Tax Schedule”. Additionally, each tax schedule has a state and a regional schedule due to the fact that the Personal Income Tax is partially transferred to the regions. Half of this tax payment goes to the State and half to taxpayer’s residence region.

Therefore a “**State General Tax Schedule**” and a “**Regional General Tax Schedule**” are applied to the “General Income Tax Base”. And a “**State Savings Tax Schedule**” and a “**Regional Savings Tax Schedule**” are applied to the “Savings Income Tax Base”.

The “**State General Tax Schedule**” is shown in the table below:

Table 2.60 State General Tax Schedule (tax rates in %).

Upper Limit (euro per year)	2022	2023	2024	2025
12,450	9.50	9.50	9.50	9.50
20,200	12.00	12.00	12.00	12.00
35,200	15.00	15.00	15.00	15.00
60,000	18.50	18.50	18.50	18.50
300,000	22.50	22.50	22.50	22.50
over	24.50	24.50	24.50	24.50

Source: Own elaboration based on legal sources.

The “**State Savings Tax Schedule**” and “**Regional Savings Tax Schedule**” are the same and are less progressive than the General Tax Schedules.

Table 2.61 State and Regional Savings Tax Schedules (tax rates in %).

Upper Limit (euro per year)	2022	2023	2024	2025 ¹
6,000	19.0	19.0	19.0	19.0
50,000	21.0	21.0	21.0	21.0
200,000	23.0	23.0	23.0	23.0
300,000	26.0	27.0	27.0	27.0
over	26.0	28.0	28.0	30.0

Note: ¹ It is amended, with effect from 1 January 2025, by final provision 7.1 of Law 7/2024, of 20 December.

Source: Own elaboration based on legal sources.

The “**Regional General Tax Schedule**” is different among regions, and it is shown in the tables below:

Table 2.62 Regional General Tax Schedule in Andalucía (tax rates in %).

Upper Limit	State (a)			Region (b) - ANDALUCÍA				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025

12,450	9.5	9.5	9.5	9.5	9.5	9.5	9.5	19	19	19	19
13,000	12	12	12	9.5	9.5	9.5	9.5	21.5	21.5	21.5	21.5
20,200	12	12	12	12	12	12	12	24	24	24	24
21,100	15	15	15	12	12	12	12	27	27	27	27
28,000	15	15	15	15	15	15	15	30	30	30	30
35,200	15	15	15	15	15	15	15	30	30	30	30
50,000	18.5	18.5	18.5	18.5	18.5	18.5	18.5	37	37	37	37
60,000	18.5	18.5	18.5	18.5	18.5	18.5	18.5	37	37	37	37
120,000	22.5	22.5	22.5	22.5	22.5	22.5	22.5	45	45	45	45
300,000	22.5	22.5	22.5	22.5	22.5	22.5	22.5	45	45	45	45
over	24.5	24.5	24.5	22.5	22.5	22.5	22.5	47	47	47	47

Source: Own elaboration based on regional legal sources.

Table 2.63 Regional General Tax Schedule in Aragón (tax rates in %).

Upper Limit	State (a)			Region (b) – ARAGÓN				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
12,450	9.5	9.5	9.5	9.5	9.5	9.5	9.5	19	19	19	19
13,072	12	12	12	12	9.5	9.5	9.5	24	21.5	21.5	21.5
20,200	12	12	12	12	12	12	12	24	24	24	24
21,210	15	15	15	15	12	12	12	30	27	27	27
34,000	15	15	15	15	15	15	15	30	30	30	30
35,200	15	15	15	15	15	15	15	30	30	30	30
36,960	15	15	15	18.5	15	15	15	33.5	30	30	30
50,000	15	15	15	18.5	18.5	18.5	18.5	33.5	33.5	33.5	33.5
52,500	18.5	18.5	18.5	20.5	18.5	18.5	18.5	39	37	37	37
60,000	18.5	18.5	18.5	20.5	20.5	20.5	20.5	39	39	39	39
70,000	22.5	22.5	22.5	23	23	23	23	45.5	45.5	45.5	45.5
80,000	22.5	22.5	22.5	23	23	23	23	45.5	45.5	45.5	45.5
90,000	22.5	22.5	22.5	24	24	24	24	46.5	46.5	46.5	46.5
130,000	22.5	22.5	22.5	25	25	25	25	47.5	47.5	47.5	47.5
150,000	22.5	22.5	22.5	25.5	25.5	25.5	25.5	48	48	48	48
300,000	22.5	22.5	22.5	25.5	25.5	25.5	25.5	48	48	48	48
over	24.5	24.5	24.5	25.5	25.5	25.5	25.5	50	50	50	50

Source: Own elaboration based on regional legal sources.

Table 2.64 Regional General Tax Schedule in Principado de Asturias (tax rates in %).

Upper Limit	State (a)			Region (b) – PRINCIPADO DE ASTURIAS				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
12,450.00	9.5	9.5	9.5	10	10	10	10	19.5	19.5	19.5	19.5
17,707.20	12	12	12	12	12	12	12	24	24	24	24
20,200.00	12	12	12	14	14	14	14	26	26	26	12
33,007.20	15	15	15	14	14	14	14	29	29	29	29
35,200.00	15	15	15	18.5	18.5	18.5	18.5	33.5	33.5	33.5	33.5

53,407.20	18.5	18.5	18.5	18.5	18.5	18.5	18.5	37	37	37	37
60,000.00	18.5	18.5	18.5	21.5	21.5	21.5	21.5	40	40	40	40
70,000.00	22.5	22.5	22.5	21.5	21.5	21.5	21.5	44	44	44	44
90,000.00	22.5	22.5	22.5	22.5	22.5	22.5	22.5	45	45	45	45
175,000.00	22.5	22.5	22.5	25	25	25	25	47.5	47.5	47.5	47.5
300,000.00	22.5	22.5	22.5	25.5	25.5	25.5	25.5	48	48	48	48
over	24.5	24.5	24.5	25.5	25.5	25.5	25.5	50	50	50	50

Source: Own elaboration based on regional legal sources.

Table 2.65 Regional General Tax Schedule in Illes Balears (tax rates in %).

Upper Limit	State (a)			Region (b) – ILLES BALEARS				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
10,000.00	9.5	9.5	9.5	9.5	9.5	9	9	19	19	18.5	18.5
12,450.00	9.5	9.5	9.5	11.75	11.75	11.25	11.25	21.25	21.25	20.75	20.75
18,000.00	12	12	12	11.75	11.75	11.25	11.25	23.75	23.75	23.25	23.25
20,200.00	12	12	12	14.75	14.75	14.25	14.25	26.75	26.75	26.25	26.25
30,000.00	15	15	15	14.75	14.75	14.25	14.25	29.75	29.75	29.25	29.25
35,200.00	15	15	15	17.75	17.75	17.5	17.5	32.75	32.75	32.5	32.5
48,000.00	18.5	18.5	18.5	17.75	17.75	17.5	17.5	36.25	36.25	36	36
60,000.00	18.5	18.5	18.5	19.25	19.25	19	19	37.75	37.75	37.5	37.5
70,000.00	22.5	22.5	22.5	19.25	19.25	19	19	41.75	41.75	41.5	41.5
90,000.00	22.5	22.5	22.5	22	22	21.75	21.75	44.5	44.5	44.25	44.25
120,000.00	22.5	22.5	22.5	23	23	22.75	22.75	45.5	45.5	45.25	45.25
175,000.00	22.5	22.5	22.5	24	24	23.75	23.75	46.5	46.5	46.25	46.25
300,000.00	22.5	22.5	22.5	25	25	24.75	24.75	47.5	47.5	47.25	47.25
over	24.5	24.5	24.5	25	25	24.75	24.75	49.5	49.5	49.25	49.25

Source: Own elaboration based on regional legal sources.

Table 2.66 Regional General Tax Schedule in Canarias (tax rates in %).

Upper Limit	State (a)			Region (b) – CANARIAS				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
12,450.00	9.5	9.5	9.5	9	9	9	9	18.5	18.5	18.5	18.5
13,010.00	12	12	12	9	9	11.5	9	21	21	23.5	21
13,465.00	12	12	12	9	9	11.5	9	21	21	23.5	21
17,707.20	12	12	12	11.5	11.5	11.5	11.5	23.5	23.5	23.5	23.5
18,468.00	12	12	12	11.5	11.5	14	11.5	23.5	23.5	26	23.5
19,022.00	12	12	12	11.5	11.5	14	11.5	23.5	23.5	26	23.5
20,200.00	12	12	12	14	14	14	14	26	26	26	26
33,007.20	15	15	15	14	14	14	14	29	29	29	29
34,000.00	15	15	15	14	14	18.5	14	29	29	33.5	29
34,327.00	15	15	15	14	14	18.5	14	29	29	33.5	29
35,185.00	15	15	15	14	14	18.5	14	29	29	33.5	29
35,200.00	15	15	15	18.5	18.5	18.5	18.5	33.5	33.5	33.5	33.5

53,407.20	18.5	18.5	18.5	18.5	18.5	18.5	18.5	37	37	37	37
55,276.00	18.5	18.5	18.5	18.5	18.5	23.5	18.5	37	37	42	37
56,382.00	18.5	18.5	18.5	18.5	18.5	23.5	18.5	37	37	42	37
60,000.00	18.5	18.5	18.5	23.5	23.5	23.5	23.5	42	42	42	42
90,000.00	22.5	22.5	22.5	23.5	23.5	23.5	23.5	46	46	46	46
91,350.00	22.5	22.5	22.5	23.5	23.5	23.5	23.5	46	46	46	46
120,000.00	22.5	22.5	22.5	25	25	25	25	47.5	47.5	47.5	47.5
121,200.00	22.5	22.5	22.5	25	25	25	25	47.5	47.5	47.5	47.5
300,000.00	22.5	22.5	22.5	26	26	26	26	48.5	48.5	48.5	48.5
over	24.5	24.5	24.5	26	26	26	26	50.5	50.5	50.5	50.5

Source: Own elaboration based on regional legal sources.

Table 2.67 Regional General Tax Schedule in Cantabria (tax rates in %).

Upper Limit	State (a)			Region (b) - CANTABRIA				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
12,450.00	9.5	9.5	9.5	9.5	9.5	8.5	8.5	19	19	18	18
13,000.00	12	12	12	12	12	8.5	8.5	24	24	20.5	20.5
20,200.00	12	12	12	12	12	11	11	24	24	23	23
21,000.00	15	15	15	15	15	11	11	30	30	26	26
34,000.00	15	15	15	15	15	14.5	14.5	30	30	29.5	29.5
35,200.00	15	15	15	18.5	18.5	14.5	14.5	33.5	33.5	29.5	29.5
46,000.00	18.5	18.5	18.5	18.5	18.5	18	18	37	37	36.5	36.5
60,000.00	18.5	18.5	18.5	19.5	19.5	18	18	38	38	36.5	36.5
90,000.00	22.5	22.5	22.5	24.5	24.5	22.5	22.5	47	47	45	45
300,000.00	22.5	22.5	22.5	25.5	25.5	24.5	24.5	48	48	47	47
over	24.5	24.5	24.5	25.5	25.5	24.5	24.5	50	50	49	49

Source: Own elaboration based on regional legal sources.

Table 2.68 Regional General Tax Schedule in Castilla-La Mancha (tax rates in %).

Upper Limit	State (a)			Region (b) - CASTILLA-LA MANCHA				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
12,450.00	9.5	9.5	9.5	9.5	9.5	9.5	9.5	19	19	19	19
20,200.00	12	12	12	12	12	12	12	24	24	24	24
35,200.00	15	15	15	15	15	15	15	30	30	30	30
60,000.00	18.5	18.5	18.5	18.5	18.5	18.5	18.5	37	37	37	37
300,000.00	22.5	22.5	22.5	22.5	22.5	22.5	22.5	45	45	45	45
over	24.5	24.5	24.5	22.5	22.5	22.5	22.5	47	47	47	47

Source: Own elaboration based on regional legal sources.

Table 2.69 Regional General Tax Schedule in Castilla y León (tax rates in %).

Upper Limit	State (a)			Region (b) - CASTILLA Y LEÓN				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025

12,450.00	9.5	9.5	9.5	9	9	9	9	18.5	18.5	18.5	18.5
20,200.00	12	12	12	12	12	12	12	24	24	24	24
35,200.00	15	15	15	14	14	14	14	29	29	29	29
53,407.20	18.5	18.5	18.5	18.5	18.5	18.5	18.5	37	37	37	37
60,000.00	18.5	18.5	18.5	21.5	21.5	21.5	21.5	40	40	40	40
300,000.00	22.5	22.5	22.5	21.5	21.5	21.5	21.5	44	44	44	44
over	24.5	24.5	24.5	21.5	21.5	21.5	21.5	46	46	46	46

Source: Own elaboration based on regional legal sources.

Table 2.70 Regional General Tax Schedule in Cataluña (tax rates in %).

Upper Limit	State (a)			Region (b) - CATALUÑA				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
12,450.00	9.5	9.5	9.5	10.5	10.5	10.5	10.5	20	20	20	20
17,707.20	12	12	12	12	12	12	12	24	24	24	24
20,200.00	12	12	12	14	14	14	14	26	26	26	26
21,000.00	15	15	15	14	14	14	14	29	29	29	29
33,007.20	15	15	15	15	15	15	15	30	30	30	30
35,200.00	15	15	15	18.8	18.8	18.8	18.8	33.8	33.8	33.8	33.8
53,407.20	18.5	18.5	18.5	18.8	18.8	18.8	18.8	37.3	37.3	37.3	37.3
60,000.00	18.5	18.5	18.5	21.5	21.5	21.5	21.5	40	40	40	40
90,000.00	22.5	22.5	22.5	21.5	21.5	21.5	21.5	44	44	44	44
120,000.00	22.5	22.5	22.5	23.5	23.5	23.5	23.5	46	46	46	46
175,000.00	22.5	22.5	22.5	24.5	24.5	24.5	24.5	47	47	47	47
300,000.00	22.5	22.5	22.5	25.5	25.5	25.5	25.5	48	48	48	48
over	24.5	24.5	24.5	25.5	25.5	25.5	25.5	50	50	50	50

Source: Own elaboration based on regional legal sources.

Table 2.71 Regional General Tax Schedule in Extremadura (tax rates in %).

Upper Limit	State (a)			Region (b) - EXTREMADURA				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
12,450.00	9.5	9.5	9.5	9.5	8	8	8	19	17.5	17.5	17.5
20,200.00	12	12	12	12.5	10	10	10	24.5	22	22	22
24,200.00	15	15	15	15.5	16	16	16	30.5	31	31	31
35,200.00	15	15	15	16.5	17.5	17.5	17.5	31.5	32.5	32.5	32.5
60,000.00	18.5	18.5	18.5	20.5	21	21	21	39	39.5	39.5	39.5
80,200.00	22.5	22.5	22.5	23.5	23.5	23.5	23.5	46	46	46	46
99,200.00	22.5	22.5	22.5	24	24	24	24	46.5	46.5	46.5	46.5
120,200.00	22.5	22.5	22.5	24.5	24.5	24.5	24.5	47	47	47	47
300,000.00	22.5	22.5	22.5	25	25	25	25	47.5	47.5	47.5	47.5
over	24.5	24.5	24.5	25	25	25	25	49.5	49.5	49.5	49.5

Source: Own elaboration based on regional legal sources.

Table 2.72 Regional General Tax Schedule in Galicia (tax rates in %).

Upper Limit	State (a)			Region (b) - GALICIA				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
12,450	9.5	9.5	9.5	9	9	9	9	18.5	18.5	18.5	18.5
12,985.35	9.5	9.5	9.5	9	9	9	9	18.5	18.5	18.5	18.5
20,200	12	12	12	11.65	11.65	11.65	11.65	23.65	23.65	23.65	23.65
21,068.60	15	15	15	11.65	11.65	11.65	11.65	26.65	26.65	26.65	26.65
27,700	15	15	15	14.9	14.9	14.9	14.9	29.9	29.9	29.9	29.9
35,200	15	15	15	14.9	14.9	14.9	14.9	29.9	29.9	29.9	29.9
47,600	18.5	18.5	18.5	18.4	18.4	18.4	18.4	36.9	36.9	36.9	36.9
60,000	18.5	18.5	18.5	18.4	18.4	18.4	18.4	36.9	36.9	36.9	36.9
300,000.00	22.5	22.5	22.5	22.5	22.5	22.5	22.5	45	45	45	45
over	24.5	24.5	24.5	22.5	22.5	22.5	22.5	47	47	47	47

Source: Own elaboration based on regional legal sources.

Table 2.73 Regional General Tax Schedule in La Rioja (tax rates in %).

Upper Limit	State (a)			Region (b) – LA RIOJA				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
12,450	9.5	9.5	9.5	9	9	8	8	18.5	18.5	17.5	17.5
20,200	12	12	12	11.6	11.6	10.6	10.6	23.6	23.6	22.6	22.6
35,200	15	15	15	14.6	14.6	13.6	13.6	29.6	29.6	28.6	28.6
40,000	18.5	18.5	18.5	18.8	18.8	17.8	17.8	37.3	37.3	36.3	36.3
50,000	18.5	18.5	18.5	18.8	18.8	18.3	18.3	37.3	37.3	36.8	36.8
60,000	18.5	18.5	18.5	19.5	19.5	19	19	38	38	37.5	37.5
120,000	22.5	22.5	22.5	25	25	24.5	24.5	47.5	47.5	47	47
300,000	22.5	22.5	22.5	27	27	27	27	49.5	49.5	49.5	49.5
over	24.5	24.5	24.5	27	27	27	27	51.5	51.5	51.5	51.5

Source: Own elaboration based on regional legal sources.

Table 2.74 Regional General Tax Schedule in Comunidad de Madrid (tax rates in %).

Upper Limit	State (a)			Region (b) – COMUNIDAD DE MADRID				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
12,450	9.5	9.5	9.5	8.5	8.5	8.5	8.5	18	18	18	18
12,960.45	12	12	12	8.5	8.5	8.5	8.5	20.5	20.5	20.5	20.5
13,362.22	12	12	12	8.5	8.5	8.5	8.5	20.5	20.5	20.5	20.5
17,707	12	12	12	10.7	10.7	10.7	10.7	22.7	22.7	22.7	22.7
18,433.20	12	12	12	10.7	10.7	10.7	10.7	22.7	22.7	22.7	22.7
19,004.63	12	12	12	12.8	10.7	10.7	10.7	24.8	22.7	22.7	22.7
20,200	12	12	12	12.8	12.8	12.8	12.8	24.8	24.8	24.8	24.8
33,007	15	15	15	12.8	12.8	12.8	12.8	27.8	27.8	27.8	27.8
34,360.50	15	15	15	12.8	12.8	12.8	12.8	27.8	27.8	27.8	27.8

35,200	15	15	15	17.4	12.8	12.8	12.8	32.4	27.8	27.8	27.8
35,425.68	18.5	18.5	18.5	17.4	12.8	12.8	12.8	35.9	31.3	31.3	31.3
53,407	18.5	18.5	18.5	17.4	17.4	17.4	17.4	35.9	35.9	35.9	35.9
55,596.90	18.5	18.5	18.5	17.4	17.4	17.4	17.4	35.9	35.9	35.9	35.9
57,320.40	18.5	18.5	18.5	20.5	17.4	17.4	17.4	39	35.9	35.9	35.9
60,000	18.5	18.5	18.5	20.5	20.5	20.5	20.5	39	39	39	39
300,000.00	22.5	22.5	22.5	20.5	20.5	20.5	20.5	43	43	43	43
over	24.5	24.5	24.5	20.5	20.5	20.5	20.5	45	45	45	45

Source: Own elaboration based on regional legal sources.

Table 2.75 Regional General Tax Schedule in Región de Murcia (tax rates in %).

Upper Limit	State (a)			Región (b) - REGIÓN DE MURCIA				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
12,450	9.5	9.5	9.5	9.6	9.5	9.5	9.5	19.1	19	19	19
12,960.45	12	12	12	9.6	11.2	11.2	11.2	21.6	23.2	23.2	23.2
20,200	12	12	12	11.46	11.2	11.2	11.2	23.46	23.2	23.2	23.2
21,028.20	15	15	15	11.46	13.3	13.3	13.3	26.46	28.3	28.3	28.3
34,000	15	15	15	13.74	13.3	13.3	13.3	28.74	28.3	28.3	28.3
35,200	15	15	15	13.74	17.9	17.9	17.9	28.74	32.9	32.9	32.9
35,394	18.5	18.5	18.5	13.74	17.9	17.9	17.9	32.24	36.4	36.4	36.4
60,000	18.5	18.5	18.5	18.22	17.9	17.9	17.9	36.72	36.4	36.4	36.4
300,000	22.5	22.5	22.5	22.70	22.5	22.5	22.5	40.72	45	45	45
over	24.5	24.5	24.5	22.70	22.5	22.5	22.5	42.72	47	47	47

Source: Own elaboration based on regional legal sources.

Table 2.76 Regional General Tax Schedule in Comunitat Valenciana (tax rates in %).

Upper Limit	State (a)			Region (b) – COMUNITAT VALENCIANA				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
12,000	9.5	9.5	9.5	9	9	9	9	18.5	18.5	18.5	18.5
12,450	9.5	9.5	9.5	12	12	12	12	21.5	21.5	21.5	21.5
17,000	12	12	12	12	12	12	12	24	24	24	24
20,200	12	12	12	12	12	12	12	24	24	24	24
22,000	15	15	15	12	12	12	12	27	27	27	27
30,000	15	15	15	15	15	15	15	30	30	30	30
32,000	15	15	15	15	15	15	15	30	30	30	30
35,200	15	15	15	17.5	17.5	17.5	17.5	32.5	32.5	32.5	32.5
42,000	18.5	18.5	18.5	17.5	17.5	17.5	17.5	36	36	36	36

50,000	18.5	18.5	18.5	20	20	20	20	38.5	38.5	38.5	38.5
52,000	18.5	18.5	18.5	20	20	20	20	38.5	38.5	38.5	38.5
60,000	18.5	18.5	18.5	24.17	22.5	22.5	22.5	42.67	41	41	41
62,000	22.5	22.5	22.5	24.17	22.5	22.5	22.5	46.67	45	45	45
65,000	22.5	22.5	22.5	24.17	25	25	25	46.67	47.5	47.5	47.5
72,000	22.5	22.5	22.5	24.5	25	25	25	47	47.5	47.5	47.5
80,000	22.5	22.5	22.5	24.5	26.5	26.5	26.5	47	49	49	49
100,000	22.5	22.5	22.5	25	26.5	26.5	26.5	47.5	49	49	49
120,000	22.5	22.5	22.5	25	27.5	27.5	27.5	47.5	50	50	50
140,000	22.5	22.5	22.5	25.5	27.5	27.5	27.5	48	50	50	50
150,000	22.5	22.5	22.5	27.5	27.5	27.5	27.5	50	50	50	50
175,000	22.5	22.5	22.5	27.5	28.5	28.5	28.5	50	51	51	51
200,000	22.5	22.5	22.5	29.5	28.5	28.5	28.5	52	51	51	51
300,000	22.5	22.5	22.5	29.5	29.5	29.5	29.5	52	52	52	52
over	24.5	24.5	24.5	29.5	29.5	29.5	29.5	54	54	54	54

Source: Own elaboration based on regional legal sources.

Table 2.77 Regional General Tax Schedule in Ciudad de Ceuta and Ciudad de Melilla (tax rates in %).

Upper Limit	State (a)			Region (b) – CIUDAD DE CEUTA and CIUDAD DE MELILLA				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
12,450	9.5	9.5	9.5	9.5	9.5	9.5	9.5	19	19	19	19
20,200	12	12	12	12	12	12	12	24	24	24	24
34,000	15	15	15	15	15	15	15	30	30	30	30
35,200	15	15	15	15	15	15	15	30	30	30	30
60,000	18.5	18.5	18.5	18.5	18.5	18.5	18.5	37	37	37	37
300,000	22.5	22.5	22.5	22.5	22.5	22.5	22.5	45	45	45	45
over	24.5	24.5	24.5	22.5	22.5	22.5	22.5	47	47	47	47

Source: Own elaboration based on regional legal sources.

Table 2.78 Regional General Tax Schedule in Comunidad Foral de Navarra and País Vasco (tax rates in %).

Upper Limit	State (a)			Region (b) - COMUNIDAD FORAL DE NAVARRA and PAÍS VASCO*				Total Rate (a+b)			
euro per year	2022-2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
12,450	9.5	9.5	9.5	9.5	9.5	9.5	9.5	19	19	19	19
20,200	12	12	12	12	12	12	12	24	24	24	24
35,200	15	15	15	15	15	15	15	30	30	30	30
60,000	18.5	18.5	18.5	18.5	18.5	18.5	18.5	37	37	37	37
300,000	22.5	22.5	22.5	22.5	22.5	22.5	22.5	45	45	45	45
over	24.5	24.5	24.5	22.5	22.5	22.5	22.5	47	47	47	47

Note: * Since taxes for residents differ among foral administrations, tax schedule applying to individuals with permanent residence in a foreign country is displayed. Both regions, however, have their own special tax regimes, which are not simulated in EUROMOD.

Source: Own elaboration based on regional legal sources.

2.7.7. Tax credits

Once the State and Regional tax schedules are applied to the General Income Tax Base and to the Savings Income Tax Base, four components are computed: the **State General Income Tax Liability** (*Cuota General Estatal*), the **Regional General Income Tax Liability** (*Cuota General Autonómica*), **State Savings Income Tax Liability** (*Cuota Ahorro Estatal*) and **Regional Savings Income Tax Liability** (*Cuota Ahorro Autonómica*).

The State and Regional General Income Tax Liabilities are then reduced by the **Personal and family tax credits** (again, with state and regional variability) **multiplied by the Tax Schedule** (again, with state and regional variability). If the taxpayer is entitled to deduct a personal and family tax credit exceeding its General Income Tax Liabilities, the taxpayer can apply the residual to the Savings Income Tax Liabilities.

After subtracting the personal and family tax credits, the State components (State General Income and State Savings Income Tax Liabilities) are pooled together in the **State Unadjusted Tax Liability** (*Cuota Integra Estatal*). Similarly, the Regional components (Regional General Income and Regional Savings Income Tax Liabilities) are added together in the **Regional Unadjusted Tax Liability** (*Cuota Integra Autonómica*).

To these two types of tax liabilities a final set of national or regional tax credits are applied. Among them are the **state and regional main residence mortgage and rent tax credit**, state tax credit on donations, and a **large set of regional tax credits**. The state and regional tax liabilities net of these tax credits are then pooled together in the **Unadjusted Tax Liability** (*Cuota Líquida total*) which cannot be below zero.

Finally, to this **Unadjusted Tax Liability**, some refundable tax credits are applied in the case of **employed mothers with children below the age of three, large-family, lone parent families or person with disabilities**. The result is the “**Final tax liability**”.

A detailed description of the tax credits mentioned above follows in the next sections.

2.7.7.1. Personal and family tax credits

All taxpayers are eligible to these tax credits, depending on their family circumstances, such as the age, number of dependent children⁵⁷, number of dependent parents, and disability of the taxpayer and of the dependent members of the family. Under the individual scheme, married taxpayers are obliged to divide the amount of the family related tax credits by two and then apply the tax rate.

Again, there are some regional differences regarding the personal and family tax credits, although only applying to a few regions (Andalucía, Illes Balears, Canarias – from 2024, Cataluña, Comunidad

⁵⁷ Dependent children are defined as less than 25 years, not married, cohabiting with the taxpayer, and whose annual income (excluding not taxable) does not exceed 8,000 euro.

de Madrid, Cataluña, Galicia, La Rioja and Comunidad Valenciana). The amounts of the personal and family tax credits are shown in the table below:

Table 2.79 Evolution of State and Regional Personal and Family tax credits. EUR per year.

		2022	2023	2024	2025
State					
	Individual tax credit (<i>Mínimo por contribuyente</i>)	5,550	5,550	5,550	5,550
	Additional amount if over 65	1,150	1,150	1,150	1,150
	Additional amount if over 75	1,400	1,400	1,400	1,400
	Dependent children tax credit (<i>Mínimo por descendientes</i>)				
	For first child	2,400	2,400	2,400	2,400
	For second child	2,700	2,700	2,700	2,700
	For third child	4,000	4,000	4,000	4,000
	For fourth child and following	4,500	4,500	4,500	4,500
	Additional amount per child <3	2,800	2,800	2,800	2,800
	Dependent elderly tax credit (<i>Mínimo por ascendientes</i>)				
	For each dependent elderly	1,150	1,150	1,150	1,150
	Additional amount if over 75	1,400	1,400	1,400	1,400
	Disability tax credit (<i>Mínimo por discapacidad</i>)				
	Additional amount for taxpayer/dependent child/dependent elderly disability				
	between 33-65%	3,000	3,000	3,000	3,000
	over 65%	9,000	9,000	9,000	9,000
	if there are expenditures on assistance due to reduced mobility or disability of taxpayer/dependent child/dependent elderly	3,000	3,000	3,000	3,000
Andalucía					
	Individual tax credit	5,790	5,790	5,790	5,790
	Additional amount if over 65	1,200	1,200	1,200	1,200
	Additional amount if over 75	1,460	1,460	1,460	1,460
	Dependent children tax credit	2,510	2,510	2,510	2,510

		2022	2023	2024	2025
	<i>(Mínimo por descendientes)</i>				
	For second child	2,820	2,820	2,820	2,820
	For third child	4,170	4,170	4,170	4,170
	For fourth child and following	4,700	4,700	4,700	4,700
	Additional amount per child <3	2,920	2,920	2,920	2,920
	Dependent elderly tax credit				
	For each dependent elderly	1,200	1,200	1,200	1,200
	Additional amount if over 75	1,460	1,460	1,460	1,460
	Disability tax credit <i>(Mínimo por discapacidad)</i>				
	Disability between 33-65%	3,130	3,130	3,130	3,130
	Disability over 65%	9,390	9,390	9,390	9,390
Illes Balears					
	Individual tax credit	6,105	6,105	6,105	6,105
	Additional amount if over 65	1,265	1,265	1,265	1,265
	Additional amount if over 75	1,540	1,540	1,540	1,540
	Dependent children tax credit <i>(Mínimo por descendientes)</i>				
	For second child		2,970	2,970	2,970
	For third child	4,400	4,400	4,400	4,400
	For fourth child and following	4,950	4,950	4,950	4,950
	Dependent elderly tax credit				
	For each dependent elderly	1,150	1,150	1,265	1,265
	Additional amount if over 75	1,400	1,400	1,540	1,540
	Disability tax credit <i>(Mínimo por discapacidad)</i>				
	Disability between 33-65%	3,300	3,300	3,300	3,300
	Disability over 65%	9,900	9,900	9,900	9,900
Canarias					
	Individual tax credit <i>(Mínimo por contribuyente)</i>			5,606	5,606
	Additional amount if over 65			1,162	1,162
	Additional amount if over 75			1,414	1,414
	Dependent children tax credit <i>(Mínimo por descendientes)</i>				
	For first child			2,424	2,424

		2022	2023	2024	2025
	For second child			2,727	2,727
	For third child			4,040	4,040
	For fourth child and following			4,545	4,545
	Additional amount per child <3			2,828	2,828
	Dependent elderly tax credit (<i>Mínimo por ascendientes</i>)				
	For each dependent elderly			1,162	1,162
	Additional amount if over 75			1,414	1,414
	Disability tax credit (<i>Mínimo por discapacidad</i>)				
	between 33-65%			3,030	3,030
	over 65%			9,090	9,090
	if there are expenditures on as- sistance due to reduced mobil- ity or disability of taxpayer/de- pendent child/dependent elderly			3,030	3,030
Cataluña					
	Individual tax credit (<i>Mínimo por contribuyente if General Income Tax Base + Sav- ings Income Tax Base ≤ 12,450</i>)	6,105	6,105	6,105	
Comunidad de Madrid					
	Individual tax credit (<i>Mínimo por contribuyente</i>)	5,777	5,956.65	5,956.65	5,956.65
	Additional amount if over 65	1,197	1,234.26	1,234.26	1,234.26
	Additional amount if over 75	1,457	1,502.58	1,502.58	1,502.58
	Dependent children tax cre- dit (<i>Mínimo por descendientes</i>)				
	For first child	2,498	2,575.85	2,575.85	2,575.85
	For second child	2,810	2,897.83	2,897.83	2,897.83
	For third child	4,400	4,400	4,400	4,400
	For fourth child and following	4,950	4,950	4,950	4,950
	Additional amount per child <3	2,914	3,005.16	3,005.16	3,005.16
	Dependent elderly tax credit (<i>Mínimo por ascendientes</i>)				
	For each dependent elderly	1,197	1,234.26	1,234.26	1,234.26
	Additional amount if over 75	1,457	1,502.58	1,502.58	1,502.58

		2022	2023	2024	2025
	Disability tax credit (<i>Mínimo por discapacidad</i>)				
	Additional amount for taxpayer/dependent child/dependent elderly disability				
	between 33-65%	3,123	3,219.81	3,219.81	3,219.81
	over 65%	9,369	9,659.44	9,659.44	9,659.44
	if there are expenditures on assistance due to reduced mobility or disability of taxpayer/dependent child/dependent elderly	3,123	3,219.81	3,219.81	3,219.81
Galicia					
	Individual tax credit	5,789	5,789	5,789	5,789
	Additional amount if over 65	1,199	1,199	1,199	1,199
	Additional amount if over 75	1,460	1,460	1,460	1,460
	Dependent children tax credit (<i>Mínimo por descendientes</i>)	2,503	2,503	2,503	2,503
	For second child	2,816	2,816	2,816	2,816
	For third child	4,172	4,172	4,172	4,172
	For fourth child and following	4,694	4,694	4,694	4,694
	Additional amount per child <3	2,920	2,920	2,920	2,920
	Dependent elderly tax credit				
	For each dependent elderly	1,199	1,199	1,199	1,199
	Additional amount if over 75	1,460	1,460	1,460	1,460
	Disability tax credit (<i>Mínimo por discapacidad</i>)				
	Disability between 33-65%	3,129	3,129	3,129	3,129
	Disability over 65%	9,387	9,387	9,387	9,387
La Rioja					
	Disability tax credit (<i>Mínimo por discapacidad</i>) ¹				
	Disability between 33-65%	3,300	3,300	3,300	3,300
	Disability over 65%	9,900	9,900	9,900	9,900
Comunitat Valenciana²					
	Individual tax credit (<i>Mínimo por contribuyente</i>)	6,105	6,105	6,105	6,105
	Additional amount if over 65	1,265	1,265	1,265	1,265

		2022	2023	2024	2025
	Additional amount if over 75	1,540	1,540	1,540	1,540
	Dependent children tax credit (<i>Mínimo por descendientes</i>)				
	For first child	2,640	2,640	2,640	2,640
	For second child	2,970	2,970	2,970	2,970
	For third child	4,400	4,400	4,400	4,400
	For fourth child and following	4,950	4,950	4,950	4,950
	Additional amount per child <3	3,080	3,080	3,080	3,080
	Dependent elderly tax credit (<i>Mínimo por ascendientes</i>)				
	For each dependent elderly	1,265	1,265	1,265	1,265
	Additional amount if over 75	1,540	1,540	1,540	1,540
	Disability tax credit (<i>Mínimo por discapacidad</i>)				
	Additional amount for taxpayer/dependent child/dependent elderly disability				
	between 33-65%	3,300	3,300	3,300	3,300
	over 65%	9,900	9,900	9,900	9,900
	if there are expenditures on assistance due to reduced mobility or disability of taxpayer/dependent child/dependent elderly	3,300	3,300	3,300	3,300

Notes:

1 Only for dependent children with disability.

2 Not applicable to taxpayers deceased before 28 October 2022.

Note: for regions, when no line on a specific item is listed or a cell stands empty, the corresponding amount in place equals that of the State.

Source: Own elaboration based on regional legal sources.

EUROMOD modelling

In EUROMOD, the Personal and Family tax credits related to disability are not simulated due to lack of information on the disability degree of the individual.

2.7.7.2. Main residence Mortgage and Rent Tax Credits

Main Residence Mortgage Tax Credit

Tax credit to cover the expenses for the acquisition or renovation of the taxpayer's main residence. This tax credit disappeared in 2013, except for people that acquired their main residence before 2013.

The State deduction rate is 7.5% of expenses incurred, capped at 9,040 euro. The Regional deduction rate is 7.5% of expenses incurred, capped at 9,040 euro. In Cataluña the rate increases to

9% when the taxpayer is aged 32 years or younger and the tax base is below 30,000 euro; or in cases of disability (if disability degree higher than 65%), unemployment (for more than 6 months) or presence of dependent children in the family unit.

EUROMOD modelling

In EUROMOD, the mortgage tax credit is simulated for all taxpayers having mortgage expenses under the assumption that the main residence was acquired before 2013, due to lack of information about the date of acquisition.

Main residence rent tax credit (Deducción por alquiler de vivienda habitual)

This tax credit covers a portion of the expenditures related to the rent of the permanent residence. It disappeared in 2015 except for people whose rental contracts were signed before 2015.

The tax credit is 10.05% of the rent expenses up to 9,040 euro if tax base is below 17,707.20 euro or up to $9,040 \text{ euro} - (1.4125 * (\text{tax base} - 17,707.20))$ if the tax base is between 17,707.20 and 24,107.20 euro.

EUROMOD modelling

In EUROMOD, the rent tax credit is simulated for all taxpayers having rent expenses under the assumption that their rent contracts started before 2015, due to lack of information about the date of signature of the contract. However, the plausibility of this assumption decreased every year after 2015, and starting in 2022 it was not taken anymore.

2.7.7.3. Other Regional Tax credits

There is a wide variety of tax credits depending on the region of residence. Almost all regions have a series of common deductions, such as for birth or adoption (all regions); disability, which includes disability of the taxpayer, of taxpayer's cohabitants, disabled children, etc. (all regions except Asturias and La Rioja); permanent residence renting (all regions); purchase or rehabilitation of permanent residence (all regions); care of minors or the elderly (in all regions except Cataluña and La Rioja); educational expenses or childcare (all regions except Castilla y León, Cataluña and Galicia).

Other tax credits (donations, business investment, those involving specific characteristics of municipalities, etc.) are not simulated due to lack of information in the dataset. Among them, a mention must be made to regional benefits related to the DANA in Comunidad Valenciana, such as the 100% deduction in costs of main residence damages repair (with a 2,000-euro maximum amount) for tax periods ending in 2024 and 2025⁵⁸.

All regional deductions are listed in Annex 4, except those mentioned above that cannot be simulated.

⁵⁸ Decreto Ley 12/2024, de 12 de noviembre, del Consell, de medidas fiscales de apoyo a las personas afectadas por las inundaciones producidas por la DANA de octubre de 2024. Article 4.

2.7.7.4. Other national (refundable) tax credits

Tax credit for mothers

Since 2023, this is a refundable tax credit for mothers who are working or receiving unemployment benefits (contributory or assistance) with one or several children below 3 years of age. Before 2023, this tax credit only applied to working mothers. In the case of adoption or fostering, both pre-adoptive or permanent, the deduction may be made, regardless of the age of the child, for three years following the date of entry in the Civil Registry. The tax credit amount is 1,200 euro per year and conditional on having contributed to the Social Insurance System for a period greater than 30 days. This amount may be increased up to an additional 1,000 euro when the taxpayer who is entitled to it had paid in the tax period expenses for the custody of the child under three years of age in authorised nurseries or early childhood education centres. Proportional tax credits are possible as long as conditions apply to the particular time period. This credit may be replaced by a tax-free subsidy of 100 euro per month at the mother's request.

Tax credit for large families, single-parents with two dependent children or families with dependents with disabilities

In 2015, a refundable tax credit for working taxpayers in large families was introduced. Lone-parent families or families with disabled descendants or ascendants conditional on having total contributions to the Social Insurance System over the total tax credit. For taxpayers in large families, lone parent families or with disabled descendants that received unemployment income or other pensions from the social protection system (in this case no social contributions limit).

- Elderly and disabled with right to *Dependent elderly tax credit*: 1,200 euro per person and year.
- Children and disabled with right to *Dependent children tax credit*: 1,200 euro per person and year.
- Ascendant in a large-family: 1,200 euro per person and year.
- Ascendant with two or more children in a lone-parent family: 1,200 euro per person and year.

Deduction for earned income from employment (Deducción por obtención de rendimientos del trabajo)

Since 2025, taxpayers with income from work below 18,276 euro per year may deduct a certain amount from their taxable income. This deduction is subtracted from the gross general income tax base. To be entitled, there must be no income from any other source exceeding 6,500 euro. The deductions amount to:

340 euro per year, when the annual income from work is equal to or less than 16,576 euro.

340 euro minus the result of multiplying by 0.2 the difference between the earned income from work and 16,576 euro, when the annual work income is between 16,576 and 18,276 euro.

- The amount of the deduction may not exceed the portion of the sum of the state and regional gross tax quotas that proportionally corresponds to the net income from work.

EUROMOD modelling

Additionally, there are other national and regional tax credits (tax credits on educational expenses, donations) which are not simulated in EUROMOD due to lack of information.

Legal sources

— National legal sources

- 2022: Ley 22/2021, de 28 de diciembre, de Presupuestos Generales del Estado para el año 2022 (update of tax rules: Título VI, Capítulo I).
- 2021: Ley 11/2020, de 30 de diciembre, de Presupuestos Generales del Estado para el año 2021 (update of tax rules: Capítulo VI).
- 2020: Ley 8/2019, de 30 de diciembre, de Presupuestos Generales para 2020 (update of tax rules: capítulo V).
- Framework law: Ley 35/2006, de 28 de noviembre, del Impuesto sobre la Renta de las Personas Físicas y de modificación parcial de las leyes de los Impuestos sobre Sociedades, sobre la Renta.

— Regional legal Sources

- Secretaría General de Financiación Autonómica y Local (Ministerio de Hacienda): Informe de tributación autonómica 2025, capítulo IV “Resumen de medidas vigentes en tributos cedidos”.
- Secretaría General de Financiación Autonómica y Local (Ministerio de Hacienda): Informe de tributación autonómica 2024, capítulo IV “Resumen de medidas vigentes en tributos cedidos”.
- Andalucía: Decreto-ley 1/2019, de 9 de abril, por el que se modifica el texto refundido de las disposiciones dictadas por la Comunidad Autónoma de Andalucía en materia de tributos cedidos, aprobado por Decreto Legislativo 1/2018, de 19 de junio, para el impulso y dinamización de la actividad económica mediante la reducción del gravamen de los citados tributos cedidos.
- Región de Murcia: Ley 14/2018, de 26 de diciembre, de Presupuestos Generales de la Comunidad Autónoma de la Región de Murcia para el año 2019.
- Comunitat Valenciana: Ley 13/1997, De 23 de diciembre, De La Generalitat Valenciana, por la que se regula el tramo autonómico del Impuesto sobre la Renta de las Personas Físicas y restantes tributos cedidos (updated in April 2021).
- Illes Balears: Texto Refundido de las Disposiciones Legales de la Comunidad Autónoma de las Illes Balears en Materia de Tributos Cedidos por el Estado, aprobado por Decreto Legislativo 1/2014, de 6 de junio.
- Castilla y León: Texto Refundido de las disposiciones legales de la comunidad de Castilla y León en materia de tributos propios y cedidos, aprobado por Decreto Legislativo 1/2013, de 12 de septiembre.
- Comunidad de Madrid: Texto Refundido de las disposiciones legales de la Comunidad de Madrid en materia de tributos cedidos por el Estado, aprobado por Decreto Legislativo 1/2010, de 21 octubre.

- La Rioja: Ley 10/2017, de 27 de octubre, por la que se consolidan las disposiciones legales de la Comunidad Autónoma de La Rioja en materia de impuestos propios y tributos cedidos.

2.8. Consumption taxes

Consumption taxes simulated in EUROMOD can be divided into two groups: VAT (value added tax) and special excises (additional duties paid over consumption, typically on energy, alcoholic beverages, coal, plastic containers, fossil fuels, tobacco...).

Simulated consumption tax liabilities paid by households depend on the tax rules (e.g. the VAT rate) and on the tax base (consumption expenditures or quantities). This is why, to simulate consumption taxes in EUROMOD, the input data must contain information on household expenditures. The expenditures matched in the EUROMOD input files based on SILC are reported directly by households in the HBS surveys at purchasing prices. Therefore, they already include the consumption taxes paid.

i) **VAT** (il_tva variable in EUROMOD) is the value-added tax. The model also simulates at high disaggregation level the VAT liabilities paid for each consumption category (output variables are tva01111, tva01112, and so on and so forth, corresponding to COICOP codes 01111 and 01112, etc.)

ii) **Excises** (il_tx variable in EUROMOD) are additional duties paid over consumption and can be classified in two groups: ad-valorem excises (il_txv) that depend on producer prices, and of specific or ad-quantum excises (il_txa) that depend on consumed quantities.

Since consumption data from HBS refers to expenditures (price times quantity), for the simulation of specific excises information on consumption prices are needed.

Further information on methodology and specific calculations and the independence of these consumption taxes is common across countries (this is why they are placed in an add-on and not in the policy spine of each country) and can be found in Akoğuz et al (2020).⁵⁹

2.8.1. VAT (il_tva)

To extract the baseline VAT embedded in the expenditure consumption reported by households we only need the VAT rate of the policy system year. VAT rates usually do not vary too much across products, and there are typically three rates (standard, reduced and zero), although in some countries there are more. For example, in Spain, the standard VAT rate is 21%. A lower (reduced) rate of 10% and a super-reduced rate (4%) exist for basic-needs goods. Additionally, 5% and 0% rates also apply to certain products due to measures implemented by the government to fight inflation from 2022 to 2024.

⁵⁹ Akoğuz, Elif Cansu, Bart Capéau, André Decoster, Liebrecht De Sadeleer, Duygu Güner, Kostas Manios, Alari Paulus, and Toon Vanheukelom. A new indirect tax tool for EUROMOD: final report. Technical Report, <https://euromod-web.jrc.ec.europa.eu/sites/default/files/2021-03/A%20new%20indirect%20tax%20tool%20for%20EUROMOD%20Final%20Report.pdf>, 2020.

For example, regarding foodstuff, during 2023 and until September 30th 2024 the basic tax rate was 0%, and seeds oils and pasta VAT rate was 5%. After that date, a staged increase back to regular rates was put in place, with basic food rate increasing to 2% until December 31st, seeds oils and pasta rates to 7.5%. They reached their previous rates (4% and 10% respectively) from January 1st 2025.

A special mention to olive oil: its VAT rate decreased to 5% from January 1st 2023 to June 30th 2024, and then to 0% until September 30th. After that date, it started increasing within the context of rate-reduction withdrawal, with a 2% rate until the end of 2024. In January 1st 2025, its rate will reach its normal level, but it will amount to 4% instead of 10%, since olive oil was classified as basic-needs foodstuff in June 2024⁶⁰.

Energy VAT rates were also reduced (from 21 to 10%) within the context of rising energy prices from the second half of 2022 until the end of 2024⁶¹:

- VAT electricity rate was reduced to 10% for all vulnerable consumers. For non vulnerable ones, this reduction was applied when average electricity prices of the previous month had gone above the 45 €/MWh threshold.
- Natural gas VAT rate descended from 21% to 5% from October 2022 to December 2023. It rose to 10% from January 1st to March 31st 2024, and back up to 21% in April 2024.

Additionally, during the COVID crisis, COVID medical equipment was taxed at 0% from April 2020 to June 2022.⁶² Also VAT rate for disposable surgical masks had been reduced to 4% until June 30th 2023.⁶³

In 2025, all the special measures implemented to combat inflation were phased out, and products reverted to their standard VAT rates. Regarding the modelling, part of the aforementioned changes in VAT rates cannot be simulated, since EUROMOD considers rates in place as of January 1st for all goods and services.

Table 2.80 VAT rates [2022-2025]

Products		2022	2023	2024	2025
Standard ¹		21%	21%	21%	21%
Reduced	Mainly applies to foodstuff, Pharmaceuticals for direct use by end-consumers, the sale of new dwellings by the developer (first deliveries of dwellings), live cultural shows...	10%	10%	10%	10%
Super reduced	Mainly applies to food considered essential, books and newspapers	4%	4%	4%	4%

⁶⁰ Real Decreto-ley 4/2024.

⁶¹ Real Decreto-ley 12/2021, Real Decreto-ley 29/2021, Real Decreto-ley 6/2022, Real Decreto-ley 20/2022 and Real Decreto-ley 8/2023.

⁶² Real Decreto-ley 27/2020.

⁶³ Real Decreto-ley 34/2020, Real Decreto-ley 29/2021 and Real Decreto-ley 11/2022.

	excluding those for school use, medicines for human use...				
Exempted ²	³	-	-	-	-
Exceptionally	For certain products to fight COVID crisis and inflation.	0%	5abb%-0%	5%/7.5%- 0%/2%	-

Notes:

¹ Reduced rates for specific regions are not modelled yet.

² Only country specific exemptions in Spain.

³ Domestic exemptions within the VAT territory include, but are not limited to: (1) Education provided in public or authorized private institutions and private tutoring by individuals in subjects within the educational curriculum. Childcare services offered in educational institutions during school breaks. (2) Medical assistance and healthcare services provided to individuals by professionals. (3) Professional services, such as those provided by visual artists, writers, and graphic contributors, including remuneration in the form of royalties. (4) Transactions and services related to insurance, reinsurance, and capitalization. (5) Mediation services offered to individuals in various financial transactions. (6) Leasing of residential properties, delivery of rural and undeveloped land, and subsequent deliveries of buildings. (7) Distribution of postage stamps and stamped legal tender. Among exemptions related to foreign trade is the supply of goods dispatched and transported outside the Spanish mainland and the Balearic Islands, whether destined for other Member States or third territories.

Source: Own elaboration based on regional legal sources.

Legal sources

- *Real Decreto-ley 34/2020, de 17 de noviembre, de medidas urgentes de apoyo a la solvencia empresarial y al sector energético, y en materia tributaria.*
- *Real Decreto-ley 12/2021, de 24 de junio, por el que se adoptan medidas urgentes en el ámbito de la fiscalidad energética y en materia de generación de energía, y sobre gestión del canon de regulación y de la tarifa de utilización del agua.*
- *Real Decreto-ley 27/2020, de 4 de agosto, de medidas financieras, de carácter extraordinario y urgente, aplicables a las entidades locales.*
- *Real Decreto-ley 29/2021, de 21 de diciembre, por el que se adoptan medidas urgentes en el ámbito energético para el fomento de la movilidad eléctrica, el autoconsumo y el despliegue de energías renovables.*
- *Real Decreto-ley 6/2022, de 29 de marzo, por el que se adoptan medidas urgentes en el marco del Plan Nacional de respuesta a las consecuencias económicas y sociales de la guerra en Ucrania.*
- *Real Decreto-ley 11/2022, de 25 de junio, por el que se adoptan y se prorrogan determinadas medidas para responder a las consecuencias económicas y sociales de la guerra en Ucrania, para hacer frente a situaciones de vulnerabilidad social y económica, y para la recuperación económica y social de la isla de La Palma.*
- *Real Decreto-ley 17/2022, de 20 de septiembre, por el que se adoptan medidas urgentes en el ámbito de la energía, en la aplicación del régimen retributivo a las instalaciones de cogeneración y se reduce temporalmente el tipo del Impuesto sobre el Valor Añadido aplicable a las entregas, importaciones y adquisiciones intracomunitarias de determinados combustibles.*
- *Real Decreto-ley 8/2023, de 27 de diciembre, por el que se adoptan medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo, así como para paliar los efectos de la sequía.*

— *Real Decreto-ley 4/2024, de 26 de junio, por el que se prorrogan determinadas medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo y se adoptan medidas urgentes en materia fiscal, energética y social.*

2.8.2. Ad-valorem excises (il_txv)

Ad-valorem excises cover tobacco, electricity and the excise duty on certain means of transport.

In 2025, a law⁶⁴ was introduced that taxed products used in e-cigarettes, such as e-liquid and nicotine pouches. Additionally, the same law modified the tax rates on tobacco-related products, reducing the ad-valorem rate and increasing the specific rate.

Table 2.81 Ad-valorem excise rates [2022–2025]

Products	2022	2023	2024	2025
Cigars ¹	15.8%	15.8%	15.8%	15.8%
Cigarette	51%	51%	51%	48.5%
Rolling tobacco	41.5%	41.5%	41.5%	37.68%
Other tobacco products	28.4%	28.4%	28.4%	34%
Electricity ²	0.5%	0.5%	2.5%–3.8%–5.11%	5.11%
Excise duty on certain means of transport ³	Peninsula and Balearic Islands		Canarias	Ceuta and Melilla
Group 1 & 6	0.00%		0.00%	0%
Group 2 & 7	4.75%		3.75%	0%
Group 3 & 8	9.75%		8.75%	0%
Group 4 & 9	14.75%		13.75%	0%
Group 5⁴	12.00%		11.00%	0%

Notes:

¹ The amount of the tax cannot be less than the single rate of EUR 41.5 per 1,000 units and shall be increased to EUR 44.5 when cigars and cigarettes are determined to have a retail selling price of less than EUR 215 per 1,000 units. From 2025, the amount of the tax cannot be less than the single rate of 47 euros per 1,000 units.

² The rate of excise duty on electricity was provisionally reduced in September 2021 due to the rise in electricity and gas prices. This measure was subsequently extended in 2022 and 2023 by two Royal Decree laws. Finally, in 2024, this temporary reduction will be phased out with the rate being 2.5% in the first quarter, 3.8% in the second quarter and 5.1127% for the rest of the year (the standard rate). Real Decreto-ley 20/2022 (art. 1), Real Decreto-ley 11/2022 (art. 17), Real Decreto-ley 17/2021 (disposición adicional sexta), Real Decreto-ley 11/2022 (art. 17), Real Decreto-ley 8/2023 (art. 22).

64 Ley 7/2024, de 20 de diciembre, por la que se establecen un Impuesto Complementario para garantizar un nivel mínimo global de imposición para los grupos multinacionales y los grupos nacionales de gran magnitud, un Impuesto sobre el margen de intereses y comisiones de determinadas entidades financieras y un Impuesto sobre los líquidos para cigarrillos electrónicos y otros productos relacionados con el tabaco, y se modifican otras normas tributarias.

³ To know more about the characteristics of each group of vehicles see Ley 38/1992, de 28 de diciembre, de Impuestos Especiales. Article 70.

⁴ Ley 38/1992 (art. 70).

Source: Own elaboration.

Legal sources

- *Ley 38/1992, de 28 de diciembre, de Impuestos Especiales.*
- *Real Decreto-ley 20/2022, de 27 de diciembre, de medidas de respuesta a las consecuencias económicas y sociales de la Guerra de Ucrania y de apoyo a la reconstrucción de la isla de La Palma y a otras situaciones de vulnerabilidad.*
- *Real Decreto-ley 17/2021, de 14 de septiembre, de medidas urgentes para mitigar el impacto de la escalada de precios del gas natural en los mercados minoristas de gas y electricidad.*
- *Real Decreto-ley 11/2022, de 25 de junio, por el que se adoptan y se prorrogan determinadas medidas para responder a las consecuencias económicas y sociales de la guerra en Ucrania, para hacer frente a situaciones de vulnerabilidad social y económica, y para la recuperación económica y social de la isla de La Palma.*
- *Real Decreto-ley 8/2023, de 27 de diciembre, por el que se adoptan medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo, así como para paliar los efectos de la sequía.*
- *Real Decreto-ley 8/2023, de 27 de diciembre, por el que se adoptan medidas para afrontar las consecuencias económicas y sociales derivadas de los conflictos en Ucrania y Oriente Próximo, así como para paliar los efectos de la sequía.*

2.8.3. Specific excises (il_txa)

Specific excises apply to fossil fuels, alcohol beverages, coal and a specific rate for tobacco products. In this case, we collect both tax parameters and consumer prices, to allow the model to estimate the implicit quantities behind the reported household consumption expenditure amounts.

In 2025, a law was enacted introducing an ad-quantum excise tax on products used in e-cigarettes, such as e-liquids and nicotine pouches.

Table 2.82 Specific (ad-quantum) excise rates

Products	2022	2023	2024	2025		
Wine and fermented drinks	0 EUR/l					
Beer	<1,2% alcohol vol.	Between 1,2% and 2,8% vol.	>2,8% vol and degree Plato <11	Degree Plato between 11 and 15	Degree Plato between 15 and 19	>19 Degree Plato
	0 EUR/hl	2.75 EUR/hl	7.48 EUR/hl	9.96 EUR/hl	13.56 EUR/hl	0.91 EUR/hl
Intermediate products ¹	<15% alcohol vol.		All other intermediate products			

Products	2022	2023	2024	2025
	38.48 EUR/hl		64.13EUR/hl	
Alcoholic drinks	958.94 EUR/hl			
	Intended for professional use ²		Coal for other uses	
Coal	0.15 EUR/Gj		0.65 EUR/ Gj	
Fossil fuels	The information for the specific rate associated for each type of fuel can be found in Ley 38/1992, de 28 de diciembre, de Impuestos Especiales. Article 50.			
Cigars	From 2022 to 2025: the amount of the tax (ad valorem) may not be less than the single rate of EUR 41.5 per 1,000 units, and shall be increased to EUR 44.5 when cigars are determined to have a retail selling price of less than EUR 215 per 1,000 units.		Since 2025, the amount of the tax cannot be less than the single rate of 47 euros per 1,000 units.	
Cigarette	From 2022 to 2025: 24.5 EUR/1000 units		Since 2025: 33.50 EUR/1000 units	
Rolling tobacco	From 2022 to 2025: 23.5 EUR/ Kg		Since 2025: 33.4 EUR/ Kg	
Other tobacco products	From 2022 to 2025: 22 euros per kilogram when the quota that would result from the application of the ad valorem rate (28.4%) is lower than the amount of this single rate.		Since 2025: 30 euros per kilogram when the quota that would result from the application of the ad valorem rate (34%) is lower than the amount of this single rate.	
Liquid for e-cigarettes				
<=15 milligrams of nicotine, per millilitre of product			0.15 EUR/ mL	
>15 milligrams of nicotine, per millilitre of product			0.20 EUR/ mL	
Nicotine pouches			0.10 EUR/g	
Other nicotine products			0.10 EUR/g	

Notes:

¹ Intermediate products shall mean all products with an actual alcoholic strength by volume of more than 1,2 % vol. but not exceeding 22 % vol. falling within CN codes 2204, 2205 and 2206 and which do not fall within the scope of the tax on beer or the tax on wine and fermented beverages.

² Coal used for professional purposes is considered to be coal supplies made for consumption in industrial plants and installations, excluding coal used to produce useful thermal energy whose final use takes place in establishments or premises that do not have the status of industrial plants or installations. Coal used for agricultural crops shall also be considered as coal for professional use.

Source: Own elaboration based on legal sources.

Table 2.83 Prices of Excise products

Prices	2022	2023	2024	2025
Wine	8.34 EUR/l	8.82 EUR/l	6.18 EUR/l	6.29 EUR/l
Ethyl alcohol	18.86 EUR/unit	20.14 EUR/unit	23.06 EUR/unit	23.40 EUR/unit
Sparkling wine	21.8 EUR/l	23.05 EUR/l	24.02 EUR/l	24.45 EUR/l
Beer	2.16 EUR/l	2.44 EUR/l	2.10 EUR/l	2.14 EUR/l
Cigarettes	227.07 EUR/1000 unit	229.22 EUR/1000 unit	253.66 EUR/1000 unit	268.99 EUR/1000 unit
Cigars	262.82 EUR/1000 unit	287.94 EUR/1000 unit	302.13 EUR/1000 unit	311.15 EUR/1000 unit
Other tobacco	187.59 EUR/Kg	203.45 EUR/Kg	206.02 EUR/Kg	221.01 EUR/Kg
Electricity	318.10 EUR/MWh	260.20 EUR/MWh	262.60 EUR/MWh	291.38 EUR/MWh
Natural Gas	30.62 EUR/Gj	29.23 EUR/Gj	25.70 EUR/Gj	25.95 EUR/Gj
Liquefied hydrocarbons	1515.22 EUR/1000Kg	1269.3 EUR/1000Kg	1288.06 EUR/1000Kg	1331.94 EUR/1000Kg
Gas Oil-Heating	1286.54 EUR/1000l	1053.89 EUR/1000l	983.17 EUR/1000l	952.04 EUR/1000l
Coal and Coke - Heating	42.44 EUR/Gj	42.11 EUR/Gj	44.75 EUR/Gj	48.19 EUR/Gj
Petrol-Unleaded	1781 EUR/1000l	1636.04 EUR/1000l	1577.77 EUR/1000l	1519.13 EUR/1000l
Gas Oil-Propellant	1794.91 EUR/1000l	1560.99 EUR/1000l	1471.00 EUR/1000l	1448.55 EUR/1000l

Notes: n: nowcasted

Source: Own elaboration based on legal sources.

Consumer prices of goods subject to excise duties are nowcasted, similarly to what the model does to update incomes from the EU-SILC. We combine the latest available data from the following sources:

- Prices per product, usually from last year, although for instance fuel prices have only 15 days delay.

- Inflation: Harmonised Index of Consumer Prices (HICP, Eurostat) at COICOP 5 digits, usually from the first quarter for the Q3 EUROMOD release and up to the third quarter for the Q1 EUROMOD release.
- Inflation quarter-on-quarter forecasts (DG ECFIN, confidential) by HICP main groups (Unprocessed food, Processed food including alcohol and tobacco, Non-energy industrial goods, Energy, Services - overall index excluding goods) of quarters 2, 3 and 4, as needed for each release.

For more details on the specific source of the price of each good, see Akoğuz et al (2020).

The prices of cigars and liquefied hydrocarbons did not follow this general sources/nowcasting strategy but were instead sourced from the Tobacco Market Commissioner and from the National Market and Competition Commission, respectively.

Legal sources

- *Ley 38/1992, de 28 de diciembre, de Impuestos Especiales.*

2.8.3.1. EUROMOD modelling

Consumption taxes (tco_cc policy) require extended EUROMOD input data (with imputed income shares of consumption expenditures at the household level) and an add-on to run. The policy is set to off in the baseline. To activate it, the CT_xbase add-on must be run, and the extended EM input files (see Section 3 for more information on the methodology and features behind these extended input files) should be selected (as defined in the database configuration of each country). The other add-ons (CT_*) are designed for reform simulations and assume different behavioural responses: i) constant quantities (CT_XCQ), ii) constant income shares (CT_XCIS), and iii) constant expenditure shares (CT_XCES). These reform-scenario add-ons require the auxiliary output files are generated by running the first baseline simulation (as either the quantities or expenditures and savings from the baseline are kept constants and enter as inputs in the simulated reform scenarios).

Legal sources

- *Ley 38/1992, de 28 de diciembre, de Impuestos Especiales.*
- *Table of VAT tax rates 2025 (Agencia Estatal de Administración Tributaria, AEAT).*
- *Table of VAT tax rates 2024 (Agencia Estatal de Administración Tributaria, AEAT).*
- *Table of VAT tax rates 2023 (Agencia Estatal de Administración Tributaria, AEAT).*
- *Table of VAT tax rates 2022 (Agencia Estatal de Administración Tributaria, AEAT).*
- *Table of VAT tax rates 2021 (Agencia Estatal de Administración Tributaria, AEAT).*

2.9. Extraordinary measures

2.9.1. COVID-19 related tax and benefit measures

2.9.1.1. Wage compensation scheme - *yemcomp_es*

Wage compensation scheme that allows for a reduction of working hours or to temporarily lay off workers⁶⁵ (*Expediente de Regulación Temporal de Empleo – ERTE*) due to economic, organizational or production needs (*ERTES por causas económicas, técnicas, organizativas o de producción – ERTES ETOP*), or due to force majeure reasons (*ERTES por fuerza mayor*). Employers must recruit back their employees after the temporary furlough.

As result of the COVID-19 pandemic, an ERTE- COVID was established, recognizing the pandemic as a *force majeure* cause, therefore softening the conditions for temporary suspension of contracts and temporary reduction of working hours (*flexibilización de las condiciones de suspensión temporal de contrato y reducción temporal de la jornada*). In this regard, workers affected by an ERTE were granted access to the unemployment insurance benefit, even if they did not meet the contribution period necessary to be eligible. Additionally, the period during which the contract was suspended wasn't computed for the purposes of exhausting the legally established maximum duration of the unemployment insurance benefit⁶⁶.

In ERTes, companies making use of the furlough scheme are granted with some exemptions from paying employers' social insurance contributions, depending on the size of the company, the type of compensation scheme and provided that they commit to maintain their employees' contracts after the temporary layoff.

Importantly, the scheme underwent several changes throughout the COVID-19 pandemic. The duration of this temporary measure was extended sequentially, since the approval of the Royal Decree Law 8/2020 in March 2020. On the other hand, as the pandemic evolved, different types of compensation schemes were put in place depending on the reason by which the main activity of the firm cannot be performed under regular circumstances: (1) due to force majeure reasons (*ERTE por fuerza mayor*), (2) due to economic, organizational or production needs (*ERTE por causas técnicas, económicas, organizativas y de producción*), (3) due to prohibition to perform the main activity (*ERTE por impedimento*) and (4) due to partial limitation of the main activity (*ERTE por limitación*). Broadly speaking, these types of schemes mainly differ in the degree the employers' social insurance contributions are exempted⁶⁷.

Eligibility conditions

⁶⁵ Alternatively, reduce the number of working hours.

⁶⁶ This rule was discontinued since October 2020 for new beneficiaries.

⁶⁷ In practice, however, the number and type of schemes was broader, including further disaggregation within each of the above-mentioned schemes. For instance, companies belonging to specific sectors within a force majeure ERTE faced different employers' social insurance exemption rates. The mosaic of compensation schemes makes, however, very complicated its simulation due to lack of data on the type of scheme received and the date of entrance in compensation. A rather simple strategy is implemented in EUROMOD.

Employees working in private companies whose activity was affected by the COVID-19 pandemic and, consequently, requested to the corresponding administration to temporarily layoff their employees (or to reduce their number of working hours).

To identify workers undergoing the transition to wage compensation in EUROMOD, a random variable drawing from a uniform distribution is used to allocate individuals to the scheme. Moreover, out of the total number of individuals selected to undergo transitions to wage compensation in EUROMOD, a specific share is assumed to work zero hours (i.e. full layoff), or, alternatively, to work a reduced number of hours.

Income assessment

There is no income assessment as part of this benefit.

Duration

The duration of ERTE-COVID was established conditioned to the evolution of the COVID-19 pandemic. In this regard, a first limited duration of around 3 months, linked to the duration of the emergency state, was approved in March by the Royal Decree Law 8/2020. Nevertheless, several subsequent extensions were put in place from 2020 to 2022, the last one ending in March 31st 2022⁶⁸. After that date, COVID is no longer recognised as *force majeure* and two new ERTes exist within the framework of labour market reform: a cyclical one (due to macroeconomic reasons) and a sectoral one⁶⁹. They co-exist with the abovementioned ERTE- ETOP and ERTE- fuerza mayor, and they are a tool to tackle impact of crises on labour market. For example, companies affected by the November 2024 DANA were entitled to benefit from ERTE-ETOP or ERTE-fuerza mayor⁷⁰.

In EUROMOD, an assumed maximum duration for ERTE-COVID of 9 months is simulated for 2020 and 2021. Then, the number of months that each worker spends in wage compensation is randomly assigned. Nevertheless, the duration cannot be higher than the number of months in which the worker worked in the dataset (yemmy) or higher than the maximum simulated duration of the policy (9 months).

Benefit amount

The ERTE-COVID compensation amount paid by the state depended on the employee contribution base, strongly related to individual earnings. The benefit amounted to 70% of the employee contribution base, adjusted by the corresponding number of hours in work.

The minimum and maximum benefit amount depends on the number of children in the unit.

⁶⁸ The extensions were set in different Royal Decree Laws (with the following numbers: 24/2020, 30/2020, 2/2021, 11/2021, 18/2021 and 2/2022).

⁶⁹ These ERTes conform what is known as the *Mecanismo RED de Flexibilidad y Estabilización del Empleo* (RED Employment Flexibility and Stabilisation Mechanism), a flexibility mechanism for companies in order to foster continuity of employment during the abovementioned crises. It encompasses benefits in social insurance contributions for companies, as long as they commit themselves to training actions and to maintain employment.

⁷⁰ *Real Decreto-ley 8/2024, de 28 de noviembre, por el que se adoptan medidas urgentes complementarias en el marco del Plan de respuesta inmediata, reconstrucción y relanzamiento frente a los daños causados por la Depresión Aislada en Niveles Altos (DANA) en diferentes municipios entre el 28 de octubre y el 4 de noviembre de 2024.*

- Minimum benefit amount for workers with no dependent children: 80% of monthly IPREM increased by 1/6. For workers with one dependent child: 107% of monthly IPREM increased by 1/6.
- Maximum benefit amount for workers with no dependent children: 175% of monthly IPREM increased by 1/6. For workers with one dependent child: 200% of monthly IPREM increased by 1/6. If the worker has two or more dependent children is 225% of monthly IPREM increased by 1/6.

Taxation and income testing

Taxable.

Subject to social insurance contributions, although the following specificities apply:

- Beneficiaries of wage compensation continued to pay their employee contributions, as is also the case when the individual receives the unemployment insurance benefit.
- Companies, however, were exempt from paying 75% of the employer contribution to Social Insurance, or 100% of the quota in the case of companies with less than 50 workers, until the end of June 2020, provided that they committed to recruit back their employees after the temporary furlough. The exempted contributions were credited by the government. Nevertheless, according to subsequent extensions of the wage compensation schemes SIC exemptions were progressively adjusted as follows, depending on the type of scheme, firm size, activity of the employee and period of application:

Table 2.84 Exemption rates of employers' SIC, 2020-2022

Type of scheme	Firm size	Firm activity	Employee activity	Period	Exemption rate*
Royal Decree Law 8/2020 – March 2020					
Force majeure	<50	n/a	in compensation	March-June	100%
	>=50	n/a	in compensation	March-June	75%
Royal Decree Law 24/2020 – June 2020					
Force majeure	<50	suspended	in compensation	June-Sept.	70%/60%/35%
		reinitiated	in compensation	June-Sept.	35%
			back to work	June-Sept.	60%
	>=50	suspended	in compensation	June-Sept.	50%/40%/25%
		reinitiated	in compensation	June-Sept.	25%
			back to work	June-Sept.	40%
Royal Decree Law 30/2020 – September 2020					
Force majeure or economic needs**	<50	n/a	in compensation	Oct.-January	85%
	>=50	n/a	in compensation	Oct.-January	75%
	<50	n/a	in compensation	Oct.-January	100%

Prohibition to perform the main activity	>=50	n/a	in compensation	Oct.-January	90%
Partial limitation of the main activity	<50	n/a	in compensation	Oct.-January	100%/90%/85%/80%
	>=50	n/a	in compensation	Oct.-January	90%/80%/75%/70%
<i>Royal Decree Law 2/2021 – January 2021</i>					
Force majeure or economic needs**	<50	n/a	in compensation	Febr.-May	85%
	>=50	n/a	in compensation	Febr.-May	75%
Prohibition to perform the main activity	<50	n/a	in compensation	Febr.-May	100%
	>=50	n/a	in compensation	Febr.-May	90%
Partial limitation of the main activity	<50	n/a	in compensation	Febr.-May	100%/90%/85%/80%
	>=50	n/a	in compensation	Febr.-May	90%/80%/75%/70%
<i>Royal Decree Law 11/2021 – May 2021</i>					
Force majeure or economic needs**	<50	n/a	in compensation	June-September	85%/85%/85%/70%
			back to work	June-September	95%
	>=50	n/a	in compensation	June-September	75%/75%/75%/60%
			back to work	June-September	85%
Prohibition to perform the main activity	<50	n/a	in compensation	June-September	100%
	>=50	n/a	in compensation	June-September	90%
Partial limitation of the main activity	<50	n/a	in compensation	June-September	85%/85%/75%/75%
	>=50	n/a	in compensation	June-September	75%/75%/65%/65%
<i>Royal Decree Law 18/2021 – September 2021</i>					
Force majeure or economic needs**	<50	n/a	in compensation	October	70%
			back to work	October	95%
	>=50	n/a	in compensation	October	60%
			back to work	October	85%
Prohibition to perform the main activity	<50	n/a	in compensation	October	100%
	>=50	n/a	in compensation	October	90%
Partial limitation of the main activity	<50	n/a	in compensation	October	75%
	>=50	n/a	in compensation	October	65%
Force majeure or economic needs**	<10	n/a		November 2021-February 2022	80% (if the firm carried out training courses) and 50% in other case

Prohibition to perform the main activity	>=10		November 2021-February 2022	80% (if the firm carried out training courses) and 40% in other case
	n/a		November 2021-February 2022	100%
Partial limitation of the main activity	<10	n/a	November 2021-February 2022	80% (if the firm carried out training courses) and 50% in other case
	>=10	n/a	November 2021-February 2022	80% (if the firm carried out training courses) and 40% in other case
Royal Decree Law 2/2022 – February 2022				
Force majeure or economic needs**	<10	n/a	March 2022	60% (if the firm carried out training courses) and 30% in other case
	>=10		March 2022	60% (if the firm carried out training courses) and 20% in other case
Prohibition to perform the main activity		n/a	March 2022	90%
Partial limitation of the main activity	<10	n/a	March 2022	60% (if the firm carried out training courses) and 30% in other case
	>=10	n/a	March 2022	60% (if the firm carried out training courses) and 20% in other case

Notes: * When several exemption rates are stated in the table, each of them corresponds to each month over the whole period of application ** Only applying to some specific sectors.

Source: Own elaboration based on legal sources.

Due to the complexity on the way employers' Social Insurance contributions are treated under the different type of schemes/periods in force, in EUROMOD we only simulate one single rule applying to the whole compensation period. In particular, for 2020, we assume the exemption rates to be of 100% for small firms and of 75% for large firms. For 2021, we assume an 85% average exemption rate for small firms and of 75% for large firms.

This benefit is included in the income test of other social benefits (e.g. social assistance benefits).

EUROMOD modelling

This policy can only produce results if the model is run in combination with the LMA add-on. The individuals that are selected to undergo transitions to monetary compensation schemes are defined in the TransLMA_es policy, which is switched on automatically by the add-on. For more information about the modelling of labour market transitions, please consult the "Simulating labour market transitions in EUROMOD" document.

Labour transition model-based data are produced by Eurostat, using detailed distributional information on the loss of jobs and short-term work schemes from the Labour Force Survey and administrative data. The impact across different categories of individuals, the duration of unemployment/absence and percentage of hours worked are modelled using the EU-LFS longitudinal and quarterly transitions as target. For more information, please consult the methodological note⁷¹. 2021 statistics on labour transitions are not yet available and, therefore, the simulation of the scheme for 2021 is not triggered. Nevertheless, alternative shares can be simulated by adjusting the parameters of policy TransLMA_es.

Legal sources

- *Real Decreto-ley 32/2021, de 28 de diciembre, de medidas urgentes para la reforma laboral, la garantía de la estabilidad en el empleo y la transformación del mercado de trabajo.*
- *Real Decreto-ley 8/2020, de 17 de marzo, de medidas urgentes extraordinarias para hacer frente al impacto económico y social de la COVID-19.*
- *Real Decreto-ley 24/2020, de 26 de junio, de medidas sociales de reactivación del empleo y protección del trabajo autónomo y de competitividad del sector industrial.*
- *Real Decreto-ley 30/2020, de 29 de septiembre, de medidas sociales en defensa del empleo.*
- *Real Decreto-ley 2/2021, de 26 de enero, de refuerzo y consolidación de medidas sociales en defensa del empleo.*
- *Real Decreto-ley 11/2021, de 27 de mayo, sobre medidas urgentes para la defensa del empleo, la reactivación económica y la protección de los trabajadores autónomos.*
- *Real Decreto-ley 18/2021, de 28 de septiembre, de medidas urgentes para la protección del empleo, la recuperación económica y la mejora del mercado de trabajo.*
- *Real Decreto-ley 2/2022, de 22 de febrero, por el que se adoptan medidas urgentes para la protección de trabajadores autónomos, para la transición hacia los mecanismos estructurales de defensa del empleo, y para la recuperación económica y social de la isla de La Palma, y se prorrogan determinadas medidas para hacer frente a situaciones de vulnerabilidad social y económica.*

2.9.1.2. Self-employment income compensation scheme - ysecomp_es

Extraordinary benefit for self-employed during the COVID-19 pandemic due to cessation of activity or due to a loss in revenue of, at least, 75% of the average revenue in the semester prior. Self-employed are granted with exemptions from paying social insurance contributions during the reception of the benefit.

⁷¹ Available at <https://ec.europa.eu/eurostat/documents/7894008/8256843/Methodological-note-2020.pdf/9a70fb55-ceb7-d25a-1b31-ab0c030095d2?t=1625228771763>.

Nevertheless, this policy underwent several changes throughout the COVID-19 pandemic. Although its duration was first limited to 3 months, corresponding to the initial duration of the emergency of state, it was extended in several occasions. Importantly, since the approval of the Royal Decree Law 30/2020 on September 30, different types of self-employment income compensation schemes were put in place, which were subsequently adjusted over further extensions. These adjustments took place in several occasions within the year, making extremely complex their simulations in EUROMOD. In this section, we only describe the policy rules of the main scheme that was approved in March 2020 (Royal Decree Law 8/2020), being this instrument the one simulated in EUROMOD for 2020.

For 2021, however, the following table briefly describes the latest schemes in place since the approval in May 2021 of the Royal Decree Law 11/2020:

Table 2.85 Self-employment income compensation schemes in place since May 2021

Type of scheme	"POECATA 4": Extraordinary benefit for self-employed due to cessation of activity	"PECANE 1.3": Extraordinary benefit for self-employed due to temporary prohibition to perform main activity	"PECANE 2.3": Extraordinary benefit for self-employed not eligible to "POECATA 4" and having received "POECATA 3" or "PECANE 2.2"	"PETECATA 4": Extraordinary benefit for seasonal self-employed
Minimum contribution period	Yes (at least 12 months if the benefit has not been already received previously)	No	No	No
Compatible with employee's income	Yes (if employee's income < 1.25*MW & all work-related incomes < 2.2*SMI)	Yes (if employee's income < 1.25*MW)	No	No
Benefit amount	70% contribution base (50% in case of combining employee & self-employment incomes)	70% minimum contribution base (40% if two beneficiaries within the family)	50% minimum contribution base (40% if two beneficiaries within the family)	70% minimum contribution base
Ceilings	Yes (depending on the number of dependent children)	No	No	No
Income test	Self-employment net incomes in 2nd & 3rd quarters of 2021 < 7,980 EUR	No	Self-employment net incomes in 2nd & 3rd quarters of 2021 < 6,650 EUR	Self-employment net incomes in 2nd & 3rd quarters of 2021 < 6,650 EUR
Subject to SIC	Yes (although the pensions part is credited)	No (all SIC components are credited)	Yes (although the pensions part is credited)	No (all SIC components are credited)

Source: Own elaboration based on legal sources.

In this case, the EUROMOD baseline for 2021 only simulates "PECANE 2.3" scheme, due to lack of data on the type of scheme received and the date of entrance in compensation. The decision to simulate this scheme runs under the assumption that, during 2021, this could be one of the schemes with the highest number of beneficiaries, given that many self-employed might not be eligible to the main scheme as the minimum contribution period required would not be fulfilled.

Eligibility conditions

Self-employed whose activities are suspended due to the COVID-19 pandemic, or in case of experiencing a loss in revenue of at least 75% of the average revenue in the semester prior.

To identify self-employed undergoing the transition to this extraordinary benefit in EUROMOD, a random variable drawing from a uniform distribution is used to allocate individuals to the scheme. Moreover, out of the total number of individuals selected to undergo transitions to this extraordinary benefit in EUROMOD, a specific share is assumed to work zero hours (i.e. full layoff), or, alternatively, to work a reduced number of hours.

For the scheme simulated in 2021, the eligible self-employed has to fulfil a means-test as well. In particular, self-employment net incomes in 2nd and 3rd quarters of 2021 must be below 6,650 eur. In EUROMOD monthly annualized incomes are used as proxy for simulating this requirement. Besides, in this case no compatibility with employment is allowed during compensation.

Income assessment

For the main simulated scheme in 2020, no income assessment is simulated (as in Decree Law 8/2020). For the scheme simulated in 2021 ("PECANE 2.3"), a means-test is simulated.

Duration

As it is the case for the wage compensation scheme for employees, the duration of the benefit was also conditioned to the evolution of the COVID-19 pandemic. In this regard, a first limited duration of around 3 months, linked to the duration of the emergency state, was approved in March by the Royal Decree Law 8/2020. Nevertheless, two subsequent extensions were put in place in 2020:

- On June 27, a first extension was put in place up to September 30 (Royal Decree Law 24/2020): 3 additional months.
- On September 30, a second extension entered in force up to January 2021 (Royal Decree Law 30/2020): 4 additional months.

For 2021 and 2022, four additional extensions were put in place:

- On January 26, a third extension entered into force until May 2021 (Royal Decree Law 2/2021): 4 additional months.
- On May 17, a fourth extension was put in place until September 2021 (Royal Decree Law): 4 additional months.
- On September 28, the fifth extension was put in place up to February 28 (Royal Decree Law 18/2021).
- On February 2022, the last extension was put in place to March 31 (Royal Decree Law 2/2022).

Importantly, the original scheme was adjusted through the different extensions and different type of schemes entered into force over the COVID-19 pandemic. This means that, in practice, self-employed transited across the different schemes, although in EUROMOD we assume that they remained in the original scheme for as long as the maximum simulated duration.

In EUROMOD, an assumed maximum duration of 9 months is simulated for 2020 and 2021. Then, the number of months that each worker spends in wage compensation is randomly assigned. Nevertheless, the duration cannot be higher than the number of months in which the worker worked in the dataset (yemmy) or higher than the maximum simulated duration of the policy (9 months).

Benefit amount

The benefit amount paid by the state depends on the self-employed contribution base, which can be chosen by the self-employed within a minimum a maximum boundaries⁷². In 2020, the amount to be received is of 70% of the self-employed contribution base, adjusted by the corresponding number of hours in work. In 2021, the amount simulated corresponds to “PECANE 2.3” scheme and it is of 50% of the minimum contribution base (40% if there are two beneficiaries within the family unit).

The minimum and maximum benefit amount depends on the number of children in the unit. In 2020:

- The minimum benefit amount if the worker has no dependent children is 80% of monthly IPREM increased by 1/6. If the worker has one dependent child is 107% of monthly IPREM increased by 1/6.
- The maximum benefit amount if the worker has no dependent children is 175% of monthly IPREM increased by 1/6. If the worker has one dependent child is 200% of monthly IPREM increased by 1/6. If the worker has two or more dependent children is 225% of monthly IPREM increased by 1/6.

For the scheme simulated in 2021, the above-described limits do not apply.

Taxation and income testing

Taxable.

Subject to social insurance contributions, although the following specificities apply:

- Self-employed were fully exempt from paying social insurance contributions to Social Insurance until the end of June. The exempted contributions were credited by the government. Since then, the exemptions were adjusted over time according to the different schemes put in place. In EUROMOD, for the scheme simulated in 2020, we assume that the contributions were fully credited over the whole simulated period.
- In 2021, only the part of the contributions corresponding to pensions (“contingencias communes”) is credited. The remaining contributions are paid by the beneficiary. This rule also varies significantly depending on the scheme the self-employed is receiving in practice.

This benefit is included in the income test of other social benefits (e.g. social assistance benefits).

EUROMOD modelling

This policy can only produce results if the model is run in combination with the LMA add-on. The individuals that are selected to undergo transitions to monetary compensation schemes are defined in the TransLMA_es policy, which is switched on automatically by the add-on. For more information

⁷² Importantly, in EUROMOD, all self-employed are assumed to contribute based on the minimum contribution base, as there is no information in the underlying dataset on the contribution bases.

about the modelling of labour market transitions, please consult the “Simulating labour market transitions in EUROMOD” document.

Labour transition model based data are produced by Eurostat, using detailed distributional information on the loss of jobs and short-term work schemes from the Labour Force Survey and administrative data. The impact across different categories of individuals, the duration of unemployment/absence and percentage of hours worked are modelled using the EU-LFS longitudinal and quarterly transitions as target. For more information, please consult the methodological note available [here \(europa.eu\)](https://ec.europa.eu/eurostat/tgm/table.do?tab=table&init=1&language=en&plugin=1). The statistics for 2022 on labour transitions are not yet available and, therefore, the simulation of the scheme for 2022 is not triggered. Nevertheless, alternative shares can be simulated by adjusting the parameters of policy TransLMA_es.

In EUROMOD, all self-employed are assumed to contribute based on the minimum contribution base. Therefore, the simulated benefit amount of this compensation scheme only corresponds to a maximum 70% of the above-mentioned minimum base, whereas in practice self-employed might decide to contribute more and, thus, receive a higher income compensation through this benefit.

Given that the full granularity of the different compensation schemes for self-employed put in place since September 2020 cannot be taken into account in EUROMOD, results must be interpreted with caution. For each year, only one scheme among those that entered into force is simulated.

Legal sources

- Real Decreto-ley 8/2020, de 17 de marzo, de medidas urgentes extraordinarias para hacer frente al impacto económico y social de la COVID-19.
- Real Decreto-ley 24/2020, de 26 de junio, de medidas sociales de reactivación del empleo y protección del trabajo autónomo y de competitividad del sector industrial.
- Real Decreto-ley 30/2020, de 29 de septiembre, de medidas sociales en defensa del empleo.
- Real Decreto-ley 2/2021, de 26 de enero, de refuerzo y consolidación de medidas sociales en defensa del empleo.
- Real Decreto-ley 11/2021, de 27 de mayo, sobre medidas urgentes para la defensa del empleo, la reactivación económica y la protección de los trabajadores autónomos.
- Real Decreto-ley 18/2021, de 28 de septiembre, de medidas urgentes para la protección del empleo, la recuperación económica y la mejora del mercado de trabajo.

2.9.2. Inflation compensation policies - bwr_es

Brief description

To compensate the increase in prices due to the energy crisis arising from the war in Ukraine the following policies were adopted:

- Starting in July 2022, an extraordinary increase of 15% of the amount of non-contributory pensions (see table 2.8) and the minimum income scheme (see table 2.29). This increase was maintained in 2023, i.e., non contributory pensions remained at the same absolute level as in the second half of 2022. In 2023, a 6.9% increase was approved.

- A temporary emergency lump-sum benefit for families with low income and wealth was established in 2022 (see table 2.46). It remained in place during 2023, with different eligibility conditions.

The main characteristics of b), the temporary emergency lump-sum benefit for families with low income and wealth, are described below.

2.9.2.1. Temporary emergency lump-sum benefit of 200 euro - *bwrls_es* (Línea directa de ayuda a personas físicas de bajo nivel de ingresos y patrimonio)

Temporary emergency lump-sum benefit for families with low income and wealth with the aim of reducing the effects of the increase in prices due to the energy crisis arising from the war in Ukraine.

Definitions

Family unit: individuals living together and related by marriage or an analogous relationship, adoption, blood or family relationship up to the 3rd degree (in 2022) and to the 2nd degree (in 2023).

Benefit recipient: an eligible adult

Eligibility conditions

Legal residence must be proved for at least 1 year. The claimant must not be receiving other social benefits such as the minimum income scheme or analogous benefits. If the claimant is not working, he/she must be registered as job seeker. The family unit must be formed for at least two years.

Income assessment

The income test takes into account the same incomes considered in the Minimum Income Scheme. The maximum income was 14,000 euros in 2021 (to receive the benefit in 2022), and 27,000 in 2022 (to be eligible in 2023).

Wealth assessment

The definition of the wealth is established in the regulation of the Minimum Income Scheme. It includes financial and property assets other than main residence. The maximum net wealth was 43,196.70 EUR in 2021 (to be entitled in 2022), and 75,000 in 2022 (to receive the benefit in 2023). Main residence is not included.

Benefit amount

The benefit amount is 200 EUR per eligible person.

Table 2.86 Main characteristics of Temporary emergency lump-sum benefit of 200 EUR. Amounts per family member, EUR per year.

	2022	2023

Eligibility (Annual)	People living alone or who are part of a cohabitation unit and carry out an activity on their own or as an employee for which they are registered in the corresponding Social Insurance or mutual insurance regime, or they are registered as unemployed in the employment office. For the calculation the income and assets of the following people who live at the same address family-related up to the 3 rd degree must be added. Not receiving other social benefits such as Minimum Income Scheme (except regional minimum income schemes).	People living alone or who are part of a cohabitation unit and lacking the basic economic resources to meet their basic needs. Not receiving other social benefits such as Minimum Income Scheme (except regional minimum income schemes). For the calculation the income and assets of the following people who live at the same address must be added: beneficiary; spouse; de facto couple registered in the registry of de facto unions; descendants under 25 years of age, or with disabilities, with incomes that do not exceed 8,000 euros (excluding those exempt); and ascendants up to second degree by direct line.
Income test	Family income in 2021 < 14,000	Family income in 2022 < 27,000
Wealth test	Family wealth < 43,196.40 (excluding main residence)	Family wealth < 75,000 (excluding main residence)
Payment (year)	200 EUR. Payable once per eligible adult	

Source: Own elaboration based on legal sources.

Duration

This benefit was payable once.

Taxation and income testing

This benefit is taxable under Personal Income Tax, as a wealth increase to be included in the general base. There are no social insurance contributions paid on it.

Compatibilities

This policy is incompatible with other social benefits such as the Minimum Income Scheme and similar benefits. However, it is compatible with regional minimum income schemes, as they are not considered social insurance pensions.

EUROMOD modelling

The income test depends on the income from the previous year, but due to lack of information we use the incomes of the (EU-SILC) year of reference.

BTA extension is off, so the baseline model does not adjust for non-take-up of the benefit, but the user can activate them if necessary; BCA extension is on, so it calibrates the receipt of the benefit to match total expenditure. See section 2.4 for technical details on both extensions and their interaction.

Users can enable or disable the necessary extensions in Country Tools/Set Switches. For proper functioning, the extensions require the following inputs:

- BTA: The estimated take-up rate of the benefit should be set as the value of the `$bwrls_BTA_rate` constant in the model. Currently the value is set to 1, indicating no adjustment for non-take-up.
- BCA: The aggregate expenditure data is available for the two years the benefit was introduced (2022 and 2023), so no additional action needed to turn the extension on.

Legal sources

— *Framework Law:*

- Real Decreto-ley 11/2022, de 25 de junio, por el que se adoptan y se prorrogan medidas para responder a las consecuencias económicas y sociales de la guerra en Ucrania, para hacer frente a situaciones de vulnerabilidad social y económica, y para la recuperación económica y social de la isla de La Palma (artículo 31).
- Real Decreto-ley 20/2022, de 27 de diciembre, de medidas de respuesta a las consecuencias económicas y sociales de la Guerra de Ucrania y de apoyo a la reconstrucción de la isla de La Palma y a otras situaciones de vulnerabilidad (artículo 74).

3. Data

3.1. General description

The EUROMOD database is mainly drawn from the European Statistics on Income and Living Conditions survey (EU-SILC). This is the main European Union reference source for comparative statistics on income distribution and social exclusion at European level. EU-SILC data refer to both cross-sectional and longitudinal dimensions. The cross-sectional data are collected over a certain period (annually) with information on household socioeconomic and demographic characteristics, individual income and other important information on living conditions. The longitudinal nature of the survey allows following the same person over a period in order to study how their life changes when socioeconomic or demographic conditions change, or policies are modified.

The EU-SILC provides information on individuals' income and its components, the evolution of income over time and household financial situation. It also contains information on short-term movements linked to employment, such as several types of unemployment (short duration, long duration and under-employment), return to work from occasional unemployment, causes and characteristics of part-time employment. Concerning retirement, pensions and socio-economic situation of elderly are also included. Besides, EU-SILC also includes information on the factors determining early retirement, distribution of the main sources of income of elderly, composition of retirement pensions according to socio-economic and socio-demographic characteristics and the evolution of retirement pensions over time. The survey also covers some aspects related to migration, health, intergenerational transmission of poverty and social participation.

This year, there are two databases available, with reference years 2023 and 2024.

Table 3.1 EUROMOD database description

EUROMOD data-base	ES_2023_b1
Original name	ES_EMSD2_2023
Provider	Eurostat
Year of collection	2023
Period of collection	The period of time in which the information is collected in the field is about three months during the first half of the year.
Income reference period	2022
Coverage	Private households
Sample size	households: 27,227 individuals: 67,181
Response rate	Household non-response rate: 18.72% (total sample); 31.07% (new sub-sample); 8.35% (longitudinal 1 wage-year) (All households) Overall individual non-response rate: 19.14% (total sample); 31.51% (new sub-sample); 8.79% (longitudinal 1 wage-year) (All households)

Notes: Information on response rates comes from the section 6 related to Accuracy and reliability of the Metadata Report on Income and Living Conditions Spain (Spain 2023 and 2024). INE: <https://circabc.europa.eu/ui/group/853b48e6-a00f-4d22-87db-c40bafd0161d/library/137963f3-7bbe-4cd0-8edf-24c5fd430601/details>
<https://circabc.europa.eu/ui/group/853b48e6-a00f-4d22-87db-c40bafd0161d/library/831ade57-e217-43d4-bb0f-1c7ed01a637e/details>

Source: Own elaboration based on EU-SILC survey.

It should be noted here that the EUROMOD variable reporting individual age (*dag*) is taken from EU-SILC variable “age at the end of the income reference period” (RX020). In this regard, and in order to make compatible 2022 income with 2023 demographic information (and 2023 income with 2024 demographic information), children born in 2023 (and 2024), by definition would be aged -1, were dropped from the sample.

Sample quality and weights

Non-response

Three types of non-response are observed in the EU-SILC data in households that have been selected for the survey. There are two types of questionnaires: (1) for the household information, and (2) for every single member considered as an adult i.e. aged 16+. If the household provides information on the household questionnaire and of at least one of the individual questionnaires, then the household is defined as a collaborating household. However, we may find individuals providing partial information (partial non-response), and some who have not provided any answers at all (individual non-response). When the household does not give any answer to the questionnaires (non-collaborating household), it is defined as a non-response unit.

To correct these three types of non-response, the following methods are implemented by the Spanish Statistical Office: for partial non-response, IVE imputation is used; for individual non-response, an inflation factor is defined in order to increase the total household income at micro level. Finally, when there is a non-response unit, a reweighting method is used.

- (a) IVE imputation is a solution for partial non-response. This method uses information of the same individual from the previous wave. If this information is not available, or it is available but imputed, *IVEware* is used. *IVEware* is a SAS callable software application that can perform multiple imputations of missing values using the Sequential Regression Imputation Method described in the article “A multivariate technique for multiply imputing missing values using a sequence of regression models” by Raghunathan, Lepkowski, Van Hoewyk and Solenberger (Survey Methodology, June 2001). This multivariate method can handle relatively complex data structures. It uses random perturbations to create imputations through a sequence of univariate regressions. The type of regression model used depends on the variable being imputed. The imputations are defined as draws from the predictive distribution specified by the regression model. The sequence of imputing missing values could be continued in a cyclic manner, each time overwriting the previously drawn values to build more independence and exploit the correlational structure.
- (b) In the case of individual non-response, individuals are imputed using their group mean. Groups are defined using certain variables from the R-file, such as sex, age, activity, number of children, household type, etc., and assigning the personal income mean value of the group where the individual belongs to.
- (c) Unit non-response: the non-responding households are dropped from the sample and the weights are adjusted to account for this, using reweighting methods.

Weights

ES_2023_b1

The original sample consists of 27,227 households (67,181 individuals). No households reported missing adjustment income factor and missing household income. The weights provided by the EU-SILC are household weights aiming to correct for selective non-response and panel attrition. No re-weighting was performed.

Children born in 2022 (61 observations) were excluded from the sample. However, the weights were not scaled up to reflect this exclusion. As a result, the sample used in the model is of 27,227 households (67,181 individuals) projecting a population of 47,305,107 individuals. Table 3.2 presents some basic descriptive statistics for the grossing-up weight.

ES_2024_b1

The original sample consists of 29,780 households (72,702 individuals). No households reported missing adjustment income factor and missing household income. The weights provided by the EU-SILC are household weights aiming to correct for selective non-response and panel attrition. No re-weighting was performed.

Children born in 2023 (69 observations) were excluded from the sample. However, the weights were not scaled up to reflect this exclusion. As a result, the sample used in the model is of 29,780 households (72,702 individuals) projecting a population of 48,202,221 individuals. Table 3.2 presents some basic descriptive statistics for the grossing-up weight.

Table 3.2 Descriptive statistics of the grossing-up weight

	ES_2023_b1	ES_2024_b1
Number	67,181	72,702
Mean	1,300	1,114
Maximum	17,200	9,382
Minimum	18	14
Max/Min	956	670

Source: Own elaboration based on EU-SILC survey.

Coherence with external sources

Comparison of the EU-SILC with external sources is rather difficult because most often income definitions do not match. The difficulty generally stems from the definition of the income component itself and from the way an amount is expressed. Furthermore, an increasingly large proportion of social transfers are managed by the regions, which makes particularly hard to bring all the available information together. Nevertheless, we would like to provide some hints on the validity of the income data from EU-SILC using other information sources.

If we compare the constructed gross income data from EU-SILC with those provided by National Accounts (NA) data (available at the *Instituto Nacional de Estadística*), we find some discrepancies, as the employee income coverage rate:

- Calculated as EU-SILC 2023 and NA ratio, is 105.1%. Regarding the comparison between the Household Budget Survey (HBS) and ES-SILC, the mean net household income registered in HBS 2022 is 28,115.28 euro, whereas in ES-SILC 2023 (income reference period 2022) the mean net household income is 34,821 euro⁷³.
- Calculated as EU-SILC 2024 and NA ratio, is 99.5%. Regarding the comparison between the Household Budget Survey (HBS) and ES-SILC, the mean net household income registered in HBS 2023 is 29,706 euro, whereas in ES-SILC 2024 (income reference period 2023) the mean net household income is 36,996 euro⁷⁴.

3.1.1. EUROMOD SILC Database (EMSD)

From 2021 onwards, a new database prepared by Eurostat - EUROMOD SILC database (EMSD) is used to derive the EUROMOD input dataset. The EMSD includes:

- all UDB (User Database) variables (each variable is described in the doc 65 available online).
- national SILC data supplied by the National Statistical Institute (NSI).
- EUROMOD variables created and imputed by Eurostat because of restricted data access or knowledge in-house.

Based on the EMSD, the national team derives additional variables requiring a deep understanding of country specificities (for instance national tax-benefit rules). The final EUROMOD input dataset is therefore made of variables created by both Eurostat and national team.

Some of the EUROMOD variables produced by Eurostat are created and/or imputed with PDB (Production Database) variables since the modalities of the PDB variables are more detailed than in UDB. According to the agreement between the NSI and Eurostat, the national team is allowed to use the more detailed information coming from the PDB to derive some EUROMOD variables or to use them as intermediate variable to impute other EUROMOD variables.

However, in the final EUROMOD input dataset, same disclosure rules as in the UDB are applied. Nevertheless, when imputing variables, disclosure rules are not applied, so the values might still differ from what a user could obtain when replicating the imputation based on the UDB data set.

⁷³ These comparisons are included in Annex 8 of the Spanish SILC Quality Report 2023:
<https://circabc.europa.eu/ui/group/853b48e6-a00f-4d22-87db-c40bafd0161d/library/137963f3-7bbe-4cd0-8edf-24c5fd430601/details>

⁷⁴ These comparisons are included in Annex 7 of the Spanish SILC Quality Report 2024:
<https://circabc.europa.eu/ui/group/853b48e6-a00f-4d22-87db-c40bafd0161d/library/831ade57-e217-43d4-bb0f-1c7ed01a637e/details>

3.2. Imputations and assumptions

3.2.1. Time period

In EU-SILC the reference period of income variables (previous year) is different from the socio-demographic labour and economic characteristics (at time of the interview). The reconciliation of these variables was limited to cases where this inconsistency would undermine the reliability of simulated policies (e.g. the simulation of social contributions may be affected if an individual reporting earnings do not report labour market information due to changes in employment status between the income reference period and the time of interview). For details on the number of observations affected and on how these incomes were reconciled see the DRD (Data Requirement Document) which accompanies the EUROMOD input data.

All monetary amounts in the EU-SILC are expressed in annual terms. These are converted into (average) monthly terms dividing them by 12. In the EUROMOD calculations, it is implicitly assumed that income is received at the same rate throughout the year. In order to improve the quality of simulation of policies based on monthly income and with duration that may be lower than 12 months in a year (e.g. social contributions and unemployment benefits) variables reporting the number of payments are constructed for key income sources (in particular employment and self-employment income, unemployment benefits and pensions).

3.2.2. Gross incomes

In the EU-SILC 2023 and EU-SILC 2024, income variables for Spain are available gross of taxes. Such variables were imputed by the Spanish Statistical Institute based on reported net income. For more information on the net to gross imputation, see Paniagua and Méndez (2008).

3.2.3. Disaggregation of harmonized variables

Detailed disaggregated benefits are available in EU-SILC 2023 and EU-SILC 2024 for Spain. Benefits are split into 4 groups according to their characteristics: CT&MT, CT&NT, NC&MT and NC&NT⁷⁵. These groups were used to construct the EUROMOD input dataset and generate the final EUROMOD disaggregated benefits. In fact, the availability of these variables made it possible to switch from using the National SILC (used in the past in EUROMOD) to the use of UDB EU-SILC. The tables below show how the disaggregated benefits were used to compute the final disaggregated EUROMOD benefits:

Table 3.3 Household level benefits

FAMILY/CHILDREN-RELATED ALLOWANCES				SOCIAL EXCLUSION NOT ELSEWHERE CLASSIFIED				HOUSING ALLOWANCES			
HY051	HY052	HY053	HY054	HY061	HY062	HY063	HY064	HY071	HY072	HY073	HY074
CT & MT	CT & NT	NC & MT	NC & NT	CT & MT	CT & NT	NC & MT	NC & NT	CT & MT	CT & NT	NC & MT	NC & NT

⁷⁵ CT = contributory, NC = non-contributory, MT = means-tested, and NT = non-means-tested.

UDB SILC 2023 & 2024	X				X	X		X	X	X		X
EUROM OD input data		bma	bch00 + bchdi+bc hot	tintrch			bsa				bho	
Comments	HY053G is split into bch00, bchdi & bchot in the do-files				No split				No split			

Source: Own elaboration

Table 3.4 Individual level benefits (part 1)

	UNEMPLOYMENT BENEFITS				OLD-AGE BENEFITS				SURVIVOR' BENEFITS			
	PY091	PY092	PY093	PY094	PY101	PY102	PY103	PY104	PY111	PY112	PY113	PY114
	CT & MT	CT & NT	NC & MT	NC & NT	CT & MT	CT & NT	NC & MT	NC & NT	CT & MT	CT & NT	NC & MT	NC & NT
UDB SILC 2023 & 2024	X			X				X			X	X
EUROM OD input data		bunct + ysv	bunnc + bunot		poacm	poa00 + poaot	poanc		psu wdc m	psu wd00 + psu ot		
Comments	PY092G and PY093G split in 2 components in the do-files				Four components are included in the input data; a national SILC variable is used to disentangle the main old-age pension (poa00) from other minor old-age pensions (poaot)				PY112G is split into two components in the do-file.			

Source: Own elaboration

Table 3.5 Individual level benefits (part 2)

	SICKNESS BENEFITS				DISABILITY BENEFITS				EDUCATION-RELATED ALLOWANCES			
	PY121	PY122	PY123	PY124	PY131	PY132	PY133	PY134	PY141	PY142	PY143	PY144
	CT & MT	CT & NT	NC & MT	NC & NT	CT & MT	CT & NT	NC & MT	NC & NT	CT & MT	CT & NT	NC & MT	NC & NT
UDB SILC 2022*	X			X				X	X	X		X
EUROM OD input data		bhl00	bhl0t		pdicm	pdi00 + pdiot	pdinc				bed	
Comments	Two variables are included in the input data but are not used.				Four components are included in the input data; a national SILC variable is used to disentangle the main disability pension (pdi00) from other minor disability pensions (pdiot)				No split.			

* Note: "X" means that the variable doesn't exist in EU-SILC, i.e. benefits with such characteristics do not exist in the country.

Source: Own elaboration

To account for any time inconsistencies between the income reference period and the simulated policy year, uprating factors are used. Each monetary variable (i.e. each income component) is updated to account for changes in the non-simulated variables that have taken place between the income reference period and the year of the simulated tax-benefit system. Uprating factors are generally based on changes in the average value of an income component between the income reference period and the policy year, although they might be also based on statutory indexation rules. For detailed information about the construction of each updating factor, as well as the sources that have been used, see table A1.1 in Annex 1.

3.3. Extended input data (with household expenditures for the simulation of consumption taxes)

For the simulation of consumption taxes, the model needs to be run with extended EUROMOD input files. They consist of the core EUROMOD input files based on EU-SILC or National SILC, extended with new variables (household-level income shares of expenditures by product) imputed from EU/National-HBS. The semi-parametric method implemented for the imputation follows the methodology developed by Akoğuz et al (2020).

Tables 3.6a & 3.6b summarize the major features of the two most recent databases, which are used to run the policy systems of 2022–2025.

Table 3.6a Extended EUROMOD database description

Extended EUROMOD database for the simulation of consumption taxes	SILC 2023 – Income year 2022 – Expenditures from HBS 2015
EUROMOD database	ES_2023_b1_2015_03_e2
Year of collection (HBS) and source	HBS 2015 – EU/National
Year of collection (SILC) and source	SILC 2023 – EU/National
Coverage and sample size	Same as ES_2023_b1
Share of households with negative incomes excluded from the matching procedure	0.24%

Source: Own elaboration.

Table 3.6b Extended EUROMOD database description

Extended EUROMOD database for the simulation of consumption taxes	SILC 2024 – Income year 2023 – Expenditures from HBS 2015
EUROMOD database	ES_2024_b1_2015_03_e2
Year of collection (HBS) and source	HBS 2015 – EU/National
Year of collection (SILC) and source	SILC 2024 – EU/National
Coverage and sample size	Same as ES_2024_b1
Share of households with negative incomes excluded from the matching procedure	0.21%

Source: Own elaboration.

These extended EUROMOD files contain all the variables included in the standard EUROMOD input files plus the income shares of each consumption category included in HBS. For example, for countries with consumption disaggregation at 4 COICOP level (5 digits), there will be close to 200 additional variables, each one with the income shares of expenditure (household level) for that particular consumption category (e.g. starting from the income share of rice consumption: xs_01111; bread: xs_01112, and so on and so forth). The number of additional variables depends on the granularity available in HBS, and it varies across countries).

For the case of Spain, data ES_2023_b1_2015_03_e2, the number of variables included (income shares of expenditures, xs_c*) are 193, corresponding to the harmonized consumption categories defined at COICOP [2003] level 4 (five digits).

Please note that, due to the lack of information in the HBS files distributed by Eurostat, there is no consumption reported at 5-digit COICOP level for the following 3-digit codes:

CP022 (Tobacco), CP054 (Glassware, tableware and household utensils), CP103 (Post-secondary non-tertiary education) and CP124 (Social protection).

Positive consumption might exist for 3-digit or 4-digit levels, but EUROMOD uses only 5-digit values.

This database is an extension of the core EUROMOD input database, and so it is based on the same sample (i.e., same identifiers "idperson" and "idhh" to identify persons and households, respectively) and contains the same variables plus the income shares of expenditure (xs_* variables).

In Tables 3.7a & 3.7b we present the share of households' consumption expenditures by product (and total) captured in our matched databases (extended EM input files) with respect to the original reported expenditures in HBS. The column that refers to the same year (in this case, HBS 2015 with Extended EM Input 2015) directly depends on the quality of the imputation procedure, while the comparison across different years is influenced not only by the matching noise but also by the changes in population characteristics and in the underlining distribution of income. Therefore, the coverage displayed in the second column is just informative and should not be used to evaluate the imputation procedure.

Information on the coverage of these simulated expenditures (coming from the imputation of HBS 2015 to more recent SILC-based data) with respect to the expenditures reported by National Accounts is included in section 4 of this report, together with the other macro-validation results.

Table 3.7a Expenditure coverage of Extended EM Input files

COICOP group	HBS 2015 – Extended EM Input 2015	HBS 2015 – Extended EM Input 2023
1	96.6%	104.6%
2	36.5%	38.9%
3	115.1%	123.4%
4	101.9%	108.3%
5	113.8%	110.6%
6	107.1%	108.6%
7	110.8%	122.9%
	198	

8	105.6%	112.8%
9	111.8%	123.1%
10	110.7%	117.5%
11	113.9%	121.8%
12	103.0%	105.9%

Source: Own elaboration based on HBS survey.

Table 3.7b Expenditure coverage of Extended EM Input files

COICOP group	HBS 2015 – Extended EM Input 2015	HBS 2015 – Extended EM Input 2024
1	96.6%	105.0%
2	36.5%	38.5%
3	115.1%	124.3%
4	101.9%	107.1%
5	113.8%	113.1%
6	107.1%	110.9%
7	110.8%	119.9%
8	105.6%	114.2%
9	111.8%	124.1%
10	110.7%	120.3%
11	113.9%	125.5%
12	103.0%	107.7%

Source: Own elaboration based on HBS survey.

4. Validation

4.1. Aggregate Validation

EUROMOD results are validated against external benchmarks. Detailed comparisons of the number of people receiving a given income component and total yearly amounts are shown in Annex 3. Both market incomes and non-simulated taxes and benefits in the input dataset, as well as simulated taxes and benefits, are validated against external official data. The main discrepancies between EUROMOD results and external benchmarks are discussed in the following subsections. Factors that may explain the observed differences are also discussed.

4.2. Components of disposable income

In EUROMOD, we calculate the disposable income from gross income variables deducting the total personal income tax and social insurance contributions that should be paid and adding up the benefits and pensions to which the individuals are entitled. There are smaller discrepancies between the disposable income definition in EUROMOD and in EU-SILC that can be seen in table 4.1.

Table 4.1 Components of disposable income.

	EUROMOD 2022-2025	EU-SILC 2023	EU-SILC 2024
	ils_dispy	HY020	HY020
Employee cash or near cash income	+	+	+
Employer's social insurance contribution	0	0	0
Company car	0	+	+
Contributions to individual private pension plans	0	0	0
Cash benefits or losses from self-employment	+	+	+
Pension from individual private plans	+	+	+
Unemployment benefits	+	+	+
Old-age benefits	+	+	+
Survivor' benefits	+	+	+
Sickness benefits	+	+	+
Disability benefits	+	+	+
Education-related allowances	+	+	+
Income from rental of a property or land	+	+	+
Family/children related allowances	+	+	+
Social exclusion not elsewhere classified	+	+	+
Housing allowances	+	+	+
Regular inter-household cash transfer received	+	+	+
Interests. Dividends. etc.	+	+	+
Income received by people aged under 16	+	+	+
Regular taxes on wealth	-	-	-
Regular inter-household cash transfer paid	-	-	-
Tax on income and social contributions	-	-	-
Repayments/receipts for tax adjustment	+	+	+

Source: Own elaboration.

4.3. Validation of incomes imputed into the simulation

Tables A3.1 and A3.2 depict the number of market income recipients and the annual amounts in EU-SILC data, respectively. These numbers are then compared with the statistics provided by the Spanish Tax Agency, which are mainly obtained from income tax returns. On the one hand, the number of market income recipients is slightly overestimated in EU-SILC data, e.g. individuals with employment income are overrepresented by around 15% in 2022 and 16% in 2023 in comparison to external statistics. This overrepresentation can be also observed when looking at the number of individuals with self-employment or property income (18% and 22% in 2022 and 2023 respectively). Differences are mainly explained by the fact the external sources refer only to the population of taxpayers, whereas EU-SILC data represents the whole population. In this regard, it is important to note that in Spain individuals are not obliged to fulfil a tax return if their income is below the tax-exempted threshold.

On the other hand, employment and self-employment incomes are also slightly overestimated compared to tax-based data (by 17% and 29%, respectively, in 2022 and 15% and 38% in 2023 respectively). However, the opposite can be seen for investment and property incomes, which are significantly underrepresented in EU-SILC data (macrovalidation ratios are of 50% and 63% in 2022, respectively, and 57% and 62% in 2023, respectively). The latter suggests some sort of under-recording of these income sources, which might be linked to an underrepresentation of wealthy households in the underlying data. Regarding private pensions the macrovalidation shows a small overestimation compared to the Tax Agency data (the ratio is of 105% in 2022).

In tables A3.3 and A3.4 the annual amounts of the wealth tax, which from 2022 and 2023 also includes Property Tax, are clearly infraestimated in EU-SILC (only 38% and 37% of the total revenues are being captured in 2022 and 2023 respectively), which goes in line with the usual underrepresentation of wealthy households in the underlying data. The annual amounts of personal income tax, seem to be slightly overestimated (by 10% in 2022 and 2023).

Tables A3.5 and A3.6 in Annex 3 show the number of recipients and annual amounts of pensions, mean-tested and non-mean-tested benefits. Some of these instruments cannot be simulated in EUROMOD due to lack of information in the EU-SILC data. The entitlement to these benefits depends, in many cases, on the contributory history of individuals, which is not available in the underlying data. Moreover, EU-SILC contains very limited information on wealth-related variables, which also prevents the simulation of the wealth tax (Tables A3.3 and A3.4).

Overall, regarding these instruments that cannot be simulated in EUROMOD tables A3.5 and A3.6 show that pensions are well represented in EU-SILC data. In particular, the number of recipients is only slightly overestimated, with larger discrepancies as regards pensions for small population subgroups, such as other disability pensions and the same happens with benefits such as other unemployment benefits. On the contrary, non-means-tested maternity benefits are not well represented in the underlying data; the annual amounts in 2023 are only about 0.48 times respectively the numbers in external data. One possible explanation behind this substantial difference is that parental leave benefits are mixed up with employment income in EU-SILC, making difficult the comparison with respect to the external data.

4.4. Validation of outputted (simulated) incomes

Pension complements and the non-contributory old age pension are partly simulated in EUROMOD, i.e. the eligibility is taken from the underlying data. Therefore, and as it can be seen in Tables A3.5 and A3.6, the number of recipients and annual amounts in the EUROMOD simulations are very similar to those in the input data. The comparison with external information is also accurate, although the non-contributory old age pension is slightly overestimated (by around 8% in 2022).

Unemployment benefits are simulated following the same approach as for pension complements and the non-contributory old age pension – eligibility is taken from data but the remaining policy rules (e.g. income tests, benefit amounts, etc.) are fully simulated. It does not come as a surprise, then, that the comparison of the simulated number of beneficiaries with EU-SILC data leads to very similar numbers. However, Tables A3.5 and A3.6 show that, when it comes to the comparison with external data, the total number of beneficiaries is highly overestimated for the unemployment insurance benefit (ratio of 372% and 360 % in 2022 and 2023 respectively), whereas the simulated annual amounts are slightly lower than official statistics (ratio of 86% and 85% in 2022 and 2023 respectively). In this regard, unemployment benefit simulations are not strictly comparable to official statistics. While the former shows any recipient that received the benefit at any time during the year, as well as the accompanying total annual expenditure, the latter shows the average number of recipients along the year and the annualized amount of expenditure on any given month during the year. As a result, it is not surprising that results show a larger number of recipients and lower annual amounts in EUROMOD.

Child benefits are fully simulated in EUROMOD. On the one hand, and as compared to external statistics, the main child benefit for families with children below 18 years old is underestimated in terms of recipients (by 36% and 30% in 2022 and 2023) and amounts overestimated (by 44% in 2022 and 25% in 2023). In particular, the child benefit for families with disabled children over 18 years old is underestimated in terms of recipients (by 18% in 2022 and 2023) and in terms of annual amounts (by 34% and 35% in 2022 and 2023). Possible factors driving these results might have to do with: (1) the relatively small samples in EU-SILC for specific subgroups, such as people with disabilities; and (2) the lack of information on the disability degree of the individual. Due to (2), the simulation assumes that all disabled children over 18 years old have a disability level of 65%, and the bigger amounts for those with a disability level of 75% or more are not simulated.

Moreover, childbirth benefits are oversimulated in EUROMOD by around 159% and 144% in terms of recipients and annual amounts respectively in 2022. In 2023 childbirth benefits are oversimulated in EUROMOD by around 88% and 86% in terms of recipients and annual amounts respectively, as it can be seen in Tables A3.5 and A3.6. These lump-sum benefits are granted for families with very specific statuses, such as large families, lone parents or families giving birth to multiple children and their validation is frequently subject to a large degree of variation. Besides, external statistics on regional benefits are very scarce and usually not available, preventing the macrovalidation of regional child benefits.

As far as social assistance benefits are concerned, Table A3.6 show that the simulation of the regional minimum income schemes fits quite well the external data in terms of annual amounts. This is undoubtedly the result of the non-take-up correction applied to the simulation of these regional schemes (see section 2.5.6.2). Switching off this non-take-up correction leads to a substantial oversimulation of these benefits, as in practice their coverage is very low (of around 20% on average). The simulation of the nation-wide minimum income is also calibrated in

EUROMOD due to non-take-up (see section 2.5.6.1). In particular, the calibration aims to replicate the total expenditure on this scheme in each year.

Table A3.3 and A3.4 also show the results of the simulation of social insurance contributions (SICs) and personal income taxes in EUROMOD, comparing them with respect to EU-SILC and external data. SICs are fully simulated in EUROMOD by splitting employees depending on whether they work full-time or part-time and making use of the information on sector of activity (3 groups), occupation (10 groups) and maximum level of education achieved (6 levels). According to the results, the number of employee and employer SICs simulated in EUROMOD are overestimated (by 22% and 21% in 2022 and 2023 respectively). This is even more noticeable when looking at the annual amounts, which are overestimated by 48% and 42%, in 2022 and 2023 respectively. In this regard, there might be some sort of informality not captured by the external statistics from SICs records, whereas in EUROMOD full compliance is assumed. Besides, the comparison with the external data is somewhat challenging as in EUROMOD the full breakdown of SICs schemes is not simulated. For example, civil servants are simulated within the General Regime for employees due to lack of information in the underlying data, while in practice they might belong to a specific SIC regime (“MUFACE”) that is not accounted for in the aggregate external numbers we are using to compare with.

The number of self-employed SIC payers simulated by EUROMOD is also overestimated in 2022 and 2023 (by 11% and 14% respectively). As in the case of the SICs for employees and employers, the differences are more noticeable in the annual amounts, which are overestimated by 30% and 22% in 2022 and 2023, respectively.

Regarding the simulation of the personal income tax, EUROMOD overestimates the number of taxpayers by around 44% and 41% in 2022 and 2023⁷⁶ respectively, as can be seen in table A3.3. Nevertheless, the total annual amounts are more accurately simulated and, in 2022 and 2023, they deviate by 10% with respect to the external statistics (see table A3.4). The accuracy of the simulation of intermediate simulations preceding the calculation of the final income tax liability such as the tax bases, tax allowances and some representative tax credits varies among the different components.

Regarding the simulation of wealth tax, it should be noted that from 2020 onwards EUROMOD revenue data includes property tax. In terms of recipients, this makes comparability with external sources difficult, since these record the number of property taxes paid and, considering that a person/household can pay several different property taxes, this number will be very different from the number recorded by EUROMOD (number of households paying property taxes). However, the comparison in terms of annual amounts also shows strong differences, which could be explained by the survey's difficulty in recording a tax typically paid by households in the upper income deciles.

⁷⁶ Note here that, in order to make the EUROMOD simulations comparable to the official data published by the Spanish Tax Agency, the regions of País Vasco and Comunidad Foral de Navarra have been excluded in tables A3.3 and A3.4 when computing the EUROMOD aggregates. This adjustment was applied since both regions follow different tax rules as the ones from the common fiscal territory (i.e. all other Spanish regions) and are not recorded in the statistics published by the Spanish Tax Agency. Only the component “income tax liability (national + regional)” includes the simulated figures from País Vasco and Comunidad Foral de Navarra to show the extent of total simulated taxes when taking into account the aforementioned regions.

Tables A3.9 and A3.10 present the results of consumption taxes. As Table A3.9 shows, in 2023, consumption expenditure by COICOP functions is well represented in functions 01 (Food and non-alcoholic beverages), 04 (Housing, water and fuel, exc. imputed rent), 07 (Transport) and 08 (Communications). In contrast, consumption is underestimated in the case of function 02 (Alcoholic beverages, tobacco, etc.), with an 80% underestimation which can be explained by households under-reporting consumption of alcoholic beverages and tobacco in the HBS⁷⁷. Consumption functions 05 (Furnishings, household equipment, etc.), 06 (Health), 09 (Recreation and culture), 10 (Education), 11 (Hotels and restaurants) and 12 (Miscellaneous good and services) are also underestimated, although to a lesser extent (around 25%). On the other hand, function 03 (Clothing and footwear) is overestimated (35%). As a result, total household final consumption expenditure is underestimated, which explains the underestimation of VAT (30%).

Table A3.10, which shows simulated consumption taxes (based on National Accounts-adjusted simulated expenditures) compared to administrative data on consumption tax revenues, presents an underestimation of VAT Total Revenue below that shown in table A3.9, of 16% in 2023, while Excises Total Revenue are underestimated also by 13% in the same year. This underestimation affecting consumption and its taxes can be explained by the fact that the HBS does not fully capture household consumption.

4.5. Income distribution

All income distribution results presented here are computed for individuals according to their household equivalised disposable income (HDI) – using the “modified OECD” equivalence scale. HDI are calculated as the sum of all income sources of all household members (labour market income plus benefits, pensions and transfers) net of income tax and social insurance contributions. The weights in the OECD equivalence are: first adult = 1; additional people aged 14+ = 0.5; additional people aged under 14 = 0.3.

4.6. Income inequality and poverty

Tables A3.7 and A3.8 provides results for the following indicators on the income distribution: income decile shares, mean and median equivalised income, income quintile ratio, Gini coefficient and poverty rates. Results are presented for own calculations using EUROMOD baseline results and external statistics published by Eurostat based on the EU-SILC data.

Besides the conceptual and technical differences in the definition of the household disposable income with respect to EU-SILC, such as the inclusion of different income sources, small changes to the sample, recoding of negative incomes into zero, together with all the above-described differences in the simulated amounts of benefit and taxes, the mean and median equivalised disposable income in EUROMOD are very similar to the original EU-SILC data (both 98% in 2023), as it can be seen in table A3.7.

⁷⁷ As a matter of fact, in the HBS files distributed by EUROSTAT there is no tobacco consumption in Spain at 5 digits COICOP level (CP02211, CP02212 and CP02213), which is the category level used in EUROMOD. However, at three digits (02.2), there is positive expenditure on tobacco. Furthermore, the same happens with other subgroups (3-digit COICOP) formed by a single class (4-digit COICOP), whose expenses are not broken down to 5-digit COICOP.

Results in terms of income distribution and inequality are also shown in Table A3.7. The table illustrates that EUROMOD matches quite accurately the distribution of disposable income in 2023, with slight discrepancies varying from -2% (for top decile) to 11% (for bottom decile). Moreover, EUROMOD simulates slightly smaller figures for the Gini coefficient (97% ratio in 2023) and the income quintile ratio (95% ratio in 2023), which are consistent with the larger simulated income shares being received by the first decile.

The Table A3.8 provides at-risk-of-poverty rates using poverty lines based on 40, 50, 60 and 70% of the median equivalised disposable income. According to the results, at-risk-of-poverty rates simulated in EUROMOD are, overall, very similar to official ones obtained from EU-SILC.

4.7. Summary of “health warnings”

This final section summarises the main findings in terms of particular aspects of the Spanish EUROMOD spine or its database that should be borne in mind when planning appropriate uses of the model and interpreting the results:

- The sample becomes relatively small when regions are considered. Since most regional policies are targeted at very specific (and in many cases rather small) population subgroups, EUROMOD results might not be statistically significant for such policies. Furthermore, validating regional policies is a complex task given that the information from regions is scarce and difficult to compile.
- There is a shortfall of people with higher incomes, self-employment income and investment or capital income.
- By default, the eligibility of the following policies is partly simulated (i.e. conditional on being reported in the data) due to lack of information in the underlying data:
 - Unemployment insurance (bunct).
 - Unemployment assistance (bunnc).
 - Non-contributory old-age pension benefit (poanc).
 - Old-age pension complement (poacm).
 - Widow/er pension complement (psuwcdm).
- Parental leave benefits are only simulated from 2015 on. They are defined in an extension (Parental Benefits Extension) that is switched off in the baselines. i.e. the non-simulated component (*bma*) is being used. When the extension is switched on, the non-simulated component is reduced by subtracting the value of the simulated components (*bmact_s*, *bmanc_s*, *bpact_s*). The simulated numbers might differ significantly from external statistics as some policy rules cannot be simulated accurately due to lack of information in the underlying data.
- The simulation of monetary compensation schemes (*yemcomp_es* & *ysecomp_es*) is triggered by the simulation of labour market transitions defined in policy *TransLMA_es*. This policy becomes operational if the model is run in conjunction with the LMA add-on. The nature of these simulations is still experimental and only partially validated. Users are encouraged to refer to the “Simulating labour market transitions in EUROMOD” document prior to their use.

- Labour market transitions are switched OFF in EUROMOD baselines. As a consequence, the simulation of monetary compensation schemes does not produce any effect in baseline simulations. Since all policies not linked to labour market transitions are fully functional, it is possible for disposable income in 2020 to be higher than disposable income in previous years.
- The simulation of consumption taxes sensitively depends on the quality of the match of the extended EUROMOD files, as well as on the frequency of this data and the gaps between the input data files and the policy systems. At this point, the most recent HBS data available for all countries (EU-HBS) is 2015.
- When the user runs a policy system year (e.g., 2024) that does not coincide with the incomes reported in the SILC-data used (e.g., 2022, with reported incomes from 2021), expenditures in EUROMOD are simulated under the constant income shares assumption (by default). This is because the income shares of expenditure included in the extended input files are not updated and remain constant regardless of the policy system that is used for the simulation. This means that a household that spends 10% of its income in food (e.g. the sum of all the `xs_1*` variables, i.e. `xs01111`, `xs01112`, and so on and so forth, is 0.10) will still spend 10% of their income in 2024, regardless of the change in incomes driven by the uprating factors and tax-benefit changes. This implicitly assumes an income elasticity of one.

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Sources for tax-benefit descriptions/rules

The sources for tax descriptions correspond to the different laws that were applicable on 30th June each calendar year. In particular the main sources for the Personal Income Tax the applicable are:

- Law 35/2006, of 28 November, on the Personal Income Tax and partial amendment of the Laws regulating Corporation Tax, Non-resident's Income Tax and Wealth Tax and related reforms.
- Furthermore, additional information was retrieved from the Personal Income Tax guides published yearly by the Spanish Tax Agency, available at www.aeat.es.

The sources of benefit descriptions come mainly from the information available at the *Ministerio de Trabajo e Inmigración*. In particular, it was useful the use of the Annual Labour guide that is partially available online. In addition, the information in the *Guías de ayudas sociales para las familias* was very useful for detailed information on family benefits edited by the *Ministerio de Sanidad y Política Social*.

The source for the description of social insurance contributions comes from the information in the publication edited in 2009: *Normas de cotización a la Seguridad Social*. *Ministerio de Trabajo e Inmigración*. *Secretaría de Estado de la Seguridad Social* (www.seq-social.es).

List of abbreviations and definitions

Abbreviation	Definition
AEAT	Agencia Estatal de Administración Tributaria
AJD	Actos Jurídicos Documentados
BCA	Benefit Calibration Adjustment
BDNS	Base de Datos Nacional de Subvenciones
BOA	Boletín Oficial de Aragón
BOCCE	Boletín Oficial de la Ciudad de Ceuta
BOCM	Boletín Oficial de la Comunidad de Madrid
BOJA	Boletín Oficial de la Junta de Andalucía
BOME	Boletín Oficial de la Ciudad de Melilla
BSF	Bienestar Social y Familia
BTA	Benefit Take-up Adjustment
CAM	Comunidad de Madrid
CAPI	Complemento de Ayuda para la Infancia
CDS	Ciudadanía y Derechos Sociales
CIA	Consumption Inflation Adjustment
COICOP	Classification Of Individual CONsumption according to Purpose
CPI	Consumer Price Index
CT	Consumption Taxes
DANA	Depresión Aislada en Niveles Altos

Abbreviation	Definition
DG	Directorate-General
DOG	Diario Oficial de Galicia
DRD	Data Requirement Document
DG ECFIN	European Commission Directorate-General for Economic and Financial Affairs
EM	EUROMOD
DG EMPL	Directorate-General for Employment, Social Affairs and Inclusion
EMSD	EUROMOD SILC Database
ERTE	Expediente de Regulación Temporal de Empleo
ERTES	Expedientes de Regulación Temporal de Empleo
ESTAT	Eurostat
ETOP	Causas Económicas, Técnicas, Organizativas y de Producción
EU	European Union
EUR	Euro
FOGASA	Fondo de Garantía Salarial
FYA	Full Year Adjustments
HBS	Household Budget Survey
HDI	Household Disposable Income
HICP	Harmonised Index of Consumer Prices
IBI	Impuesto sobre Bienes Inmuebles
ICO	Instituto de Crédito Oficial

Abbreviation	Definition
IEF	Instituto de Estudios Fiscales
IEM	Mecanismo de Equidad Intergeneracional
IEMT	Impuesto Especial sobre Determinados Medios de Transporte
IGIC	Impuesto General Indirecto Canario
IMSERSO	Instituto de Mayores y Servicios Sociales
IMV	Ingreso Mínimo Vital
INE	Instituto Nacional de Estadística
IPREM	Indicador Público de Renta de Efectos Múltiples
IRAV	Índice de Referencia para la Actualización de Arrendamientos de Vivienda
IRPF	Impuesto sobre la Renta de las Personas Físicas
IRSC	Indicador de Renta de Suficiencia de Cataluña
ISD	Information System Demography
ISER	Institute for Social and Economic Research
ISFAS	Instituto Social de las Fuerzas Armadas
ITP	Impuesto sobre Transmisiones Patrimoniales
ITPAJD	Impuesto sobre Transmisiones Patrimoniales y Actos Jurídicos Documentados
IVA	Impuesto sobre el Valor Añadido
IVTM	Impuesto sobre Vehículos de Tracción Mecánica
IVTNU	Impuesto sobre el Incremento de Valor de los Terrenos de Naturaleza Urbana

Abbreviation	Definition
JRC	Joint Research Centre
LFS	Labour Force Survey
LMA	Labour Market Adjustment
MIS	Minimum Income Scheme
MT	Means-Tested
MUFACE	Mutualidad General de Funcionarios Civiles del Estado
MUGEJU	Mutualidad General Judicial
MW	Minimum Wage
MWA	Minimum Wage Adjustment
NA	National Account
NC	Non-Contributory
NCB	Non-contributory Benefits
NCP	Non-contributory Pensions
NRR	Net Replacement Rate
NSI	National Statistical Institute
OECD	Organisation for Economic Co-operation and Development
PAE	Programa de Activación para el Empleo
PBE	Parental Leave Benefits
PCM	Presidencia, Relaciones con las Cortes y Memoria Democrática
PDB	Private Database

Abbreviation	Definition
PECANE	Prestación Extraordinaria por Cese de Actividad para No Elegibles
PETECATA	Prestación Extraordinaria para Trabajadores Autónomos de Temporada por Cese de Actividad
PIT	Personal Income Tax
PJC	Presidencia, Justicia y Cortes
POECATA	Prestación Ordinaria por Cese de Actividad compatible con el Trabajo Autónomo
PREPARA	Programa de Recualificación Profesional de las Personas que Agoten su Protección por Desempleo
PRODI	Programa Temporal de Protección por Desempleo e Inserción
RAI	Renta Activa de Inserción
RD	Real Decreto
RED	Sistema RED (Remisión Electrónica de Datos)
REFORM	European Commission Reform and Investment Task Force
RISGA	Renta de Integración Social de Galicia
SAAD	Sistema para la Autonomía y Atención a la Dependencia
SAS	Statistical Analysis System (statistical software package)
SG	Secretariat-General
SIC	Social Insurance Contributions
SILC	Statistics on Income and Living Conditions
SMI	Salario Mínimo Interprofesional

Abbreviation	Definition
SOVI	Seguro Obligatorio de Vejez e Invalidez
DG TAXUD	European Commission Directorate-General for Taxation and Customs
TMS	Trabajo, Migraciones y Seguridad Social
TRE	Treball (Departamento de Trabajo de la Generalitat de Catalunya)
TSF	Treball, Afers Socials i Famílies (Generalitat de Catalunya)
TSM	Trabajo, Migraciones y Seguridad Social
UAA	Uprating by Average Adjustment
UDB	User Database
UE	Unión Europea
VAT	Value Added Tax

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Annex 1. Uprating Factors

Table A1.1 Raw indices for deriving EUROMOD uprating factors

	Factor reference	Variable	Year				Source
			2022	2023	2024	2025	
Harmonised Index of Consumer Prices	\$HICP	Used by the Policy Effects Tool	115.95	119.89	123.33	124.42	Harmonised Index of Consumer Prices disseminated by the National Statistics Institute. 2024 forecast
CPI	\$f_cpi	Afc.bed.bho.bfa.ki vho.tpr.xhc.xhcmo mc.xhcmomi.xhco t.xhcrt.xhcmo.xmp .xpp.yot.ypp. ypt	138.92	143.83	147.82	151.68	Annual Consumer Price Index disseminated by the National Statistics Institute. 2025 forecast is the previous year's data multiplied by the sum of the CPI of the available months of 2025, divided by the sum of those same months from the previous year.
Wage Cost. Private Sector. Quarterly Labour Cost Survey	\$f_wage	Bhl. bma.bunctpc.yivw g.yem_a. yse.ysv. yem	2,116.56	2,216.98	2,301.30	2,374.94	Mean of quarterly wage cost disseminated by the National Statistics Institute. Seasonally adjusted series. 2025 forecast computed using the Unit Labour Cost of the current year included in the Economic Forecast of the European Commission.
Labour Cost. Quarterly Labour Cost Survey	\$f_labor	Kfb. kfbcc	2,839.31	2,993.96	3,111.95	3,211.53	Mean of quarterly labour cost disseminated by the National Statistics Institute. Seasonally adjusted series. 2025 forecast computed using the Unit Labour Cost of the current year included in the Economic Forecast of the European Commission.
Interest Evolution. Aggregate Amount. National Accounts	\$f_k	yi y	7,002,338	18,934,857	30,162,890	34,984,708	Total financial assets from the household disseminated by the Bank of Spain multiplied by the interest from the European Central Bank.
IPREM (Multiple Purpose Indicator)	\$f_iprem	bunot	579.02	600.00	600.00	600.00	General State Budgets.
Minimum Wage	\$f_mw	bchot	1,000	1,080	1,134	1,184	General State Budget. <i>Real Decreto 87/2025 de 11 de febrero fija el salario mínimo interprofesional para 2025.</i>
Minimum Pension Old Age	\$f_mpenold	poaot	12,467.0	13,526.8	14,466.2	15,786.4	<i>Real Decreto 316/2025, de 15 de abril, sobre limitación de la cuantía inicial de las pensiones públicas y revalorización de las</i>

	Factor reference	Variable	Year				Source
			2022	2023	2024	2025	
							<i>pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas del Estado y de otras prestaciones sociales públicas para el ejercicio 2025.</i>
Minimum Pension Survival	\$f_mpenw	psuot	11,688.6	12,682.6	14,466.2	15,786.4	<i>Real Decreto 316/2025, de 15 de abril, sobre limitación de la cuantía inicial de las pensiones públicas y revalorización de las pensiones del sistema de la Seguridad Social, de las pensiones de Clases Pasivas del Estado y de otras prestaciones sociales públicas para el ejercicio 2025.</i>
Wage Cost. Public Sector	\$f_wagep ub	Yem (for civil servants)	1,836.08	1,900.35	1,947.87	1,966.56	Average salary of civil servants (base salary + complements) divided by 14 (including 2 extra monthly payments). There are different civil servants' categories and the reference category chosen is A2, N26. Source: State Secretariat for Budgets and Expenditure.
Average old-age pension	\$f_poa_av	Poa00	1,254.14	1,374.58	1,442.67	1,499.15	Monthly average old-age contributory pension, Institute of Social Insurance (eSTADISS). 2025 forecast is computed with the average final data from the previous year multiplied by the sum of the available months of the last year, divided by the sum of those same months from the previous year.
Average disability pension	\$f_pdi00_ av	Pdi00	1,034.86	1,118.98	1,163.05	1,213.35	Monthly average disability contributory pension, Institute of Social Insurance (eSTADISS). 2025 forecast is computed with the average final data from the previous year multiplied by the sum of the available months of the last year, divided by the sum of those same months from the previous year.
Average survivor pension	\$f_psu_av	psuwd00	778.48	851.64	896.25	935.75	Monthly average survivor contributory pension, Institute of Social Insurance (eSTADISS). 2025 forecast is computed with the average final data from the previous year multiplied by the sum of the available months of the last year, divided by the sum of those same months from the previous year.
Average non-contributory disability pension	\$f_pdinc_ av	pdinc	493.75	529.2	567.15	686.78	Monthly average non-contributory disability pension, Institute for Older Persons and Social Services ("IMSERSO"). 2025 forecast is computed using the mean of the available monthly average non-contributory disability pension.
Average disability pension complement	\$f_pdicm_ av	Pdicm	141.34	149.82	165.89	173.54	Monthly average disability pension minimum complement, Institute of Social Insurance (eSTADISS).

	Factor reference	Variable	Year				Source
			2022	2023	2024	2025	
							2025 forecast is computed with the average final data from the previous year multiplied by the sum of the available months of the last year, divided by the sum of those same months from the previous year.
Led index of employment income	\$f_wageLead	ymwdt	2,216.98	2,301.30	2,374.94	2,374.94	Calculated based on \$f_wage led by 1 year.
Child benefit (child age 3-17); EUR/month	\$f_bch00	bch00	28.42	49.00	49.00	49.00	Statutory parameter.
Child benefit (disabled age > 18); EUR/month	\$f_bchdi	bchdi	411.20	445.98	470.60	483.88	Statutory parameter.
Refundable child tax credit; EUR/month	\$f_tintrch	tintrch	100	100	100	100	Statutory parameter
Wage Cost. Private Sector. (lag 1 year) EUR/month	\$f_wagela g1	ymwdt	2,022.35	2,116.56	2,216.98	2,301,30	Calculated based on \$f_wage lagged by 1 year
Non-contributory old age pension; EUR/month	\$f_poanc	poanc	528.51	565.38	604.22	658,82	Statutory parameter
Wealth tax; mill. EUR/year	\$f_tpr	tpr	1,250.02	1,926.28	1,926.28	1,926.28	Tax revenues published by the tax authorities. Source: Tax agency (AEAT). Last available information of 2023. Following years kept constant.
Average private pension	\$f_ypp_av	ypp	5,266.79	6,033.22	5,960.13	5,965.98	Based on total amount of private pensions / # of beneficiaries. Source: Tax Agency (AEAT).
Average education grant	\$f_bed_av	bed	1,144.01	1,263.88	1,234.46	1,234.46	Computed as "total expenditure on education grants / # of beneficiaries". Source: Ministry of Education, https://www.educacionyfp.gob.es/servicios-al-ciudadano/estadisticas/economicas/becas.html
CPI of main residence monthly rent	\$f_cpi_bh o	bho	101.30	103.36	105.65	107.89	CPI of main residence monthly rent. New index since 2025: IRAV
Average income from capital	\$f_afc_av	afc	2,981,053	8,554,615	13,991,708	16,642,942	Average income from capital, estimated as average interest rate times funds in stocks and investment funds by households.

	Factor reference	Variable	Year				Source
			2022	2023	2024	2025	
							Sources: average interest rate from EUROSTAT, stocks and investment funds by households from Banco de España.

Source: Own elaboration

Annex 2. Policy Effects in 2024-2025

Table A2.1 and Figure A2.1 show the effect of policy changes in 2024-2025 on mean equivalised household disposable income by income component and income decile group, as a percentage of mean equivalised household disposable income in 2024. Each policy system has been applied to the same input data, deflating monetary parameters of 2025 policies by Eurostat's Harmonized Index of Consumer Prices (HICP).

In 2024-2025, households experienced, on average, a disposable income decrease of -0.20%. The decline affected almost all decile groups and the decline varies between -0.17% and -0.36%. In the first two deciles, disposable income increased by 0.50% and 0.67%, respectively.

The average decrease in disposable income is mainly due to direct taxes, with an average drop of -0.30%, followed by self-employed' social contributions, with a minimal drop of -0.09%. In the case of the self-employed social contributions, the income of the first decile increases because the maximum and minimum contributions decrease for the first contribution group. As a counterbalance, pensions contribute to a growth in disposable income of 0.17%.

This negative effect of direct taxes is greater in the middle-higher deciles and is mainly explained by the fact that inflation reduces individuals' disposable income fundamentally in two ways: firstly, due to the existence of the bracket creep process and, secondly, because fixed fiscal benefits in the tax structure, like tax credits or personal and family minimum, are reduced in real terms.

The negative effect of employees' social contributions is mainly explained by the increase in the intergenerational equity mechanism, by the increase in the minimum and maximum Social Insurance contributions and the new additional solidarity contributions.

Finally, the positive effect of pensions can be mainly explained by a higher indexation of these instruments than the inflation and was felt in all decile groups.

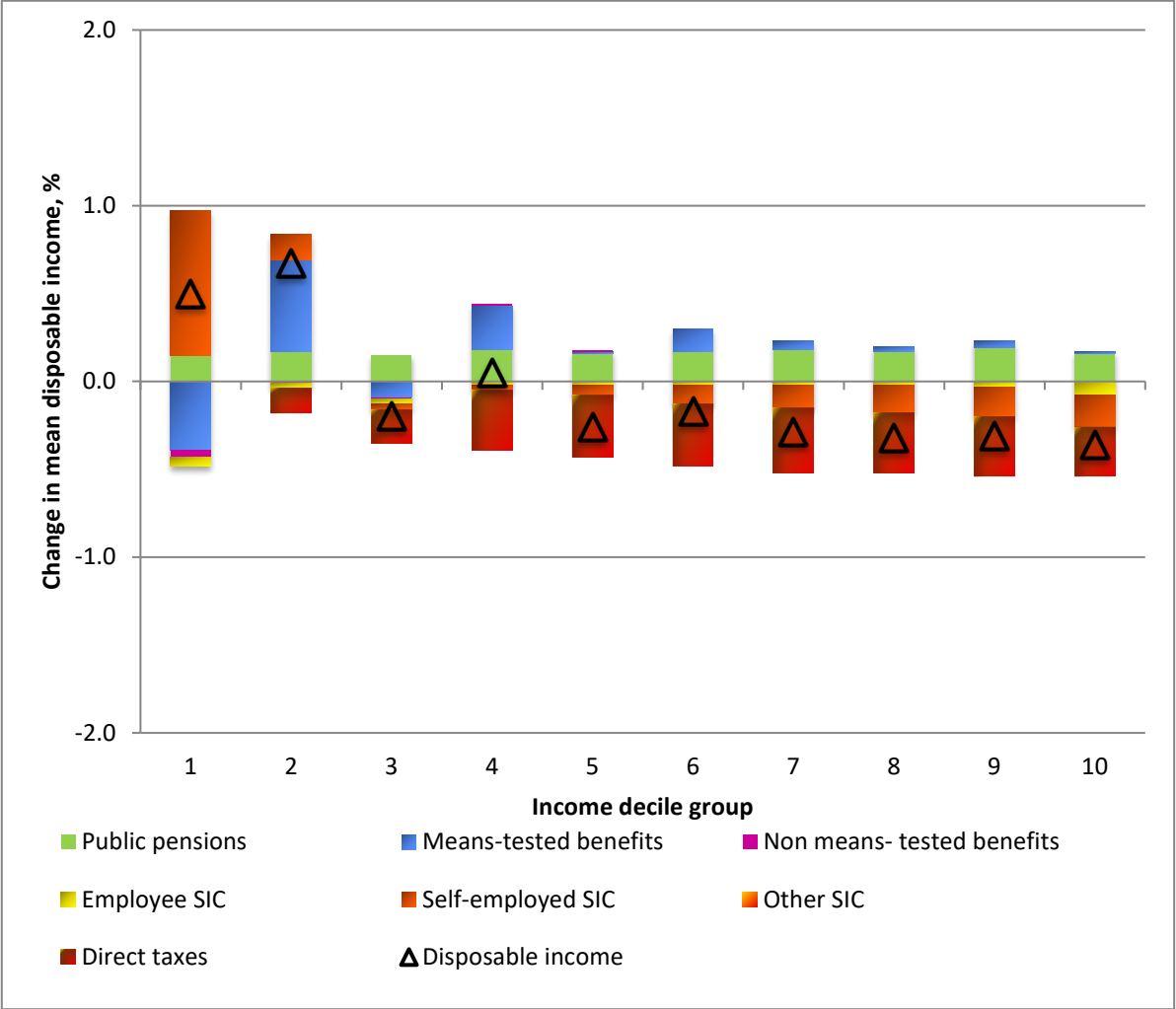
Table A2.1 Policy effects in 2024-2025 using the HICP-indexation [1.0225] %

Decile	Original income	Public pensions	Means-tested benefits	Non means-tested benefits	Employee SIC	Self-employed SIC	Other SIC	Direct taxes	Disposable income
1	0.00	0.15	-0.39	-0.04	-0.05	0.82	0.00	0.00	0.50
2	0.00	0.17	0.52	-0.01	-0.03	0.15	0.00	-0.14	0.67
3	0.00	0.15	-0.09	-0.01	-0.03	-0.03	0.00	-0.19	-0.20
4	0.00	0.18	0.25	0.01	-0.02	-0.03	0.00	-0.34	0.05
5	0.00	0.16	0.01	0.01	-0.02	-0.06	0.00	-0.35	-0.26
6	0.00	0.17	0.13	0.00	-0.02	-0.11	0.00	-0.35	-0.17
7	0.00	0.18	0.05	0.00	-0.02	-0.13	0.00	-0.37	-0.29
8	0.00	0.17	0.03	0.00	-0.02	-0.16	0.00	-0.34	-0.32
9	0.00	0.19	0.04	0.00	-0.03	-0.17	0.00	-0.34	-0.31
10	0.00	0.16	0.01	0.00	-0.08	-0.18	0.00	-0.28	-0.36
Total	0.00	0.17	0.06	0.00	-0.04	-0.09	0.00	-0.30	-0.20

Notes: shown as a percentage change in mean equivalised household disposable income by income component and income decile group. Income decile groups are based on equivalised household disposable income in 2024 using the modified OECD equivalence scale. Each policy system has been applied to the same input data deflating monetary parameters of 2025 policies by Eurostat’s Harmonized Index of Consumer Prices (HICP).

Source: Own elaboration using EUROMOD

Figure A2.1 Policy effects in 2024-2025, using the HICP-indexation. %



Source: Own elaboration using EUROMOD

Annex 3. Validation Tables

See [statistical annex 1](#) for details and tables.

Annex 4. Regional tax credits

1. Andalucía

Birth, adoption, or foster care tax credit (*Deducción por nacimiento, adopción o acogimiento familiar*) provides, in 2022-2025, a deduction of 200 euro per child for births, adoptions, or foster placements within the tax year, increasing to 400 euro for residents in depopulated areas. For multiple births, adoptions, or foster placements, the deduction increases by 200 euro per additional

child. An additional 600 euro is available for international adoptions. Eligibility is contingent on the sum of general and savings tax bases not exceeding 25,000 euro for individual taxation or 30,000 euro for joint taxation for the initial deductions, and 80,000 euro for individual or 100,000 euro for joint taxation for international adoptions.

The **Taxpayer's disability tax credit** (*Deducción para contribuyentes con discapacidad*) is 150 euro for disabled taxpayers (disability over 33%) provided the tax base is below 25,000 euro (individual scheme) and 30,000 euro if joint scheme.

The Lone-Parent Family Tax Credit (*Deducción para el padre o madre de familia monoparental*) offers a 100 euro deduction for lone parents. To be eligible, the combined general and savings tax bases must not exceed 80,000 euro for individual taxation or 100,000 euro for joint taxation. Furthermore, the deduction increases by 100 euro for each dependent parent over the age of 75 who cohabits with the lone-parent family, provided they qualify for the minimum deduction for dependents over the age of 75.

The **Care or assistance to dependent individual tax credit** (*Deducción por asistencia a personas con discapacidad*) is 100 euro per disabled or dependent individual if the sum of General Income Tax Base and Savings Tax Base is below 80,000 euro (individual scheme) and 100,000 euro (joint scheme).

The **Young taxpayers renting first home tax credit** (*Deducción por cantidades satisfechas por el alquiler de la vivienda habitual por jóvenes menores de 35 años*) is 15% of annual rent for taxpayers below 35 years of age (if joint scheme, at least one of them below 35 years of age). Maximum 600 euro per year between 2022-2024 and 900 euro per year since 2025. The sum of the General Income and Savings Tax Bases must not exceed 25,000 euro (individual scheme) or 30,000 euro (joint scheme) for the years 2022-2024. The maximum amount is increased for disabled taxpayers, 900 euro in the period 2022-2024 and 1000 euro since 2025.

Home purchase or rehabilitation tax credit (*Deducción por adquisición o rehabilitación de vivienda habitual*) grants a 5% (between 2022-2024) and a 6% (since 2025) deduction on amounts paid during the tax year for the purchase or rehabilitation of a primary residence, provided it is a protected dwelling or purchased by individuals under 35 years old. Eligibility is determined if the combined general and savings tax bases do not exceed 25,000 euro for individual taxation or 30,000 euro for joint taxation.

Disability support tax credit (*Deducción por apoyo a discapacidad*) offers a 100 euro deduction for taxpayers with spouses or domestic partners who have a disability level of 65% or higher. This deduction applies if the combined general and savings tax bases do not exceed 25,000 euro for individual taxation or 30,000 euro for joint taxation.

The Large Family Tax Credit (*Deducción para familia numerosa*) offers a deduction of 200 euro for general category large families and 400 euro for special category large families. To be eligible, the combined general and savings tax bases must not exceed 25,000 euro for individual taxation or 30,000 euro for joint taxation. This deduction is applicable to taxpayers who are parents or guardians within the large family and to orphaned siblings.

The educational expenses tax credit (*deducción por gastos educativos*) allows for a 15% deduction on amounts paid during the tax year for school or extracurricular language and computer education. This includes fees paid to non-academic centres such as language academies, and to individuals registered under the appropriate tax code for private tutoring at homes or other non-

dedicated venues. The deduction is capped at 150 euro annually per child. To be eligible, the taxpayer's combined general and savings tax base must not exceed 80,000 euro for individual taxation or 100,000 euro for joint taxation.

2. Aragón

The **Birth of third child or more tax credit (second if disabled)** (*Deducción por nacimiento o adopción de tercer hijo o sucesivos o de segundo hijo discapacitado*) is 500 euro per child at birth of third child or more (second if disabled) or 600 euro when the sum of the General Income and Savings tax bases is below 21,000 euro (individual scheme) or 35,000 euro (joint scheme) in 2021-2024. An additional 600 euro is available for international adoptions.

The **birth or adoption tax credit for disabled children** (*Deducción por nacimiento o adopción de hijos con discapacidad*) offers a 200 euro deduction for the birth or adoption of a child with a disability level of 33% or higher. This deduction is compatible with the previous deduction. If the child entitled to the deduction lives with more than one taxpayer, the deduction amount will be divided equally among them

The **Disabled or dependent people care tax credit** (*Deducción por el cuidado de ascendientes mayores de 75 años y ascendientes o descendientes con grado de discapacidad igual o superior a 65%*)⁷⁸ is 150 euro per ancestors older than 75 years and per disabled or dependent who lives with the taxpayer at least six months per year with incomes after subtracting exempt incomes not exceeding 8,000 euro. The General Income and Savings Tax Base minus personal and family tax credits must not exceed 35,000 euro in joint scheme or 21,000 euro in individual scheme.

The **tax credit for taxpayers over 70** (*Deducción para contribuyentes mayores de 70 años*) offers a 75 euro deduction for taxpayers over 70 years old, provided they have income included in the general tax base that does not solely come from capital, and the combined general and savings tax bases do not exceed 23,000 euro for individual taxation or 35,000 euro for joint taxation.

The **textbook and school materials tax credit** (*Deducción por adquisición de libros de texto y material escolar*) allows taxpayers to deduct amounts spent on textbooks for secondary education and other educational materials for each child with the right to apply the minimum family tax deduction. The amount of the deduction varies according to the taxpayer's total income. For incomes up to 12,000 euro, the deduction is up to 100 euro per child. For incomes between 12,001 euro and 20,000 euro, the deduction is 50 euro per child. For incomes between 20,001 euro and 25,000 euro, the deduction is 37.50 euro per child. A fixed amount of 150 euro per child is available for large families, provided the combined general and savings tax bases do not exceed 40,000 euro. For individual filers, the deduction is 75 euro, 37.50 euro, and 25 euro for the same respective income ranges.

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Issue	There is no information in the data about the disability level.
Assumption	All disabled with 33% of disability.
Impact	Unknown.

The **educational support tax credit** (Deducción por gastos en clases de apoyo y refuerzo) allows taxpayers to claim a 25% deduction on extracurricular educational support or reinforcement class expenses for children. For joint filers with a large family, the deduction is up to 300 euro per child if the general and savings tax bases do not exceed 40,000 euro. Otherwise, the deduction scales down to 200 euro, 100 euro, or 80 euro per child based on the income bracket. For individual filers, the deduction is 300 euro for large families with incomes not exceeding 30,000 euro, and 100 euro, 80 euro, or 60 euro per child for other taxpayers within the specified income ranges.

The **rental housing tax credit** (Deducción por arrendamiento de vivienda habitual): Allows a 10% deduction on amounts paid for renting the primary residence, up to a maximum investment base of 4,800 euro annually. Requirements include: rental contracts linked to specific deed-in-lieu of foreclosure operations, the combined general and savings tax bases not exceeding 15,000 euro in individual tax returns or 25,000 euro in joint tax returns, and the formalization of the rental deposit with the housing authority of the Autonomous Community of Aragon was within the established timeframe.

The **daycare expenses tax credit** (Deducción por gastos de guardería de hijos menores de 3 años) offers a 15% deduction on amounts paid for the care of children under 3 years old at nurseries or preschools, with a general limit of 250 euro per child and 125 euro in the tax period when the child turns 3 years old. To qualify for this tax credit, the total of the general tax base and savings tax base must not exceed 35,000 euro for individual taxation or 50,000 euro for joint taxation, and the savings tax base must not exceed 4,000 euro for any taxation mode.

The **public transport pass tax credit** (Deducción por adquisición de abonos de transporte público) offers a 100% deduction on expenses incurred for the purchase of individual and nominative public transport passes, including subscriptions for public bicycle rental systems, up to a limit of 50 euro.

3. Principado de Asturias

The **renting first home tax credit** (Deducción por alquiler de vivienda habitual) provides a general deduction of 10% on the amounts paid for renting the first home, with a limit of 500 euro in 2022-2025 (455 euro in 2021). To be eligible, the tax base must not exceed 35,000 euro for individual taxation since 2024 or 26,000 euro for individual taxation in 2022-2023 or 45,000 euro since 2024 for joint taxation or 37,000 euro for joint taxation from 2022 to 2023. For rentals in municipalities at risk of depopulation, the deduction is 30% (in 2024-2025) and 20% (from 2022 to 2023), up to a maximum of 1,500 euro in 2024-2025 and 1,000 euro from 2022 to 2023. For taxpayers under the age of 35, as well as for members of large families or single-parent households. These eligible individuals can deduct 30% of the amounts paid for renting their primary residence, up to a maximum of €1,500 since 2024.

The **multiple child's birth or adoption tax credit** (Deducción por partos múltiples o por dos o más adopciones constituidas en la misma fecha) offers a 1,000 euro credit in 2022-2025 per child born or adopted within the tax period in the case of multiple births or simultaneous adoptions. In the case of international adoptions of minors, an additional 1,500 euro credit is provided per child adopted within the tax period, provided that the child lives with the taxpayer. In the event that multiple taxpayers are entitled to the credit for the same child, the total amount will be divided equally among them.

The **large family tax credit** (Deducción por familia numerosa) grants 1,000 euro for general category large families from 2022 on (505 euro in 2021) and 2,000 euro for special category large families from 2022 on (1010 euro in 2021). Families with one or two parents and two children are considered as general category for this deduction, provided the taxpayer's income does not exceed 35,000 euro for individual taxation or 45,000 euro for joint taxation from 2022 on (25,009 euro and 35,240 euro in 2021). If multiple taxpayers are entitled to this deduction and file individually, only those who meet the eligibility criteria will be eligible for the benefit.

The **lone parents tax credit** (Deducción por familias monoparentales) offers a 500 euro deduction from 2022 on (303 euro in 2021) for taxpayers who have dependents under their care and do not cohabit with another adult, excluding ascendants that give them the right to apply for a minimum family tax deduction. The taxpayer's income must not exceed 45,000 euro from 2022 on (35,240 euro in 2021), and this applies as long as the dependent children do not have annual incomes exceeding 8,000 euro.

The **unpaid foster care tax credit for elders** (Deducción por acogimiento no remunerado de mayores) offers a 500 euro deduction for the non-remunerated foster care of individuals over 65 years old who have lived with the taxpayer for more than 183 days within the tax period, without having received any aids or subsidies for this care. The deduction is not applicable if there is a blood or marital kinship up to the third degree. To be eligible, the taxpayer's combined general and savings tax bases must not exceed 26,000 euro for individual taxation or 37,000 euro for joint taxation.

The **foster care tax credit** (Deducción por acogimiento familiar de menores) offers a 500 euro deduction for each minor in foster care, excluding those in pre-adoptive situations, provided they live with the foster family for at least 183 days within the tax period. If cohabitation lasts between 90 and 183 days, the deduction is 250 euro per fostered minor.

The **childcare expenses tax credit** (Deducción por gastos de descendientes en centros de 0 a 3 años) offers a 15% deduction on payments for childcare centres for children aged 0-3, up to 500 euro per child annually. For residents in areas at risk of depopulation, the deduction increases to 30%, with a 1,000 euro limit. To be eligible, the taxpayer must cohabit with the child and have a tax base not exceeding 26,000 euro for individual filers or 37,000 euro for joint filers. In depopulated areas, these limits rise to 35,000 euro for individuals and 45,000 euro for joint filers. Any related aids received from the Principality of Asturias must be deducted from the deduction amounts.

The **textbook and school supplies tax credit** (Deducción por adquisición de libros de texto y material escolar) offers a tax deduction for educational expenses, with varying amounts based on income and family status. For joint filers, deductions are available up to 100 euro per child for income up to 12,000 euro, 75 euro for income between 12,001 euro and 20,000 euro, and 50 euro for income between 20,001 euro and 37,000 euro since 2023 (20,000.01 euro and 25,000 euro in 2022). A set amount of 150 euro per child is provided for large families. Individual filers without large family status can deduct 50 euro for income up to 6,500 euro, 37.50 euro for income between 6,501 euro and 10,000 euro, and 25 euro for income between 10,001 euro and 26,000.00 euro since 2023 (10,000.01 and 12,500.00 euro in 2022). For individual filers with large family status, the deduction is a fixed 75 euro per child. To qualify for these deductions, the total of the general tax base and the savings tax base must fall within the specified income ranges.

4. Illes Balears

Disability tax credit⁷⁹ (Deducción por discapacidad): In 2022–2025, 88 euro for persons with physical, mental or sensory disabilities between 33% and 65%, and 165 euro for disabilities over 65% or mental disabilities over 33%. The tax base after allowances may not exceed 33,000 euro for single taxpayers or 52,800 euro for joint taxpayers.

The **textbook tax credit**⁸⁰ (Deducción por gastos de adquisición de libros de texto) offers, in 2022–2025, a full deduction for textbook costs up to 220 euro per child, or 350 euro for taxpayers under 30, with disabilities, or part of a large or single-parent family. To be eligible, the income threshold is 33,000 euro individually or 52,800 euro jointly, increased by 20% for large or single-parent families. If parents file separately, the deduction is divided equally.

Rental housing tax credit in Balearic Islands (Deducción por arrendamiento de vivienda habitual en Baleares): Taxpayers can deduct 15% of rent, up to 530 euro since 2023 (440 euro in 2022) for those under 36, above 65 years or unemployed, or up to 650 euro for over 30s with at least a 33% disability. The home must be the main residence with a lease of at least one year. The income limit is 52,800 euro for joint taxation and 33,000 euro for individual taxation, increased by 20% for large or single-parent families since 2022.

Tax credit for extra-curricular foreign language learning (Deducción por gastos de aprendizaje extraescolar de idiomas extranjeros): Provides a 15% deduction for the cost of foreign language learning for children in compulsory education, capped at 110 euro per child eligible for family allowance. The total income limit for this deduction is 33,000 euro for single filers or 52,800 euro for joint filers. Expenses must be documented. If parents file separately and the child lives with both, the deduction is split equally between them.

Tax credit for higher education outside the island of residence (Deducción por cursar estudios de educación superior fuera de la isla de residencia habitual): Offers a deduction of 1,800 euro per dependent child for higher education outside the taxpayer's home island of the Balearic Islands. Eligible studies include university, higher artistic education, higher vocational training and similar courses, provided the student completes a minimum of 30 credits. The income threshold is 33,000 euro for single taxpayers and 52,800 euro for joint taxpayers, provided that the dependent child does not earn more than 8,000 euro during the tax year.

Childcare tax credit for reconciliation (Deducción por gastos de conciliación): Offers a 40% deduction on childcare expenses for children aged 0–3, capped at 660 euro per year. Taxpayers under 36, with a disability of 33% or more, or large or single-parent families can deduct 50% of the

⁷⁹ Issue	There is no information in the data about disability degree.
Assumption	All disabled with 33% of disability, partially simulated.
Impact	Unknown.

⁸⁰ Issue	There is no information in the data about expenditure on books.
Assumption	Given that the amount is relatively small, it is assumed that all households with children are entitled to the maximum amount.
Impact	Unknown.

expenses, up to 900 euro per year. The income threshold is 33,000 euro for single filers and 45,000 euro for joint filers. Payment must be made by bank transfer from an account of which the taxpayer is the holder or co-holder.

Tax credit for the birth of a child (*Deducción por nacimiento de hijo*): Provides 800 euro for the first child, increasing by 200 euro for each additional child, up to 1,400 euro from the fourth child. Applicable to tax residents of the Balearic Islands with an income limit of 52,800 euro since 2024 (33,000 euro in 2022-2023) for individuals and 84,480 euro since 2024 (52,800 in 2022-2023) euro for joint filers, increased by 20% for large or single-parent families. Not compatible with other regional birth grants. Advance payment is possible, with subsequent adjustments to the tax return.

Adoption tax credit (*Deducción por adopción de un hijo*): Offers a deduction of 800 euro for the first adopted child, increasing by 200 euro for each additional child, up to 1,400 euro from the fourth child. The income limit for eligibility is 33,000 euro for individuals and 52,800 euro for joint filers, with a 20% increase for large or single-parent families. The deduction is valid in the tax year in which the adoption is registered and cannot be combined with other adoption-related aid from the Balearic Islands Government.

Deduction for caring for elderly relatives (*Deducción por gastos relativos a ascendientes mayores de 65 años*): A 40% deduction, up to a maximum of 660 euro, is available for expenses related to the care of elderly dependents over 65 years of age, including stays at day centres, custodial services, meals and activities at day centres, or the employment of a caregiver registered with the Social Insurance. The income limit for eligibility is 33,000 euro for individual taxation and 52,800 euro for joint filers.

5. Canarias

Child's Birth or adoption tax credit (*Deducción por nacimiento o adopción de hijos*): In 2022-2023, the tax credit offers a deduction of 240 euro for the first or second child; 480 euro for the third child; 720 euro for the fourth child and 840 euro for the fifth or any subsequent child. Since 2024, the tax credit offers a deduction of 265 euro for the first or second child; 530 euro for the third child; 796 euro for the fourth child and 938 euro for the fifth or any subsequent child. If a child has disability (65% or more): 480 euro for the first or second child and 960 euro for the third of any subsequent child with disability in the period 2022-2023. The amounts increased in 2024 to 600 euro for the first or second child and 1,100 euro for the third of any subsequent child with disability. Eligible taxpayers cannot earn incomes over 42,900 euro (individual scheme) or 57,200 (joint scheme). In case of two or more taxpayers are eligible for this tax credit, the total amount will be equally shared by them. In 2021, the tax credit offered 200 euro for the first or second child; 400 euro for the third child; 600 euro for the fourth child and 700 euro for the fifth or any subsequent child. If a child has disability (65% or more): 400 euro for the first or second child and 800 euro for the third of any subsequent child with disability. Eligible taxpayers cannot earn incomes over 39,000 euro (individual scheme) or 52,000 euro (joint scheme). In case of two or more taxpayers are eligible for this tax credit, the total amount will be equally shared by them.

The **childcare expenses tax credit** (*Deducción por gastos de custodia en guardería*) offers, in 2022-2025 a 18% deduction for childcare expenses for children under three years old, capped at 530 euro since 2024 (480 euro in 2022-2023). The income threshold for eligible taxpayers is 45,500 euro for individual filers since 2024 (42,900 euro in 2022-2023) or 60,500 euro for joint

filers since 2024 (57,200 euro in 2022-2023). The deduction is prorated in the tax period when the child turns three, based on the number of months meeting the requirements. In the event that multiple taxpayers are entitled to this credit, the amount is divided equally among them.

Disabled taxpayers and taxpayers over 65 tax credit (*Deducción por contribuyentes minusválidos grado 33% o mas y mayores de 65 años*): 400 euro per taxpayer with a disability of 33% or more since 2024 (360 euro in 2022-2023). If taxpayers over 65 years of age, 160 euro since 2024 (144 euro in 2022-2023). Eligible taxpayers cannot earn incomes over 45,500 euro (individual scheme) or 60,500 euro (joint scheme) since 2024 (42,900 euro and 57,200 euro in 2022-2023).

The **Large Families tax credit** (*Deducción por familia numerosa*) offers a deduction of 597 euro for general category large families and 796 euro for special category large families since 2024 (540 euro and 720 euro in 2022-2023). If a spouse or dependent entitled to a personal and family minimum tax allowance has a physical, psychological, or sensory disability of 65% or higher, the deduction increases to 1,326 euro for general category and 1,549 euro for special category large families in 2024 and 2025 (1,200 euro and 1,320 euro in 2022-2023).

The **Renting First Home Tax Credit** (*Deducción por alquiler de vivienda habitual*) allows taxpayers to deduct 24% since 2022 of the amounts paid for renting their primary residence, up to 740 euro annually since 2024 (720 euro in 2022-2023). To be eligible, income must not exceed 45,500 euro for individual filers or 60,500 euro for joint filers since 2024 (22,000 euro and 33,000 euro in 2022-2023), with rent payments exceeding 10% of the income earned within the tax period. Deductions must account for any rental subsidies received. In order to claim the deduction, the taxpayer must include the landlord's tax ID, the property's cadastral ID, and the annual rental amount in their tax return. The property must be the taxpayer's primary residence for at least one year.

Unemployment tax credit (*Deducción para contribuyentes desempleados*): 120 euro since 2022 for taxpayers that have been unemployed for, at least, six months during the tax year and receive some income from unemployment benefits. Total income from work must be over 11,200 euro and below 22,000 euro. The rest of income components of the ordinary tax base cannot exceed 1,600 euro.

The **foster care tax credit** (*Deducción por acogimiento de menores*) offers a 330 euro deduction since 2024 (250 euro in 2022-2023) for each child in emergency, temporary, or permanent foster care, provided the child lives with the taxpayer for the entire tax year. If the cohabitation is for a portion of the year, the deduction is prorated based on the days of cohabitation.

The **Dependent with Disability Tax Credit** (*Deducción por familiares dependientes con discapacidad*) offers a 600 euro deduction since 2022 for each dependent with a disability level of 65% or higher. To be eligible, taxpayers must not have earned more than 45,500 euro since 2024 (42,900 in 2022-2023) for individual filing or 60,500 euro since 2024 (57,200 euro in 2022-2023) for joint filing and must be entitled to claim a disability allowance for dependents or ascendants as per state regulations.

The **single-parent family tax credit** (*Deducción para familias monoparentales*) offers a 133 euro tax credit since 2024 (120 euro in 2022-2023) to single parents who do not cohabit with anyone other than their children or ascendants who qualify for an ascendant's allowance. The income cap is 45,500 euro for individual filers since 2024 (42,900 euro in 2022-2023) or 60,500

euro for joint filers since 2024 (57,200 euro in 2022-2023). The children must be minors or adults with disabilities, with an annual income of less than 8,000 euro, either living with the taxpayer or economically dependent on them and housed in specialized centres.

The **Habitual Home Purchase Tax Credit** (*Deducción por adquisición de la vivienda habitual*) allows taxpayers to receive a deduction of 5% for incomes below 16,500 euro and 3.5% for incomes between 16,500 euro and 33,000 euro in 2022-2023. Since 2024, the amounts are 5% or 5.5% if the individual is below 40 years of age when income is below 25,500 euro and 3.5% or 4% if individual is below 40 years of age when income is between 25,500 euro and 45,500 euro. Please note that the deduction does not apply to amounts spent on the rehabilitation, reform, or adaptation of the habitual residence due to disability.

Higher education tax credit for studies outside residence island (*Deducción por estudios de educación superior fuera de la isla de residencia*): Grants 1,800 euro generally since 2022 for dependents or single adopted children under 25 studying a full academic course or at least 30 credits off-island. Taxpayer income must not exceed 33,000 euro individually or 52,800 euro jointly since 2023 (42,900 euro for individual taxation and 57,200 euro for joint taxation in 2022). The dependent must not earn over 8,000 euro, excluding funds exclusively from direct relatives or businesses where relatives hold a minimum 5% stake. The deduction is capped at 50% of the regional tax quota since 2023 (40% in 2022). Guardians or foster parents are considered equivalent to parents for this deduction.

The **educational expenses tax credit** (*Deducción por gastos de estudios*) allows taxpayers to deduct expenses on school supplies, textbooks, transportation, school uniforms, school meals, and educational support for dependents or adopted children enrolled in the education system up to high school and vocational training. The deduction is 130 euro for the first child and an additional 66 euro for each subsequent child since 2024. In 2022-2023 the deduction was 120 euro for the first child and an additional 60 euro for each subsequent child. To qualify for this tax credit, the taxpayer's income must not exceed 45,500 euro for individual filers since 2024 (42,900 in 2022-2023) or 60,500 euro for joint filers since 2024 (57,200 euro in 2022-2023).

The **healthcare expenses tax credit** (*Deducción por gastos sanitarios*) allows taxpayers to deduct 12% since 2022 of certain medical expenses not covered by insurance or public healthcare systems. This includes professional medical services, diagnostics, treatments, dental care, childbirth, and the acquisition of medical aids like glasses and contact lenses. The annual deduction limit is 500 euro for individual filing and 700 euro for joint filing, with an additional 100 euro for individuals with a disability of 65% or higher since 2022. This credit is only available if the taxpayer has not earned income above 45,500 euro individually since 2024 (42,900 euro in 2022-2023), or the family unit has not earned income above 60,500 euro jointly, during the tax year since 2024 (57,200€ in 2022-2023).

6. Cantabria

Child, elderly and disability care tax credit (*Deducción por cuidado de descendientes menores de 3 años. De ascendientes mayores de 70 años o de ascendientes o descendientes minusválidos grado igual o superior al 65%*): 100 euro per child below 3 years of age or a parent over 70 years of age or any household member with a disability. Only for taxpayers obliged to present a tax return. All members generating the tax credit must cohabit more than 183 days with the taxpayer and their incomes cannot exceed 6,000 euro. In case of two or more taxpayers are eligible for this tax credit, the total amount will be equally shared by them.

Young, elderly and disabled taxpayers renting primary residence tax credit (*Deducción por arrendamiento de vivienda habitual por jóvenes, mayores y discapacitados*): 10% of annual rent for taxpayers below 35 years of age or over 65 years of age or disabled. Maximum 300 euro per year (individual scheme) or 600 euro (joint scheme) since 2022. Tax base before personal and family allowances must be below 22,000 euro (individual scheme) and 31,000 euro (joint scheme) and the amounts deducted must be over 10% taxpayer's income in the years 2022 and 2023. Since 2024, this extra requirement was removed.

The **foster care tax credit** (*Deducción por acogimiento familiar de menores*) offers a deduction of 240 euro per fostered child. If the foster care is simultaneous, the total deduction cannot exceed 1,200 euro within the tax year. This also applies to those providing care for older individuals who were fostered as minors, provided that the care has not been interrupted and is under the approval and supervision of the competent authority. To qualify for the deduction, the same conditions must be met as for the minimum allowance for dependents, as set out in state regulations.

The **home improvement tax credit** (*Deducción por obras de mejora en la vivienda*) allows for a 15% deduction on expenses incurred for home improvements aimed at energy efficiency, safety, and health. This includes the installation of digital television and internet services, with a limit of 1,000 euro for individual filing and 1,500 euro for joint filing. This applies to improvements recognised by the Cantabria Housing Authority.

The **Medical Expenses Tax Credit** (*Deducción por gastos de enfermedad*) offers a 10% deduction on medical fees not covered by insurance, up to 500 euro for individuals or 700 euro for joint filings, with an additional 100 euro for taxpayers with disabilities of 65% or more. The income limit after deductions is 22,946 euro for individuals or 31,485 euro for joint filings.

The **childcare tax credit** (*Deducción por gastos de guardería*) offers a 15% deduction for childcare expenses for children or adopted children under three years old, with a maximum annual deduction of 300 euro per child. To qualify for this tax credit, expenses must be substantiated with invoices and paid through non-cash methods such as credit/debit card, bank transfer, or cheque.

The **Single-Parent Family Tax Credit** (*Deducción para familias monoparentales*) is available to single parents with an income below 31,485 euro after personal and family reductions. The annual deduction is 200 euro.

The **birth or adoption tax credit** (*Deducción por nacimiento o adopción de hijos*) provides a 1,400 euro deduction for the birth or adoption of a child, applicable for the year of the event and the following two years. If filing individually, the amount is divided equally between parents or adopters. This deduction is compatible with state regulations.

The **educational expenses tax credit** (*Deducción por gastos de educación*) offers a 100% deduction on textbook expenses for compulsory education and 15% for extracurricular language teaching, with a combined limit of 200 euro for expenses incurred for children or dependents.

7. Castilla y León

Child's birth or adoption tax credit (*Deducción por nacimiento o adopción*): 1,010 euro for first child born or adopted that year if qualifying for child allowance, 1,475 euro for the second child and 2,351 euro for the third onwards if the tax base before personal and family allowances is below 18,900 euro (individual scheme) or below 31,500 euro (joint scheme).

The **Large Family Deduction** (*Deducción por familia numerosa*) allows taxpayers with a large family to claim a basic deduction of 600 euro in 2023-2025 (500 in 2021-2022). This increases to 1,500 in 2023-2025 (820 in 2021-2022) with four dependents and 2,500 euro with five. An additional 1,000 euro is available for each dependent starting from the sixth. If a spouse or dependent eligible for the deduction have a disability of 65% or higher, the deduction will increase by an additional 600 euro. The tax base before personal and family allowances must be below 18,900 euro (individual scheme) or below 31,500 euro (joint scheme).

Childcare tax credit (*Deducción por cuidado de hijos menores*)⁸¹: 30% of the expenditures on childcare for children below 4 years of age if both parents are at work (homecare, nursery or similar). Limit: 322 euro (both joint and individual scheme). The sum of the ordinary (*base imponible general*) and the savings tax base (*base imponible ahorro*) minus personal and family allowances (*mínimo por contribuyente y mínimo por descendientes*) must not exceed 18,900 euro (individual scheme) or 31,500 euro (joint scheme). In the case that two or more taxpayers are eligible for this tax credit, the total amount will be equally shared by them.

The **Adoption Expenses Deduction** (*Deducción por gastos de adopción*) allows taxpayers to deduct 784 euro for adoption expenses, which is compatible with deductions for birth or adoption and multiple births or simultaneous adoptions. For international adoptions, the deduction increases to 3,625 euro. Please note that this deduction is only applicable if the taxpayer's total taxable income, minus the personal and family minimum, does not exceed 18,900 euro for individual taxation or 31,500 euro for joint taxation.

The **Disability Deduction** (*Deducción por discapacidad*) is available to taxpayers aged 65 or older with a disability of at least 33%. The deduction is 300 euro and is available to those whose taxable income minus exemptions does not exceed 18,900 euro for individual filers or 31,500 euro for joint filers and who do not reside in public or subsidised housing. The deduction increases to 656 euros for disabilities of 65% or greater. Taxpayers under the age of 65 who meet the criteria can deduct 300 euros if they have a disability of 65% or more.

8. Castilla- La Mancha

Child's birth or adoption tax credit (*Deducción por nacimiento o adopción de hijos*): 100 euro per child born or adopted, 500 euro if two children multiple birth or adoption and 900 euro if three or more children multiple birth or adoption if qualifying for child allowance. The limit is that the sum of the ordinary and the savings tax base must not exceed 27,000 euro (individual scheme) and 36,000 euro (joint scheme).

Parents over 75 years of age care tax credit (*Deducción por cuidado de ascendientes mayores de 75 años*): 150 euro. The limit for the tax base before personal and family allowances must be below 27,000 euro (individual scheme) and 36,000 euro (joint scheme).

⁸¹ Issue	There is no information in the data on childcare expenditure.
Assumption	Childcare amount is imputed in sheet s_es.
Impact	Unknown.

Taxpayers 75 or more years of age tax credit (*Deducción por contribuyentes mayores de 75 años*): 150 euro. The limit tax base before personal and family allowances must be below 27,000 euro (individual scheme) and 36,000 euro (joint scheme).

Large family tax credit (*Deducción por familia numerosa*): 200 euro if large family and 400 euro if special large family, being the amounts 300 euro or 900 euro if disability is presented. The limit for the tax base before personal and family allowances must be below 27,000 euro (individual scheme) and 36,000 euro (joint scheme).

The **Single-Parent Family Tax Credit** (*Deducción por familia monoparental*) offers a 200 euro deduction for single parents whose children, whether minors or adults with established support measures for their legal capacity, live with and are economically dependent exclusively on the parent. This applies as of the tax accrual date. The limit for the tax base before personal and family allowances must be below 27,000 euro (individual scheme) and 36,000 euro (joint scheme).

The **Textbook and School Materials Tax Credit** (*Deducción por Adquisición de Libros de Texto y Material Escolar*) is available for those with incomes up to 12,000 euro, with a deduction of up to 200 euro per child since 2023 (100 euro in 2022). For those with incomes between 12,001 euro and 20,000 euro, the deduction is 100 euro per child since 2023 (50 euro in 2022). For incomes between 20,001 euro and 25,000 euro, the deduction is 75 euro per child since 2023 (37.5 euro in 2022). Large families have a fixed deduction of 300 euro per child since 2023 (150 euro in 2022) if the combined general and savings tax bases do not exceed 40,000 euro. Individual filers receive a tax credit of 100 euro since 2023 (50 euro in 2022) for taxpayer's total taxable income, minus the personal and family minimum below 6000 euro, 75 euro (37.5 in 2022) for incomes between 6,600.01 and 10,000.00 euro and 50 euro for incomes between 10,000.01 and 12,500.00 euro since 2023 (25 euro in 2022). Large families have a fixed deduction of 150 euro per child since 2023 (75 euro per child in 2022) if the combined general and savings tax bases do not exceed 30,000 euro for individual filers.

The **childcare expenses tax credit** (*Deducción por gastos de guardería*) allows taxpayers to deduct 30% of childcare expenses paid during the tax year for children under three years old in nurseries or childcare centres, up to 500 euro per child annually and 250 euro in the tax year when the child turns three. Only expenses for children eligible for the minimum child tax credit are considered. The amount of the deduction must be reduced by the amount of any grants or subsidies received from any public authority covering part or all the childcare expenses. The limit for the tax base before personal and family allowances must be below 27,000 euro (individual scheme) and 36,000 euro (joint scheme).

The **tax credit for disability** (*deducción por discapacidad*) is available to taxpayers with a disability rating of 65% or higher. The tax credit is 300 euro and is provided to those who qualify for the disability minimum tax credit. The limit for the tax base before personal and family allowances must be below 27,000 euro (individual scheme) and 36,000 euro (joint scheme).

The **tax credit for disability of descendants or ascendants** (*deducción por discapacidad de descendientes o ascendientes*) is available to taxpayers whose descendants or ascendants have a disability rating of 65% or higher. The tax credit is 300 euro and is provided to those who qualify for the disability minimum tax credit for ascendants or descendants. The limit for the tax base before personal and family allowances must be below 27,000 euro (individual scheme) and 36,000 euro (joint scheme).

The **tax credit for unpaid foster care** (*deducción por acogimiento no remunerado*) allows taxpayers who foster individuals over the age of 65 or with a disability over 33% to claim a 600 euro tax credit. To qualify, applicants must cohabit for a minimum of 183 days, have a tax base of less than 12,500 euro (individual) or 25,000 euro (joint), and not receive assistance from the Administration of the Junta de Comunidades de Castilla-La Mancha.

Tax credit for rental of primary residence by individuals under 36 (*deducción por arrendamiento de vivienda habitual*): Taxpayers under 36 who rent their primary residence in Castilla-La Mancha can claim a 15% deduction on amounts paid, up to 450 euro. However, the deduction is increased to 20% with a maximum of 612 euro for properties located in towns with populations of up to 2,500 inhabitants or in towns with populations between 2,500 and 10,000 inhabitants located more than 30 kilometres from a town with over 50,000 inhabitants. The following requirements must be met: a combined tax base of up to 12,500 euro (individual) or 25,000 euro (joint), and the lessor's tax ID number must be provided in the tax return.

Housing Rental Deductions for Special Circumstances (*Deducciones por arrendamiento de vivienda en circunstancias especiales*): Eligible taxpayers in Castilla-La Mancha can claim a 15% deduction on rent payments for their primary residence, capped at 450 euro. This applies to large families, single-parent families, and individuals with disabilities, provided their income does not exceed 12,500 euro for single filers or 25,000 euro for joint filers. To qualify for this benefit, both the taxpayer and the landlord must provide their tax identification numbers and proof of the specific condition qualifying for the deduction.

9. Cataluña

Child's birth or adoption tax credit (*Deducción por el nacimiento o adopción de hijos*): 150 euro for the first child born or adopted that year if qualifying for child allowance (300 euro, double tax credit, for joint scheme).

First home rent tax credit (in some particular circumstances of economic difficulty) (*Deducción por alquiler de vivienda habitual*): 10% of annual rent for taxpayers below 32 years of age or with disability above 65%⁸² or being unemployed more than 183 days during the tax period or being 65 years old or more and widow and large families. Maximum 300 euro per year or 600 euro if the sum of the ordinary (*base imponible general*) and the savings tax base (*base imponible ahorro*) minus personal and family allowances (*mínimo por contribuyente y mínimo por descendientes*) must not exceed 20,000 euro or 30,000 euro in large family.

The **main home rehabilitation deduction** (*deducción por rehabilitación de la vivienda habitual*) allows taxpayers to deduct 1.5% of the amounts paid during the tax year for the rehabilitation of a property that is, or is intended to be, the taxpayer's main residence. The maximum base for this deduction is 9,040 euro.

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Issue	There is no information in the data about the disability level.
Assumption	All disabled with 33% of disability, hence this tax credit is not simulated.
Impact	Unknown.

10. Comunitat Valenciana

Since 2022, all tax credits in the Comunitat Valenciana have remained unchanged.

Child's birth or adoption tax credit (*Deducción por el nacimiento o adopción de hijos*): 300 euro per child born or adopted that year and two more years. The sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable del ahorro*) must not exceed 30,000 euro (individual scheme) or 47,000 euro (joint scheme). However, if the sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable del ahorro*) is between 27,000 and 30,000 euro (individual scheme) or between 44,000 euro and 47,000 euro (joint scheme) the tax credit will be the result of multiplying the usual tax credit by a coefficient calculated in this way:

Equation 1. Coefficient for child's birth or adoption tax credit in Comunitat Valenciana, individual scheme

$$C_individual = 100 * \left(1 - \frac{(BasesSumInd - 27,000)}{3000}\right)$$

Equation 2. Coefficient for child's birth or adoption tax credit in Comunitat Valenciana, joint scheme

$$C_joint = 100 * \left(1 - \frac{(BasesSumJoint - 44,000)}{3000}\right)$$

In case of two or more taxpayers are eligible for this tax credit, the total amount will be equally shared by them.

Multiple children's birth or adoption tax credit (*Deducción por nacimiento o adopción múltiples*): 246 euro per child born in multiple births if the sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable del ahorro*) does not exceed 30,000 euro (individual scheme) or 47,000 euro (joint scheme). However, if the sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable del ahorro*) is between 27,000 and 30,000 euro (individual scheme) or between 44,000 euro and 47,000 euro (joint scheme) the tax credit will be the result of multiplying the usual tax credit by a coefficient calculated in this way:

Equation 3. Coefficient for multiple children's birth or adoption tax credit in Comunitat Valenciana, individual scheme

$$C_individual = 100 * \left(1 - \frac{(BasesSumInd - 27,000)}{3000}\right)$$

Equation 4. Coefficient for multiple children's birth or adoption tax credit in Comunitat Valenciana, joint scheme

$$C_joint = 100 * \left(1 - \frac{(BasesSumJoint - 44,000)}{3000}\right)$$

In case of two or more taxpayers are eligible for this tax credit, the total amount will be equally shared by them.

Tax credit for birth or adoption of a disabled child (*Deducción por nacimiento o adopción de hijo discapacitado*):

For the birth or adoption of a physically or sensorially disabled child with a disability degree equal to or greater than 65% or mentally disabled child with a disability degree equal to or greater than 33%, eligible for the minimum for dependents: 246 euro for the first child and 303 euro for the second or subsequent child, provided that the sum of the taxpayer's general and savings taxable bases does not exceed 30,000 euro for individual taxation or 47,000 euro for joint taxation. However, the full amount of the deduction applies only when the sum of the general and savings taxable bases is less than 27,000 euro for individual taxation or 44,000 euro for joint taxation, gradually reducing for taxpayers with a taxable base between 27,000 euro and 30,000 euro for individual taxation and between 44,000 euro and 47,000 euro for joint taxation.

Equation 5. Tax credit for birth or adoption of a disabled child in Comunitat Valenciana, coefficient for individual scheme

$$C_{\text{individual}} = 100 * \left(1 - \frac{(BasesSumInd - 27,000)}{3000}\right)$$

Equation 6. Tax credit for birth or adoption of a disabled child in Comunitat Valenciana, coefficient for joint scheme

$$C_{\text{joint}} = 100 * \left(1 - \frac{(BasesSumJoint - 44,000)}{3000}\right)$$

Large families tax credit (*Deducción por familia numerosa*): 330 euro if cohabiting individuals classify as to a large family and 660 euro if it is a special large family. The sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable del ahorro*) must not exceed 30,000 euro (individual scheme) or 47,000 euro (joint scheme).

Large family: the sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable del ahorro*) does not exceed 27,000 euro (individual scheme) or 44,000 euro (joint scheme). If the sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable del ahorro*) is between 27,000 and 30,000 euro (individual scheme), or between 44,000 euro and 47,000 euro (joint scheme), the tax credit will be the result of multiplying the usual tax credit by a coefficient calculated in this way:

Equation 7. Coefficient for large families tax credit in Comunitat Valenciana, individual scheme

$$C_{\text{individual}} = 100 * \left(1 - \frac{(BasesSumInd - 27,000)}{3000}\right)$$

Equation 8. Coefficient for large families tax credit in Comunitat Valenciana, joint scheme

$$C_{\text{joint}} = 100 * \left(1 - \frac{(BasesSumJoint - 44,000)}{3000}\right)$$

Special large family: the sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable del ahorro*) does not exceed 31,000 euro (individual scheme) or 54,000 euro (joint scheme). If the sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable del ahorro*) is between 31,000 and 35,000 euro (individual scheme) or between 54,000 euro and

58,000 euro (joint scheme), the tax credit will be the result of multiplying the usual tax credit by a coefficient calculated in this way:

Equation 9. Coefficient for special large families tax credit in Comunitat Valenciana, individual scheme

$$C_individual = 100 * (1 - \frac{(BasesSumInd - 31,000)}{4000})$$

Equation 10. Coefficient for special large families tax credit in Comunitat Valenciana, joint scheme

$$C_joint = 100 * (1 - \frac{(BasesSumJoint - 54,000)}{4000})$$

Disabled taxpayers 65 or more tax credit (*Deducción por contribuyentes discapacitados de edad igual o superior a 65 años*): 197 euro if disabled (33% or more ⁸³) taxpayer 65 or more years of age, **if** the sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable del ahorro*) must not exceed 30,000 euro (individual scheme) or 47,000 euro (joint scheme). However, if the sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable del ahorro*) is between 27,000 and 30,000 euro (individual scheme) or between 44,000 euro and 47,000 euro (joint scheme) the tax credit will be the result of multiplying the usual tax credit by a coefficient calculated in this way:

Equation 11. Disabled taxpayers 65 or more tax credit in Comunitat Valenciana, coefficient for individual scheme

$$C_individual = 100 * (1 - \frac{(BasesSumInd - 27,000)}{3000})$$

Equation 12. Disabled taxpayers 65 or more tax credit in Comunitat Valenciana, coefficient for joint scheme

$$C_joint = 100 * (1 - \frac{(BasesSumJoint - 44,000)}{3000})$$

Parents over 75 years of age or over 65 and disabled tax credit (*Deducción por ascendientes mayores de 75 años o mayores de 65 discapacitados*): 197 euro per elderly over 75, over 65 if disabled more than 33% and if psychical disability⁸⁴ or more than 66% if physical disability, not

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Issue	There is no information in the data about the disability level.
Assumption	All disabled with 33% of disability, hence this tax credit is simulated.
Impact	Unknown.

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Issue	There is no information in the data about the level or type (psychic or other) disability.
Assumption	All disabled with 33% of "physic" disability, hence this element of the tax credit is not simulated.
Impact	Unknown.

cohabiting with taxpayer and non-exempt incomes are below 8,000 euro and the sum of the ordinary (*base imponible general*) and the savings tax base (*base imponible del ahorro*) after allowances must not exceed 30,000 euro (individual scheme) or 47,000 euro (joint scheme). However, if the sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable del ahorro*) is between 27,000 and 30,000 euro (individual scheme) or between 44,000 euro and 47,000 euro (joint scheme) the tax credit will be the result of multiplying the usual tax credit by a coefficient calculated in this way:

Equation 13. Parents over 75 years of age or over 65 and disabled tax credit in Comunitat Valenciana, coefficient for individual scheme

$$C_{\text{individual}} = 100 * \left(1 - \frac{(BasesSumInd - 27,000)}{3000}\right)$$

Equation 14. Parents over 75 years of age or over 65 and disabled tax credit in Comunitat Valenciana, coefficient for joint scheme

$$C_{\text{joint}} = 100 * \left(1 - \frac{(BasesSumJoint - 37,000)}{3000}\right)$$

Child care for children below 3 years of age tax credit (*Deducción por cantidades destinadas a la custodia en guarderías y centros de primer ciclo de educación infantil de hijos menores de tres años*): 15% of expenditure in tax period to take care of children below 3 years of age and parents must both work (maximum is 297 euro for whatever any scheme). The sum of the ordinary (*base imponible general*) and the savings tax base (*base imponible del ahorro*) must be below 30,000 euro (individual scheme) or 47,000 euro (joint scheme). However, if the sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable del ahorro*) is between 27,000 and 30,000 euro (individual scheme) or between 44,000 euro and 47,000 euro (joint scheme) the tax credit will be the result of multiplying the usual tax credit by a coefficient calculated in this way:

Equation 15. Child care for children below 3 years of age tax credit in Comunitat Valenciana, coefficient for individual scheme

$$C_{\text{individual}} = 100 * \left(1 - \frac{(BasesSumInd - 27,000)}{3000}\right)$$

Equation 16. Child care for children below 3 years of age tax credit in Comunitat Valenciana, coefficient for joint scheme

$$C_{\text{joint}} = 100 * \left(1 - \frac{(BasesSumJoint - 44,000)}{3000}\right)$$

Work-life balance tax credit (*Deducción por conciliación trabajo con la vida familiar*): working mothers may benefit from 460 euro tax credit per child of 4 years of age (over 3 and below 5 years of age). Taxpayer must be eligible for child tax allowance for each child generating the tax credit. In case of two or more taxpayers are eligible for this tax credit, the total amount will be equally shared by them. The sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable ahorro*) must not exceed 30,000 euro (individual scheme) or 47,000 euro (joint scheme). However, if the sum of the ordinary tax base

minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable del ahorro*) is between 27,000 and 30,000 euro (individual scheme) or between 44,000 euro and 47,000 euro (joint scheme) the tax credit will be the result of multiplying the usual tax credit by a coefficient calculated in this way:

Equation 17. Coefficient for work-life balance tax credit in Comunitat Valenciana, individual scheme

$$C_{\text{individual}} = 100 * \left(1 - \frac{(BasesSumInd - 27,000)}{3000}\right)$$

Equation 18. Coefficient for work-life balance tax credit in Comunitat Valenciana, joint scheme

$$C_{\text{joint}} = 100 * \left(1 - \frac{(BasesSumJoint - 44,000)}{3000}\right)$$

Renting first home tax credit (*Por arrendamiento de vivienda habitual*): 20% of annual rent (maximum: 800 euro per year), 25% of annual rent for taxpayers below 35 years of age or disabled or victim of gender-based violence (maximum 950 euro) and if two of the previous condition are met (maximum 1,100 euro) If joint scheme tax credit will be multiplied by two. The sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable ahorro*) must not exceed 30,000 euro (individual scheme) or 47,000 euro (joint scheme). However, if the sum of the ordinary tax base minus reductions (*base liquidable general*) and the savings tax base minus reductions (*base liquidable del ahorro*) is between 27,000 and 30,000 euro (individual scheme) or between 44,000 euro and 47,000 euro (joint scheme) the tax credit will be the result of multiplying the usual tax credit by a coefficient calculated in this way:

Equation 19. Coefficient for tenting first home tax credit in Comunitat Valenciana, individual scheme

$$C_{\text{individual}} = 100 * \left(1 - \frac{(BasesSumInd - 27,000)}{3000}\right)$$

Equation 20. Coefficient for tenting first home tax credit in Comunitat Valenciana, joint scheme

$$C_{\text{joint}} = 100 * \left(1 - \frac{(BasesSumJoint - 44,000)}{3000}\right)$$

Tax credit for acquisition of first habitual residence by individuals aged 35 or younger (*Deducción por adquisición de primera vivienda habitual por jóvenes*): A credit of 5% of the amounts paid, excluding interest, for the acquisition of a first habitual residence by individuals aged 35 or younger, provided that the sum of the taxpayer's general and savings taxable bases does not exceed 30,000 euro for individual taxation or 47,000 euro for joint taxation. However, the full amount of the deduction applies only when the sum of the general and savings taxable bases is less than 27,000 euro for individual taxation or 44,000 euro for joint taxation, gradually reducing for taxpayers with a taxable base between 27,000 euro and 30,000 euro for individual taxation and between 44,000 euro and 47,000 euro for joint taxation.

Equation 21. Tax credit for acquisition of first habitual residence by individuals aged 35 or younger in Comunitat Valenciana, coefficient for individual scheme

$$C_{\text{individual}} = 100 * \left(1 - \frac{(BasesSumInd - 27,000)}{3000}\right)$$

Equation 22. Tax credit for acquisition of first habitual residence by individuals aged 35 or younger in Comunitat Valenciana, coefficient for joint scheme

$$C_{\text{joint}} = 100 * \left(1 - \frac{(BasesSumJoint - 44,000)}{3000}\right)$$

For low-income families with two or more children (*Deducción autonómica por contribuyentes con dos o más descendientes*): 10% of the Region tax payment after reducing all other regional tax credits (*cuota líquida autonómica*). Provided that the total taxable bases of all taxpayers entitled to claim the minimum for the same descendants, the descendants themselves, and all household members filing jointly with the taxpayer, do not exceed 30,000 euro.

Tax credit for expenses on school supplies (*Deducción por cantidades destinadas a la adquisición de material escolar*): A credit of 110 euro per child or dependent enrolled in compulsory education levels or special education units in public or privately funded schools, provided one parent cohabits with the child, is unemployed, and the sum of the general and savings taxable bases does not exceed 30,000 euro for individual taxation or 47,000 euro for joint taxation. However, the full amount of the deduction applies only when the sum of the general and savings taxable bases is less than 27,000 euro for individual taxation or 44,000 euro for joint taxation, gradually reducing for taxpayers with a taxable base between 27,000 euro and 30,000 euro for individual taxation and between 44,000 euro and 47,000 euro for joint taxation.

Equation 23. Tax credit for expenses on school supplies in Comunitat Valenciana, coefficient for individual scheme

$$C_{\text{individual}} = 100 * \left(1 - \frac{(BasesSumInd - 27,000)}{3000}\right)$$

Equation 24. Tax credit for expenses on school supplies in Comunitat Valenciana, coefficient for joint scheme

$$C_{\text{joint}} = 100 * \left(1 - \frac{(BasesSumJoint - 44,000)}{3000}\right)$$

11. Extremadura

Child's birth multiple birth tax credit (*Deducción por partos múltiples*): 300 euro per child born if the sum of the ordinary and the savings tax base does not exceed 19,000 euro (individual scheme) and 24,000 euro (joint scheme).

Dependent work tax credit (*Deducción por percibir retribuciones de trabajo dependiente*): 75 euro for each taxpayer that has income from dependent work below 12,000 euro a year when other incomes are below 300 euro.

Widowers tax credit (*Deducción para contribuyentes viudos*): 100 euro. The limit is that the sum of the ordinary and the savings tax base must not exceed 19,000 euro (individual scheme) or 24,000 euro (joint scheme). If there are dependent children or ascendants that qualify for personal and family tax credits, the tax credit increases to 200 euros. This tax credit is incompatible with dependent work tax credit is received.

First Home Acquisition or Rehabilitation Deduction for Young People and Victims (*Deducción por adquisición o rehabilitación de vivienda para jóvenes y víctimas*): Taxpayers under

36, or those with the status of victims of terrorism or their spouses, partners, or children, can deduct 3% of amounts paid for the acquisition or rehabilitation of a first home that is newly built or assigned as protected housing. There is no limit on the amount of the deduction for amounts paid in the tax year. The deduction is applicable if the taxpayer's income does not exceed 19,000 euro for individual taxation or 24,000 euro for joint taxation.

The **Dependent Disability Deduction** (*Deducción por discapacidad de dependientes*) allows taxpayers with dependents who are disabled or under guardianship, and who require cohabitation, to claim a 150 euro deduction. The General and Savings tax base of the dependent individual must not exceed twice the IPREM. The income limits for this deduction are 19,000 euro (individual) or 24,000 euro (joint). If the taxpayer is awaiting dependency benefits, the deduction increases to 220 euro. In municipalities with fewer than 20,000 inhabitants in Extremadura, the income thresholds are 28,000 euro (individual) or 45,000 euro (joint), with no limit for large families or single parents with two children.

The **Minor Foster Care Deduction** (*Deducción por acogimiento de menores*) allows taxpayers who foster a child for more than 183 days to claim a 250 euro deduction. If the child resides with the taxpayer for less than 183 days but more than 90 days, a 125 euro deduction applies.

The **School Supplies Deduction** (*Deducción por compra de material escolar*) allows taxpayers to deduct up to 15 euro on the purchase of school supplies, provided their income does not exceed 19,000 euro for individual filers or 24,000 euro for joint filers. For residents of small municipalities in Extremadura with fewer than 3,000 inhabitants, the income limits increase to 28,000 euro for individual filers or 45,000 euro for joint filers. There is no limit for large families or for taxpayers providing sole support to children without the right to receive food allowances.

The **childcare deduction for children up to 14 years** (*Deducción por cuidado de hijos hasta 14 años*) allows a deduction of 10% of amounts paid for childcare during the tax year to a domestic employee, daycares, leisure centres, urban camps, sports centres, playrooms, or similar services, with a cap of 400 euro annually. To qualify, children must be under the age of 14, both parents must be employed and registered with Social Insurance, a valid invoice must be provided for the services, and the individual or couple must be entitled to apply the minimum deduction for dependents. The total income tax base must not exceed 28,000 euro for individual filers or 45,000 euro for joint filers. In Extremadura, municipalities with fewer than 3,000 inhabitants have no income limit for large families or single parents with two children who have no right to receive food allowances.

The **Housing Rental Deduction for Specific Groups** (*Deducción por arrendamiento de vivienda habitual*) allows taxpayers under 36, part of a large family, or having dependents with a disability to deduct 30% of rental payments since 2023 (5% in 2022) up to a maximum of 1,000 euro annually since 2023 (300 euro in 2022). For homes in towns with fewer than 3,000 inhabitants, the cap increases to 1,500 euro since 2023 (400 euro in 2022). To qualify for this benefit, taxpayers must not have a total taxable income exceeding 28,000 euro in individual taxation since 2023 (19,000 euro in 2022) or 45,000 euro in joint taxation since 2023 (24,000 euro in 2022). Residents in smaller municipalities of Extremadura who are part of a large family or single parents with two children without alimony rights are not subject to an income limit.

12. Galicia

Child's birth or adoption tax credit (*Deducción por el nacimiento o adopción de hijos*): 300 euro per child born or adopted the birth year and the two following, (360 euro per child in case of multiple births), if the sum of the ordinary (*base imponible general*) and the savings tax base (*base imponible ahorro*) minus personal and family allowances is over 22,000 euro. If the sum of the ordinary (*base imponible general*) and the savings tax base (*base imponible ahorro*) minus personal and family allowances is less than 22,000 euro in birth year and the two following, 360 euro per first child, 1,200 euro per second and 2,400 euro per third and subsequent children. In the case of two or more taxpayers are eligible for this tax credit, the total amount will be equally shared by them.

Childcare of children aged 3 or less tax credit (*Deducción por cuidado de hijos menores*): 30% of expenditures in the tax period to take care of children below 3 years of age (The maximum amount is €400 since 2022, or €600 for individuals with two or more children under the age of three). Parents must both work and the sum of the ordinary (*base imponible general*) and the savings tax base (*base imponible ahorro*) before personal and family allowances (*mínimo por contribuyente y mínimo por descendientes*) must not exceed 22,000 euro (individual scheme) or 31,000 euro (joint scheme). In the case of two or more taxpayers are eligible for this tax credit, the total amount will be equally shared by them.

Large families tax credit (*Deducción por familia numerosa*): 250 euro if cohabiting individuals classify as a large family, 400 euro if 5 or more dependent children (special large families). If any member of married couple or cohabiting child is disabled (more than 65%)⁸⁵: 500 euro if cohabiting individuals classify as a large family. 800 euro if 5 or more dependent children (special large families). In the case that two or more taxpayers are eligible for this tax credit, the total amount will be equally shared by them.

Young taxpayers renting first home tax credit (*Deducción por alquiler de la vivienda habitual*): 10% of annual rent for taxpayers below 35 years of age. In joint scheme, at least one of them. Maximum: 300 euro per lease (individual and joint scheme). The sum of the ordinary (*base imponible general*) and the savings tax base (*base imponible ahorro*) must not exceed 22,000 euro (individual and joint scheme), the date of the lease is subsequent to 1st January 2003, 20% of annual rent and the maximum 600 euro if there are two or more children.

Tax Credit for Foster Care of Minors (*Deducción por acogimiento familiar de menores*): 300 euro per minor for foster care.

Tax Credit for Home Technology Expenses (*Deducción por gastos dirigidos al uso de nuevas tecnologías en el hogar*): Taxpayers can claim a tax credit of 30% of the amounts paid for Internet access (activation and monthly fees), capped at 100 euro. This credit applies only in the tax year in which the Internet connection contract is signed. The Internet line must not be linked to any

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Issue	There is no information in the data about the disability level.
Assumption	All disabled with 33% of disability, hence this tax credit is not simulated.
Impact	Unknown.

business activity, and the credit cannot be claimed for switching service providers or if other simultaneous lines were contracted in previous tax years.

13. Comunidad de Madrid

Child's birth or adoption tax credit (*Deducción por el nacimiento o adopción de hijos*): 721.70 euro for each child born or adopted in 2023-2025 (600 euro in 2022). In case of multiple births 721.70 euro more per child in 2023-2025 (600 euro in 2022). The sum of the ordinary (*base imponible general*) and the savings tax base (*base imponible del ahorro*) must not exceed 30,930 euro (individual scheme) in 2023-2025 (30,000 euro in 2022) or 37,322.20 euro (joint scheme) in 2023-2025 (36,200 euro in 2022). In addition, the taxpayer shall not be entitled to the application of the tax credit when the sum of the general taxable base and the savings taxable base of all the members of the family unit of which he/she forms part is greater than 61,860 euro in 2023-2025 (60,000 euro in 2022). In the case that two or more taxpayers are eligible for this tax credit, the total amount will be equally shared by them. In addition, there is a deduction for international adoption of children consisting of 721.70 euro. The amount is increased by 50% when the child lives with both adoptive parents.

Young taxpayers renting first home tax credit (*Deducción por arrendamiento de la vivienda habitual por contribuyentes jóvenes*): 30% of annual rent for taxpayers below 40 years of age since 2024 (below 35 years of age in 2022-2023). In 2022-2023, this tax credit also applied to those over 35 and under 40 who, during the tax period, have been unemployed and who have had to bear family burdens. Maximum: 1,237.20 euro per year (individual and joint scheme) in 2023-2025 (1,000 euro in 2022). The sum of the ordinary (*base imponible general*) and the savings tax base (*base imponible ahorro*) must not exceed 26,414.22 euro (individual scheme) or 37,322.20 euro (joint scheme) in 2023-2025 (25,620 euro and 36,200 euro in 2022). In addition, the taxpayer shall not be entitled to the application of the deduction when the sum of the general tax base and the savings tax base of all the members of the family unit of which he or she is a member is more than 61,860 euro in 2023-2025 (60,000 euro in 2022).

For low-income families with two or more children (*Deducción para familias con dos o más descendientes e ingresos reducidos*): 10% of the Region tax payment (*cuota íntegra autonómica*) after reducing all other regional tax credits. Eligible taxpayers are those who have two or more children qualifying for child allowance and the sum of the ordinary (*base imponible general*) and the savings tax base (*base imponible ahorro*) must not exceed 24,744 euro since 2023 (24,000 euro in 2022) (sum of two parents tax bases if in individual scheme).

Foster Care of children Tax Credit (*Deducción por acogimiento familiar de menores*): 618.60 euro for the first child, 773.25 euro for the second, or 927.90 euro for the third or subsequent children since 2023. In 2022, the amount was 600 euro for the first child, 750 euro for the second child and 900 euro for the third or subsequent child. Requirement: cohabitation with the child for more than one hundred eighty-three days during the tax year.

Unpaid Foster Care Tax Credit for Individuals Over 65 and/or Disabled with a Degree of 33% or Higher (*Deducción por acogimiento no remunerado de mayores de 65 años y/o discapacitados en grado igual o superior al 33%*): 1,546.50 euro since 2023 (1,500 euro in 2022). Requirements: the seniors or disabled individuals must live with the taxpayer for more than 183 days a year under uncompensated foster care. The taxpayer must not receive assistance or subsidies from the Autonomous Community of Madrid (CAM), verified by a certificate from the competent department. There should be no familial relationship closer than fourth degree. The

deduction is applicable only if the sum of the general taxable base and the savings taxable base does not exceed 26,414.22 euro for individual scheme or 37,322.20 euro for joint scheme since 2023. In 2022, the limits were 25,620 euro for individual scheme and 36,200 euro for joint scheme,

Tax Credit for Rental Housing Expenses (*Deducción por gastos derivados del arrendamiento de vivienda*): This tax credit was created in 2023. Taxpayers can deduct 10% of the amounts paid during the tax year for expenses related to the rental of housing, including maintenance and repairs, lease contract formalization, insurance premiums for damages and defaults, and obtaining energy efficiency certificates related to such leases. The deduction is capped at 154.65 euro per year since 2023.

Tax Credit for Large Families (*Deducción por familias numerosas*): This tax credit was created in 2023. For general category large families: 50% of the regional tax payable, up to 6,186 euro for individual scheme and 12,372 euro for joint scheme since 2023. For special category large families: 100% of the regional tax payable, up to 12,372 euro for individual scheme and 24,744 euro for joint scheme since 2023. This deduction is available to taxpayers whose combined general and savings taxable base, along with that of the other members of their family unit, does not exceed 30,930 euro multiplied by the number of members in said family unit. The tax credit can be applied in the tax period in which the recognition of the large family status takes effect and in the following two tax periods.

Education Expenses Tax Credit (*Deducción por gastos educativos*): Taxpayers can deduct 15% of school fees and language learning expenses, and 5% of the costs for purchasing school-exclusive clothing. The amount to be deducted is limited to 412.40 euro per child or descendant since 2023 (400 euro in 2022). In the event that the taxpayer is entitled to make a deduction for schooling expenses, the above limit will be raised to 927.90 euro per child since 2023 (900 in 2022). During the first cycle of education the limit will be 1,031 euro for each child since 2023 (1,000 euro in 2022). The sum of the general taxable income and savings taxable income of all the member of the family cannot exceed the amount in euros corresponding to multiplying by 30,930 euro since 2023 (30,000 in 2022) the number of members of the family unit.

14. Región de Murcia

Childcare of children aged 3 or less tax credit (*Deducción por gastos de guardería*): 20% of expenditures in 2022-2025 in the tax period to take care of children below 3 years of age. Maximum amount is 1000 euro if the sum of the general taxable income and savings tax bases do not exceed 30,000 euro (individual scheme) or 50,000 euro (joint scheme).

Tax credit for acquisition or renovation of primary residence for young individuals (*Deducción por adquisición o rehabilitación de vivienda habitual para jóvenes*):

For individuals under 40 years old since 2023 (35 years old in 2022) with a taxable base below 40,000 euro since 2023 (24,107.20 euro in 2022) and a savings taxable base not exceeding 1,800 euro since 2022: 5%. The acquired residence must be newly constructed. The deduction limit is 300 euro, and its maximum base is the annual amount set as the limit in the state deduction for home acquisition, minus the amount used for the state deduction.

Tax credit for childcare expenses (*Deducción por gastos de guardería*): 20% of amounts paid for educational expenses incurred during the tax year for children or descendants eligible for the

minimum for dependents, corresponding to the First Cycle of Early Childhood Education attended in authorized centers registered with the competent Ministry of Education. The deduction base includes custody expenses, including amounts paid for pre-registration and enrolment, meals, and the purchase of exclusive school clothing, and is reduced by the amount of scholarships and grants received from any Public Administration that cover these expenses. The deductible amount per child or descendant cannot exceed 1,000 euro. The sum of the general taxable base and the savings taxable base must not exceed 30,000 euro for individual taxation and 50,000 euro for joint taxation.

Tax credit for expenses on school supplies and textbooks for descendants (*Deducción por gastos en la adquisición de material escolar y libros de texto*): 120 euro per descendant eligible for the minimum for dependents, for expenses derived from the schooling in the second cycle of early childhood education, primary education, and compulsory secondary education. This applies if the sum of the taxpayer's general taxable base and savings taxable base does not exceed 20,000 euro for individual taxation and 40,000 euro for joint taxation. This amount increases for taxpayers who are part of a legally recognized large family to 33,000 euro and 53,000 euro, respectively. The deduction amount must be reduced, per descendant, by the amount of scholarships and grants obtained during the tax year from the Region of Murcia or any other Public Administration covering all or part of the expenses for the acquisition of school supplies or textbooks.

Tax credit for birth or adoption (*Deducción por nacimiento o adopción*):

100 euro for the first child, 200 euro for the second child, and 300 euro for the third child or subsequent ones. It is required that the sum of the taxpayer's general taxable base and savings taxable base does not exceed 30,000 euro for individual taxation and 50,000 euro for joint taxation.

Tax credit for taxpayer's disability (*Deducción por discapacidad del contribuyente*):

120 euro for taxpayers with a certified disability degree of 33% or higher, provided that the sum of their general taxable base and savings taxable base does not exceed 19,000 euro for individual taxation or 24,000 euro for joint taxation.

Tax credit for unpaid fostering of individuals over 65 and/or disabled persons (*Deducción por acogimiento no remunerado de mayores de 65 años y/o personas con discapacidad*):

600 euro for each person over 65 or with a disability of 33% or higher, with whom there is no consanguinity or affinity relationship of the fourth degree or less, who lives with the taxpayer for more than 183 days a year under fostering without compensation. The taxpayer must obtain a certificate issued by the competent authority of the regional administration confirming that neither the taxpayer nor the fostered person has received assistance from the Region of Murcia related to fostering, and prove cohabitation in the fostered persons' domicile through the corresponding certificate of registration.

Tax credit for rental of primary residence (*Deducción por arrendamiento de vivienda habitual*):

10% of the unsubsidized amounts earned during the tax year for renting the primary residence, up to a limit of 300 euro annually per lease contract, for both individual and joint taxation. The deduction base consists of documented amounts paid via credit or debit card, bank transfer, nominative check, or deposit into accounts in credit institutions, to the lessors of the property. Cash payments are not eligible for this deduction under any circumstances. Requirements:

The taxpayer must be under 40 years of age since 2024 (35 years of age in 2022-2023), part of a large family, or have a recognized disability of 65% or more. The property must be located in the Region of Murcia and actually occupied by the taxpayer. The corresponding form for the Property Transfer Tax and Documented Legal Acts Tax for lease purposes must have been submitted before the Personal Income Tax due date, or before the end of the declaration period if it has not yet expired. The taxpayer's general taxable base minus the personal and family minimum must be less than 24,380 euro (Since 2023, the limit is increased to 40,000 euro if the taxpayer has not yet turned 40 at the time of tax accrual), provided that the savings taxable base does not exceed 1,800 euro. Neither the taxpayer nor any member of their family unit can own more than 50% of full ownership or a real right of use or enjoyment of another property. The taxpayer must not be entitled to any deduction for investment in a habitual residence during the same tax period.

Tax Credit for Working Women (*Deducción por trabajo para mujeres trabajadoras*)

Working women engaged in self-employment or employed activities, registered under the corresponding Social Insurance or mutual insurance scheme, may deduct the following amounts for each child under 18 years of age or dependent person under their care: 300 euro for first child, 350 for the second, 400 for the third or subsequent child and 400 per dependent person under their care. The amount of the deduction for each dependent child is calculated proportionally to the number of days worked. In any case, to apply the deduction, the sum of the general taxable income and the savings taxable income must not exceed 20,000 euro for individual returns or 40,000 euro for joint returns.

Tax Credit for Single-Parent Families (*Deducción por familia monoparental*):

This tax credit was introduced in 2023. Since 2023, the amount is 303 euro for taxpayers responsible for dependents, provided they do not live with any other person unrelated to the mentioned dependents, except in the case of ascendants who qualify for the application of the minimum for ascendants. Taxpayers whose sum of taxable income exceeds 35,240 euro will not be eligible for this deduction. Descendants are considered to be children who are minors, or adult children with a disability, who do not have annual income—excluding exempt income—exceeding €8,000, and who either live with the taxpayer or, if not cohabiting, are economically dependent on them.

Internet Access Expenses Tax Credit (*Deducción por gastos por acceso a internet*): This tax credit was introduced in 2024. 30% of the amounts paid during the tax year for the hiring of high-speed internet lines, including activation fees and monthly fees, with a maximum limit of 300 euro. This deduction will be applied in the tax year in which the contract is signed, once per household and taxpayer. Requirements: The taxpayer must have their habitual residence in a municipality in the Region of Murcia with fewer than 15,000 inhabitants as of December 31st. The high-speed contracted must be exclusively for use in the taxpayer's habitual residence and must not be linked to the exercise of any business or professional activity.

Language Education Expenses Tax Credit (*Deducción por gastos de enseñanza de idiomas*):

This tax credit was introduced in 2024. 15% of the amounts paid for extracurricular language learning expenses for children enrolled in the studies corresponding to the second cycle of early childhood education, primary education, compulsory secondary education, baccalaureate, and specific vocational training cycles, with a limit of 300 euro per child as long as they are eligible for

the minimum dependent deduction. It is required that the general taxable base and savings taxable base be less than 20,000 euro for individual taxation and 40,000 euro for joint taxation.

15. La Rioja

Tax credit for birth or adoption of children (*Deducción por nacimiento o adopción de hijos*): In 2022-2025, a credit of 600 euro for the first child, 750 euro for the second, and 900 euro for the third and subsequent children. In the case of multiple births or adoptions, the deduction for each child is increased by 60 euro.

Tax credit for acquisition or construction of primary residence by individuals under 36 years old (*Deducción por adquisición o construcción de vivienda habitual por jóvenes*): A credit of 3% of the amounts paid. The deduction percentage increases to 5% when the general taxable base of the Personal Income Tax (IRPF) does not exceed 18,030 euro for individual taxation or 30,050 euro for joint taxation, provided that the savings taxable base does not exceed 1,800 euro. The requirements must be met in order to qualify for the state tax credit in the acquisition or construction of a principal residence

Tax credit for renovation of primary residence (*Deducción por rehabilitación de vivienda habitual*): A credit of 2% of the amounts paid. For individuals under 36 years old, the deduction percentage is 5% as a general rule and increases to 7% when the general taxable base of the Personal Income Tax (IRPF) does not exceed 18,030 euro for individual taxation or 30,050 euro for joint taxation, provided that the savings taxable base does not exceed 1,800 euro. The requirements for the state deduction for renovation works on primary residence must be met to be eligible for this tax credit.

Tax credit for expenses in nurseries, childcare centers, or hired personnel for the care of children aged 0 to 3 years old (*Deducción por gastos en escuelas infantiles, centros infantiles o personal contratado para el cuidado de hijos de 0 a 3 años*): A credit of 30% of the expenses, with a maximum limit of 600 euro per child, applicable to taxpayers who establish their habitual residence in small municipalities of La Rioja and maintain it as of the tax accrual date. To be entitled to this tax credit, the general taxable base of the Personal Income Tax (IRPF) must not exceed €18,030 for individual taxation or €30,050 for joint taxation, and the savings taxable base must not exceed €1,800.

Tax credit for fostering or guardianship for adoption purposes (*Deducción por acogimiento familiar de menores o guarda con fines de adopción*): A credit of 300 euro for each child in emergency, temporary, or permanent foster care, or guardianship for adoption, formalized by the competent authority of La Rioja. To be eligible for this deduction, taxpayers must cohabit with the child for 183 days or more during the tax period. However, if the cohabitation time is less than 183 days but more than 90 days, the deduction will be 150 euro for each fostered child. The taxpayer may apply the deduction if they have fostered different children during the tax year, provided that none of them stays for more than 90 days, but the sum of the periods of different fostering exceeds, at least, this period.

Tax credit for schooling expenses for children aged 0 to 3 (*Deducción por gastos de escolarización de hijos de 0 a 3 años*): A credit of 20% of the non-subsidized schooling expenses for each child aged 0 to 3 enrolled for a minimum period of 6 months in a school or childcare center in any municipality of La Rioja, with a maximum limit of 600 euro per child. Co-residence with the child, entitlement to the minimum for dependents, and a general taxable base not exceeding

18,030 euro for individual taxation or 30,050 euro for joint taxation, with a savings taxable base not exceeding 1,800 euro, are required for eligibility. For the application of this deduction, expenses include amounts paid for pre-registration and enrolment, attendance during regular and extended hours, and meals, provided they are not considered exempt in-kind employment income. The deduction base for each child is limited to the total amount of non-subsidized expenses paid during the tax year.

Tax credit for internet access expenses for emancipated individuals under 36 years old

(Deducción por gastos de acceso a internet para jóvenes emancipados): 30% of annual expenses as a general rule, or 40% for single-parent households or residents in small municipalities of La Rioja. Requirements: ownership or leasing of the residence, contract in the taxpayer's name for at least 6 months before the tax date, once per residence and taxpayer, no links to economic activities, and taxable base limits. To be entitled to this tax credit, the general taxable base of the Personal Income Tax (IRPF) must not exceed €18,030 for individual taxation or €30,050 for joint taxation, and the savings taxable base must not exceed €1,800.

Tax credit for electricity and gas supply expenses for emancipated individuals under 36 years old

(Deducción por gastos de suministro de luz y gas para jóvenes emancipados): 15% of annual expenses as a general rule, 20% for young taxpayers with their habitual residence in small municipalities of La Rioja, and 25% for young taxpayers in single-parent households. Requirements: ownership or leasing of the residence, contract in the taxpayer's name for at least 6 months before the tax date, once per residence and taxpayer, no links to economic activities, and taxable base limits. To be entitled to this tax credit, the general taxable base of the Personal Income Tax (IRPF) must not exceed €18,030 for individual taxation or €30,050 for joint taxation, and the savings taxable base must not exceed €1,800.

Tax credit for rental of primary residence for taxpayers under 36 years old

(Deducción por arrendamiento de vivienda habitual para contribuyentes menores de 36 años): 10% of non-subsidized amounts paid during the tax year for renting a primary residence located in La Rioja, with an annual limit of 300 euro, or 20% if the residence is located in any of the municipalities listed in Annex I of Law 10/2017, with an annual limit of 400 euro. Requirements: taxpayer under 36 years old, residence occupied by taxpayer, submitted ITP and AJD model for lease contract, no other deduction for primary residence, taxable base limits, and documentary justification. To be entitled to this tax credit, the general taxable base of the Personal Income Tax (IRPF) must not exceed €18,030 for individual taxation or €30,050 for joint taxation, and the savings taxable base must not exceed €1,800.

Tax credit for expenses related to physical exercise and sports practice for the taxpayer, spouse, and dependents eligible for personal and family allowances

(Deducción por gastos en servicios relativos al ejercicio físico y la práctica deportiva): 30% deduction, or 100% for individuals over 65 or those with a certified disability of 33% or higher. Eligible expenses include gym memberships, services provided by entities registered in the Rioja Sports Registry, sports or physical education classes, and sports federation licenses. The deduction is subject to documentary justification through corresponding invoices.

Statistical Annex 1. Validation Tables

Table S.A.1 Validation Tables

Table A3.1. Original income in EUROMOD – Number of recipients (thousands)

	Simulated (Y / N)	EUROMOD				External				Ratio			
		2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Earnings (ils_earn)													
employment income (rendimientos del trabajo por cuenta ajena) (yem)	N	22,647	23,319	23,319	23,319	19,629	20,099	NaN	NaN	1.15	1.16	NaN	NaN
self-employment income (rendimientos del trabajo por cuenta propia) (yse)	N	3,706	3,802	3,802	3,802	3,142	3,118	NaN	NaN	1.18	1.22	NaN	NaN
covid-19 compensation paid by the firm [Note: equal to 0 in baseline] (yemmc_s)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Other original income (ils_origy - ils_earn)													
investment income (rendimientos del capital) (yiy)	N	7,971	10,003	10,003	10,003	8,467	9,741	NaN	NaN	0.94	1.03	NaN	NaN
income from property (rendimientos por propiedad) (ypr)	N	5,023	5,085	5,085	5,085	3,019	3,142	NaN	NaN	1.66	1.62	NaN	NaN
private transfers (transferencias privadas) (ypt)	N	1,114	1,065	1,065	1,065	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
private pension (pension privada) (ypp)	N	859	870	870	870	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
income of children under 16 (ingresos de menores de 16 años) (yot)	N	225	308	308	308	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
maintenance payment (pago de transferencias privadas) (xmp)	N	2,580	2,588	2,588	2,588	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

Source: Own elaboration.

... continued **Table A3.1**

	Source	Comments
Earnings (ils_earn)		
employment income (rendimientos del trabajo por cuenta ajena) (yem)	Tax authorities	AEAT - Labour and Pensions Statistics (Form 190)
self-employment income (rendimientos del trabajo por cuenta propia) (yse)	Tax authorities	AEAT - Statistics of income from economic activities
covid-19 compensation paid by the firm - [Note: equal to 0 in baseline] (yemmc_s)	-	Not available
Other original income (ils_origy - ils_earn)		
investment income (rendimientos del capital) (yiy)	Tax authorities	AEAT - Statistics of personal income tax filers. Statistics. Income from movable capital included
income from property (rendimientos por propiedad) (ypr)	Tax authorities	AEAT - Personal Income Tax Statistics. Real Estate - Full Income
private transfers (transferencias privadas) (ypt)	-	Not available
private pension (pension privada) (ypp)	-	INVERCO - annual statistics - Annex 5.1 (benefits)
income of children under 16 (ingresos de menores de 16 años) (yot)	-	Not available
maintenance payment (pago de transferencias privadas) (xmp)	-	Not available

Source: Own elaboration.

Table A3.2. Original income in EUROMOD – Annual amounts (millions)

	Simulated (Y / N)	EUROMOD				External				Ratio			
		2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Earnings (ils_earn)													
employment income (rendimientos del trabajo por cuenta ajena) (yem)	N	523,784	554,137	574,312	592,193	447,160	481,980	NaN	NaN	1.17	1.15	NaN	NaN
self-employment income (rendimientos del trabajo por cuenta propia) (yse)	N	57,822	65,231	67,712	69,879	44,707	47,101	NaN	NaN	1.29	1.38	NaN	NaN
covid-19 compensation paid by the firm [Note: equal to 0 in baseline] (yemmc_s)	Y	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Other original income (ils_origy - ils_earn)													
investment income (rendimientos del capital) (yiy)	N	8,754	11,543	18,388	21,328	17,355	20,176	NaN	NaN	0.50	0.57	NaN	NaN
income from property (rendimientos por propiedad) (ypr)	N	16,816	18,183	18,183	18,183	26,862	29,502	NaN	NaN	0.63	0.62	NaN	NaN
private transfers (transferencias privadas) (ypt)	N	3,241	2,996	3,110	3,209	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
private pension (pension privada) (ypp)	N	6,587	5,937	5,865	5,870	6,244	NaN	NaN	NaN	1.05	NaN	NaN	NaN
income of children under 16 (ingresos de menores de 16 años) (yot)	N	276	365	365	365	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
maintenance payment (pago de transferencias privadas) (xmp)	N	5,517	5,565	5,720	5,869	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

Source: Own elaboration.

Table A3.3. Direct taxes and SIC - Number of payers (thousands)

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Direct taxes (ils_tax)																					
Personal income tax (tin_s)	Y	22,946	23,411	23,330	23,583	0	0	0	0	0.00	0.00	0.00	0.00	15,965	16,624	NaN	NaN	1.44	1.41	NaN	NaN
Wealth taxes (twl)	N	22,106	21,682	21,682	21,682	22,106	21,682	21,682	21,682	1.00	1.00	1.00	1.00	44,302	44,440	44,861	NaN	0.50	0.49	0.48	NaN
Employee Social Insurance Contributions (ils_sicee)		22,647	23,319	23,319	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	18,605	19,212	19,760	NaN	1.22	1.21	1.18	NaN
employee pension social contribution (cotizacion social del empleado - pensiones) (tscepi_s)	Y	22,647	23,319	23,319	23,319	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
employee unemployment social contribution (cotizacion social del empleado - desempleo) (tsceui_s)	Y	22,647	23,319	23,319	23,319	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
other employee social contribution (cotizacion social del empleado - otras) (tsceot_s)	Y	22,647	23,319	23,319	23,319	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
employee social contribution intergenerational equity mechanism (tsceeie_s)	Y	0	821	821	821	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
employee social additional solidarity contribution (tsceas_s)	Y	0	0	0	1,712	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Self-employed Social Insurance Contributions (ils_sice)		3,706	3,802	3,802	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	3,331	3,335	3,369	NaN	1.11	1.14	1.13	NaN
self-employed pension social contribution (cotizacion social del trabajador autonomo - pension) (tscsepi_s)	Y	3,706	3,802	3,802	3,802	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
self-employed health social contribution (cotizacion social del trabajador autonomo - enfermedad) (tscsehl_s)	Y	3,706	3,802	3,802	3,802	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
self-employed others: e.g. occupational trainings (formación y cese de actividad) - Compulsory since 2019 (tscseot_s)	Y	3,412	3,478	3,478	3,478	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
self-employment: intergenerational equity mechanism (tscseie_s)	Y	0	324	324	324	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Employer Social Insurance Contributions (ils_sicer)		22,647	23,319	23,319	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	18,605	19,212	19,760	NaN	1.22	1.21	1.18	NaN
employer pension social contribution (tscerpi_s)	Y	22,647	23,319	23,319	23,319	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
employer unemployment social contribution (tscerui_s)	Y	22,647	23,319	23,319	23,319	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
other employer social contribution (tscerot_s)	Y	22,647	23,319	23,319	23,319	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
tax : sic : employer : internet expenses : simulated (tscerie_s)	Y	0	821	821	821	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
employer social additional solidarity contribution (tsceras_s)	Y	0	0	0	1,714	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Credited Contributions (ils_sicct)																					
unemployed social contribution paid by social security (cotizacion social del desempleado - pagada por el INEM) (tscuner_s)	Y	2,765	2,804	2,804	2,804	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] employer credited contributions: pension (tsccterpi_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] employer credited contributions: unemployment (tsccterui_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] employer credited contributions: other (tsccterot_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] self-employed credited contributions: pension (tscctsepi_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] self-employed credited contributions: health (tscctsehl_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] self-employed credited contributions: other (tscctseot_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Other Contributions (ils_sicot)																					
unemployed social contribution paid by unemployed (cotizacion social del desempleado - pagada por el desempleado) (tscunee_s)	Y	2,765	2,804	2,804	2,804	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] contribution paid by the employee during wage compensation: pension (tscbeeeepi_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] contribution paid by the employee during wage compensation: unemployment (tscbeeeui_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] contribution paid by the employee during wage compensation: other (tscbeeeot_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

Source: Own elaboration.

... continued **Table A3.3**

Source		Comments
Direct taxes (ils_tax)		
Personal income tax (tin_s)	Tax authorities	AEAT -Statistics by tax. Personal incomeTax Statistics (cuota liquida)
Wealth taxes (twl)	Tax authorities	AEAT -Statistics by tax. Wealth Statistics
Employee Social Insurance Contributions (ils_sicee)		
employee pension social contribution (cotizacion social del empleado - pensiones) (tsceepi_s)	-	Not available
employee unemployment social contribution (cotizacion social del empleado - desempleo) (tsceeu_i_s)	-	Not available
other employee social contribution (cotizacion social del empleado - otras) (tsceoot_s)	-	Not available
employee social contribution intergenerational equity mechanism (tsceeie_s)	-	-
employee social additional solidarity contribution (tsceeeas_s)	-	-
Self-employed Social Insurance Contributions (ils_sicse)		
self-employed pension social contribution (cotizacion social del trabajador autonomo - pension) (tscsepi_s)	-	Not available
self-employed health social contribution (cotizacion social del trabajador autonomo - enfermedad) (tscsehl_s)	-	Not available
self-employed others: e.g. occupational trainings (formación y cese de actividad) - Compulsory since 2019 (tscseot_s)	-	Not available
self-employment: intergenerational equity mechanism (tscseie_s)	-	-
Employer Social Insurance Contributions (ils_sicer)		
employer pension social contribution (tscerpi_s)	-	Not available

Source	Comments
employer unemployment social contribution - (tscerui_s)	Not available
other employer social contribution (tscerot_s) -	Not available
tax : sic : employer : internet expenses : simulated (tscerie_s)	-
employer social additional solidarity contribution (tsceras_s)	-
Credited Contributions (ils_sicct)	
unemployed social contribution paid by social security (cotizacion social del desempleado - pagada por el INEM) (tscuner_s)	Not available
[Covid-19] employer credited contributions: pension (tsccterpi_s)	Not available
[Covid-19] employer credited contributions: unemployment (tsccterui_s)	Not available
[Covid-19] employer credited contributions: other (tsccterot_s)	Not available
[Covid-19] self-employed credited contributions: pension (tscctsepi_s)	Not available
[Covid-19] self-employed credited contributions: health (tscctsehl_s)	Not available
[Covid-19] self-employed credited contributions: other (tscctseot_s)	Not available
Other Contributions (ils_sicot)	
unemployed social contribution paid by unemployed (cotizacion social del desempleado - pagada por el desempleado) (tscunee_s)	Not available
[Covid-19] contribution paid by the employee - during wage compensation: pension (tsabeeepi_s)	Not available
[Covid-19] contribution paid by the employee - during wage compensation: unemployment (tsabeeui_s)	Not available
[Covid-19] contribution paid by the employee - during wage compensation: other (tsabeeot_s)	Not available

Source: Own elaboration.

Table A3.4. Direct taxes and SIC – Annual amounts (millions)

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Direct taxes (ils_tax)																					
Personal income tax (tin_s)	Y	120,008	130,106	139,764	147,400	0	0	0	0	0.00	0.00	0.00	0.00	108,855	118,143	NaN	NaN	1.10	1.10	NaN	NaN
Wealth taxes (twl)	N	6,163	6,237	6,237	6,237	6,163	6,237	6,237	6,237	1.00	1.00	1.00	1.00	16,157	16,896	NaN	NaN	0.38	0.37	NaN	NaN
Employee Social Insurance Contributions (ils_sicee)		31,018	32,840	34,385	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	20,917	23,203	25,104	NaN	1.48	1.42	1.37	NaN
employee pension social contribution (cotizacion social del empleado - pensiones) (tsceepi_s)	Y	22,962	24,305	25,447	26,308	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
employee unemployment social contribution (cotizacion social del empleado - desempleo) (tsceei_s)	Y	7,573	8,015	8,392	8,676	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
other employee social contribution (cotizacion social del empleado - otras) (tsceet_s)	Y	483	511	534	552	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
employee social contribution intergenerational equity mechanism (tsceeie_s)	Y	NaN	9	12	14	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
employee social additional solidarity contribution (tsceas_s)	Y	NaN	NaN	NaN	82	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Self-employed Social Insurance Contributions (ils_sicse)		14,963	14,551	14,824	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	11,533	11,967	12,177	NaN	1.30	1.22	1.22	NaN
self-employed pension social contribution (cotizacion social del trabajador autonomo - pension) (tscsepi_s)	Y	14,263	13,860	14,119	15,124	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
self-employed health social contribution (cotizacion social del trabajador autonomo - enfermedad) (tscsehl_s)	Y	408	393	399	423	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
self-employed others: e.g. occupational trainings (formación y cese de actividad) - Compulsory since 2019 (tscseot_s)	Y	292	281	285	302	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
self-employment: intergenerational equity mechanism (tscseie_s)	Y	NaN	17	20	24	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	278	327	NaN	NaN	0.06	0.06	NaN
Employer Social Insurance Contributions (ils_sicer)		145,773	154,341	161,598	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	94,993	105,543	113,990	NaN	1.53	1.46	1.42	NaN
employer pension social contribution (tscerpi_s)	Y	115,037	121,767	127,485	131,821	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
employer unemployment social contribution (tscerui_s)	Y	26,871	28,442	29,778	30,786	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
other employer social contribution (tscerot_s)	Y	3,866	4,088	4,276	4,420	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
tax : sic : employer : internet expenses : simulated (tscerie_s)	Y	NaN	44	58	70	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	2,035	2,777	NaN	NaN	0.02	0.02	NaN
employer social additional solidarity contribution (tsceras_s)	Y	NaN	NaN	NaN	415	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Credited Contributions (ils_sicct)																					
unemployed social contribution paid by social security (cotizacion social del desempleado - pagada por el INEM) (tscuner_s)	Y	4,205	4,315	4,479	4,622	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] employer credited contributions: pension (tsccterpi_s)	Y	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] employer credited contributions: unemployment (tsccterui_s)	Y	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] employer credited contributions: other (tsccterot_s)	Y	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] self-employed credited contributions: pension (tscctsepi_s)	Y	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] self-employed credited contributions: health (tscctsehl_s)	Y	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] self-employed credited contributions: other (tscctseot_s)	Y	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Other Contributions (ils_sicot)																					
unemployed social contribution paid by unemployed (cotizacion social del desempleado - pagada por el desempleado) (tscunee_s)	Y	837	859	892	921	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] contribution paid by the employee during wage compensation: pension (tscbeeeepi_s)	Y	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] contribution paid by the employee during wage compensation: unemployment (tscbeeeui_s)	Y	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] contribution paid by the employee during wage compensation: other (tscbeeeot_s)	Y	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

Source: Own elaboration.

Table A3.5. Benefits - Number of recipients (thousands)

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Pensions (ils_pen)																					
contributory disability benefit (prestacion por invalidez) (pdi00)	N	949	980	980	980	949	980	980	980	1.00	1.00	1.00	1.00	951	946	965	NaN	1.00	1.04	1.02	NaN
Other disability pensions (otras prestaciones por discapacidad); only available since 2019 datasets (0 in previous) (pdiot)	N	52	40	40	40	52	40	40	40	1.00	1.00	1.00	1.00	11	10	9	NaN	4.76	4.00	4.45	NaN
contributory old-age pension (pension por vejez contributiva) (poa00)	N	6,760	6,929	6,929	6,929	6,760	6,929	6,929	6,929	1.00	1.00	1.00	1.00	6,254	6,368	6,485	NaN	1.08	1.09	1.07	NaN
other old-age benefits (otras prestaciones por vejez) (poaot)	N	341	354	354	354	341	354	354	354	1.00	1.00	1.00	1.00	220	205	NaN	NaN	1.55	1.72	NaN	NaN
contributory widow pension (pension por viudedad contributiva) (psuwd00)	N	2,170	2,201	2,201	2,201	2,170	2,201	2,201	2,201	1.00	1.00	1.00	1.00	2,352	2,352	2,352	NaN	0.92	0.94	0.94	NaN
other survivor pension (otra pension de supervivencia) (psuot)	N	328	276	276	276	328	276	276	276	1.00	1.00	1.00	1.00	342	341	341	NaN	0.96	0.81	0.81	NaN
Means-tested benefits (ils_benmt)																					
child benefit (prestacion por menores a cargo) (bch00_s)	Y	254	249	244	262	0	0	0	0	0.00	0.00	0.00	0.00	397	355	306	NaN	0.64	0.70	0.80	NaN
national means tested child benefit for birth or adoption (prestación estatal condicional a la renta por nacimiento o adopción) (bchbamtna_s)	Y	44	38	38	37	0	0	0	0	0.00	0.00	0.00	0.00	17	20	22	NaN	2.59	1.88	1.71	NaN
regional means-tested child benefit (prestación regional condicional a la renta por menor a cargo) (bchmtrg_s)	Y	35	27	26	25	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
regional means-tested child benefit for birth/adoption (prestación regional condicional a la renta por nacimiento o adopción) (bchbamtrg_s)	Y	67	74	46	44	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
regional means-tested large family benefit (prestación regional condicional a la renta por familia numerosa) (bchlgmtrg_s)	Y	20	24	24	24	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
scholarships (becas) (bed)	N	1,141	1,104	1,104	1,104	1,141	1,104	1,104	1,104	1.00	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
housing benefit (prestacion por vivienda) (bho)	N	468	562	562	562	468	562	562	562	1.00	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
social assistance benefits (asistencia social) (!) simulation switched off (bsa_s)	Y	1,058	1,223	1,278	1,282	1,472	1,659	1,659	1,659	0.72	0.74	0.77	0.77	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
National minimum income (Ingreso Mínimo Vital) (bsa00_s)	Y	752	864	962	1,002	0	0	0	0	0.00	0.00	0.00	0.00	343	392	NaN	NaN	2.19	2.20	NaN	NaN
Regional minimum incomes (Rentas Mínimas de Inserción) (bsarg_s)	Y	388	415	374	331	0	0	0	0	0.00	0.00	0.00	0.00	259	NaN	NaN	NaN	1.50	NaN	NaN	NaN
unemployment assistance (prestación por desempleo asistencial) (bunnc_s)	Y	1,043	984	989	624	1,541	1,424	1,424	1,424	0.68	0.69	0.69	0.44	720	724	NaN	NaN	1.45	1.36	NaN	NaN
temporary unemployment protection program (programa temporal de protección por desempleo e inserción). (bunmt_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
other unemployment benefits (bunot)	N	840	749	749	749	840	749	749	749	1.00	1.00	1.00	1.00	97	88	NaN	NaN	8.66	8.51	NaN	NaN
contributory disability pension complement (pdicm)	N	137	145	145	145	137	145	145	145	1.00	1.00	1.00	1.00	135	141	NaN	NaN	1.02	1.03	NaN	NaN
non contributory disability pension (pdinc)	N	123	141	141	141	123	141	141	141	1.00	1.00	1.00	1.00	176	171	NaN	NaN	0.70	0.83	NaN	NaN
contributory old-age pension complement (complemento por mínimo a pensión por vejez) (poacm_s)	Y	1,110	1,117	1,125	1,135	1,189	1,182	1,182	1,182	0.93	0.95	0.95	0.96	1,256	1,247	NaN	NaN	0.88	0.90	NaN	NaN
non contributory old-age pension (pensión no contributiva por vejez) (poanc_s)	Y	237	234	235	238	254	254	254	254	0.93	0.92	0.93	0.93	272	282	NaN	NaN	0.87	0.83	NaN	NaN
contributory widow pension complement (complemento por mínimo a pensión por viudedad) (psuwcdm_s)	Y	496	507	508	512	641	645	645	645	0.77	0.79	0.79	0.79	600	585	NaN	NaN	0.83	0.87	NaN	NaN
Emergency lump-sum benefit for families with low income and wealth (bwrls_s)	Y	630	1,654	0	0	0	0	0	0	0.00	0.00	0.00	0.00	631	1,656	NaN	NaN	1.00	1.00	NaN	NaN
Non-means-tested benefits (ils_bennt)																					
sickness benefit (prestación por enfermedad) (bhl)	N	1,136	870	870	870	1,136	870	870	870	1.00	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
maternity benefit (prestación por maternidad) (bma)	N	401	410	410	410	401	410	410	410	1.00	1.00	1.00	1.00	475	469	473	NaN	0.84	0.88	0.87	NaN
Maternity leave benefit (Prestación por maternidad) (bmact_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Contributory paternity leave benefit (Permiso por paternidad) (bpact_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Non-contributory maternity leave benefit (Prestación por maternidad no contributiva) (bmanc_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
national universal child benefit for birth/adoption (prestación estatal no condicional a la renta por nacimiento o adopción) (bchbaucna_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Child benefits for multiple birth or adoption (Prestación por parto o adopción múltiple) (bchbaucna02_s)	Y	4	3	3	3	0	0	0	0	0.00	0.00	0.00	0.00	4	4	4	NaN	1.01	0.82	0.82	NaN
regional universal child benefit (prestación regional no condicional por menor a cargo) (bchucrg_s)	Y	14	12	56	56	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
regional universal child benefit for birth/adoption (prestación regional no condicional a la renta por nacimiento o adopción) (bchbaucrg_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
regional universal large family benefit (prestación regional no condicional a la renta por familia numerosa) (bchlgucrg_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
disabled child benefit (prestacion por menor a cargo con incapacidad) (bchdi_s)	Y	163	164	164	164	44	30	30	30	3.71	5.39	5.39	5.39	198	200	202	NaN	0.82	0.82	0.81	NaN
unemployment insurance (prestación por desempleo) (bunct_s)	Y	2,765	2,804	2,804	2,804	2,868	2,903	2,903	2,903	0.96	0.97	0.97	0.97	743	779	829	NaN	3.72	3.60	3.38	NaN
unemployment insurance for self-employed (prestación por cese de actividad) (bunct02_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
severance payment (indemnización por cese) (ysv)	N	635	557	557	557	635	557	557	557	1.00	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Working mother refundable tax credit (tintrch_s)	Y	733	710	710	710	387	437	437	437	1.89	1.62	1.62	1.62	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Working large families tax credit (tintrchlg_s)	Y	1,379	1,622	1,622	1,622	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Working lone parent tax credit (tintrchlp_s)	Y	209	189	189	185	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] wage compensation paid by the state (ERTEs) (bwkmcee_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
[Covid-19] self-employment compensation paid by the state (Prestación extraordinaria por cese de actividad durante el estado de alarma) (bwkmcse_s)	Y	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Other external statistics (ils_extstat_other)																					
Galicia (i_bsarg_11)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Asturias (i_bsarg_12)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Cantabria (i_bsarg_13)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Pais Vasco (i_bsarg_21)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Navarra (i_bsarg_22)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
La Rioja (i_bsarg_23)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Aragon (i_bsarg_24)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Madrid (i_bsarg_30)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Cast. Y Leon (i_bsarg_41)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
C. La Mancha (i_bsarg_42)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Extremadura (i_bsarg_43)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Cataluña (i_bsarg_51)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
C.Valenciana (i_bsarg_52)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Baleares (i_bsarg_53)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Andalucía (i_bsarg_61)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Murcia (i_bsarg_62)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Ceuta (i_bsarg_63)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Melilla (i_bsarg_64)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Canarias (i_bsarg_70)	N	0	0	0	0	0	0	0	0	0.00	0.00	0.00	0.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

Source: Own elaboration.

... continued **Table A3.5**

	Source	Comments
Pensions (ils_pen)		
contributory disability benefit (prestacion por invalidez) (pdi00)	Ministry of employment	Annual Yearbook. Contributory pension. PEN-01 tab
Other disability pensions (otras prestaciones por discapacidad); only available since 2019 datasets (0 in previous) (pdiot)	Ministry of employment	"Other NC disability benefits" + " LISMI
contributory old-age pension (pension por vejez contributiva) (poa00)	Ministry of employment	Annual Yearbook. Contributory pension. PEN-01 tab
other old-age benefits (otras prestaciones por vejez) (poaot)	Ministry of employment	"Total SOVI"+ "Other NC old-age benefit"
contributory widow pension (pension por viudedad contributiva) (psuwd00)	Ministry of employment	Annual Yearbook. Contributory pension. PEN-01 tab
other survivor pension (otra pension de supervivencia) (psuot)	Ministry of employment	Annual Yearbook.. Contributory pension. PEN-01 tab
Means-tested benefits (ils_benmt)		
child benefit (prestacion por menores a cargo) (bch00_s)	Ministry of employment	Annual Yearbook. Child benefits per dependent child. PRF2 tab
national means tested child benefit for birth or adoption (prestación estatal condicional a la renta por nacimiento o adopción) (bchbamtna_s)	Ministry of employment	Annual Yearbook. Child benefits per dependent child. PRF4 tab
regional means-tested child benefit (prestación regional condicional a la renta por menor a cargo) (bchmtrg_s)	-	Not available
regional means-tested child benefit for birth/adoption (prestación regional condicional a la renta por nacimiento o adopción) (bchbamtrg_s)	-	Not available
regional means-tested large family benefit (prestación regional condicional a la renta por familia numerosa) (bchlgmtrg_s)	-	Not available
scholarships (becas) (bed)	-	Not available
housing benefit (prestacion por vivienda) (bho)	-	Not available
social assistance benefits (asistencia social) (!) simulation switched off (bsa_s)	-	-
National minimum income (Ingreso Mínimo Vital) (bsa00_s)	Ministry of Inclusion, Social Security and Migration	Social Security Budget (Liquidaciones) .The amount includes benefits for family protection
Regional minimum incomes (Rentas Mínimas de Insercion) (bsarg_s)	Ministry of Social Rights and 2030 Agenda	Regional minimum income. Annual reports
unemployment assistance (prestacion por desempleo asistencial) (bunnc_s)	Ministry of employment	Annual Yearbook. Unemployment benefits. PRD-1 tab
temporary unemployment protection program (programa temporal de protección por desempleo e inserción). (bunmt_s)	Ministry of employment	Annual Yearbook. Unemployment benefits. PRD-1 tab

	Source	Comments
other unemployment benefits (bunot)	Ministry of employment	Annual Yearbook. Unemployment benefits. PRD-1 tab
contributory disability pension complement (pdicm)	Ministry of employment	Annual Yearbook. Contributory pension. PEN-10 tab
non contributory disability pension (pdinc)	Ministry of employment	Annual Yearbook. Non-contributory disability benefit. PNC-1 tab
contributory old-age pension complement (complemento por mínimo a pension por vejez) (poacm_s)	Ministry of employment	Annual Yearbook. Contributory pension. PEN-10 tab
non contributory old-age pension (pension no contributiva por vejez) (poanc_s)	Ministry of employment	Annual Yearbook. Non-contributory old age pension. PNC-1 tab
contributory widow pension complement (complemento por mínimo a pension por viudedad) (psuwdc_m_s)	Ministry of employment	Annual Yearbook. Contributory Widow's pension complement. PEN-10 tab
Emergency lump-sum benefit for families with low income and wealth (bwrls_s)	Tax Agency	Portal de transparencia
Non-means-tested benefits (ils_bennt)		
sickness benefit (prestacion por enfermedad) (bhl)	-	Not available
maternity benefit (prestación por maternidad) (bma)	Ministry of employment	Annual Yearbook. Birth and child care benefits. PNM03 tab
Maternity leave benefit (Prestación por maternidad) (bmact_s)	-	Not available
Contributory paternity leave benefit (Permiso por paternidad) (bpact_s)	-	Not available
Non-contributory maternity leave benefit (Prestación por maternidad no contributiva) (bmanc_s)	-	Not available
national universal child benefit for birth/adoption (prestación estatal no condicional a la renta por nacimiento o adopción) (bchbaucna_s)	-	-
Child benefits for multiple birth or adoption (Prestación por parto o adopción múltiple) (bchbaucna02_s)	Ministry of employment	Annual Yearbook. Child benefits per dependent child. PRF4 tab
regional universal child benefit (prestación regional no condicional por menor a cargo) (bchucrg_s)	-	Not available
regional universal child benefit for birth/adoption (prestación regional no condicional a la renta por nacimiento o adopción) (bchbaucrg_s)	-	Not available
regional universal large family benefit (prestación regional no condicional a la renta por familia numerosa) (bchlucrg_s)	-	Not available
disabled child benefit (prestacion por menor a cargo con incapacidad) (bchdi_s)	Ministry of employment	Annual Yearbook. Child benefits per dependent child. PRF2 tab
unemployment insurance (prestación por desempleo) (bunct_s)	Ministry of employment	Annual Yearbook. Unemployment benefits. PRD-1 tab
unemployment insurance for self-employed (prestación por cese de actividad) (bunct02_s)	-	Not available

	Source	Comments
severance payment (indemnización por cese) (ysv)	-	Not available
Working mother refundable tax credit (tintrch_s)	-	Not available
Working large families tax credit (tintrchlq_s)	-	Not available
Working lone parent tax credit (tintrchlp_s)	-	Not available
[Covid-19] wage compensation paid by the state (ERTEs) (bwkmcee_s)	-	Not available
[Covid-19] self-employment compensation paid by the state (Prestación extraordinaria por cese de actividad durante el estado de alarma) (bwkmcse_s)	-	Not available
Other external statistics (ils_extstat_other)		
Galicia (i_bsarg_11)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
Asturias (i_bsarg_12)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
Cantabria (i_bsarg_13)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
Pais Vasco (i_bsarg_21)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
Navarra (i_bsarg_22)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
La Rioja (i_bsarg_23)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
Aragon (i_bsarg_24)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
Madrid (i_bsarg_30)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
Cast. Y Leon (i_bsarg_41)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
C. La Mancha (i_bsarg_42)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
Extremadura (i_bsarg_43)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
Cataluña (i_bsarg_51)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
C.Valenciana (i_bsarg_52)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
Baleares (i_bsarg_53)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
Andalucía (i_bsarg_61)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-

	Source	Comments
Murcia (i_bsarg_62)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
Ceuta (i_bsarg_63)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
Melilla (i_bsarg_64)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-
Canarias (i_bsarg_70)	Informe de Rentas Mínimas de Inserción. Ministerio de Derechos Sociales, Consumo y Agenda 2030	-

Source: Own elaboration.

Table A3.6. Benefits – Annual amounts (million)

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Pensions (ils_pen)																					
contributory disability benefit (prestacion por invalidez) (pdi00)	N	13,356	14,364	14,910	15,327	13,356	14,364	14,910	15,327	1.00	1.00	1.00	1.00	13,779	14,819	15,719	NaN	0.97	0.97	0.95	NaN
Other disability pensions (otras prestaciones por discapacidad); only available since 2019 datasets (0 in previous) (pdiot)	N	176	134	139	145	176	134	139	145	1.00	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
contributory old-age pension (pension por vejez contributiva) (poa00)	N	128,971	141,120	146,483	150,584	128,971	141,120	146,483	150,584	1.00	1.00	1.00	1.00	109,804	122,540	130,980	NaN	1.17	1.15	1.12	NaN
other old-age benefits (otras prestaciones por vejez) (poaot)	N	3,017	2,946	3,151	3,438	3,017	2,946	3,151	3,438	1.00	1.00	1.00	1.00	1,499	1,112	NaN	NaN	2.01	2.65	NaN	NaN
contributory widow pension (pension por viudedad contributiva) (psuwd00)	N	22,567	24,687	25,625	26,342	22,567	24,687	25,625	26,342	1.00	1.00	1.00	1.00	25,630	28,041	29,506	NaN	0.88	0.88	0.87	NaN
other survivor pension (otra pension de supervivencia) (psuot)	N	2,151	1,795	2,047	2,234	2,151	1,795	2,047	2,234	1.00	1.00	1.00	1.00	2,098	2,285	2,396	NaN	1.03	0.79	0.85	NaN
Means-tested benefits (ils_benmt)																					
child benefit (prestacion por menores a cargo) (bch00_s)	Y	264	256	272	287	0	0	0	0	0.00	0.00	0.00	0.00	184	205	144	NaN	1.44	1.25	1.89	NaN
national means tested child benefit for birth or adoption (prestación estatal condicional a la renta por nacimiento o adopción) (bchbamtna_s)	Y	44	37	37	36	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	18	20	23	NaN	2.44	1.86	1.61	NaN
regional means-tested child benefit (prestación regional condicional a la renta por menor a cargo) (bchmtrg_s)	Y	34	25	23	23	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
regional means-tested child benefit for birth/adoption (prestación regional condicional a la renta por nacimiento o adopción) (bchbamtrg_s)	Y	105	163	132	131	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
regional means-tested large family benefit (prestación regional condicional a la renta por familia numerosa) (bchlgmtrg_s)	Y	32	39	39	39	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
scholarships (becas) (bed)	N	1,583	1,708	1,668	1,668	1,583	1,708	1,668	1,668	1.00	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
housing benefit (prestacion por vivienda) (bho)	N	533	600	614	627	533	600	614	627	1.00	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
social assistance benefits (asistencia social) (!) simulation switched off (bsa_s)	Y	3,894	4,099	4,312	4,749	4,108	4,319	4,319	4,319	0.95	0.95	1.00	1.10	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
National minimum income (Ingreso Mínimo Vital) (bsa00_s)	Y	2,247	2,503	2,837	3,266	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	1,919	2,504	2,840	NaN	1.17	1.00	1.00	NaN
Regional minimum incomes (Rentas Mínimas de Inserción) (bsarg_s)	Y	1,647	1,595	1,475	1,483	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	1,729	1,650	NaN	NaN	0.95	0.97	NaN	NaN
unemployment assistance (prestación por desempleo asistencial) (bunnc_s)	Y	3,655	3,636	3,646	2,911	5,099	4,989	4,989	4,989	0.72	0.73	0.73	0.58	5,992	6,414	NaN	NaN	0.61	0.57	NaN	NaN
temporary unemployment protection program (programa temporal de protección por desempleo e inserción). (bunmt_s)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
other unemployment benefits (bunot)	N	99	125	125	125	99	125	125	125	1.00	1.00	1.00	1.00	606	567	NaN	NaN	0.16	0.22	NaN	NaN
contributory disability pension complement (pdicm)	N	230	220	229	235	230	220	229	235	1.00	1.00	1.00	1.00	271	283	NaN	NaN	0.85	0.78	NaN	NaN
non contributory disability pension (pdinc)	N	695	877	911	936	695	877	911	936	1.00	1.00	1.00	1.00	1,062	1,125	NaN	NaN	0.65	0.78	NaN	NaN
contributory old-age pension complement (complemento por mínimo a pensión por vejez) (poacm_s)	Y	4,070	4,359	4,752	5,415	3,775	4,085	4,369	4,768	1.08	1.07	1.09	1.14	4,140	4,397	NaN	NaN	0.98	0.99	NaN	NaN
non contributory old-age pension (pensión no contributiva por vejez) (poanc_s)	Y	1,617	1,556	1,667	1,835	1,406	1,564	1,672	1,823	1.15	0.99	1.00	1.01	1,499	1,743	NaN	NaN	1.08	0.89	NaN	NaN
contributory widow pension complement (complemento por mínimo a pensión por viudedad) (psuwdc_m_s)	Y	1,957	2,025	2,194	2,446	1,975	2,219	2,531	2,762	0.99	0.91	0.87	0.89	2,193	2,291	NaN	NaN	0.89	0.88	NaN	NaN
Emergency lump-sum benefit for families with low income and wealth (bwrls_s)	Y	126	331	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	126	331	NaN	NaN	1.00	1.00	NaN	NaN
Non-means-tested benefits (ils_bennt)																					
sickness benefit (prestación por enfermedad) (bhl)	N	3,299	3,585	3,721	3,841	3,299	3,585	3,721	3,841	1.00	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
maternity benefit (prestación por maternidad) (bma)	N	1,429	1,650	1,729	1,794	1,429	1,650	1,729	1,794	1.00	1.00	1.00	1.00	3,272	3,436	3,626	NaN	0.44	0.48	0.48	NaN
Maternity leave benefit (Prestación por maternidad) (bmact_s)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Contributory paternity leave benefit (Permiso por paternidad) (bpact_s)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Non-contributory maternity leave benefit (Prestación por maternidad no contributiva) (bmanc_s)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
national universal child benefit for birth/adoption (prestación estatal no condicional a la renta por nacimiento o adopción) (bchbaucna_s)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Child benefits for multiple birth or adoption (Prestación por parto o adopción múltiple) (bchbaucna02_s)	Y	16	14	15	16	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	15	18	20	NaN	1.07	0.79	0.74	NaN
regional universal child benefit (prestación regional no condicional por menor a cargo) (bchucrg_s)	Y	9	9	155	155	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
regional universal child benefit for birth/adoption (prestación regional no condicional a la renta por nacimiento o adopción) (bchbaucrg_s)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
regional universal large family benefit (prestación regional no condicional a la renta por familia numerosa) (bchlgucrg_s)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
disabled child benefit (prestacion por menor a cargo con incapacidad) (bchdi_s)	Y	836	922	957	983	152	109	115	118	5.50	8.44	8.30	8.30	1,304	1,427	1,504	NaN	0.64	0.65	0.64	NaN
unemployment insurance (prestación por desempleo) (bunct_s)	Y	11,657	12,438	12,734	12,988	12,008	12,848	13,457	13,969	0.97	0.97	0.95	0.93	13,632	14,596	15,582	NaN	0.86	0.85	0.82	NaN
unemployment insurance for self-employed (prestación por cese de actividad) (bunct02_s)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
severance payment (indemnización por cese) (ysv)	N	3,177	2,653	2,753	2,842	3,177	2,653	2,753	2,842	1.00	1.00	1.00	1.00	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Working mother refundable tax credit (tintrch_s)	Y	881	881	884	885	245	252	252	252	3.60	3.50	3.51	3.51	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Working large families tax credit (tintrchlg_s)	Y	1,019	1,237	1,239	1,239	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Working lone parent tax credit (tintrchlp_s)	Y	244	221	221	216	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] wage compensation paid by the state (ERTEs) (bwkmcee_s)	Y	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
[Covid-19] self-employment compensation paid by the state (Prestación extraordinaria por cese de actividad durante el estado de alarma) (bwkmcse_s)	Y	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Other external statistics (ils_extstat_other)																					
Galicia (i_bsarg_11)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	36	34	31	31	NaN	NaN	NaN	NaN

	Simulated	EUROMOD				SILC				Ratio				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Asturias (i_bsarg_12)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	78	68	55	55	NaN	NaN	NaN	NaN
Cantabria (i_bsarg_13)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	18	14	12	12	NaN	NaN	NaN	NaN
Pais Vasco (i_bsarg_21)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	380	468	471	471	NaN	NaN	NaN	NaN
Navarra (i_bsarg_22)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	97	104	111	111	NaN	NaN	NaN	NaN
La Rioja (i_bsarg_23)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	6	5	3	3	NaN	NaN	NaN	NaN
Aragon (i_bsarg_24)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	7	2	4	4	NaN	NaN	NaN	NaN
Madrid (i_bsarg_30)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	25	12	7	7	NaN	NaN	NaN	NaN
Cast. Y Leon (i_bsarg_41)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	19	16	10	10	NaN	NaN	NaN	NaN
C. La Mancha (i_bsarg_42)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	3	2	2	2	NaN	NaN	NaN	NaN
Extremadura (i_bsarg_43)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	23	23	18	18	NaN	NaN	NaN	NaN
Cataluña (i_bsarg_51)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	526	416	395	395	NaN	NaN	NaN	NaN
C.Valenciana (i_bsarg_52)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	282	301	276	276	NaN	NaN	NaN	NaN
Baleares (i_bsarg_53)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	45	42	38	38	NaN	NaN	NaN	NaN
Andalucía (i_bsarg_61)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	77	47	27	27	NaN	NaN	NaN	NaN
Murcia (i_bsarg_62)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	8	7	8	8	NaN	NaN	NaN	NaN
Ceuta (i_bsarg_63)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	1	1	1	1	NaN	NaN	NaN	NaN
Melilla (i_bsarg_64)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	0	0	0	0	NaN	NaN	NaN	NaN
Canarias (i_bsarg_70)	N	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN	97	87	102	102	NaN	NaN	NaN	NaN

Source: Own elaboration.

Table A3.7. Distribution of equivalised disposable income

	EUROMOD				External				Ratio			
	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Decile 1	2.55	2.66	2.68	2.64	2.40	2.40	NaN	NaN	1.06	1.11	NaN	NaN
Decile 2	4.68	4.76	4.75	4.76	4.70	4.70	NaN	NaN	1.00	1.01	NaN	NaN
Decile 3	6.02	6.10	6.10	6.10	5.90	6.00	NaN	NaN	1.02	1.02	NaN	NaN
Decile 4	7.21	7.26	7.22	7.25	7.10	7.20	NaN	NaN	1.02	1.01	NaN	NaN
Decile 5	8.34	8.35	8.32	8.32	8.30	8.30	NaN	NaN	1.01	1.01	NaN	NaN
Decile 6	9.47	9.55	9.51	9.49	9.40	9.50	NaN	NaN	1.01	1.01	NaN	NaN
Decile 7	10.82	10.89	10.84	10.83	10.80	10.90	NaN	NaN	1.00	1.00	NaN	NaN
Decile 8	12.58	12.58	12.55	12.52	12.60	12.60	NaN	NaN	1.00	1.00	NaN	NaN
Decile 9	15.31	15.16	15.13	15.11	15.30	15.20	NaN	NaN	1.00	1.00	NaN	NaN
Decile 10	23.02	22.70	22.91	22.97	23.40	23.10	NaN	NaN	0.98	0.98	NaN	NaN
Median	17,984	18,977	19,610	20,138	18,316	19,307	NaN	NaN	0.98	0.98	NaN	NaN
Mean	20,187	21,249	22,051	22,661	20,676	21,759	NaN	NaN	0.98	0.98	NaN	NaN
Gini	30.95	30.35	30.51	30.56	31.50	31.20	NaN	NaN	0.98	0.97	NaN	NaN
S80/20	5.30	5.11	5.12	5.14	5.50	5.39	NaN	NaN	0.96	0.95	NaN	NaN

Source: Own elaboration.

Table A3.8. At-risk-of-poverty rates (%) by sex and age

	EUROMOD				External				Ratio			
	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
40% median HDI by sex												
Total	8.18	8.04	8.00	7.73	8.30	8.40	NaN	NaN	0.99	0.96	NaN	NaN
Males	8.03	7.81	7.78	7.48	8.00	8.20	NaN	NaN	1.00	0.95	NaN	NaN
Females	8.32	8.26	8.22	7.98	8.60	8.50	NaN	NaN	0.97	0.97	NaN	NaN
50% median HDI by sex												
Total	13.27	13.16	13.06	12.77	13.10	13.20	NaN	NaN	1.01	1.00	NaN	NaN
Males	13.13	12.85	12.72	12.45	12.80	12.90	NaN	NaN	1.03	1.00	NaN	NaN
Females	13.41	13.45	13.38	13.07	13.30	13.50	NaN	NaN	1.01	1.00	NaN	NaN
60% median HDI by sex												
Total	20.07	19.25	19.26	19.08	20.20	19.70	NaN	NaN	0.99	0.98	NaN	NaN
Males	19.49	18.59	18.56	18.54	19.50	18.90	NaN	NaN	1.00	0.98	NaN	NaN
Females	20.63	19.89	19.93	19.60	20.80	20.40	NaN	NaN	0.99	0.98	NaN	NaN
70% median HDI by sex												
Total	26.57	26.03	26.06	25.88	26.90	26.60	NaN	NaN	0.99	0.98	NaN	NaN
Males	25.63	25.14	25.19	25.07	25.80	25.60	NaN	NaN	0.99	0.98	NaN	NaN
Females	27.47	26.89	26.90	26.67	27.90	27.60	NaN	NaN	0.98	0.97	NaN	NaN
60% median HDI by age group												
0-15 years	27.49	27.71	27.85	27.92	28.50	29.20	NaN	NaN	0.96	0.95	NaN	NaN
16-24 years	25.25	23.52	23.62	23.48	24.60	23.20	NaN	NaN	1.03	1.01	NaN	NaN
25-49 years	18.42	18.28	18.39	18.13	18.30	18.80	NaN	NaN	1.01	0.97	NaN	NaN
50-64 years	17.68	15.99	16.16	16.65	17.30	15.70	NaN	NaN	1.02	1.02	NaN	NaN
65+ years	17.49	16.42	15.94	14.97	18.30	16.90	NaN	NaN	0.96	0.97	NaN	NaN

Source: Own elaboration.

Table A3.9. Consumption taxes (non-calibrated) - Annual amounts (millions)

	Simulated	EUROMOD				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Consumption-tax-related statistics non-calibrated (ils_extstat_ittncl)													
Aggregate expenditures non-calibrated (ils_extstat_ittncl_il_itt_expnc)													
01 Food and non-alcoholic beverages (il_x01)	Y	103,564	112,227	116,456	119,737	103,548	114,111	121,714	121,714	1.00	0.98	0.96	0.98
02 Alcoholic beverages, tobacco, etc. (il_x02)	Y	4,809	5,134	5,327	5,474	24,005	27,216	29,077	29,077	0.20	0.19	0.18	0.19
03 Clothing and footwear (il_x03)	Y	41,582	44,089	45,743	46,985	27,637	32,733	34,941	34,941	1.50	1.35	1.31	1.34
04 Housing, water and fuel (exc. imputed rent) (il_x04)	Y	78,262	82,985	86,145	88,560	77,999	84,548	90,359	90,359	1.00	0.98	0.95	0.98
05 Furnishings, household equipment, etc. (il_x05)	Y	31,743	33,633	34,916	35,914	34,928	42,919	45,823	45,823	0.91	0.78	0.76	0.78
06 Health (il_x06)	Y	25,726	27,499	28,536	29,307	31,532	35,273	37,666	37,666	0.82	0.78	0.76	0.78
07 Transport (il_x07)	Y	92,619	97,290	100,874	103,851	94,777	102,292	109,295	109,295	0.98	0.95	0.92	0.95
08 Communications (il_x08)	Y	21,535	23,141	24,015	24,693	18,796	23,050	24,639	24,639	1.15	1.00	0.97	1.00
09 Recreation and culture (il_x09)	Y	42,703	45,815	47,511	48,809	63,671	66,529	71,095	71,095	0.67	0.69	0.67	0.69
10 Education (il_x10)	Y	10,732	11,638	12,071	12,400	10,046	15,074	16,111	16,111	1.07	0.77	0.75	0.77
11 Hotels and restaurants (il_x11)	Y	73,788	81,140	84,182	86,457	118,001	123,593	132,734	132,734	0.63	0.66	0.63	0.65
12 Miscellaneous good and services (il_x12)	Y	54,482	56,598	58,703	60,333	81,653	80,468	85,760	85,760	0.67	0.70	0.68	0.70
Revenue from indirect taxes (non calibrated) (ils_extstat_ittncl_il_itt_revnc)													
VAT Total Revenue (il_tva)	Y	66,013	67,431	71,719	76,677	94,140	96,030	102,495	NaN	0.70	0.70	0.70	NaN
Excises Total Revenue (il_tx)	Y	9,496	11,386	12,983	12,999	22,011	20,112	NaN	NaN	0.43	0.57	NaN	NaN
Total excises (non calibrated) (ils_extstat_ittncl_il_itt_excnc)													
Revenues Excises 0211 - Spirits (il_tx0211)	Y	153	162	147	149	936	817	NaN	NaN	0.16	0.20	NaN	NaN
Revenues Excises 02121 - Still Wine (il_tx02121)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN

	Simulated	EUROMOD				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Revenues Excises 02122 - Sparkling Wine (il_tx02122)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Revenues Excises 0213 - Beer (il_tx0213)	Y	84	78	94	95	371	341	NaN	NaN	0.23	0.23	NaN	NaN
Revenues Excises 022 - Tobacco (il_tx022)	Y	0	0	0	0	6,903	6,742	NaN	NaN	0.00	0.00	NaN	NaN
Revenues Excises 045 - Energy (electricity, natural gas, coal-coke) (il_tx045)	Y	448	558	1,231	2,432	446	389	NaN	NaN	1.00	1.43	NaN	NaN
Revenues Excises 0451 - Electricity (il_tx0451)	Y	87	98	713	884	185	185	NaN	NaN	0.47	0.53	NaN	NaN
Revenues Excises 04521 - Natural Gas (il_tx04521)	Y	124	143	169	172	209	171	NaN	NaN	0.59	0.84	NaN	NaN
Revenues Excises All Energy (il_tx045_072)	Y	9,259	11,146	12,742	12,756	13,802	12,212	NaN	NaN	0.67	0.91	NaN	NaN

Source: Own elaboration.

Table A3.10. Consumption taxes (calibrated) - Annual amounts (millions)

	Simulated	EUROMOD				External				Ratio			
	(Y / N)	2022	2023	2024	2025	2022	2023	2024	2025	2022	2023	2024	2025
Consumption-tax-related statistics calibrated (ils_extstat_ittcal)													
Revenue from indirect taxes (calibrated) (il_itt_revc)													
VAT Total Revenue (il_tva_na)	Y	76,712	80,845	88,251	93,295	94,140	96,030	102,495	NaN	0.81	0.84	0.86	NaN
Excises Total Revenue (il_tx_na)	Y	10,646	12,973	15,077	14,968	22,011	20,112	NaN	NaN	0.48	0.65	NaN	NaN
Total excises (calibrated) (il_itt_excc)													
Revenues Excises 0211 - Spirits (il_tx0211_na)	Y	762	860	802	807	936	817	NaN	NaN	0.81	1.05	NaN	NaN
Revenues Excises 02121 - Still Wine (il_tx02121_na)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Revenues Excises 02122 - Sparkling Wine (il_tx02122_na)	Y	0	0	0	0	NaN	NaN	NaN	NaN	NaN	NaN	NaN	NaN
Revenues Excises 0213 - Beer (il_tx0213_na)	Y	421	413	513	515	371	341	NaN	NaN	1.14	1.21	NaN	NaN
Revenues Excises 022 - Tobacco (il_tx022_na)	Y	0	0	0	0	6,903	6,742	NaN	NaN	0.00	0.00	NaN	NaN
Revenues Excises 045 - Energy (electricity, natural gas, coal-coke) (il_tx045_na)	Y	446	568	1,292	2,537	446	389	NaN	NaN	1.00	1.46	NaN	NaN
Revenues Excises 0451 - Electricity (il_tx0451_na)	Y	86	100	748	922	185	185	NaN	NaN	0.47	0.54	NaN	NaN
Revenues Excises 04521 - Natural Gas (il_tx04521_na)	Y	124	146	177	179	209	171	NaN	NaN	0.59	0.85	NaN	NaN
Revenues Excises All Energy (il_tx045_072_na)	Y	9,462	11,701	13,763	13,646	13,802	12,212	NaN	NaN	0.69	0.96	NaN	NaN

Source: Own elaboration.